Sterlite Tech (STLTECH)

Conference call transcripts, oldest-first. 17 call(s). Generated 2026-08-02.

Call: Jul 2022

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India.
CIN - L31300PN2000PLC202408
July 29, 2022

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051.
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 1 FY23
Ref.: Scrip ID - STLTECH/ Scrip Code - 532374
Dear Sir/Madam,
In furtherance of our letter dated July 15 , 2022, please find enclosed transcript of earnings call held on July 25 , 2022 in respect of Company's Q1 FY23 financial results.
The same has been hosted on the website of the Company and is available under the ta b 'FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://www.stl.tech/downloads.html#qiect
Kindly take this on your record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Amit Deshpande
Company Secretary & Corporate General Counsel (ACS 17551)
Encl.: As above.

Sterlite Technologies Limited Q 1 FY23
Earnings Conference Call Transcript

July 25, 202 2

MANAGEMENT : MR. ANKIT AGARWAL – MD, STL
MR. MIHIR MODI – CFO, STL
MR. PANKAJ DHAWAN – HEAD IR, STL

Pankaj Dhawan : Good day and welcome to the STL Q1FY23 Earnings Conference Call . I am Pankaj D hawan, Head Investor Relations at STL. To take us through the Q1FY 23 Results and to answer your questions,

we have Mr. Ankit Agarwal - Managing Director , STL and Mr. M ihir Modi – CFO, STL.
Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. You can also download a copy of the presentation from our website at www.st l.tech .
Before we proceed with this call, I would like to add that some elements of today's presentation may be forward -looking in nature and must be viewed in relation to the risk pertaining to the business. The Safe Harbor clause indicated in the presentation also applies to this conference call.
For opening remarks , I now hand over the call to Ankit Agarwal. Over to you Ankit.
Ankit Agarwal : Good day everyone and thank you for joining us for our Q1FY 23 Earnings Conference Call .
At a macro level, the overall digital infrastructure industry is growing at a rapid pace , and we see three clear themes playing out.
The network creators including governments around the world are investing heavily in creating digital infrastructure. T hemes like 5G, Fibre -to-the-x and Data Center deployments continue to grow at a rapid pace. And overall, the demand for optical network is growing at the back of multiple growth drivers. We shall talk about each of these in the following slides.
So, on the first t heme , just to quote a few instances, in the U .S., AT& T has in fact increased its CAPEX from about $16.5 billion to about $20 billion in 2022. Overall, the U .S. is looking to pass nine million households per year for the next three years to reach 87 million fib er connected homes. Similarly, in Europe multiple telecom operators , alternates are actively investing and growing their investments to increase the FTT X coverage.
In India, Airtel plans to spend over $15 billion, which they have announced in CAPEX for subs idiaries over the 4 years. In the data center business, the overall CAPEX has gone up by almost 25% to $ 150 billion.
On the government side as well , various incentives and programs have been announced. For example, the U .S. Government is spending a massive $65 billion in broadband as part of its Infrastructure Bill . In the UK, the government is investing £5 billion to increase broadband connectivity by 2025. And in India as all of you will be familiar under the Bharat Net program,

the go vernment plans to connect all the villages through Optical Fibr e networks in the next two to three years.
Next, we see that the CAPEX investments are powering deployment of 5 G, FTTX and data center deployments. Clearly 5 G is becoming the fastest growing te chnology in the world today . Operators are expected to invest more than $500 billion in 5 G networks from 2020 to 2025 , just next three to four years .
The total number of subscribers is projected to go up from about 660 million to about 4.4 billion by 2027 and leading the deployments , currently is China , which plans to triple its base stations from about 1.4 million to 3.7 million by 2025. In India 5 G spectrum auctions are taking place shortly and we all look forward eagerly to the network investments pos t the 5 G.
FTTX is becoming all pervasive . In the U .S. $125 billion has been year marked for FTT X deployments in North America for the next five years. In the UK, companies like British Telecom Openreach plan to spend about £15 billion over the next five to six years for connecting about 26 million homes.
Data Center deployments are also increasing. The data center CAPEX is set to grow at almost 10% CAGR over the next five years to $350 billion by 2026. Google has announced ab out close to $9.5

billion investment in building offices and data centers in the U .S. just in 2022.
And lastly O pen RAN is also moving from pilot to initial deployments in 2022. And large scale deployments are likely to take on from next year onwards.
This is an important slide which looks at the optical fiber cable demand region wise, in millions of fiber kilometers. This is quoted from C RU, which is one of the leading analysts for the optical industry. As you can see all of these deployments that we s poke of, and the technology shifts are leading sustainable growth in optical fiber cable volumes. As per CRU , the global optical fiber cable demand is expected to reach 610 million by 2024, from about 500 odd million currently in 2021 .
The STL focus market s of North America and Europe clearly have high potential for growth and are fast growing . And they also have the highest realizations globally.
In addition to that, we also see that as the cable demand continues to strengthen , the cable prices are also on the rise. These are forecasts also by CRU which say that the OFC price is expected to go up by 16% , 28% and 13% respectively, in North America, Western Europe and APAC, AP AC is non -China.

So, as you can see from here, that clearly the demand is also expected to improve over the next two to three years. And also the price is expected to stabilize and grow over the next two to three years.
This is in line with our earlier views that the optical fiber demand , optical cable demand continues to grow. And o verall from about a 10 .7 billion market globally, this is expected to grow at about 12 .1 billion market. So, this is something very important to understand that the market in which STL plays , just on the cable part is about 12 .1 billion , and probably a sim ilar size on the optical interconnect part, which we will come to .
One part that we do want deep dive on is on terms of China, we do get frequent questions in terms of what is the supply and demand scenario in China . So, we thought we will spend a little bit time on that this quarter.
It's very important to look at this because China continues to contribute about 50% of the world demand and is extremely important and plays a major factor in global pricing as well, particularly on the fiber and cable level.
Here it's clearly important to note that the China cable demand also is growing sustainably and we expect it to continue to grow in the medium term. On the demand side, Chinese carriers combined issued about 235 million fiber kilometers of loose -tube tend er volumes, in '21/'22 which was a 17% rise from the previous year. This demand is driven primarily by 5 G and GSM A expects 5 G demand in China to exceed about 900 million users by 2025. Currently, China has about 500 to 600 million users, so still fairly si gnificant growth in terms of 5 G demand.
Another operator called China Broadnet has now become China's fourth mobile operator to offer 5 G services, and has recently also started procuring fiber optic cables although at smaller scales.
On the FTT X side as well , we c ontinue to see China needs to deploy significant amount of fiber both to densify networks, but also for Fibre to the Home , particularly in rural parts of Western China.
On the supply side, as per CRU, most major fiber, cable and cable su pplies are running at high utilizations in terms of operational capacity. And while the Chinese manufacturers are focused on China demand, the trade barriers including anti -dumping duties pos ed both by EU and the U.S. continue to ensure that Chinese player s don't get undue advantage in these markets.
Also, with the growth of protectionism in the world, local manufacturing, particularly on the cable side, is being preferred, particularly in government projects. As an example, the large government project in the U .S. which is on the infrastructure side, requires 55% of the material to

be sourced locally.

Based on all these three themes that we discussed earlier, we confidently reiterate that we are in a multi -year network b ill cycle across the globe. The three investment cycles, 5 G, FTTX and hyper scale build -out have coincided and they are expect ed to continue over the next 7 to 10 year timeframe.
With these favorable industry tailwinds, we have deployed focus ed growth levers to propel us forward . In the following section , we shall talk about this in detail.
We have focused ourselves to build our business primarily on these two growth levers , I) T o grow the optical business. II) To globalize our service businesses . We are allocating capital to tap into the se strategic growth opportunities offered by these growth levers. And we shall talk about our progress in each of these in detail in the subsequent slides.
In terms of growing our optical business and increasing our global market share, if we look at the optical business, particularly optical fiber cable business, as you can see from the chart here, we have consistently gained market share across all our focus markets . At the end of FY22 we have reach 9% market share globally , if we exclude the China market, up from 5% in FY20 .
In Europe, very proud to share that we have now reached 21% market share from about 11% in FY22. And particularly in North America, we have seen very rapid growth from about 6% market share in '22 has gone up to about 14% market share in FY23 . All of this from almost a negligible base in FY20 in North America.
Our aim is clearly to become the Top 3 players in the optical fiber market globally in the medium term, and achieve leadership in this market over the longer term.
Through our efforts , of our incredible team and our focus ed strategy, we have established a foothold in the U .S. in the last three years. We entered the market in FY20 and started partnering with our customers and creating unique solutions for their requirements. Through FY21 and FY22, we added 45 customers and built strong relationships . As we start FY23 , I am very happy to announce that we have secured a multi -million dollars , multi -year contract with a North American telecom operator.
[Resumes at 13:32]

Mihir Modi : So, apologies for this little hiccup , ladies , gentlemen. So, continuing what Ankit was saying and we will wait for him to come in and take over but in the meanwhile, as he was saying through the efforts of our incredible team, we have established a foothold in the U .S. in the last three years or so . When we entered the market in FY '20 and si nce then have started partnering with our customers . Through FY'21 and then '22 we added 45 new customers and build very strong relationships . Even at the start of FY '23 we are very happy to announce d that we have secured a multi -million dollars , multi -year contract with the North American tel co.

So, we will continue in our journey to support the North American customers with our world - class manufacturing for optical fiber cable which is expected to go live in Quarter 3 of the current fiscal .

So, while the chart comes up, I think we are continuing to grow our optical business , and within that the optical interconnect attach rate which we have been talking about has been on the rise. We have increased our interconnect attach rate from 3% in FY '21 to now doub le digits 11% in Quarter 1 of this fiscal . Our approach to providing the end -to-end optical solution of the optical fiber cable plus interconnect has yielded us results , and we aim to reach an attach rate of high teens by the end of this fiscal by 4th Quarter , FY'23.

Coming to the second growth lever of globalizing the services business , we acquired and successfully integrated Clear comm, as you are all aware a leader in optical network design, deployment and integration in the UK. We have also built a gl obal

robust resourcing model

through our own STL Academy . We train engineers at STL Academy in the areas of Project Management, Installation, Testing, Quality Assurance , etc. And keep the talent pool for deployment ready for the UK. We are ramping up our e xecution pace in the UK. And we aim to increase the UK revenue contribution to 25% of Global Business Services revenue by FY'24.

While we build our business in the UK, we continue to focus on strategic and profitable projects in our core Indian market. As we are developing new solutions, we aim to expand our opportunity pipeline arising from the 5 G deployment. We expect new deployment tenders to come through post 5 G auctions which are likely to be in Q2FY 23. We are also expecting a large BharatNet tende r to come through in the second half, both of these opportunities have the potential to generate significant order book for the India services business.

Ankit Agarwal : No, I think not much to add on this particular slide but clearly still fiber is a challenge in India , so we are still working through it.

In terms of the providing, end -to-end solutions, this is an example we shared to media recently . I think this is a great example of the full value that STL has to offer starting from our bend insensitive fib er going towards really Next Generation cables, our optical interconnect we have been speaking about, and then our Fttx and LEAD 360 Solution . So, it's a good example of where we wanted to showcase the value of this , to the customer, ultimately leading to low cost of deployment, faster speed, as well as less requirement of trained manpower. All of this is something that has been quite positively demonstrated now in the UK. And we will also see how to scale that up.

I think in terms of R&D, this c ontinues to be a cornerstone for STL, where we consciously want to build the right product portfolio and solutions for our key accounts globally. At the end of this quarter, we had about 740 plus patents . And that really is something which we will

continue to focus on and invest in . We have invested close to about Rs. 50 crores odd in the Quarter 1. And we do expect to continue this R&D investment.

We have also launched our own 5 G R&D center in G urgaon recently with state -of-the-art equipment lin ked to Open RAN as well as pFTTx. So, that's something that we continue to commit to, but very focused in terms of spending the R&D cater to our large key accounts.

On the back of th ese consistent R&D investments in the Access Solutions Business , we have successfully launched 8 product SK Us. We have announced general availability of our Garuda Small Cell , 5G Small Cell , pFTTx and Wi -Fi 6. We are targeting general availability of a 5 G Radio unit, and Rake and therefore full portfolio in the current financial year.

In terms of customer engagements on the wireless side, we continue to engage with customers , globally . We have secured five more engagements, which are anywhere between early stage discussions to POCs or orders. In -line with industry , we also aim to acquire customers and build order book for wireless business in FY '23, which we expect to start yielding results and revenue in FY '24.

Over the last two to three years, we have done significant investments in this business and taken the product development to a mature stage. In order to propel the business to next level we are also actively exploring strategic partnerships for others to come and invest in this

business.
In terms of capital allocation, our clear priorit y is investmen ts in the optical business . We are investing in OFC capacity expansion, particularly in the U .S. that we touched on earlier . And Quarter 1 FY'23, we also bought the balance 25% stake in China JV to ensure fiber supply will increase to further serve ou r cable requirements , as those volumes grow on a quarterly basis . We s

hall continue to divest non -core assets in FY '23. As you w ould recall in FY '22, we had sold our interest in Metis Edu ventures and MTC IL. Post the current investment phase we shall prioritize optimi zation of debt and our capital structure.
We shall now discuss the financials for Q1FY 23. I would now like to hand over to Mihir to discuss the financials.
Mihir Modi : And very good day once again to everybody. Let's start at the top of the Financials funnel , our order book at the end of Q1FY23 stands at 11,200 Cr. In Q1 we have secured overall a very strong new order book, particularly in the optical business, which is a reflect ion of strong demand in the industry and our dominant position and focused particularly on the optical business. However, we have also short closed an order book of about Rs. 1,615 crores majorly in the Services business. This is in -line with our focus on executing projects at desired level of profitability in the Services business and not executing for the sake of execution.

Ankit Agarwal : Rs. 1,615 crores .
Mihir Modi : Rs. 1,615 crores, yeah. Our order book is well diversified across our customer segments and across all our businesses. We also have a significant O&M order book, which shall start to yield a significant revenue from this year onwards.
Talking about the revenue , our revenue mix i s shifting to customer segments and geographies of our choice over the last few quarters. We are increasing our share in the Telco and Cloud segments in terms of geography , we are increasing a share in North America and European markets. What is heartening to note here is that in -line with our strategy , in the last three years, we have increased our revenue share in North American market , the most premium market in the world from near negligible to almost 28%. Again, as Ankit had referred earlier, this is a reflection of our product innovation and reward of investment in the R&D over the years .
In terms of notable wins this quarter , apart from the multimillion dollar contract for North American telco , we have secured new orders for optical fiber cables f rom North America. In the European market, we have secured now orders for optical fiber cables and interconnect solutions from a telco customer. On the Services side we continue to partner with Neto mnia to fiberize multiple cities with ultra -fast broadband in the UK. We have also secured new orders for fiber rollout from leading Indian telco.
As we pick up the orders our project execution is clearly on track , if you can go to Slide #25 please . Among India public projects, our BharatNet project in the State of Telangana is 54% complete , including all packages and the network modernization project for an Indian PSU is 52% complete . In the Indian private side fiber rollout for large Indian telco is fully done 100% complete for Phase I and 5% complete for Phase II. And we are yet to start Phase III which we shall do so .
Fiber rollout for a modern optical network for yet another Indian private customer is 5% complete . Coming to the UK , Fibre to the Home rollout in UK for all projects is again picked up and is 5% c omplete. So, all in all, our project execution is on track across various types of projects , in-line with our strategy.
We talked about very sharp increases in our key raw material categories and freight costs due to global supply chain disruption last qua rter. Crude oil prices which can be looked at as a proxy for volume or prices continue to inch up further in Q1FY23, gases , LNG, helium also exhibited price increases. Helium gas prices particularly have increased sharply in recent quarters , due to production problems at major U.S. and Russian suppliers .
Logistics cost though have started easing as shown by the Fr eightos index for the route of China to North America. We shall also start to see reduction in logistics cost from Q2FY 23 onwa

rds
that should ease the pressure on our margin a little bit .

In-line with our estimates, quarterly revenue grew 20% YoY to Rs. 1,575 crore. Our operational EBITDA margin grew 160 basis points , quarter -on-quarter to 7.6% in Quarter 1 of FY '23. Revenue growth drivers in the 1st Quarter are OFC volume growth, and increase in optical interconnect attach rate , at the same time increase in UK services revenue . Margin improvement drivers for Q1 in FY '23 are increase in the optical revenue share , increase in N orth

America revenue share and increase in optical interconnect margins. We are working to reach sustainable EBITDA margins by second half of FY '23, in-line with our estimates .
In terms of revenue split optical business was at 72% , services at 27% and digi tal and access combined at a 3% of overall revenue . In terms of capacity utilization , OFC was at 88% utilization based on production volume and capacity at approximately 37 million fiber kilometers.
We have placed a n abridged version of a quarterly reported numbers for your perusal here , I will pause for 30 seconds so that you can have a look at it.
So, along with financial objective STL 's endeavor is to be a responsible leader in ensuring a connected and inclusive world. This focus reflects in the way we ha ve designed and implemented our ESG agenda. Like we have been sharing , we have diverted 175,000 plus metric tons of waste away from landfills from FY '18 to '22. We have reduced emissions of 15,000 tons of CO2 equivalent through various initiatives in the p lants from FY '21 to this quarter .
We have announced our commitment to become a carbon neutral company by 2030. Not to mention we have recycled 500,000 metric cube of water from Q1FY19 to Q1FY 23. Through our various initiatives and education , women empowerment over 700,000 lives have been positively impacted from FY19 to the 1st Quarter of FY23. We have also positively impacted two million plus lives through our various initiatives in healthcare from FY '19 to the current quarter.
For our work, we have won 71 ESG Awards from FY '20 to the current quarter .
So, overall in summary, I would say that the multi -year network build cycle is in full swing . The global OFC volume and pricing expected to grow in 2022 is on track . And our capital allocation shall be focused on the optical business. We are aiming for global leadership in the optical business . We look to achieve strong market share gains in North America and Europe and increase the attach rate in the optical interconnect space.
We are focusing on strategic segments in the Services business , while we are ramping up execution in the UK . We are also working to build profitable order book in strategic segments in India. And in terms of capital allocation, we are allocating mos t of the capital in the optical business and are simultaneously divesting non -core businesses.

So, with this, we come to the end of our opening commentary. And we shall now move on to Q&A with Pankaj , Anuj and o thers .
Pankaj Dhawan : Thank you, participants at this point, we will start the Q&A session. If you have a question, please use the 'Raise Hand ' button at the bottom of your screen . And I will allow you access to ask questions. Alternatively, you can also type in your question in the Chat box and I wil l ask the question on your behalf to the Management .
Let's take the first question from Pranav Kshatriya, Pranav if you unmute yourself and go ahead please.
Pranav Kshatriya : I have three questions. Firstly, Mihir , can you please help us with at least ball park product and services business margin, and how they have trended in last two, three quarters to get a sense of where we stand.
Secondly, again, related to margin, there seems to be considerable cost pressures. But there seems to be some green shoots, one is the logistics cost is sort of trend

ing down, and you have
talked about the prices for fiber optic cable moving up, which should drive up the realization .
So, how we should be seeing the margin in Q2 and Q3? So, that's my second question.
And last qu estion is, attach rate, which we are growing very smartly, in the first half, or almost entirely in FY '22 seems to have sort of plateaued, I mean, Q3FY22, we had roughly 14%, Q1 we are at 11%. So, what is happening and how much time , how the trajectory wil l be in that ? So, those are my three questions. Thank you.
Ankit Agarwal : So, probably take it, you know, one by one in terms of products and services part of it, I think, broadly, what we have guided is that the, products and services will continue to gro w. In terms of profitability, we have targeted EBITDA, margins for products business, optical network business, towards 20 % to 22%, towards Q3, and Q4. And similarly, services, we had said that we will target low teens during this period, versus that, we have seen some good improvement on the optical part, which is now closer to about 14% to 15%, as a combination of a couple of these activities, services is still probably in the mid-single digits. And hence, we have combined EBITDA of about 8% that we hav e. So, this is something that we are confident with these two, three levers that you spoke of as well.
Firstly, some of the price increases that we have done particularly in U.S. that should start reflecting towards the end of Q2 and into Q3, and Q4. Secon d is we do expect some of the benefits of the container costs starting to come down or even stabilize, start reflecting in the profitability, as well as overall the product mix that we are seeing both within Optical , and the ratio of Optical to the services, all o f these should enable better profitability in the Quarter 3 and Quarter 4.

So, I think that's one part , in terms of the cost pressures, that you spoke of , I think, certainly from the peak of container costs that we have seen almost $22,000 per container that has come down to probably around $16,000, or $15,000. And it's largely kind of settled there, it might come down, marginally more going forward. But w e don't expect it to go all the way back to probably $7,000 to $8,000 we had seen, several quarters back. So, I think that's something that we will continue to watch .

What's happened is by nature of just sheer vol ume, that we are now shipping to U.S. and Europe, the absolute amount has gone up which you would have seen in the other expenses. So, I think that's one part that we continue to monitor .

One benefit that we have seen is the lead times have come down in terms of shipping from India to U.S. probably earlier were around 70 days, that's coming down to probably 55 to 60 days. So, to that extent, our working capital should come down marginally, as those delivery times start improving .

In terms of the other costs, linked to oil and gas , to the oil essentially to polyethylene that we continue to stay at the higher level as well as Helium , in particular has contributed to fiber costs increasing versus what our expectations were.

So, these are things that we are working on, we are still wo rking on certain price increases, particularly in Europe market with some large customers. And as those play out, we will see that benefit into Q3 and Q4.

On your last question in terms of attach rate, I think overall, we continue to be very bullish in terms of our growth , in terms of the attach rate, I think one thing to keep in mind is our cable volumes have starting to increase significantly, as we said on the back of U.S. and Europe. So, actually on our absolute numbers are , in crores is actually increa sing quite well. What we continue to see is particularly with our large key accounts, we are very keen to have similar values ultimately of cable and interconnect going in. So, we are very confident our produc

ts

are getting approved by more and more custom ers. And we are in that phase between approval and starting to supply. So, we are confident that going into Q3 and Q4 , you will see both absolute number and percentage grow for the interconnect.

Pranav Kshatriya : If I can just ask one small follow up, you did mention that the working capital should come down and the logistic costs have come down. But I think in Q2 it will be more of a transitory quarter, because from Q3, we will have the manufacturing facility available and hence those costs will be a lot lower. So, should we see significant improvement in the margins from Q3 onwards ?

Ankit Agarwal : So, see, I think one part is the, the U .S. facility will start operations in Quarter 3, and of course, that will itself take some time to scale up to its capacity of 5 to 6 million FKM . So, that's one

part, but also our supply to U.S. is still more than what just the U .S. facility can serve. So, to that extent, what else we are manufacturing in India or in our global operations for U .S. market to that exte nt that working capital will continue. And what we are manufacturing locally, then, of course, will be local supply.

So, I think, from working capital perspective, we do see some improvement from Q3 and Q 4, plus, as I said, the travel time from India to U.S. should come down probably by about 20 days from current peak of 70 days so all of this will help improve the working capital supply into the U.S.

I think on the margin perspective one is, as I said, the overriding factor will be in terms of the improvement in the passing on the cost to the customers , improving the top line, which we expect in the 7% to 10% range. Some of that has happened with U.S. customers, some we are still ongoing. And as I said, few key negotiations are ongoing with our Euro pean customers.

Moderator : Thank you, Pranav . Next question I request Nirav Dalal to unmute himself and go ahead.

Nirav Dalal: A couple of questions from me , first is on the other expenses. So, you did mention that logistics cost is increasing in absolute terms, and hence, we have seen the increase in other expenses. But if one looks at the gross profit margin, the gross profit margin has improved for us. So, if we compare it with the 2nd Quarter of last year, or even if we compare it to FY21, FY21, the gross margins were at 37% and current quarter we are at 37.6 %. So, technically speaking, we have seen the business come back in terms of margins . However, the other expenses continue to increase , so the last couple of years, we have seen the expenses actually double for us. So, when do we see these costs, either stabilize or start to decline? That is question number one.

And the second question is, in our presentation, we have given the OFC cable volume at somewhere 3 6 to 37 million, but we were of the underst anding that currently we are at 33 million optical fiber cable capacity so just wanted to clarify on this number as well.

Ankit Agarwal : So, there are a couple of things, one, I think overall, on the other expenses, if you look at it, we have increased fro m about Rs. 429 crores to about Rs. 478 crores . And as I said, some portion, at least as has come in terms of, you know, increasing in terms of sheer volume that we spoke of has increased into Europe and U.S. and some of those costs. We have also had some cost particularly in this quarter related to legal and consulting fees, etc, which we believe is one time. So, I do believe looking at this, we need to break it out, our sales will continue to grow, as I said, even in terms of our export market segments so to that extent, that's something we are mindful of . But some of the other costs will start tapering down towards, you know, Q2 and Q3. So, I think it'll be a combination of, you know, both factors.
In terms of the capacity what we have shared also earlier is

that the major investment is in the
U.S. So, that capacity will come in to Q3 in terms about 5 and 5.5 million capacity . And we have

done marginal capacity increase in India in terms of cable improvement and also again very small capacity in Italy. So, combination of all this has got us to add about 3 to 4 million currently and then this balance 36 to 37 to about 42 which we had needed will come from the U.S. addition.
Nirav Dalal : So, just staying on the other expenses -- just one is what were th ese legal expenses? And what is the quantum of that? And second is what would be logistics cost as a percentage of revenues for us. And if we could get a Q oQ and YoY number?
Ankit Agarwal : So, let us come back to you Nirav, we will get Pankaj, to share the br eak up with you .
Nirav Dalal : And just lastly, in terms of the China subsidiary, I think we are buying it out, does that mean that we would not be doing any business in China and what about the capacity there? If you could just clarify on that ?
Ankit Agarw al: No, actually, it's quite a positive development for us, where we got the opportunity to acquire the balance 25% stake from our JV partner. So, with this, then it will become a wholly owned Indian company and absolutely no issues that we foresee in terms of running the operations. And it's all aligned with our strategy, Nirav about what we said about leading with cable. So, as we move towards now 42 million of cable very soon, it's very important to be fully secured in our own manufacturing of fiber. So, now with this complete ownership, we will be scaling up our China operation. So, full capacity is close to about 12 to 14 million fiber kilometers , so we will scale up our fiber operations, and make sure that we have sufficient fiber for our global cable requirements.
Nirav Dalal : So, all of that technically will be moved, will be used for the international markets rather than China. Is that the correct assumption?
Ankit Agarwal : Yeah, t he underlying is to serve our cable, our captive cable requirements. So, wherever they are located India, U.S., Italy, wherever.
Moderator: Thank you . For the next question I would request Sunny Gosar, to unmute themselves and ask the question.
Sunny Gosar : My question is that while the U .S. and Europe business have shown good growth, India business has declined in Q1. Any particular reason for that?
And my second question is, t he presentation at one place mentioned that we sho rt closed approximately Rs. 1600 crores of open order book in Q1FY23. So, does this mean that the order was partly canceled or what does that exactly refer to ?
Ankit Agarwal : So, I think, India market, I would say, largely what we have spoken of earlier also that we are very consciou s of only focusing on taking business, especially on the services part at the right

margins, and we are not chasing top -line. That's also a little bit linked to the second part, and I will come back to that. Overall, we actually do believe what I shared ea rlier also we are a this kind of tipping point for India market to grow. And whe ther you look at Indian operators, you look at Bharat Net or defense, all of the areas we do expect pretty robust spending on the digital infrastructure, probably for the next f our to five years. So, we are quite well pl aced with our current market share , with our brand with our capability. And our teams, of course, relationships are very strong across with our customer base. And as this demand starts picking up, which we do beli eve should happen in the next six to nine months, we are quite well placed to get the right businesses , the right projects at the right margins that I was talking about earlier. So, we had a very conscious view of what business we want to pick up in India that will continue to be the case. And that's where we saw some reduction in our revenue on the

India
market part .
In terms of the short closure of order book so at a macro level, this was one of our strongest

ever quarters in terms of order book , very proud of our global team and our solutions , where we clocked I think north of Rs. 2700 crores overall for the quarter, and then we sho rt closed about Rs. 1600 crores. This was largely about Rs. 1200 c rores in the services business and about Rs. 400 c rores in our optical business. And largely these were linked with the same theme where in most of the cases in our conversations with the customers we have had a mutual discussion where we short closed some of the lower margin orders or orders that were ju st not progressing in terms of time and speed from the customer side. And we are looking at very often with the same customers renegotiating new orders or new customers as well.

So, this is something that we wanted to make sure that we have the right visib ility of the order book and that is up -to-date. And so, what we have looked at is about the Rs. 2700 crore that we have booked overall, and then we have reduced about Rs. 1600 in terms of the short closure .

Sunny Gosar : So, that is actually very good, beca use it doesn't reflect in your net orders inflow, because of the short closure. So, do you believe that this kind of order momentum will sustain or there were some one of large orders which came through in Q1?

Ankit Agarwal : So, we as we did talk about one specific large order out of the U.S., but even apart from that, just looking at the momentum, we see, as I said, both in U .S. and Europe, we are confident of maybe not at this scale Rs. 2700 but somewhere in this range kind of order book. And again, as I said, we will look at very closely with 5 G in India and Bharat Net over the next six to nine months that will play out. So, we will see out of this what orders do we capture .

And again want to reiterate, we are very mindful, especially in India market to ta ke projects at the right margins. So, while we are confident we can book lot of orders, we are very mindful now of both looking at right margins and also I would say mindful of the cash and the collection cycle.

Sunny Gosar : And in your outstanding order b ook of Rs. 11,000 crores do you foresee any similar order closures, which are lower margin or not so focus segments ? Or now the order book is more or less cleaned up in that sense ?

Ankit Agarwal : No, I would say we continue to evaluate, I mean, it's litera lly a month -on-month process. We are very clear in terms of our focus markets, what margins we want to take them on, as well as our how do we perceive risk at a collection with all of these cases want to retain these are mutual discussions with the customers and done on a friendly basis. So, this is something that we keep evaluating month -on-month , at any point we feel for a particular quarter we feel that the orders we do not want to pursue then we take those calls in terms of short closing them.

So, I won't be able to comment, but at least for now, we have obviously taken a good amount in terms of Rs. 1600 crores and we feel it was a prudent thing to do for the business.

Sunny Gosar : And one last question, what is the expected CAPEX outflow for FY23 and FY24. And you had also planned for a facility in UK. So, is that plan currently on or has that been like deferred or cancelled?

Ankit Agarwal : So, overall as we had guided earlier also it continues in terms of overall CAPEX about Rs. 500 crores . Curre ntly in Q1 we had a CAPEX about Rs. 160 crores out of that . And as we said most of this is linked to our U .S. facility as well as probably some CAPEX payments from past investments etc. So, I think that is something that is we are confident of . And optical interconnect requires some marginal CAPEX for that growth. So, overarchingly linked to our point on capital allocation, majority of our investment almost

all of it will be focused in terms of our optical business .

In terms of the next year, currently, we foresee in the range of about Rs. 350 crores in terms of CAPEX . So, this is broadly for current year next year. And to your question on the UK part, I think, overarchingly our plan was to look at $42 million, which w e believe we can, we can ensure through combination of U .S., India and Italy that I spoke off in terms of cable. So, we continue to evaluate the market and the requirements for a local facility. And that's something we will probably update you as we make a ny progress . As of now we are focused on the other regions, particularly on the U .S. part in terms of the new facility out there.

Moderator: Thank you. For the next question I would request Saket Kapoor to unmute himself and ask the question .

Saket Kapoor: Taking into account the way the fiber prices have moved up , the cable prices have not commensurate to that . So, what is your current sta ke, meaning h ow much have been the external sale of fiber out of the total production?

Ankit Agarwal : So, you are right Saket there has been a time lag and I think we have shared this last quarter as well, between fiber prices improving vis -à-vis seeing the correspondence improvement in cable. Having said that, you know, we have been consciously talking to our key accounts , especially our large customers in U .S. and Europe for improving the prices and passing on some of the costs. That improvement and benefit, we should certainly see into Q3 and Q4 that we have shared .

In terms of fiber prices, and cable prices, ballpark we would say five, our prices are probably in the $6 range , in terms of standard fiber. Of course, there are many varieties . And then in terms of, say cable prices, especially in the markets we operate in, would probably be in the $15 to $16 range. So, that' s the ballpark, we are not seeing any major upward or downward movement in the prices since we last spoke. But again, these are all standard prices, each contract , each customer is different. And for us also, more and more of our sales is moved much more n ow on cable and interconnect . I think we would almost have marginal if any fiber being sold in the open market, most of our fiber is consumed for our cable requirements.

Saket Kapoor: So, on the finance cost part, if you could give , I miss ed the net debt l evel, and the finance cost as an absolute number remains at Rs. 69 to Rs. 70 crores per quarter. So, what should be the annualized number, we should look ? And taking into account what the Quarter 1 performance have been , it was informed to us earlier that also that it would be muted till the first half and H2 would be the one w here we will see some light at the end of the tunnel , sorry for the phrase, but do we stand there that worst is behind , for the sector , because the numbers are certainly reflecting of other optic also. So, do you think the worst is there or still we have more pain left and maybe this Q2 would also re flect the same?

Ankit Agarwal : So, I think one, so finance cost, as you said, were in the same about Rs. 69 to Rs. 70 crores. And we are very mindful that of course there is discussions globally in terms of interest rates rising etc. so we are watching that very carefully . Our net debt has increased by about Rs. 380 crores to about Rs. 3200. So, we are very mindful that we have to create tha t balance between investment into the business and the CAPEX that we spoke of, but at the same time, get very strong cash from the operations to reduce the net debt.

So, currently, while we create this balance, our target still at the company level is prob ably to settle back to the Rs. 2800 crore levels we were at previously, while still ensuring we invest for these growth areas, particularly in the cable expansion that we have spoken of. So, I think that's the focus.

Do we see l

ight at the end of the tunne l? We are in the light business optical business is the light business. We are, as I said, we continue to see the tailwinds quite strong, we continue to see market demand for next few , at least four to five years quite strong. And it will now be a function both of how do we ensure some of these external costs get normalize d, as well as from our own operational efficiencies and our customers, we start getting some of our prices and costs passed on to them.

So, as we continue to guide, we do believe Quarter 3 and Q uarter 4 will be better. And certainly into Q4 we have confidence that we will be moving towards the better margin profile, particularly of the optical business.

Saket Kapoor: So, the small point what we can make sense is that from Quarter 4 onward will be the normalized quarters . And h ow have been the collections for the ones we ha d made some provisions, I think so two quarters earlier. What is an update on the same sir? H ow is the collection currently?

Ankit Agarwal : Overall, we had made a provisio n close to about Rs. 200 crores on the balance sheet. And I think that's something at that time also we had shared, we wanted to make sure that we did based on prudent accounting, we took those as provision, they were not write offs. There have been some v ery small collection on the back of those provisions, but still work cut out in terms of the entire Rs. 200 crores. So, that's something still work in progress for our teams.

And during the quarter, we had probably working capital increase also north of ab out Rs. 200 crores. A good portion of this is linked to the increased sales into the N orth America market, which then, and all of th ese then contributed to the net debt going up, which we spoke off. So, I think we are very conscious of these elements. We are also as I said, conscious of exposure, particularly to government projects. And we are very mindful of even any collections that are due we have very strong focus on it from a cash perspective.

Saket Kapoor: The year -end target for net debt numbers woul d be , in what vicinity are you working?

Ankit Agarwal : That's what I spoke, we want to bring it back to normalize d levels of about Rs. 2800 crores.

Saket Kapoor: And what are the numbers as on June?

Ankit Agarwal : About Rs. 3200 ballpark.

Saket Kapoor: And this increase in inventory also – is baked into this increase in debt?

Ankit Agarwal : That's right. So, we spoke of the working capital, we have also spoken of CAPEX of Rs. 160 crores as well as what we call contract assets, some of that has increased as well in our services business. So, combination of this has increased the net debt by about Rs. 380 crores.

Saket Kapoor: So, just to summarize, is it the inflationary part on ly that is creating the trouble for an optical company OFC manufacture company like us? Or what are the other issues wherein in the PBT numbers are looking lower or , in fact, if you look at the PBT numbers, negative PBT numbers for us . Where are the gaps , that this was not the trend what the company used to post earlier?
Ankit Agarwal : Sure so I would break it into two parts. One is structurally we have seen some pretty large, non - normal increases in our costs, right, specifically for us we have container p rices go up threefold

to fourfold, as I said, from about Rs. 7000 to almost Rs. 22,000. That happened at a time where a very large portion of our sales shifted from India and Europe to Europe and U .S. So, that is one big factor contributing to costs increa ses.
Second is all the raw materials linked to oil has also seen a pretty large increase in costs. So, I would say it's a couple of these factors. In addition to that, we continue to have invested close to Rs. 40 to Rs. 50 crores per quarter on development of our new businesses like the wireless and software. So, it's a co

mbination of these three, four things . As I said, we do believe that some of the improvement and we have been able to pass on some of these costs to our customers on the optical side. And so improvement or our value from that you should start seeing in Quarter 3 and Quarter 4.
Moderator: Thank y ou. Let me take one last question , due to time constraints from the chat from Agnel Peter . He is asking why does North America business is better for margins?
Ankit Agarwal : So, one, I think just to reiterate, there's two three things happening in U .S. in particular. One is the growth itself is for a pretty large market, I think it's at 80 to 85 million fiber kilometers, that itself is going rapidly towards 100 million fiber kilometers. So, market itself is going quite strongly.
Second is government has ann ounced this massive fiber project, which is about $65 billion so, that is giving a lot of comfort that this will grow for next four to five years. But we believe that there is a very strong opportunity for STL because we have the right product portfolio, o ur products are certified by Telcordia , we have very strong sales and technical team and we have now the local presence. And just to be clear some of the Tier I operators, they also get tax benefit for buying from local manufactured companies. So, all of t his plays quite well for us.
In addition to this at a macro level, U.S. really values quality, they value technology, they value innovation, and so a lot of our high -end products so to speak in terms of cable and soon probably interconnect will be getting the right premium pricing in the North America market.
And this is equally true for a few customers in Europe as well, where with our key accounts, we do really engage w ith them in a solution basis, and then we get a premium for it.
Moderator: Thank you. Unfortunately, due to time constraints, that was the last question that we could take. Thank you, everybody, for participating on behalf of Sterlite Technologies Limited, thank you for participating in today's earnings call . Management if you have any closing comments, please .
Ankit Agarwal : I want to just appreciate and thank everyone for attending this call and showing interest in our company. I hope we were able to addre ss and clarify all your queries and comments. For any further questions and discussions feel free to contact the Investor Relations team, which

include myself and Mihir. And we really look forward to continuing the conversations with you in the future. Tha nk you.
Moderator: Thank you, everyone.

Call: Nov 2022

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India .
CIN - L31300PN2000PLC202408
November 10, 2022

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051.
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 2 FY23
Ref.: Scrip ID - STLTECH/ Scrip Code - 532374
Dear Sir/Madam,
In furtherance of our letter dated October 21 , 2022, please find enclosed transcript of earnings call held on November 04, 2022 in respect of Company's Q2 FY23 financial results.
The same has been hosted on the website of the Company and is available under the ta b 'FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://www.stl.tech/downloads.html#qiect
Kindly take this on record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Amit Deshpande
Company Secretary & Corporate General Counsel (ACS 17551)

Encl.: As above.

Sterlite Technologies Limited Q 2 FY23
Earnings Conference Call Transcript

Nov 4 , 202 2

MANAGEMENT : MR. ANKIT AGARWAL – MD, STL
MS. LAKSHMI AYER – HEAD M&A, STL
MR. PANKAJ DHAWAN – HEAD IR, STL

 Pankaj Dhawan : Ladies and gentlemen, good day and welcome to the STL Quarter 2 FY23 Earnings Conference

Call. I am Pankaj Dhawan - Head , Investor Relations at STL. To take us through the quarter 2 results and to answer your questions, we have Ankit Agarwal - MD, STL and Lakshmi Iyer - Head, M&A and Corporate Development at STL.
Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. You can also download a copy of the presentation from our website at www.stl.tech.
Before we proceed with this call, I would like to add that some elements of today's presentation may be forward -looking in nat ure and hence must be viewed in relation to the risk pertaining to the business. The Safe Harbor clause indicated in the presentation also applies to this conference call.
For opening remarks, I now hand over the call to Ankit Agarwal. Over to you , Ankit.
Ankit Agarwal : Thank you, Pankaj. Good day to everyone. Thank you for joining us for our quarter 2 FY23 Earnings Conference Call. The Telco CAPEX was estimated at close to $330 billion for the period of 12 months ending June 2022. I think this is a very in teresting chart which really demonstrates the growing CAPEX intensity of the Tel ecom operators and I think as you can see on the chart almost at about 17.8% close to 18% is actually the highest in the last 10 years and really I think lot of the demand that was pent up because of lack of deployment during COVID, obviously 5G picking upstream around the world and then also fiber to the home. Combination of multiple factors I think is where we see the CAPEX growing. Also, in our conversations with some of our key customers globally, we continue to see a strong demand scenario from them and we believe quite comfortably that it will continue despite some of the current economic headwinds.
In line wi th our expectations, strong investment momentum is continuing acr oss these four levers, 5G, fiber -to-the-home, ready fiber -to-the-x, datacenters as well as citizen networks. 5G is becoming clearly the fastest growing technology in the world today. Operators are expected to invest more than $500 billion in 5G between 22 and 2025. One interesting data point is as per Ericsson more than 210 service providers around the world have launched 5G services globally and the number of 5G subscribers are expected to go from a 700 million currently to almost 4.5 billion by 2027. So, massive jump clearly in number of subscribers and really leading the charge in terms of 5G deployments is China which also plans to invest significantly in 5G and fiber and increases 5G pay stations from about 2 million today to almost doubling to over 3.7 million by 2025.
In addition to that, FTTX really is becoming all pervasive and by that you would look at fiber to the home, fiber to the enterprise, fiber to small cell, fiber for smart city applications. Just one Page 3 of 19 example , about $125 billion has been earmarked for fiber to the home just in North America over the next 5 years. If you look at last Telecom operators in the US like AT&T for example, they plan to almost double its fiber coverage to about 30 million locations by 2025. Another example like Fron tier-is targeting about 10 million homes and so many other cases like that if it is Telecom, Orange, also operators in India as well as when we look at Australia. Similarly, datacenter deployment is also increasing. The datac enter CAPEX is expected to grow by almost 10% CAGR over the next 5 years to a massive $350 billion by 2026. Again, as an example, Google has announced about $9.5 billion in building office in datacenters just in the US in 2022. Equally, India as well, we a re starting to see pretty strong push to datacenter buildout, not only by some of the global

players, but also by Indian players like Yota and Adani.
Lastly, on the Citizen Network side, US is implementing close to $65 billion project to connect particular ly rural parts of America connecting the unconnected essentially. Similarly, the United Kingdom has program to connect nationwide by 2030 and of course we are familiar with BharatNet in India which is to connect the 6 lakh villages in India over the next 3 years.
So, these are some data points from CRU. As you can see, we have forecasted as per CRU between 2021 and 2024, both in terms of the optical fiber cable demand. Globally, we have also shared wha t is the CAGR expected across the regions and also very importantly looking at ex-China, the Optical Interconnect demand which is very important area for our growth and development. As you can see in the CRU, the optical cable demand is expected to close t o about 606 million fiber kilometers by 2024 which is quite a significant increase from about 500 million in 2021 and equally I think very importantly , the Optical Interconnect market is expected to grow from about $7.5 billion to about $9.8 billion and as we have been sharing as well, cumulatively this creates addressable market for us across cable and interconnect of close to about $20 billion.
So, we all are very proud and very excited with the launch of 5G in India by Honorable Prime Minister at the Ind ia Mobile Congress. It was truly incredible movement , I think in the history of our country and we will create a tremendous impact, not just with the Telecom or with the retail user, but I think even more so probably with the enterprises as we start provid ing these services to large corporations, to airports and also of course the public sector units .
In terms of the operators, we did hear very I would say strong and aggressive announcements

particularly by Airtel and Jio as you would know , Bharti Airtel plans to launch across 8 cities immediately and also Jio in four cities and of course they have all laid out their plants. Broadly, Jio looks to cover India by about December 23 and Airtel plans to cover India by about March 24. So, those are I would say v ery aggressive plans by global standards, but clearly a massive network buildout would need to happen to enable that kind of 5G services and coverage. Our own expectations are that between $1.5 billion and $2.5 billion, we will get invested on fiber buildo ut. This will be a positive driver both for our cable and interconnect , but equally for our

services business and in terms of cable kilometers, probably around 200,000 cable kilometers I expected to be de ployed over this period as well.

So, with favorable industry tailwinds, we have deployed a very focused strategy to propel us forward. In the following section, we will talk about in detail what are really our core areas of focus, what is our right to win and also how we look into exit some of our noncore areas. So, essentially, our strategy is fairly simple and is focused on two levers, firstly, we want to grow the optical business. Secondl y, we look into consolidate our services business and essentially we are allocating capital to tap into the strategic growth opportunities offered by these two levers and we shall talk about our progress in each of these in detail in the subsequent slides.

If you look at the optical business, particularly optical fiber cable business, you can see from the chart that we are consistently gaining market share. In H1 of FY23, we are very proud that now as an Indian multinational , we have gained 11% share global ly if we exclude the China market which was just 5% in FY20 . Equally something that we are proud of is that in America, we have now reached 14% market share for H1 FY23 and if you really see, even just a couple of years ago, that was we were almost nonexis tent, so it has been a very impressive growth I think in that market and all of thi

s really caters towards our ambition to becoming a world top 3 player in the optical domain and we are very prou d of the team that we now build to enable this growth. Also, privy to announce that we have secured multiyear , multimillion dollar contract with a leading North American Broadband connectivity company, o ur intent is to increase our long -term contracts and order books as we move forward in this direction .

So, in line with what we have been sharing in our previous calls as well, again very proud of this facility, especially the one in the US that has come up now, which will really be a world class optical fiber cable facility and similarly in China, we are actua lly restarting the operations and we plan to scale these up within this quarter and we do believe that they will reach full capacity utilization by quarter 1 of FY24. Something that is clearly very important and strategic to us is to increase the Optical Interconnect attach rate just for people for whom this might be new, the attach rate is essentially for every dollar of cable that we sell, how many cents or dollars do we sell of the Optical Interconnect. As we have seen currently at FY2 2, we have got 11% ; in H1, even with a growing base on the cable were currently at about 9% and this is on the back of couple of customers that pushed out some of the orders and the revenues to H2 FY23. So, we are confident of these orders coming through and th is attach rate growing in the near and medium term.

We are very pleased to announce that we have also done a breakthrough innovation in the optical fiber by developing India's first multicore fiber and cable, developed at STL Center of Excellence in India. We launched this product at India Mobile Congress 2022. Essenti ally, a simple way to think about this is that the multicore fiber has 4 times the transmission capacity than a normal fiber with essentially the same diameter and other parameters. This is a greenest ever optical fiber which reduces cable surface area by 75% in plastic and the plastic in the

ground by around 10%. Apart from this, we earned some very interesting solutions such as the 5G Cosmos as well as the Gram Galaxy Solutions at the India Mobile Congress. The 5G Cosmos is a tower fiberization and small cell solution for 5G networks and Gram Galaxy in India is focused on solutions for rural fiberization . We continue to invest in R&D as of quarter 2 FY20, the number of patents including granted and applied stands at 742 .

Coming to the Services business, we are building a profitable order book by picking our projects in our focus segments. Our India business margin is inching up to the targeted range of profitability. Our revenue is also much more sustainable with the increasing share from O&M contracts. As the industry really kicks off its 5G rollout, we expect the revenue to ramp up in the near future. As stated earlier that we had secured a good order book in UK and increasing the execution pace in the UK, we plan to be profitable in the UK services by H1 of FY24.

So, overall, our product execution is on track. Among the India public projects, our BharatNet project in the sta te of Telangana is 57% complete including all packages and the net work modernization project for the Indian PSU is 57% complete. On th e India private side, fiber rollout for large Indian Telco is 100% completed for the first phase and 62% completed for the second phase. The third phase is yet to start. In addition, the fiber rollout for the modern optical network for yet another private customer in India is 15% complete and coming to the UK, fiber to the whole rollout in UK for all our projects combined is 4% complete.

In line with our strategy to focus on selective segments, we have now divested the IDS business in Q2 FY23 and sold our stake to Hexatronic Group . IDS operate in a niche segment of inside datacenter connectivity and containmen

t solutions. The initial consideration for 80% stake is
about 9 million pounds. The earn out consideration is based on actual EBITDA achi eved for the year ending December 2022. We have recognized a gain of Rs. 25 crores over Rs. 117 crores of book value.
As you would recall, we had entered network software business in FY16 through acquisition of Elitecore. We continue to remain a niche play er in the business. Moving forward, we are working to pivot from our network software business to digital business. The strateg y is in the works and we shall come back to you in quarter 3 with our detail plans. We also want to share with you that we have r amped down the Wireless business with no additional investments in capital and manpower from quarter 4 of FY23 . This is in line with what we had been sharing over the last couple of quarters. We envisioned a disruption in the RAN market through open based aggregator and programmable solutions and in that regard, we had developed products and validated it through POC trials. With both of these types, we expect STL operating profit to go up by Rs. 40 to Rs. 50 Cr per quarter from quarter 4 of FY23 onwards.
In terms of capital allocation, our clear priority is investments in the optical business. We are investing in OFC capacity expansion, Optical Interconnect expansion and new product development. We have improved margins and working capital cycle in the opt ical business. We Page 6 of 19 have ramped down investments in the wireless business and we shall help in improving the cash flow from the operations. We have also continued divest noncore assets. We have just divested IDS in the current year. As you would recall in FY 22, we also sold our interest in Metis Eduventures as well as MTCIL.
Our financials continue to improve. We shall discuss this in detail in the current session. Our open order book at the end of quarter 2 FY23 has gone up to Rs. 11,697 crores. In quarter 2 , we secured a new order book of close to Rs. 3,200 crores, the highest order intake in the last 3-1/2 years. This is a reflection of strong demand in the industry and the dominant position and focus particularly in the optical business. We have also short ly closed an order book of Rs. 941 crores majorly in services and wireless business. This is completely in line with our focus of executing projects at desired level of profitability. The orders were closed after discussion agreement with the respective cu stomers. Our order book is well diversified across customer segments and across our businesses. We also have a significant O&M order book which is already yielding revenue from this year.
Our revenue mix is shifting to customer segments and geographies of our choice. We are increasing our share in Telco and Cloud segment in particular. In terms of geography, it is very visible that we are now increasing our share in the North America and European markets. What is heartening to note is that in line with our study in the last 3 years, we have increased our revenue share of STL in the North America market, the most premium market in the world from almost being negligible to almost 33% currently. Again, this is a reflection of our product innovation and a reward the significant R&D over the years.
In terms of notable wins in the quarter, apart from the multimillion dollar contract of cables in North America and for Optical Interconnect in Europe, we have also secured multiple other new orders. In the European market, we have secured new orders for the Optical Interconnect solutions from an alternate player. We are very pleased to announce that we are collaborating with Vocus G roup in Australia to provide optical fiber cables. On the services side, we continue to win orders from long distance rollout from a leading Telecom operator in India. We have also secured new orders for fiber rollout from another leading Indian Telecom op erator.
In line with

our estimates, quarterly revenue grew 12% quarter -on-quarter to Rs. 1,768 crores.
EBITDA went up by 70% quarter -on-quarter to Rs. 202 crores. I would like to note that this includes a Rs. 25 crores gain which is the IDS stake sale. The revenue growth was driven by strong growth in the optical business. We also grew in the services business in our focus segments . Margin improvement is mostly on the back of improvements in margins in the optical business. In terms of net profit, we delive red Rs. 44 crores for quarter 2 FY23 .
In order to increase transparency and really by popular demand, we have started to report segmental financials. Starting with our optical business, we have delivered revenue of Rs. 1,313 crores which is 15% higher quarter -on-quarter . This is due to an increase both in volume as Page 7 of 19 well as realization. The OFC realization has gone up due to the price increase and better product mix in favor of the North American market. We delivered EBITDA of 20% for quarter 2 FY23 , one quarter before that was promised. Key drivers for margin improvement for product mix shift to higher margin products, price increase flowing through and some reduction in logistics cost.
In terms of capacity utilization, the OFC or cable was at 88% utiliz ation based on production volume and capacity of about 37 million fiber kilometers. In global services, we delivered revenue of Rs. 463 crores which is 11% higher quarter -on-quarter. This is due to the increase in execution of our projects in India. The In dia business is inching towards desired profitability.

Loses in the UK has lowered the overall segment profitability. As we have said earlier that we are working to ramp up UK revenue to be profitable by first half of FY24. We also expect the India busines s to increase revenue quarter -on-quarter due to 5G rollout in the upcoming quarters.
Coming to the digital and technology solutions, revenue was flat around Rs. 40 crores, the combined operating loss for this segment was Rs. 102 crores for quarter 2 FY23 . The loses have gone up in quarter -on-quarter due to higher initial manpower cost in the digital business. We expect operating profit to improve by Rs. 40 to Rs. 50 crores in quarter 4 of FY23 in this segment. We have already spoken about ramp down of all i nvestments in capital manpower in the wireless business from quarter 4 onwards. Also, as we pivot from network software to digital business, we aim to be profitable in FY24.
In terms of cash flow, as you can see the net debt has gone up by about Rs. 457 cr ores mostly due to increase in contract assets of ongoing projects in the services business. The cash generated from operations and net investment inflow helped in payment of CAPEX and dividends. Optical business has funded its growth itself by improving m argins and working capital days . As we move forward, we shall work to release cash from working capital, particularly from services. With the completion of large existing public projects like T-Fiber and collection of completed projects coming through, thi s can be achieved. Our target is to reduce net debt to EBITDA by quarter 4 of FY23. Also, as we ramp up in the US and China production, we don't see any significant debt increase from these levels. In terms of credit rating, we have a stable credit rating at AA .
We have placed an abridged version of our quarterly reported numbers for your pursue. STL's endeavor to be a responsible leader in ensuring a connected inclusive world, this focus reflects in the way we have designed and implemented our ESG agenda. We have diverted more than 175,000 metric ton waste away from landfills in FY19 to FY22. I am also proud that we have reduced emissions of 15,000 tons of carbon dioxide equivalent to various initiatives in the plant from FY21 to quarter 2 FY23. We have als o announced the commitment to become carbon neutral company by 2030. I think we will be one of t

he first in the industry to achieve this . We
have recycled 5 ,000,000 metric cube of water from FY19 quarter to FY23. We are also very
 happy to announce that we have become the world's first optical fiber manufacturer to be zero liquid discharge certified. Through our various initiatives in education in women empowerment, over 765,000 lives have been positively impacted from FY19 to quarter 2 FY23 .
We have also po sitively impacted 2.1 million lives through our various initiatives on healthcare from FY19 to quarter 2 FY23 . For our work, we have won 80 ESG awards from FY20 to quarter 2 FY23 .
So, in summary, I would like to say that we see a multiyear network build cycle which is in full swing, especially in our focus markets of North America, Europe and India. Our global OFC volume is also expected to grow sustainably. We are aiming for global leadership in the optical business. We continue to gain strong market sha re in North America and Europe, increase our attach rate in optical interconnect and develop industry leading new products and solutions.
We are focusing on strategic segments in the service business. We are working to build profitable order book in India and ramping up execution in the UK. In terms of capital allocation, we are allocating capital to the optical business and actioning to release capital from the services business. Simultaneously, as we shared, we are divesting from noncore businesses.
With this, we come to the end of our opening commentary and we shall now move to Q&A .
Pankaj Dhawan : Thanks Ankit. Ladies and gentlemen , please note that if you want to ask the question, you can click on Raise Hand and we shall take your questions one by one. Alternatively, you can send us your questions through Chat also. So, we will take the first question from the line of Mr. Pranav Kshatriya. Pranav, you can go ahead and ask your question, please.
Pranav Ks hatriya : I have three questions, my first question is regarding the cost, the optical fiber business has been sort of hit by cost inflation especially the helium gas prices and the oil related prices, so can you please give some color on how those cost ar e trending, I understand that logistics cost have sort of come down, but what about the other raw material prices, that is my first question? Secondly, on the macroeconomic environment if you look at, we are seeing the interest rate raising, typically fibe r optic is the product which has a very long period uses and to that extent it is reasonably sensitive to interest rate, so how do you see this panning out because even some of the customers which you mentioned, for example, Google is also sort of looking t o cut cost and so lot of other tech giants, so how do you see this in the medium to long -term impacting the optical fiber business? And my last question is on the ramp down of the wireless business, so it is good to know that it will save around Rs. 40 to Rs. 50 crores, but if you can just elaborate what exactly is the reason behind taking this step because I remember you being fairly optimistic on expanding the addressable market and basically addressing the wider need of the Telco, so just wanted to under stand that?
Ankit Agarwal : Absolutely, good questions , Pranav. So, I think first question on the cost inflation, I think you are right, we continue to still see cost pressures particularly with some gases like helium, there

Page 9 of 19 are still challenges with supply chain on that globally. We worked a lot on creating alternate suppliers, etc. , that is still a cost increase for us and supply chain risk for us. The other one is still poly ethylene and etc., which are linked to the oil prices that is still something tha t continues to stay high and impacts our cost. Logistics have come down probably in the range of 15 to 20%, say over some period of time now. That is something that has benefited us and will contin

ue to benefit us as we continue to shift from say India to Europe and US and other parts. I think the path has been positive for us is that we have been able to pass on some of the cost increases to customers in quarter 2 and we will continue to see some of that further come through in quarter 3 and quarter 4 and that you would have seen also then linked to our EBITDA for this optical business now where we have been able to showcase 20% EBITDA. We are quite happy with that we have been able to pull that off, probably about a quarter earlier that what we had earlier communicated.

In terms of macroeconomics , I think I touched a little bit on that through my presentation. I think what has been interesting in our conversations with the customers is that they really see fiber as a very central and core to their strategy if you look at some of the comments of operators like AT&T, Verizon, operators in Europe, China, across the board and even really in India . You really see that the CAPEX investment simply has to continue or even grow to have a meaningful 5G experience for t he customers. On top of that, most of the operators are doubling down in terms of fiber to the home network buildout. We share the example of AT&T and others. Where we are seeing is that they are looking at other means to probably reduce the CAPEX and so t here is really a doubling down of fiber that we are seeing and probably various operators having other plans on how to reduce some investments on other parts of the network.

To your third question, in terms of ramp down of the wireless business, I think th ere are two parts to it, one I think at a very fundamental level what we have been sharing is that we really want to focus the company into few areas and become world class at that. So, we clearly see an opportunity here given what I had just shared on glo bal demand for fiber. That itself is a $20 billion opportunity and where we are hardly $500, $600 million, so there is a huge opportunity for us to grow there and also take a world top three position which is what we have stated. I think that is one really at the core of it. The second part is I think probably from where we started ou t, we had certain assumptions that we had also shared of where we believe some of the wireless solutions particularly on open RAN and how that uptake will happen. Probably, wha t we are seeing is that that is getting pushed out to some extent and we felt that even the capital allocation we want to do between our core optical versus other places, we felt it is probably better to reduce these costs for STL, find an alternate partne r for this business and bring our focus back to the core.

Pankaj Dhawan : Thanks, Pranav. We will take the next question from the line of Mukul Garg. Mukul, you can ask your question now.

Page 10 of 19 Mukul Garg : I just wanted to focus a bit on the North American market, you guys have grown quite predominantly there, your revenue this quarter is equal to what you generated there in the full of FY22, how should we see the growth in the market, was there something which kind of scaled up revenue this q uarter and is not sustainable or do you expect the North American market to continue to scale up and be your largest market in a few quarters and the associated things here is how to look at the profitability of this market, the prices are usually a bit hi gher, but at the same time, you n eed to do transportation of preform and everything while your factory is coming on board, how should we see the respective profitability of the North American versus your optical business profitability ?

Ankit Agarwal : Yes, good questions, Mukul, so couple of things, I think we are obviously quite excited about our growth in the North America market. It is probably one of the fastest growing market globally both for cables as well as interconnect, so there has been a rea l strategy for us, it has no

t happened overnight. We have been focusing on R&D and product development probably over the last 3 to 4 years and been in continuous communication with our potential customers in that region at that time. We have really worked a lot on the product development , ensured that we are not just one more supplier in the market, but really creating pretty innovative solutions for the market there, both on the cable and we believe over the next few quarters on the interconnect as well wh ere we should start seeing some success. So, that is our view of the market . We continue to see strong interest from tier-1, tier-2 telecom operators and in line with our overall global key account strategy, we are also focusing on certain large accounts, one of them we were able to conclude in North America and we shared that which is a multiyear contract. Similarly, with other customers in the US, we are working towards multiyear contracts and that part of our strategy also has been then to further cement our presence in the market and continue to be there for long term. We have also invested in the factory there. It is really a world class factory for the cable as well as some R&D that we will do

there and again the whole intent is not just to supply out of a brochure but work in a very collaborative way with our customers there , build solutions for them locally and then be able to supply them. One correction I would like to make Mukul is that we will not be supplying preforms to that market because it is a cable factory, so we will actually be making the fiber in India or China and then making sure that we supply the fiber to the US cable factory which is of course very easy to transport and fairly low cost and really from the profitability of the market, definitely it is a good market, it is a strong market, but again I would reiterate that the key lies in creating those solutions and innovative products rather than something that is standard and as long as you can keep doing t hat for a selected group of focused customers , we believe that the nature of the market is that you can enjoy long -term relationships.
Mukul Garg : And the other question was on the investment ramp down which you are doing, how much of the revenue impact this wireless ramp down will have for you and are there any other areas where you are looking to optimize to kind of refocus on relatively higher profitable businesses?
 Ankit Agarwal : Yes, absolutely, Mukul, good question, I think currently wireless for us was largely , I would say , on R&D mode, so that is where we were incurring the losses that we add on the P&L. So, by and large there will be practically no impact on the top -line. In terms of other areas, I would break it into two parts, one is services as we have said structurally we are looking to focus on few projects which had the right margins, both in India and the UK. So, that is the structural part that you continue quarter -on-quarter and then I think the second part is what we shared, we have a tele com software business. So, that we are looking at how do we pivot that towards digital and give us probably a quarter, we will share more update on that.
Mukul Garg : Just one again clarification, on the path to kind of profitability which you used to enjoy earlier, just far away from that with about 8% EBITDA margin this quarter , how do you see the path moving back to that 17 to 20% t ype of an EBITDA margin and is that something which will take a few years or is that something wh ich is in sight ?
Ankit Agarwal : I will answer it in slightly differently, one is, I think one part, we should recognize is that we have largely been in the range of about Rs. 5,000 crores topline for the last 3 years, now we are seeing a meaningful shift towards Rs. 7,000 -Rs. 7,200 crores range that we have been sharing for this year, so I think that itself is one good shift that we are fin

ally making and then at the same time we are very consciously exiting or ramping down noncore bu sinesses which would further help the bottom -line. So, I think both of those are something that we are confident off and then particularly I would say very strong focus on the optical business where we really believe we have the right to win and we see strong market growth . So, that is something that we are really clear that we will scale up. As you are aware, we are already scaling up our cable capacity going from 33 million to 42 million cable and we have also talked about our OI attach rate which we are targeting to go t owards 40% by FY2 5. So, these are probably some metrics that I can share, we are not really guiding in terms of 2 to 3 years out, but we are very clear in which areas we will invest, which areas we will grow and I think one overarching theme will be we wil l continue to invest in R&D, but that will be focused largely on the optical part.
Mukul Garg : Best of luck for the rest of the year.
Ankit Agarwal : Thanks Mukul.
Pankaj Dhawan : We take the next question from the line of Sunny Gosar. Sunny, you can go ahead and ask your question.
Sunny Gosar : I have multiple questions, so first being on the margin, so on the optical segments your margins have come back to about 20% in the quarter, so what is the outlook here in terms of is this the peak that you have ac hieved or there is still further scope to improve margins here on in terms of price hike, operating leverage and how should we look at that for the coming quarter?
 Ankit Agarwal : I guess we will just answer them one by one. So, I think broadly what we feel is that there are 2-3 levers here, one is absolute volume itself that we are sharing, we are adding the capacities, US factory coming up, China factory scaling up, so as all of these happened, I think one, of course in short te rm there might be some scale up or say startup cost, but beyond that as these start operating tha t will give you at the very least, the volume gain. On top of that what we are really looking at is rather than just increasing more and more volume overtime, we are looking at increasing our Optical Interconnect attach rate and that we have shared historically also is the better margin profile than the cable. So, I think we will not be able to guide where we will end up at, but really as we are able to execute on this Optical Interconnect attach rate growing that will lead to improvement in margins.
Sunny Gosar : Sir, if I can read what you are saying correctly, the near term this could be the range in terms of 20% margins, but as your optical attach rate increases and both your US and China facilities improve utilization to higher levels, we could see margins trending upwards, say over the next few, like beyond 3 -4 quarters?
Ankit Agarwal : Yes, I would say, yes, the bigger trigger for the margin will really be the optical interconnect, right because we are already selling a good portion of cable today. So, that is how I would split

what you have said.
Sunny Gosar : In terms of the China factory, if you can help us understand like what is the status there and how much utilization are we operating at and what is the scope to take the utilization up at that plant?
Ankit Agarwal : So, ballpark, I will just give you some context, it is a facility whe re we had 10 -year joint venture with Tongguang, this is in Heiman and basic ally at the end of 10 years, that period actually coincided with COVID and shut down and other challenges during that period, but we also used that period to renegotiate with the JV partner to buy the 25% balance, so now it is a 100% owned entity of STL wi th fiber draw operations, so essentially the glass gets manufactured in India, we draw the fiber in China and then we use that for our global cable operations. So, that is something that has just kicked off because we have to ge

t certain permissions and cl ose some elements of this transaction . So, that is I would say in early stage , we largely believe the capacities will come on stream or full stream between quarter 1 and quarter 2 of next year.
Sunny Gosar : And how much is the with drawing capacity in China?
Ankit Agarwal : We don't typically give a breakup, but out of say about 50 million that would contribute to about say 7 to 9 million.
Sunny Gosar : My next question is on the wireless segment, so the company in the last 2 years would have invested Rs. 200 crores in terms of R&D and IP generation, so although we going forward have decided to scale this down in terms of further investment, but there would be some value of the IP and whatever work has already gone into it, so what is the thought process o r strategy in terms of monetizing that and does this mean that wireless becomes completely defocused or we look for alternative strategies there?
Ankit Agarwal : Good question, so I would say that yes, definitely we have invested significant amount, we actually built a fantastic team, we also launched , I think between 8 to 9 products that were available, so I think there has been a good momentum, there has been some good IP that we have also already been awarded or has been filed, that is something that we are very mindful of. The way we are looking at it is that clearly as we have decided is noncore, we are looking at ramping it down . We are also looking at discussions with partners whether members of which parts of the business may be useful to other p layers in the industry, so those are the conversations that are going on. We will probably update you in about a quarter's time. Either way, what we are clear is, from an impact to P&L, we will not have these loses in Q4.
Sunny Gosar : But basically there is potential to monetize this IP in some form , whether through a strategic partner or some other way?
Ankit Agarwal : Yes, putting it very simply, there are other players who continue to be focused on and scaling up say on the open RAN space or broadly on t he wireless space and those are the players we are in conversations with and I think it is a bit early to say if how much value could be ascribed to the IP that is probably what we will be able to share with you in a quarter's time.
Sunny Gosar : And if I may, I have one last question, so basically in the last few quarters, you have sold some smaller businesses including IDS, so are there any similar identified pieces of business which would be noncore and there is further potential to monetize any of those businesses?
Ankit Agarwal : Yes, so broadly, I think we are stickin g to what we have shared in terms of what is core and what is noncore, right, so at a very macro level, we have talked about optical being the main driver in the core, we have talked about services business where we have focused on certain markets and certain profitability and then we have talked about this conversion from the network software business to digital, so I would say these are the three that our team and management bandwidth is g oing. Everything else that is in the company is what we have described in noncore. So, I would say the wireless is where some of our work is there for the current quarter, but apart from that there would be maybe very small items that we would continue to look at, but nothing there would be as meaningful as probably IDS was of that size.
Pankaj Dhawan : Thanks Sunny. We take the next question from the line of Pratee k Singhania. Prateek, you can ask your question.
Prateek Singhania : So, firstly, what would be the breakup between the margins in the cable business versus the interconnect business of this blended margin of 20%?
 Ankit Agarwal : Prateek, there was some noise, but we understand it correctly, you are trying to understand what is the cable margins and the optical interconne

ct margins, is that correct?
Prateek Singhania : Correct.
Ankit Agarwal : Prateek, we don't typically break it out for competitive reasons, but at a macro level, we have largely given our say 90:10 ratio on cable OI right now. Largely, you can take that guidance of about 20% margins on the cable, but the Interconnect is higher than that and that is where we are focusing on growing that part. Basically, the point was to determine that how much has been the improvement in terms of the fibe r cable business for us in this quarter .
Prateek Singhania : So, basically I was trying to ask that where did the margin improvement come from in this quarter versus the previous quarter in the optical business?

Ankit Agarwal : So, that largely came from both volume increase as well as price increases largely linked to the
cable as well as some amount of product mix improvement on the cable. So, good portion of
what you are asking is, large portion of it has come from the cable part.
Prateek Singhania : And in terms of attach rate, we just wanted to understand that when we say attach rate, so if
you are selling say fiber cable worth $100 million, in that scenario if you are talking about 10%
attach rate, that means you are talking abou t $10 million worth of sales in Optical
Interconnect?
Ankit Agarwal : That is right.
Prateek Singhania : So, based on the guidance like if 40% is the attach rate, then we would be talking about almost
$800 million worth of sales in the product business for FY25 , fair to assume that?
Ankit Agarwal : When you say product business, you are saying the optical business as a whole?
Prateek Singhania : Yes, the fiber, cable plus interconnect?
Ankit Agarwal : I think the way to look at Prateek is that we have not given any guidance in terms of revenue
of the segment, so one is obviously as the cable capacity comes up, the revenues would grow
to the full utilization of that and every quarter we will update you on as the Optical
Interconnect atta ch rate is growing as you would see in the last 2 -3 years it has already grown
from 3% to now close to 9% and the idea is that can we take it up to 40%.
Prateek Singhania : Can you throw some light on how do you plan to increase this attach rate from 10% to 40% in
like 10 quarters ?
Ankit Agarwal : So, basically I think there are two parts to it. One is, we have had a successful acquisition and
capability built through Optotec, which we had acquired in Italy. That has actually served as a
Page 15 of 19 very strong platform in terms of the product portfolio they have, particularly for the Europe
market. In addition to that, we have started building out the product portfolio particularly again
now for US as well as Australia kind of markets and Middle East , so I think where we are at is
that given we had a very small share of global market which is say, close to $8 to $10 billion,
there is a tremendous opportunity where the value lies as two parts. If you see we already have
great relationship with Telecom operators globally, but probably only selling cable today. So,
part of where we are, we see positive momentum is going back to the customers and being
able to sell OI to them where the real value lies or say the key to the success will be to ensure
that fo r these customers we are able to create some unique solution for them and able to
create value to them compared to the incumbents that they are buying from. That is something
in terms of design capability and knowledge, we have been able to bring on board through
Optotech as well as now build a pretty strong base in India as well. So, this gives me the
confidence on top of our conversation with the existing customers that we will be able to scale
this up both in Europe as well as in US.
Prateek Singhania : And in terms of the wireless business, after ramping down like what kind of quarterly loses
would be there after like reducing this by Rs. 40 to Rs. 50 crores?

Lakshmi Iyer : Sorry, you are talking about the quarterly losses that because of the wireless busi ness got
improvement this year or what further loses will continue?
Prateek Singhania : Yes, what further loses that will continue the business?
Lakshmi Iyer : So, that would be minimal, just to answer your question because significantly the other
businesses will ramp up, so this would be like not more than Rs. 20 -Rs. 30 crores, it may be
cutting down all of the losses .
Prateek Singhania : So, is there anything which is lying in the balance sheet which would require an y write -off from
our end with respect to this business?
Lakshmi Iyer : Only on the wireless you are talking about?
Prateek Singhania : Yes.
Lakshmi Iyer : To the extent, we have been doing that on a quarter -on-quarter basis, but that we keep
evaluating, but nothing significant because we are also looking at in terms of as Ankit was
explaining in terms of how do we monetize the IP, so that is something that we are evaluating.
Ankit Agarwal : And one also part, we have also shared that , we have written -off close to Rs. 950 crores in our
order book and some part of that was also some orders on the wireless side. So, we have been
able to discuss with the customers and close those out simultaneously .
Page 16 of 19 Prateek Singhania : Thank you so much Ankit , really pleasure to see such a good disclosure on the investor
presentation this time around, thank you so much.
Ankit Agarwal : Yes, thanks to all your inputs.
Pankaj Dhawan : Thanks Prateek. So, Ankit, we will take some questions from the Chat which has come. So,
Neerav wants to understand that our working capital continues to increase despite a decline
in India business and so he wants to understand going forward, does this mean that the working
capital requirements will go up versus historical levels?
Ankit Agarwal : So, I think the one part to remember is that especi ally coming to the services business, the T -
Fiber project which we have been sharing that is really at its peak and as we continue to execute
on that really the working capital requirements will come down an d cash will get released. Also,
there is certain amount of projects that we shared have been completed . So, again as we are
able to successfully get the collection on those projects that will also lead to an improvement

in the working capital. Currently, w e have about 270 days of networking capital in the services which we want to bring down to around 180 days. So, that is something that we are very focused on. Again, probably, in another quarter, 4 to 5 month s from now, we should be able to get some of the se developments to showcase.

Pankaj Dhawan : Thanks Ankit. The second question is that CAPEX for the first half was Rs. 247 crores, can you give us the CAPEX for the rest of the year?

Ankit Agarwal : So, that is actually quite in line with what we have been sharing, for the year we have talked about Rs. 500 crores CAPEX where about half of that right now, so that still continues our visibility on the Rs. 500 crores. Again, the key part is that it is very m uch focused on the optical part, largely scaling up our cable and we are able to some smaller extent , the interconnect.

Pankaj Dhawan : Thank you so much. I think Darshil Jhaveri wants to understand what is the sustainable EBITDA margin that the company can expect and are we doing any more divestments that we are planning going forward?

Ankit Agarwal : I think we touched on it. Really, I think one is the optical today as we shall be quite proud to have reached probably industry leading 20% EBITDA. That is som ething that as we continue to grow on the interconnect in particular from a percentage basis, that should improve, but that will take few quarters and then really on the services part, we are really at 7% -8% EBITDA margin that we are very clear has to move towards the 10 % to 12% range with the kin

d of projects we are now taking and the ratio that we have broadly add is about 70% of revenue coming from the optical and 30% services, so as we improve profitability of these business units in particular that should improve the overall EBITDA margin.

Pankaj Dhawan : Thanks. Prit esh wants to understand the pricing trend in fiber and cable as we move forward?

 Ankit Agarwal : One, I think just to reiterate a big part of the STL strategy has been very consciously to move away f rom sale of commoditized fiber or bare f iber, the more and more cable and interconnect solutions and that is something that we have really moved very aggressively on. Even a few years ago, we would have probably been 50% of our sales was bare fiber, 50% was cable, now almost 90% plus of our fiber that we manufacture is supplied to our own cable units which then provide unique solutions to our customers as well as the interconnect which is almost always we spoke for our Telecom operators along wit h our cable. So, to that extent, I truly believe on the back of all of these, back of our key account engagement and increasing customer signing long -term contracts with us were probably less acceptable than before to ups and downs of the bare fiber market and particular dependence on say China and those factors. So, having said that the market continues to be stable and obviously with the demand growing particularly in US and in some pockets in Europe we continue to see stable fiber prices. On China itself, the demand continues to be strong, we are expecting some tender results from China Mobile where the general consensus is the demand should actually increase. So, that is something that we are watching, but we do continue to see, at least in the short term, the prices continue to be stable.

Pankaj Dhawan : Thanks Ankit. We will take the last question from the line of Saket Kapoor. Saket, you can ask your question now.

Saket Kapoor : Sir, if you co uld explain the reason for increase in the employee cost, on a Q -o-Q basis also and on a yearly basis also that has gone up from 204 crores to 292 crores ?

Ankit Agarwal : I think one of the critical parts has been actually the employees that we have added as part of our network services business as well as over last few quarters on the wireless business, so as you can imagine these are largely software centric kind of busin esses where people is the majority cost and having said that we are very conscious that at least some of these businesses will not be core for us going forward, so we do expect these cost should start coming down as well as wherever we see some of these bu sinesses like I spoke of network business that we will re-pivot to digital business. So, very conscious of our employee cost having increased and we are also now taking active steps to make sure that employee cost as a percentage of revenue and also relati ve to our profitability comes in better control.

Saket Kapoor : Sir, looking forward, what it should be? And today's percentage it is significantly higher, so what are we looking forward, when we have taken recruitment for new employees and taken the cost which is significantly higher, what is the percentage you are looking going forward and then I could forward my next question?

Ankit Agarwal : Directionally, today we are at about 15 to 16% of our employee cost as percentage of revenue and one way to look a t it is if you are pure play manufacturing and probably the global benchmark is somewhere 9 % to 10% and if you look at services business, we would have a slightly different ratio, so I think if we largely focus on the businesses that will remain as core for STL, certainly it should come down from 16%, I won't be able to give a specific number right now, but give us probably another quarter, we are working actively to improve this percentage.

Saket Kapoor : And sir, can you put forward a number, h

ow much CAPE X we have done for China and USA since the capacity will be operational and we will start contributing and what should be there

likelihood contribution revenue when they will work at optimum level?
Ankit Agarwal : Maybe , let us share the CAPEX part, what we have spent on the JV acquisition.
Lakshmi Iyer : So, essentially just to clarify, right now in terms of the China JV operations that we started operations and just the initial operating cost what we spent ma inly on the China was in terms of the acquisition cost of the 25% share that we got from the JV part ner. So, that is now close to around Rs. 79 crores is what we have spent.
Saket Kapoor : I was looking for the total figure?
Lakshmi Iyer : So, that is what I am saying, so Rs. 79 crores with the balance 25% and there is very minimal operating cost, so as we are ramping as Ankit was saying we have been at better position, so we have just started operations in the China factory and as we ramp up operations we are doing the first by the end of November , we will get some kind of data in terms of what further cost that we need to incur to reach that desired level of production.
Ankit Agarwal : And US also.
Lakshmi Iyer : And also just to add the US essentially is around Rs. 60 cr ores is what you get now considered for the US plant because these were also some of the cost that you were seeing in terms of CAPEX, US will come more in terms of as we go into H2 , but what you see in some of the expansions that we have already undertaken , that is the cost that you are reflecting or you are seeing in terms of the CAPEX that we have so far disclosed in terms of H1.
Pankaj Dhawan : Saket, due to paucity of time, we may have to end it here. We can connect offline and will answer your queries.
Saket Kapoor : Sir, the last question is, you gave us an understanding that post the first half, you would be guiding us how the second H2 would be looking like in terms of our revenue guidance and how likely the business going to shape up, so just to concl ude sir, is the worst over for organization in terms of the lead that we have gone through and now it is only we will be building on what we have reported for this quarter, so what should we expect for H2 in terms of revenue and profitability?
Ankit Agarwal : Firstly, I would say Saket there is no grief, there is only learning and there is experience. So, I think in any business , you have to take calculated ris k and I think there has been lot of learnings for us. I think what we have stated stays very much on the same. We are guiding towards the Rs. 7,000 -Rs. 7,200 crore revenue for the year . I think we are quite confident of reaching those levels. We have talked about our focus on the optical business in terms of investments and profitability. That we are confident that we have already demonstrated in Q2 itself about the 20% margin and as we said as we continue to grow in the coming quarters on the optical interconnect, we will see how to improve the margins. Services as well we are really focusing on a few profitable projects as well as whatever proje cts we have completed to ensure we do the cash collection. So, this is what I can guide for H2, very focus, lot of learnings, wherever things are noncore, we are exiting that, bringing the cash and to that extent we look to reduce the debt .
Pankaj Dhawan : Thanks Saket. With this, we come to an end of Q&A session and I now hand it over back to Ankit Agarwal for closing remarks.
Ankit Agarwal : So, I would like to thank everyone for attending this call and for showing interest in our company and I hope we were able to address and clarify all your queries and comments. For any further questions and discussions, please feel free to contact the Investor Relations team which includes myself. We really look forward t o continue the conversation with you in the future. Thank you.
Pankaj Dhawan : T

hanks Ankit. Thank you everyone.

Call: Mar 2023

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India .
CIN - L31300PN2000PLC202408
February 02, 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051.
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 3 FY23
Ref.: Scrip ID - STLTECH/ Scrip Code - 532374
Dear Sir/Madam,
In furtherance of our letter dated January 16, 2023 , please find enclosed transcript of earnings call held on January 27, 2023 in respect of Company's Q 3 FY23 financial results.
The same has been hosted on the website of the Company and is available under the tab 'FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://www.stl.tech/downloads.html#qiect
Kindly take this on record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Amit Deshpande
General Counsel & Company Secretary (ACS 17551)

Encl.: As above.

Page 1 of 18
Sterlite Technologies Limited Q 3 FY23
Earnings Conference Call Transcript

Jan 27, 202 3

MANAGEMENT : MR. ANKIT AGARWAL – MD, STL
MR. TUSHAR SHROFF – CFO , STL
MR. PANKAJ DHAWAN – HEAD IR, STL

Page 2 of 18 Pankaj Dhawan: Ladies and gentlemen, good da y and welcome to the STL Q3 FY23 earnings conference call. I am Pankaj Dhawan – Head, Investor Relations, STL. To take us through the quarter 3 results and to answer your questions, we have Ankit Agarwal – Managing Director, STL and Tushar Shroff – Group CFO, STL.

Please note that all participants' lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. You can also download a copy of the presentation from our website at www.stl.tech.

Before we p roceed with this call, I would like to add that some elements of today's presentation may be forward looking in nature and must be viewed in relation to the risks pertaining to the business. The safe harbor clause indicated in the presentation also applies to this conference call.

For opening remarks, I now hand over the call to Ankit Agarwal. Over to you, Ankit.

Ankit Agarwal: Thanks Pankaj! Good day to everyone. Thank you for joining us for our Q3 FY23 and also wishing all of you a very Happy Repu blic Day. I look forward to our conversation and discussions and your questions as well at the end.

In line with our expectations, strong investment momentum is continuing in 5G, fiber -to-the-home, fiber -to-the-X, datacenter, and citizen network deployments. 5G is becoming the fastest growing technology in the world today. Operators are expected to invest more than $500 billion in 5G from 2022 to 2025. Even recently, Mr. Sunil Mittal, Chairman of Bharti Enterprises also indicated that the industry will also be spending this quantum of money.

As per Ericsson, 228 service providers have now launched 5G commercial services globally and the number of subscribers of 5G is projected to go up from 870 million to 5 billion by 2028.

Leading the 5G deploymen ts is China which plans to increase its base stations from 2.2 million to 3.7 million by 2025. FTTx is also becoming all pervasive. In the US, for example, Frontier has reached halfway to reach its target of 10 million home pass locations. Similarly, Winds tream is targeting 3 million homes by 2030. In the UK, BT Openreach plans to reach 25 million fiber -to-the-home locations by 2026. Deutsche Telekom is building FTTP networks to pass 2.5 million to 3 million premises in 2023. And similarly, Open Fiber in It aly is targeting to reach 24 million homes by 2031.

Data center deployments are also increasing. Datacenter CAPEX is set to actually increase from $263 billion globally to $377 billion by 2026. Particularly in India, the data center investments are expected to surpass over $20 billion by 2025. As an example, NTT India has earmarked $2 billion for the next 3 to 5 years for IT and communication infrastructure in India.

 Lastly, on the citizen network side, we are seeing significant investments by th e governments globally. For example, the US is investing $97 billion in broadband through multiple programs like RDOF, BEAD, Middle Mile programs, etc. Similarly, the UK, Germany, France, and Austria are countries where cumulatively about $8 billion, $14 b illion, $24 billion, and $2 billion respectively under various programs are being utilized to build digital programs to connect the unconnected. The Indian government similarly is looking to move forward on the Phase III of BharatNet to connect all the vil lages and over $10 billion is expected to be invested.

As we listen to the leadership of the leading global telecom companies, they are unequivocal on the importance of fiber investments in the overall network build -out. In this regard as an example AT&T h as recently signed a definitive agreement to form a joint venture with BlackRock that will operate a commercial fiber platform. The JV plans to deploy a multi -gig fiber network to 1.5 million customer locations across the nation. It i

s important to note th at these customer locations will be outside of AT&T's traditional 21 states service footprint and in addition to the 25 million to 30 million home passes that already AT&T has targeted by 2025.

All of these deployments are leading to a sustainable growt h of OFC volumes and optical interconnect. As per CRU, the leading research house in this space, the global OFC demand is expected to reach 624 million fiber kilometers by 2025 from 534 million fiber kilometers in 2022 last year.

The optical interconnect d emand in the global market, ex -China, is also expected to grow from $7.5 billion in 2021 to close to $10 billion by 2025, and STL has a strong presence in its key focus markets which are North America, Europe, and India.

Coming specifically to India, 5G deployments are clearly picking up pace. The top two telecom operators are rolling approximately 3,500 sites per week cumulatively. Bharti Airtel, for example, launched 5G services in more than 30 cities and Jio has launched 5G services in more than 130 c ities. Both operators have aggressive plans to cover India broadly between now and March 2024. Telecom operators are expected to invest between $18 billion to $22 billion in non-spectrum CAPEX between now and 2025. And out of this, we expect the operat ors to spend between $1.5 billion to $2 billion for fiber rollout specifically in the next 2 to 3 years in preparation of the 5G.

As we have shared before, we broadly believe the tower connectivity has to grow from about 30% to close to 70% and this is whe re significant fiber will also be required. In terms of cable kilometers, we expect telcos to deploy more than 2 lakh cable kilometers in the next 18 to 24 months.

With favorable industry tailwinds, we have deployed a focused strategy to propel us forward. In the following section, we will talk about our strategy in detail. Essentially, our strategy is straightforward and includes 2 levers. Firstly, we focus on growing the optical business. Secondly, we look to consolidate our services business. We are allo cating capital to tap into strategic growth opportunities offered by these levers and we shall talk about our progress in each of these in detail in the subsequent slides.

If you look at the optical business, particularly the optical fiber cable business, as you can see from the chart, we are consistently gaining market share. In 9 months FY23, we have reached an estimated 12% market share globally , which is up from just 5% in FY20 , if we subtract the China's share . We are also very pleased to announce that w e have received additional orders in the multiyear multimillion -dollar contract with a leading North American broadband connectivity company. Our intent is to increase the long -term contracts in order books and we are moving forward in that direction.

In line with the expectation, commercial production has started in our opt ical fiber facility in China in quarter 3 FY23. In the US, commercial production shall start in the current quarter – Q4 FY23. We are working hard to reach to full utilization by the first half of FY24.

We have increased our optical interconnect attach rat e from 3% in FY21 to 10% in the 9 months of FY23. The first step we have taken to grow this business is to offer optical interconnect solutions to our existing accounts, particularly in the European market. As a next step, we are also going through a produ ct approval cycle in new markets such as the Middle East and APAC. We expect to continue to increase our rate of optical interconnect products and plan to reach the attach rate to 40% by Q4 of FY25.

Coming to the services business, we are focused o n building a profitable order book by picking up projects in our India Private segment. If you look at the services revenue split, revenue from India Private has gone up from 31% in FY22 to 42% in 9 months FY23. We are looking to build sust

ainable revenue streams, including O&M as well. Moving forward in the services business, our focus is on cash and profitability rather than chasing revenue growth.

As you can see, our project execution is on track. Among India Public projects, our BharatNet projects in th e state of Telangana is 61% complete, including all packages and the network modernization project for Indian PSU is 63% complete. For the Indian Private side, fiber rollout for a large Indian telco operator is 100% complete for Phase I and 99% complete fo r Phase II. Phase III is yet to start. Fiber rollout for a modern optical network for yet another private operator is 29% complete, and specifically in the UK, the fiber -to-the-home rollout for all our UK projects combined is 6% complete.

As you would reca ll, we had entered the network software business in FY16 through the acquisition of Elitecore. We continue to remain a niche player in this business. Moving forward, we are working to pivot from this telecom software business to digital business. The strat egy is still in works and we shall come back to you in Q4 with some more detailed plans. In line with what we shared last quarter, we have ramped down the wireless business with no further investments in capital and manpower from Q4 of FY23 . In the last quarter, we enabled specialized engineering talent of the wireless business to move on to other relevant organizations. We expect STL EBITDA to go up on account of ramp down of the wireless business from Q4 FY23 onwards.

In terms of capital allocation, our clear priority is investments in the optical business. We are investing in the optical fiber cable capacity expansion, optical interconnect expansion and new product development. We have improved margins and working capi tal cycle in the optical business. We are working to improve margins and working capital cycle also in the services business. We have ramped down the wireless business, as I mentioned, and which shall help in improving the cash flow from operations. We sha ll also continue to divest sub -scale assets. We have divested IDS in the current year, as you would recall. In FY22, we sold our interest in Metis Eduventures and MTCIL. Through all of these actions, as we start to generate higher cash from operations, our priority will be to reduce net debt and to bring along with adequate investments in the optical business.

STL's endeavor is to be a responsible leader in ensuring a connected and inclusive world. This focus reflects in the way we have designed and impleme nted our ESG agenda. We have diverted over 2 lakh plus metric tons of waste away from landfills from FY19 to November 2022. We have reduced emissions of 21,000 tons of carbon dioxide emissions through various initiatives in the plants from FY21 to Q3 FY23. We have also announced our commitment to become a carbon -neutral company by 2030 and we have recycled 6 lahks metric cube of water from FY19 to November 2022. We are also very happy to announce that we have become the world's first optic fibe r manufacturer to be zero -liquid discharge certified. Through our various initiatives in education and women empowerment, more than 7,90,000 lives have been positively impacted from FY19 to Q3 FY23. We have also positively impacted 2.15 million lives through our various initiatives in healthcare from FY19 to qQ3 FY23. In our work, we have won 84 ESG awards. I am very proud of the team for their achievements from FY20 to Q3 FY23.

At this juncture, I am delighted to introduc e Tushar who has joined us as Group CFO. Just to give you some brief on Tushar, he is a qualified chartered accountant and a cost accountant with an experience of close to 3 decades in the fund -raising capital structure, mergers & acquisitions, treasury ma nagement, taxation, financial accounting & planning, investor relations, and business partnering; all the facets of the finance function

. As the CFO of STL, he will work closely with me and the leadership team to bolster the company's strategy to deliver consistent shareholder value and profitable growth.

I will now hand over to Tushar to discuss the company's financials with you.

Tushar Shroff: Thank You Ankit for your kind introduction. Good day, ladies and gentlemen. Our financials continue to improve. W e shall now discuss this in detail. Before discussing on the financials, I would like to state that in accordance with Indian Accounting Standard, Ind -AS 105, non -

current assets held for sale and discontinued operation which is related to IDS, wireless business, and telecom software business are reported as discontinued operations, and accordingly for like -to-like comparatives, respective period financials are restated. For furthe r details, you can also refer note 4 to the financial result.

Our open order book, i.e., order backlog at the end of Q3 FY23 has gone up to INR 12,054 crores. This is a reflection of strong demand in the industry and our dominant position and focus, p articularly on optical fiber business. Our order book is well diversified across customer segments, also across our business areas. We also have a significant O&M order book which is already yielding revenue from this year.

Our revenue mix is shifting to t he customer segment and geographies of our choice. We are increasing our share in telco segment. In terms of geographies, we are increasing our shares in American and European markets. In line with our strategy, as compared to last year, we have increased the revenue share in the American market from 11% to 37%. Again, this is a reflection of our product innovation and the reward of investment in R&D over the years.

In terms of notable order wins in this quarter, apart from the additional order in t he multimillion -dollar contracts for cables in North America, we have secured a multimillion -dollar order for optical fiber cable and optical interconnect solution from European customers. On the service side, we have secured new orders for Pan-India fiber rollout from leading Indian telcos.

In line with our expectation, quarterly revenue grew 12% quarter -on-quarter to INR 1,882 crores. EBITDA from continued operations went up by 8% on a quarter -on-quarter basis to Rs. 252 crores. Net profit grew by 17% on a quarter -on-quarter basis to Rs. 77 crores for Q3 FY23. Revenue growth was driven by strong growth in optical business, margin improvement is mostly on the back of improvement in margins in optical business.

For 9 MFY23, revenue grew by 28% on a year -on-year basis to Rs. 5,050 crores and EBITDA from continued operations went up by 17% on a year -on-year basis t o Rs. 651 crores. Net profit from continued operations is at Rs. 162 crores for 9 Mperiod FY23.

In order to increase the transparency, we have started reporting segmental financials from the last quarter. Starting with optical business, we delivered revenue from our continued operations of Rs. 1,486 crores, which is 13% higher on a quarter -on-quarter basis. This is due to increase in our volume and better price realiza tion and the favorable revenue mix . We delivered EBITDA from the continued operations of Rs. 302 crores, which is 15% higher on a quarter -on-quarter basis. Key drivers for the margin improvement were product mix ture to higher -margin products and reduction in logistics cost, while increased raw material s particularly helium, has dragg ed the margins relatively.

In the global services business, we have delivered revenue from continued operations of Rs. 380 crores, which is 8% lower on a quarter -on-quarter basis. As we have said initially that we are focused on cash and profitability over our revenue growth, we are being selective in new project intake. Despite lower revenue, EBITDA is relatively flat due to better project management and focused execu

tion. As we said earlier, we are working to ramp up UK revenue to be profitable by H1 FY24 .

Coming to digital technology solutions, revenue from continued operations grew 380% to Rs. 24 crores in Q3 FY23. As we have spoken earlier that we are building a new business in this segment and we shall come back to you in Q4 to explain the business in detail. We have placed an abridged version of quarterly reported numbers for your perusal.

In summary, I would like to say that our profitable growth journey in the optical business continues. We continue to gain market share across the focused markets, inc rease the optical interconnect attach rate and improve the margins. We are consolidating towards the strategic segments in the services business. We are working to build a profitable order book from Indian private telcos and aim to reduce the capital deplo yed in this segment.

In line with the stated strategy, we have discontinued the wireless business and exited from IDS and other sub -scale businesses. We aim to reduce our debt as we move forward. The debt

has peaked and going forward, we see the progressi ve reduction in our debt over a period of time.
Now if there are any specific questions, we would be happy to take your questions.
Pankaj Dhawan: We will take the first question from the line of Mukul Garg.
Mukul Garg: Hi, Ankit. Two questions from my side , first on the America's business. The pace of growth in that market is extremely sharp, and I think it has become your largest region this quarter. How should we think about America going forward? Will it be more of a case that America will take the sales away from your other segments or how are you looking at tradeoffs between different regions? And second, on the profitability side, your margins, at least the optical margins, are flattish compared to last quarter whereas the raw mater ial prices including helium have corrected very meaningfully. So, how should we think about given that the volumes also were higher this quarter and operating leverage benefits also have started flowing off?
Ankit Agarwal: Probably on the US market, I thin k we are generally quite bullish on the market demand. We continue to see pretty strong investments both by large operators, Tier-2 players as well as very large investments from the government. As I called out, there is just one project which is the $40 billion program of BEAD is expected to come in by mid of this calendar year, as an example. So, we fundamentally see a fairly strong demand over the next 3 to 5 years. I think our own position in that market has been strengthened in terms of our team and p roduct
 portfolio, and now with the facility coming up, our overall brand and positioning in the market has improved quite positively. We are under the stage of commissioning the factory, setting up our processes and systems and getting certain technical ap provals which will enable us to serve that market better. I think at a macro level, the way to think about it is that, yes, it will continue to be either our number 1 or number 2 market going forward. We also see that this is a future growth area for our i nterconnect solutions as well over the next 2 to 3 years. And I think the way we are looking at it is that we would serve that market both from the operations that we would have locally as well as from the operations in India. That's how we look to serve t he market.
In terms of the profitability of the optical business, I think, we have guided that we will be north of 20% and that's something that we continue to be committed towards. We will see broadly over the next between now and H1 of next year improvem ents coming in into the numbers because of the volume. We are talking about going from 33 million to 42 million. That will come in. The China fiber factory has restarted and as we scale that up, those benefits of volume will come in.
We largely believe the

realizations have peaked or largely will peak between now and Q4. So, the upsides will now come from the volume on the cable part as well as growth of our optical interconnect. We have talked about going from 10% attach rate to 40% attach rate by Q4 FY25. That's really the priority and focus for us.
Just one comment – one different view – Mukul, on the raw materials. While I think we have seen some kind of now flat lining or benefit of polyethylene and container costs , the helium prices are still very hi gh, I would say exceptionally high. Both availability and pricing has been a challenge and at least our current visibility is that it will continue for probably the next 6 months.
Mukul Garg: Just one follow -up on the US market. Will that business kind of operate at a different profitability level versus India and Europe or net -net higher prices will be compensated by higher operating costs due to transportation and other expenses?
Ankit Agarwal: I don't wan t to comment on the realization in that market for competitive reasons, but I think broadly, as I said, it's a very important market for us, it's a fast -growing market. We have invested a lot in R&D, innovation, and intellectual property to serve that mark et and we will continue to do that, and so, for us, it is definitely an important market. And going forward, we will address that market, both through our operations there as well as a good portion of sales will come from our Indian operations into that ma rket.
Pankaj Dhawan: We will take the next question from the line of Mr. Mohit Motwani.
 Mohit Motwani: I wanted to understand the jump in the other expenses quarter on quarter. I think this is a reflection of the fact that you stated container costs contin ue to remain high. Is this completely driven by that or there is something else also to it?
Tushar Shroff: If you see Q3 FY22, other expenses were about 32.55% of the overall revenue. Q2, I think it went down to 23.8% and currently, this quarter , we are at 24.9%, which is in line with the increase in the revenue that we have seen for this particular quarter, largely on account of the variable cost in terms of transportation and logistics costs that we have. And the second part is there are a coupl e of expenses like one -time expenses on professional and legal services that we have taken as well as the plant operation in the US, which is related to operating expenses which is a time cost, which is impacting other expenses for this particular quarter. But however, our guidance in terms of the operating expenses or other expenses should be in the range of 23% to 25% going forward.
Mohit Motwani: One other question would be around the wireless business ramp down. Is the benefit of that

completely done in Q3 or we could expect some incremental benefit in Q4 as well?
Ankit Agarwal: In fact, we had the costs for that business in Q3. So, the benefit will actually come in Q4. There are 2 parts to it. Largely, the people cost that we had — we really put a lot o f effort to ensure that they were placed with partner companies, and we are so very happy with that outcome. And we don't expect those costs to be there in Q4 onwards. So, that benefit will start coming in Q4. There are certain assets that are there with S TL in terms of R&D equipment, etc. Those, we will run probably a sale process or something to ensure that we maximize the value from that.
Mohit Motwani: Actually, I just meant that above EBITDA, there is no wireless business cost, as everything is flowing through profit from discontinuing operations, right?
Ankit Agarwal: That's correct.
Pankaj Dhawan: We will take the next question from the line of Mr. Bhupendra Tiwari.
Bhupendra Tiwari: My question is more on…. We thought about raising fund in the form of rights issue. But I just wanted to understand the purpose behind this issue. Is it a growth -driven fund -raise

or in terms of the capacities that maybe we would like to add in the product thing or is it basically for deleveraging? I just wanted your thoughts around that first.
Ankit Agarwal: I think, Bhupendra, it's really in line with our conversations we have had and we have been sharing with the market. Fundamentally, on the one hand, we are clearly p ositive about the growth of the business. But I think more important for us is to really make sure our capital structure is in the right place. That is really the core of the fund -raise through the rights issue. The total capital amount will be up to Rs. 5 00 crores and further details will be decided with the committee. The intent is really to use the capital to get the capital structure in a better place and really in line with our previous discussions on capital allocation and make sure that the balance s heet improves essentially.
Bhupendra Tiwari: Thank You. That was very useful . The second question was largely on the services thing. I think you alluded to that saying that you are focusing more on the private side of the services and that was seen also in the 9 Mrevenues that we have. When we say private side of the business and the opportunity that we talked about was 2 lakh cable kilometers of fiber that will come around in India because of the 5G, how much is your sense or rather what has been yo ur historical market share of fiber layout in India? I just wanted you to throw some light there.
Ankit Agarwal: Maybe some context here, historically, the fiber rollout was done by a lot of local companies. It was a very local way of running the business. And our whole premise for STL was that we can consolidate and be a large tier -1 professional company in this space. We can bring in innovation and technology. We can use apps, tools, and other means to improve both the service quality as well as operation al maintenance. That's being the efforts, we have worked with the 2 large operators in the country. I won't be able to share market share, but I can share that certainly with both operators, we are probably one of their largest partners in the country. And there is a real interest from both sides to see how we can further support them both for their 5G as well as for their fiber -to-the-home rollout. But as I said, what's important for us at the same time is not to grow the revenue for the sake of it. We are really focusing on getting any of these opportunities, whether government or private, at the right margins and in the right fund involvement structure. That's really the focus for this business.
Pankaj Dhawan: We will take the next question from the line of Mr. Krish Mehta.
Krish Mehta: I just wanted to ask what the loss for this quarter was for OSS and BSS as well as for Q2 FY23.
Tushar Shroff: For 9 M period, it was about Rs. 53 crores.
Krish Mehta: And what was it for this quarter specifically an d last quarter?
Tushar Shroff: I am talking about the EBITDA impact of OSS and BSS business to the extent of Rs. 53 crores. This quarter, it was about Rs. 15 crores. The previous quarter, it was about Rs. 26 crores.
Pankaj Dhawan: We will take the next que stion from the line of Mr. Saket Kapoor.
Saket Kapoor: Firstly, as you mentioned that the Chinese entity would be now contributing since now the utilization levels have gone up. If you could give us the trajectory, what kind of contribution will be there f rom the Chinese for the remaining half and for the full year as a whole going ahead?
 Ankit Agarwal: Saket, we are not disclosing volumes by facility for competitive reasons. What I can share is that, as you would have seen in the pictures and some of the d ata, we do have the team there. The operations have started. It's actually a world -class asset. So, we do believe the fiber manufactured from there will both be competitive as well as able to serve our global requirements.

At a macro level, what's importan t to understand is that a large portion of our fiber will now be utilized for our own cable operations, especially as we are expanding from 33 million to 42 million. Similarly, a good portion of the fiber made from our China factory would be utilized for o ur global cable operations. By and large, we believe that quarter on quarter, we will see volumes scale up and we do believe that these will be made competitively and whatever investment we have made to acquire the balance 25%, that will be a positive

inve stment as well as one of the areas that is also positive is now — because it's an R&D facility – we will be targeting to run this at 15% tax rate, which will also be beneficial for the company.
Saket Kapoor: Sir, how much more do we need to spend to ramp u p the production there? I was just trying to understand that last year, I think, there was a negative impact of around Rs. 80 crores to Rs. 90 crores from the Chinese subsidiary. Going ahead, what would be the run rate? How will that go down? That's the un derstanding. And what was the price we paid for the balance acquisition, sir? How much have we spent?
Ankit Agarwal: I think, a ballpark, in the range of Rs. 50 crores to Rs. 60 crores. We can come back with the specific number. I think the main message w as that essentially, while during COVID, we were negotiating with our JV partner on the terms, and the operations weren't running at that time. Since then, we have acquired the 25% successfully. The transaction is closed. We have also successfully got the business license to operate and so we are quite well set up now. Quarter on quarter, we will see the improvement in the production. And we can probably update you more into the next quarter on how that is scaling up.
Saket Kapoor: Sir, when you mentioned i t as an R&D, it is an operating asset. I did not understand.
Ankit Agarwal: Sorry, what I meant was that from the government's perspective if you are doing technology manufacturing, you are given a special tax rate of 15%. I didn't mean R&D in that sense.
Saket Kapoor: So, more updates we will get in the 4th quarter.
Ankit Agarwal: Yes.
Saket Kapoor: Sir, in terms of the net debt level, and I think so the road map ahead for reduction, rights issue has been, as you earlier commented. So, what's the road ahea d in terms of how the net debt is going to look like? Whether we have peaked out? And just more thoughts on the same, sir.
Tushar Shroff: The rights issue proceeds that we are expecting maybe in the FY24 because of the documentations and everything, that p rocedural part that we will have to complete. So, the rights issue proceeds will come in the next year. However, for this particular year -end, what we are targeting is that we will be at a net debt of about Rs. 3,200 crores based on the earlier guidance An kit had given. So, all our efforts are moving towards Rs. 3,200 crores at year -end debt levels.
Saket Kapoor: Rs. 3,200 will be the closing for March 2022?
Tushar Shroff: That's the target, yes.
Pankaj Dhawan: We will take the next question from Mr. Tejas Sheth.
Tejas Sheth: On the Optotec side, when you said the attach rate of 10%, is it on the cable and fiber combined revenue or it is only on the cable side?
Ankit Agarwal: This is the attach rate of interconnects. That's what I was sharing last time also. For a dollar of cable sold, today we sell 10 cents of interconnect at a company level. And just to be clear, it is a combination of the Optotec that we have, we have a setup in Dadra as well and so it's a combination of everything in the interconnect busi ness that we have.
Tejas Sheth: Is there any element of INR depreciation towards the increase in the order book level?
Tushar Shroff: FX impact if you see this quarter, like -to-like basis is about 2% to 3% in the dollar terms. However, the very specific nu mber in te

rms of what were some adjustments due to the FX rate which has moved from Q2 to Q3, which Pankaj will provide you separately.
Ankit Agarwal: I don't see it being meaningful. That's what we have been sharing some of the details. These are some of the contracts in the US, there are some contracts in India, etc. So, it's a mix from a geography perspective.
Tejas Sheth: Because, when I see your optical order book, in a way, obviously, it has been executed well on the quarterly basis, but at the quarte r-end basis, it's more or less quite flat over the last 4 -5 quarters.
Ankit Agarwal: Yes, that said, directionally, we have been overall of open order book in this range of, say, 11,000 to 11,500 or so. And I think what's also important is that to measure that versus our revenue run rate, we have been at say 1500 to 1600 and now it's going up. At the same time, we are booking over Rs. 2,700 crores per quarter. That's an important measure for us in terms of what is our order booking vis -a-vis our quarterly r evenue, which will then help us and place us well for the next year's growth onwards.
Tejas Sheth: Just last question. On the digital side where we are burning capital, how do you see that trajectory changing as well as on the global services side where th e margins are much lower single -digit, how do you see the margin trajectory there also – not from a quarter basis but more so from, let's say, FY24 or FY25 basis?
Ankit Agarwal: The UK services is on the back of the acquisition we had done for Clearcomm. T he intent is clearly, when we look at the model, we need to scale up that business and execute on a quarter -on-quarter basis. We believe that probably by the end of H1 of next year, we should at least get to a breakeven level versus the losses right now an d then we see how to improve the EBITDA probably to 10% range. That's really the focus for the services business and the UK team out there.
On the digital business, one part of it, we have called out that these are assets held for sale. And then we have Ra man, who has come in, and he is really relooking at our business, our

portfolio, and seeing how do we scale it up in the right profitable segments. There, I would say, give us about 3 to 6 months. We will come back with more details of how we want to drive the business. But it looks exciting. We are definitely seeing positive trends in that.

Tejas Sheth: Just one last bookkeeping question. Are we capitalizing any of the finance cost considering that the interest cost is quite steady despite our debt increas ing as well as the interest rate increasing at the global level as well as in India?

Tushar Shroff: For our US plant which is under construction and which is under WIP, which is whatever the borrowing that we have to the extent of the capital employed for that particular plant, we are capitalizing it, which is required as per the accounting standard.

Pankaj Dhawan: We will take the next question from the line of Sunny Gosar.

Sunny Gosar: Congratulations on an improvement of your financial performance. My fi rst question is, if you can highlight what is the net debt levels of the company currently? And in terms of the guidance, what's the net debt that…. either net debt -to-EBITDA or some ratio or some guidance you can give of net debt in the next 18 to 24 mont hs?

Tushar Shroff: Currently, we are at about Rs. 3 ,400 crores in terms of net debt at the close of the Q3. We are expected that we should be able to close this particular financial year with Rs. 3,200 crores. That's how we would be able to generate positive cash. As we discussed in Ankit's presentation that the way we are looking at this particular business, we want to run this particular business in a disciplinary manner and that's why we are looking at targeting debt -to-EBITDA level of 2.5 to EBITDA. That's the journey that we will be embarking on over a period of next 6 to

12
months.

Sunny Gosar: And in terms of the CAPEX , any guidance on CAPEX for the next 2 years? This year, I believe, it is Rs. 500 crores overall. What will be the CAPEX per annum for the next 2 years?

 Ankit Agarwal: Broadly, we are looking at around Rs. 350 crores for the next year. We are still kind of in the finalization of our business plan. But it will be largely focused on the cable and, to some extent, the intercon nect.

Sunny Gosar: My next question is on the system integration business. We are doing about 1% margin on the system integration business currently. How should we look at the business going forward? You mentioned about the focus on the private side and fo cusing on orders which are profitable and have the working capital which is under control. Whether the current revenue base on a quarterly basis is the base or it can go down further? And how should we look at margins for this business at least for the nex t few quarters and then maybe in the medium term?

Ankit Agarwal: I think at a macro level…. One is, just at a fundamental level, we believe that one of the drags on the profitability is the UK business, what we just spoke about. I think that is quite criti cal for us to turn that around, get it to at least break even and then grow that. That is something that we are looking to execute. The orders are there; the market is positive. I think it's for us to execute and build that right model to get i t to breakeven and profitable. So, I would say that's one directionally that we are looking to do.

In India, as we said, directionally, we are not chasing revenues per se. We are focused on whatever orders we pick up going forward, both from private and go vernment, to both look at very closely the right profitability margins as well as the right fund involvement.

And then I think the third part clearly is on projects where we are either executing or have executed like Maharashtra, Telangana, and other proje cts is to make sure that we complete execution, complete the milestones, and then collect the cash. That's really the priority of the system integration business. We do expect the profitability to improve, but it will take time to get the new projects on o ne side in India with the right margins. And second is this 6 -9 months' period will take to get the UK services into the right profitability level.

Sunny Gosar: If I can conclude, is the current quarter profitability in that sense, the ways and things impr ove from here on or there could be a couple of quarters where you have remained at breakeven or even have some kind of small losses in this segment?

Ankit Agarwal: Again, it's going to be touch and go. It's really a function of how do we make the shift hap pen, as I said, in both the UK and in India. So, I wouldn't comment. I think directionally, as I said, as you can already see quarter on quarter, probably some of the revenues have started coming down for services. So, we are really not even setting very s pecific targets on revenue going forward. It's just whatever we have on our plate, execute in the best way possible, and anything new we pick up, we do it at better margins. I think it will just take some time, but probably it will take us that period of 6 to 9 months to improve the business performance.

 Sunny Gosar: And if I may, I have one last question. On the new digital business that you are focusing on, say, in this quarter, you had EBITDA losses of, say, about Rs. 30 crores to Rs. 35 crores. Going forward, till the business stabilizes and breaks even, is this the peak level of loss on a quarterly basis or there could be again a period where for a few quarters these losses go up?

Ankit Agarwal: As I said, directionally we will give more details of the business, what we are looking to do, customers, etc., probably in a quarter's time. But directionally, we are excited about the business. We have a global leader, Raman Venkatraman, who has come in from TCS, who leads this business. We are really working w ith him to see how do we scale this business up, how do we do it profitably, etc., and with the right customers. I would just leave it at that to say that give us another quarter to share more details. Broadly, we are investing in this, but we are also conscious of making sure that at the right point of time, this business also starts generating profit and cash for the company.

Pankaj Dhawan: Due to the paucity of time, we will take maybe the last few questions. The next question we will take from the line of Mr. Pritesh Chheda.

Pritesh Chheda: Just a few questions. When you said that from here, it is largely volume, I want to know what is the headroom in volumes that you have from the current levels. Is it 20% or 30% if you could share that? My second quest ion is, we have our interconnect rate today of 10%, right?

Ankit Agarwal: Yes.

Pritesh Chheda: That we aspire to reach to about 50% in some years' time.

Ankit Agarwal: 40%.

Pritesh Chheda: What is the value addition on account of the interconnect rate on your overall business run rate that you have today when you reach that 40%? And what are the margins in that incremental business? These are my 2 broader questions.

Ankit Agarwal: What we shared was that the cable capacity is what will come on stream. From 33 million to 42 million, about a 9 million addition of volume will come through broadly in the next 6 to 9 months. That's the major volume trigger. As a subpart….

Pritesh Chheda: What is it in the percentage terms of that 9 million? That's 30% extra?

Ankit Agarwal: Yes, 9 over 33, about 30-odd percent. That's on the cable essentially. On the interconnect, basically, what we see, just to give you a perspective, globally, the cable market is about $8 billion to $9 billion and the interconnect is simil ar, $8 billion to $9 billion. So, the global benchmark for us when we see at a macro level is 1:1 which means 100% attach rate. That's where we are already in conversations with customers. But there's a typical longer time cycle to build the products, get the intellectual property approved, get the customer approval and also to supply. This is where there is some period of time, probably even more than what it takes for cable supply to really scale this up. But once you are in there, typically, customers really like to depend on you for the long term, directionally, because this is much more solution oriented than even cable. The typical EBITDA margins on interconnect are 30% compared to cable being at 20%. That's really what we are driving in terms of gro wth. And also, this is typically less CAPEX investment or CAPEX intensive than what is required for cable. So, that's really where our focus is. We do have global teams. We do have global customer connects. So, the focus is now to build the product portfol io and get this moving over the next 2 years.

Pritesh Chheda: And how much business do you add from moving 10% to 40% on your current quarterly revenues that we see?

Ankit Agarwal: I won't be able to share the exact number. But directionally at least Rs. 1 ,000 crores to Rs. 1,500 crores can be an addition over the next 2 to 3 years.

Pankaj Dhawan: We will take one more question from the line of Mr. Subrata Sarkar.

Subrata Sarkar: A few questions; first on the India side of the business. Apparently , it is ap pearing like we are more gung -ho on the external market than India. Can I try to understand the reason behind that? Is the Indian market too competitive? What is the exact reason? Is it because of the margin? Is it because of operational difficulty in implementation or is it because of t he working capital issue? This is the first question from my side.

Ankit Agarwal: Subrata, I think, one, just at a macro level, I don't think we have a negative view on India.

Subrata

Sarkar: Relatively, we are muted. That's what I mean.

Ankit Agarwal: I will come to that. Fundamentally, I think, India will have a 10 -year digital network build -out, whether it's from the government's side, from defense' side, data center side, etc. I think it's a great opportunity, and STL has built strong capability over th e last 7 to 10 years. So, we are quite well placed to take it on. What we are simply saying is that this is where we look at the business today. We are largely doing a lot of services today both to the private sector and government sector. Based on our exp eriences, particularly on some of our execution challenges for government projects or cash collection or fund involvement which has been longer on the government side; based on some of those experiences, we are saying we want to pivot more to the private s ector in India. So, we are still committed to the Indian market and we want to make sure that we support the growth, especially at this time of 5G deployment in India.

The other part we are looking at very closely is that there is probably a $10 bill ion investment funded by the government on fiber rollout to the villages as part of Phase 3 of BharatNe t. That is obviously a very exciting national project which would be great for STL to be part of. Having said that, we have to ensure that if and wh en we look at any of these projects, it has to be at the right terms and right norms so that there is complete visibility on both profitability as well as the fund involvement. These are the parts that we are just taking lessons from our past experiences a nd I would say being more mindful of which projects we are part of, which projects do we say yes to and sometimes we have to say no to.

Subrata Sarkar: My second question is on the capital structure side. As you announced this year, we will have a Rs. 500 crores CAPEX . Next year, we will have Rs. 350 crores of CAPEX . And our operation is also growing, which will require higher working capital. Given all this context, whatever debt reduction or rationalization that we are planning for, is it mainly from the external source like funding through rights issue or whatever source or internally from operational cash flow also, we are planning to reduce the debt to that extent? What's the strategy?
Tushar Shroff: If you would have looked at the service business whic h is working capital heavy, and as we continue to execute some of the projects, we tend to release a lot of retention money which gets involved in this kind of a tender business. As we execute better and better, the opportun ity of releasing cash is much more. So, we are more focused in terms of ensuring that we are able to generate more on the operational side of cash flow as well.
Subrata Sarkar: Sir, lastly a small question. On the optical fiber side, we are above 20% margin which is more or less the peak margin vis -a-vis our overall company -level margin we are operating at 13% only. My point is at service level, that's also a strategic decision like how much we want to penetrate at the service level because service is a much lower kind of a business, you are guiding for 10% margin. From a strategi c point of view, what kind of overall company -level margin we are targeting given the mix of optical fiber interconnect as well as service?
Ankit Agarwal: The way I would put it is, the optical today is at 20%, we are confident of that. I thin k it's important, as we talked about, there will be improvement coming from the volume increase. There is also both a focus on volume as well as profitability improvement coming from the interconnect. As I said, the margins in interconnect are closer to 30 % typically. So, it's important for us to keep pushing that forward, getting all the technology, getting the innovation, and pushing that to the customers. That is something that we are positive about and that is work cut out for u

s.
In terms of the servic es part, as we stated in our last results as well, directionally, we want to improve the profitability at EBITDA level of the services business, take it at least to 10% levels from very low levels currently. One big part of that is to sort out the UK servi ces margin so that overall services improves as well as in India focus more on the private sector going forward so that we have both good margins as well as better fund involvement. The combination of these two, we believe, should help us improve the EBITD A margin. But as I said, this is probably a 6 - to 9-month process.
 Subrata Sarkar: But are we targeting any optimal level of mix like the way our intention is to reach 40% in interconnect? So, service to optical fiber interconnect mix are we targeting anyt hing? Do we have any optimal mix in our mind?
Ankit Agarwal: Nothing specific. Already as you can see, directionally we are broadly at, say, 70% of optical business, 25% -27% of services, and then balance is the digital business. So, as I said, we are not consciously driving any top line growth in services. We are much more focused on taking select projects at the right profit and cash level. I am comfortable at the split. More than the split for me is making sure whatever business we are in is coming at the right terms. We are positive when we look at the market trends of optical. We are fully committed on that. Services require some sort of change in improvement from where it is. That's the second part. And in digital, as I said, we will share more deta ils by next quarter. But clearly, lot of opportunities here for us to improve from here.
Pankaj Dhawan: With this, we come to the end of the Q&A session and I now hand it over back to Ankit Agarwal for closing remarks.
Ankit Agarwal: I would like to thank everyone for attending this call and showing your interest in our company. I hope we were able to address and clarify all your queries and comments. For any further questions and discussions, please feel free to contact the Investor Relations team which includes myself and Tushar. We really look forward to continuing the conversation with you in the future. Thank you. Jai Hind.
Tushar Shroff: Jai Hind.

Call: May 2023

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India .
CIN - L31300PN2000PLC202408
May 22, 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051.
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 4 FY23
Ref.: Scrip ID - STLTECH/ Scrip Code - 532374
Dear Sir/Madam,
In furtherance of our letter s dated May 04, 2023 and May 18, 2023 respectively, please find enclosed transcript of earnings call held on May 1 7, 2023 in respect of Company's Q 4 FY23 financial results.
The same is also being hosted on the website of the Company and is available under the tab 'FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://www.stl.tech/downloads.html#qiect
Kindly take this on record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Amit Deshpande
General Counsel & Company Secretary (ACS 17551)
Encl.: As above.

Sterlite Technologies Limited Q 4 FY23
Earnings Conference Call Transcript

May 17 , 202 3

MANAGEMENT : MR. ANKIT AGARWAL – MD, STL
MR. TUSHAR SHROFF – CFO, STL
MR. RAMAN VENKATRAMAN – CEO, STL DIGITAL
MR. PANKAJ DHAWAN – HEAD IR, STL

 Pankaj Dhawan : Good day and welcome to the STL Quarter 4 and Full year FY'23 Earnings Conference Call. I am
Pankaj Dhawan - Head Investor Relations at STL. To take us through the Quarter 4 and Full year

FY'23 Results and to answer your queries, we have Ankit Agarwal – Managin g Director, STL ; Tushar Shroff – Group CFO, STL, and Raman Venkatraman – CEO, STL Digital.

Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. You can also download a copy of the presenta tion from our website at www.stl.tech .

Before we proceed with th e call I would like to add that some elements of today's presentation may be forward -looking in nature and must be viewed in relation to the risk pertaining to the business. The Safe Harbor clause indicated in the presentation also applies to this conference call.

For opening remarks, I now hand over the call to Ankit Agarwal. Over to you Ankit.

Ankit Agarwal : Good day everyone, hope you and your family are s afe. Thank you for joining us for our Q4 and Full year FY'23 Earnings Conference Call.

So, if you look at the year gone by, we have made significant progress on all of our outline d strategic priorities, starting from the o ptical business, the revenu e gre w by 46% on year -on-year basis to Rs. 5,439 crores in FY'23. In terms of EBITDA margin, we deliver ed 20% plus margins from Q2 onwards which is what we had shared and committed to the market.

We have reached 12% market share in Global ex-China market, creati ng almost 3% market share in one year. This is something we are all very proud of as a n Indian company to get this kind of market share in a global technology product. These gains have come particularly on the back of wining multiple long -term contracts fro m Tier-I customers in North America. We have become much more entrenched in the U.S. market and have commissioned a Greenfield manufacturing facility for optical fiber cable which will start commercial production in Q1.

We have launch ed new products such as a Multiverse as well as the 180-micron fiber cable. I am very proud of these developments because the 180 micron , in particular , we will be one of the first companies to make it, and it will be the smallest fiber optic in the world going from 240 microns all the way now down to 180 microns . All of these steps have propelled us to move forward in our journey to become Top -3 optical networking players globally.

In the global services business, we have moved our revenue share towards private customers in India. And we have also achieved operational breakeven in the month of March for UK business. We are also very happy to share that we have entered the IT services industry with Page 3 of 24 our STL digital business unit. And we have Raman as well, who will share some details with us later.

We have seeded the business this year and now we have almost 900 consultants on board . We shall give more details in the upcoming slides.

Last but not the least, we have exited three subscale of loss-making businesses in line with our stated strategy to focus on few businesses and become world -class in them. We have sold the IDS business Hexatronic Group for approximately GBP 14 million. We have sold our telecom softwar e business to Skyvera , an American company which is part of TelcoDR for $15 million. And we have also exited from the loss-making wireless business in Quarter 4 which was impacting us almost Rs. 40 crores to Rs. 50 crores per quarter.

In FY'23, in order to increase transparency, we started segmental financial reporting in three business segments namely optical networking business unit, global services business unit and digital and technology business unit. We have also met our revise d guidance, our revenue growth for the full y

ear has been 27%. We have reached normalize d EBITDA margins by Quarter 4 FY’23 delivering 15% EBITDA margin for the quarter. Our net debt now stands at Rs. 3,121 crores at the end of Quarter 4, FY'23.

As we enter F Y'24 our strategic direction remains the same. Firstly, we shall continue to grow the optical business by increasing optical fiber cable market share and the connectivity attaché that we have been speaking about. They have also started projects to optimize our raw material and fixed cost in the business to become even more competitive.

Secondly, we shall continue to consolidate our global services in the segments of our choice. We have reduced our government ’s exposure in certain places and focus more on th e private segment where we are working with players like Airtel and Jio to continue to provide solutions for them. We are building new capabilities for value -added services. And of course we are also working on improving our UK operations from a profitabil ity perspective. Last but not the least, we shall continue to build digital India business through focused investments in building new technology and capabilities, to grow the business going forward.

In the next few slides let’s talk about our first top strategic priority to become Top -3 player in the optical fiber and cable connectivity business.

As per the latest industry reports, the global telco spend in the telecom equipment is set to grow by 1% i n 2023 despite the overall decline in telco CAPEX . Also interestingly in the data center space overall CAPEX continues to grow although it is by single digit compare d to 15% growth in 2022. So, what we are seeing that in 2023 the growth in the private segment is slightly moderated as compare d to 2022.

Page 4 of 24 Having said this on the public investment side, the commitment in execution of various government programs remains strong. Some of the examples that we can share are clearly, the U.S. about $97 billion in broadband funding through various programs including RDOF, BEAD which is a $42 billion program, the Middle -Mile Program etc. Similarly, in Europe, places like the UK, Germany, France and Austria are investing anywhere between $24 billion to $15 billion irrespectively around various digital programs. And of course close to home in India, we are extremely proud and committed towards the BharatNet project where there is a program to connect over 300,000 villages, an investment north of $10 billion.
The 5G deplo yments also continue to remain strong globally. As you see from the chart on the left, by end of 2022 there are already one billion 5G subscribers globally which is expected to triple by the end of FY'25. As per Ericsson there are now 235 service providers that have launched commercial 5G services globally with almost 35 stand -alone 5G networks. Leading the 5G deployments is China which plans to increase its 5G base stations from 2.3 million to almost 2.9 or 3 million by the end of this year.
As 5G continue s to proliferate we also see that various countries and bodies are already starting to look at 6G, the next generation of technology and what that will mean for the networks .
Fiber to the Home deployments also remain strong as you can see on the chart on t he right. In the U.S. alone roughly 8.2 million homes who are passed in 2022 which is expected to go up to 12.2 million homes in 2025. This is a very positive development in the market. In Europe and particularly in the UK and Germany, home pass in 2023 is expected to go up compare d to 2022.
In China, very interestingly, as the next fron tier from Fiber to the Home, telecom operators are now talking about FTTR which means Fiber to the Room that's really interesting when you look at next generation of capabil ity, low latency, high capacity that is actually being used and asked for by users. This will also mean that the speeds that ultimately go to the homes will

actually
move from about 1 gigabit to almost 10 gigabits . And you are seeing this not only in China but parts of Europe, part s of Japan and also in the U.S. where people are starting to offer 10 gigabit services for Fiber to the Home.
The vision for 6G is an era where digital physical and human world will seamlessly fuse.
Intelligent knowledge systems wi ll be combine d with robust computation capabilities to make humans endlessly more efficient and redefine how we live, work and take care of the planet.
6G technology will increase data transmission range to more than 100Gbps and reduce latency to sub millisecond levels , it's used cases will be in the areas of Precision Healthcare, Smart Agriculture, Digital Twins and Robot Navigation. For 6G mobile operators will need to use higher frequencies and deploy more wireless nodes. All of these nodes will be connected on fiber . In terms of timelines, 6G is planning to introduce 6G Application by early, as early as 2025. But first commercial 6G networks would be available globally in our view by 2030.
Page 5 of 24 So, that's something important for everyone to understand th at currently we believe that we have five to six years of network deployment linked to both 5G, Fiber to the Home, Fiber to Enterprise and then within 2028, 2029 we should start seeing network investments continue to accelerate for 6G and other technologie s link ed to it.
Now coming to the demand outlook, as per CRU the medium term demand in the optical fiber cable volumes is expected to go up to 607 million fiber kilometers by 2025 up from 534 million in 2022.
In the short term however, demand situation shall be crystallized in the next one to two quarters. What we are seeing, particularly in North America, is that the lead times have come down significantly. And therefore, there is a correction in inventory that is also ta king place and carriers are drawing down from the inventory first before they start placing significant orders again. Of course, the labor constrained is also not helping a situation and hence a need for some of the connectorized solutions have become more pronounced.
Europe and Indian markets remain robust. And coming to China there has been a delay in the China Mobile tender. We expect some temporary softness in demand but we do expect the growth to come back strongly as the inventory corrects and the new tender comes out probably in the next few months.
Structurally, however, we would like to reiterate that the actual field deployments seem strong and certainly within a quarter or two, we do expect the demand to start picking up again.
As you can see from the chart here that we are consistently gaining market share in the optical fiber cable business. I am proud to share that in FY'23 w e have reach ed an estimated 12% market share globally, excluding China up from 9% in FY'22.
Our connectivity business has also grown in -line with the cable business. We are following a framework for growth in the optical business. In short term we would continue to sweat our capacities particularly across the markets but also in the U.S. In the medium term we would like to gr ow our connectivity business and enhance our business in data center segments ; over the long -term we would build new capacities backed by specific customer commitments.
I am very happy to share that as you can see on the left side, celebrations of our China factory, very happy to share that almost 80% of the team rejoined us when we restarted the factory

that speaks a lot about our culture and our management. This is a fa ctory that continues to operate really well and we continue to support from this facility our global cable requirements. Also in the U.S. this is the photo of our first cable that was manufactured. We have a strong team that has been build there. We have o ur equipment now in the facility and first commercial production and supply

will start from this quarter, Q1 onwards.
 At STL we continue to invest in R&D to develop and launch industry leading new products. In FY'23 we launch ed Multicore fiber which has fo ur times the transmission capacity than normal fiber with the same diameter. Recently, we are also very proud to launch the 180-micron optical fiber , our slimmest fiber yet and the slimmest fiber in the world. This fiber enables the smallest diameter in ca bles with the highest fiber densities. Th is becomes extremely critical as we both were looking to increase the capacities for 5G eventually for 6G as well as for Fiber to the Home applications.
As the service providers densify the networks with more fiber the duct space would become a precious asset. This is where Sterlite 's high density micro cables will enable operators to pack more capacity in a limited duct space and thereby reduce the cost and also speed of deployment times.
We also continue to work as per our framework to grow the connectivity business as last year we had taken concrete steps to increase our wallet share and key accounts in Europe. As the next step we plan to enter multiple new markets a t the back of this year our strong product pipeli ne. As we speak, we are going through product approval cycle for multiple products across geography. We are very mindful that typically these approval cycles can take anywhere between nine months to 12 months so we are working very closely with our customers and installers, both from product development stage all the way into testing and approval process. As these products commercialize we expect our attach rate to witness an improvement and a jump.
Now let’s discuss our progress in Indian market and how we are pivoting in the global services business . The 5G deployments have clearly picked up pace in Indi a and the 5G subscribers have reached in excess of 50 million. Bharti Airtel has offered 5G service in more than 3000 cities , while Jio has also launched 5G services in more than 2300 cities. Both the operators are aggressively driving their deployment and plan to cover the whole of India by 2024. As the deployments take place, we expect operators to roll out between $1.5 billion to $2.5 billion for fiber rollout in the next two to three years. And in cable kilometers we expect the Indian telecom operators to deploy more than 2000 cable kilometers in next two years.
One thing we clearly see is that the operators need to get to 70% to 80% of their towers to be backhauled by fiber . So, there is a very strong push of tower fiberization. We see a clear focus from the operators to increase Fiber to the Home penetration. And when you look at the enterprises business, that’s certainly an area where they are seeing growth and again that will come on the back of very strong fiber connectivity.
In this 5G deployment we are partnering with both the leading telecom operators Airtel and Jio. We are very proud to share that we are one of the preferred partners for Airtel in India in particular. This position has helped us to improve our revenue share from India private
 customers from 31% in FY'22 to 43% in FY'23. We continue to build our capability toward value - added services to improve our margin profile and also reduce our fund involvement.
We are very happy to share that we are one of few companies in India and in the world to have receive d the CMMI Level 5 Certification. This is a very important certification and is a testimony to our quality and our processes that is testament of the high -quality team that we have in our services business.
Coming to UK services business in line with our expectations, I am very happy to share that our STL UK has achieved operational breakeven in the month of March '23. Building on the same we expect the UK business to be profitable in FY'24. Our sales engine is focused on increasing wallet share fro

m current customers and our delivery engine is focused on being very efficient in scaling out and deploying the fiber networks.
Our project execution on services is on track. Among the India public project, our Bhar atNet projects in the State of Telangana is about 63% complete including all packages. And the network modernization project for Indian PSU is also 63% complete. Additionally, we have started a new fiber rollout a managed services project. In the Indian private side fiber rollout for large Indian telecom operator is 100% complete for Phase - and Phase -I, for Phase -II it is currently 17% complete. Fiber rollout for another large telecom operator is in Phase -I is about 10% complete. Fiber rollout for a large modern optical network for another private customer is 42% complete. And coming to the UK for the Fiber to the Home rollout for all projects combined is currently about 23% complete.
Now we shall talk about STL digital, which is our entry into the exciting IT services industry. At this juncture, I am delighted to introduce Raman, who is a leading STL digital. Just to give you

a brief about Raman, he is an absolute veteran in the IT service industry with more than 30 years of experience. Prior to STL he was associated with TCS, a Senior VP and Global Head of Hi-Tech and Professional Services Vertical and Global Head of Alliances and Partnerships. As a leader, Raman focused on cultivating trust and empowerment in teams. He lives by his mantra "Failure is success in progress". In his leisure time he love s to play cricket, I can vouch that he is a very good bowler, traveling and spending time with nature.
Raman, I now hand it over to you to discuss how we are building the STL digital business.
Raman Venkatraman : Thank you, Ankit and that is a very generous introduction, thank you.
So, the IT services industry as we all know is in the continuous growth cycle for a very long time. And the global IT spending is in trillions, is in multiple trillions and we expect it to go at least for the next two to three decades with lots of changes that are happening with Cloud adoption and data and everything. So, the growth is just going to continue.
 And from an STL perspective, there are lot of innate capabilities that we have whether it is in manufacturing, whether it is in telecom and also core technology expertise that is there. And our vision is to combine those capabilities of what is already there in STL. And along with focusing on the areas of gr owth in the IT industry specifically the new ar eas of digital, which is Cloud, Data Analytics , Cyber Security those areas, and then drive it through a differentiated experience to our customers and bring more agility into it and that's why we feel we have a great path ahead building a very strong business in this area.
See what we have done is I joined towards the end of 2021 and I took about six months or so to build a very strong leadership team, team of strong domain consultants, delivery leads and your industry vertical leads. And as we build this team together, and then we started executing. And the response has been a tremendous from the market, we reached out to our relationships, we spoke to various customers across markets and in a very short period of time we built a very strong team of 900 consultants, delivery consultants and a very strong leadership team of more than 50 people. And I am happy to say that the significant part of the team is women as well. And we said rather than foc using on the entire IT area, we will just focus on a few areas as I said with respect to digital just focusing on Cloud or Data Analytics, Cyber Security, Enterprise SaaS and Core Product Engineering. And we create a delivery centers in India and also sale s offices in U.S. and in UK, and we started discussing various customers. I am very happy to say that in a very short timeframe of about eight to nine

months, we have
been able to acquire 18 global customers and these are customers in the Fortune 1000, For tune 2000 kind of areas. They are absolute leaders in each of those different spaces in different industries like Technology, Life Sciences, Comms, Media, Energy Resources and all of those. And with whom we are engag ed as a strategic partner and we are exe cuting long -term engagements and that is reflected in a very healthy order book that we have built of more than Rs. 650 crores .
The order book continues to grow in this quarter. And revenues have been accelerating and the revenues for last year has been over to Rs. 70 crores of revenue which is pretty much in the last six to seven months. And we expect that we will continue to acce lerate this year. So, overall it has been pretty strong journey so far in terms of what we have created as a very strong team. And the future looks extremely promising for us as we continue to march forward.
From a differentiation perspective as I mentione d there are a lots of innate capabilities with the STL from a technology perspective. We have been able to see at a very strong domain capability and industry capability as well that we have been able to bring together. These are people with multi, again j ust similar to me who have spent lots of years in the industry, who have built multi hundred -million -dollar businesses earlier in their various roles in other companies.
 And what we want to focus is just build a company which is going to focus on specifica lly on agile, agile is our mantra and differentiated customer experience is a key thing that we are going to focus on. And as we build capabilities in Cloud , data, Cyber Security, Enterprise SaaS and as we bring them together and specifically focusing on c ustomer needs for those specific domain , we do see significant part in terms of how we can deliver a differentiated experience to our customers. And this is already reflecting in the kind of wins that we are seeing in the marketplace where we are able to t ake head -on against the established large players today and able to win key engagements in SAP or in Data or in Cloud, Design and all those kind of things.
And there is a very strong focus in terms of how we are going to build our partnerships because to b e able to lead in this world, we need to build a very strong ecosystem of partners predominantly in the technology side. So, we are doing that as well which is helping us to build the capability, and again thereby delivering that kind of experience that we are looking at.
So, all in all, we have made a fantastic beginning so far. And we hope to acc elerate in this journey in F Y'24 /'25 and in our path forward. So, with this, I would like to hand over to Tushar from overall financial perspective.
Tushar Shroff : Good day ladies and gentlemen. We shall now discuss our financials in detail.

Before discussing the financials, I would like to state that in accordance with Ind AS 105 non - current asset he ld for s ale and disclosure of a discontinued operation for our IDS wireless business and telecom soft ware business are reported as discontinued operations in the financials. Accordingly, for like to like comparison prior period financials are restated.

Quarterly Performance

Q4 FY'23, revenue grew by 25% on a year -on-year basis to Rs. 1,872 crores . EBITDA grew by 71% on year -on-year basis to Rs. 280 crores . EBITDA margin increase d sequentially and correspondingly to 15% . Net margin increase d to Rs. 82 crores . Revenue growth wa s driven by a strong growth in optical business. Margin improvement is mostly on a back of improvement in the margins in optical business.

Full Year Performance

For the full year FY'23, the revenue grew by 27% to Rs. 6,925 crores . EBITDA grew by 29% to Rs. 931 crores . Net profit increased by 51% to Rs. 245 crores . For the full year also revenue growth and margin i

mprovement was driven by the growth and margin improvement in optical business.

Optical Networking Business

 Q4 FY'23 reve nue has gone up by 40% on a year -on-year basis to Rs. 1,505 crores . And EBITDA has gone up by 161% on a year -on-year basis to Rs. 321 crores . For the Full year FY'23, revenue grew by 46% to Rs. 5,439 crores and EBITDA grew by 93% to Rs. 1,045 crores . Full year revenue has grown on the back of the improvement in OFC volumes and better realization in some of the market along with an increase in the connectivity revenue. Key drivers for the margin improvements for a product mix shift to a higher margin product s and reduction in logistic cost.

Global Services

Q4 FY'23 revenue stands at Rs. 352 crores . EBITDA has gone up sequentially to Rs. 14 crores . EBITDA margin for the quarter stands at 4%. Full year FY'23 stands at Rs. 1,511 crores . EBITDA for the full year FY'23 stands at Rs. 47 crores . As we have said, we are prioritizing cash flow over the growth and at present we are being selective in order int ake. We expect the profitability for FY'24 to improve as UK business has turn ed profitable in March 2023.

Our r evenue mix is shifting to the customer segment and geographies of our choice. We are increasing our shares in the telco segment . In terms of geography, we have increased our revenue share in American market from 13% to 38%. This amazing growth in U.S. market is a reward of our investment in research and development over the years.

Order Book

In terms of new orders this quarter we continue to partner with leading Indian telcos in long distance intracity fiber rollout in India. We continue to win multimil lion dollar orders for optical fiber cable in Europe and America. In addition to optical fiber cable, we have also won optical connectivity orders in APEC region.

Our open order book at the end of Q4 FY'23 is Rs. 11,052 crores . Our order book is well diver sified across the customer segment and also across our businesses. We also have significant O&M orders which are already yielding revenue for this year. We have place the abridged financials for your appraisal.

In FY'24 we expect revenue growth to be aroun d 10% to 12%. We shall revisit this estimation periodically as the industry situation crystallizes in upcoming quarters. As we have also communicated earlier in terms of net debt to EBITDA, we want to reach lower than two and half times over the next 12 mo nths.

ESG Goals

STL's endeavor is to be a responsible leader in ensuring the connected and inclusive world. This focus reflects in a way we have designed and implemented our ESG agenda. We have diverted 225,000 metric tons of waste away from landfills from FY'19 to FY'23. We have reduce d the emission of 23,000 tons of carbon dioxide equivalent to various initiatives in plant from FY'21 to FY'23. We have recycled 675,000 metric cube of water from FY'19 to FY'23. We are zero waste to landfill and zero liquid discharge certified. We have announce d our commitment to become a carbon neutral company by 2030.

Through our various initiatives in education and women empowerment, over 815,000 lives have been positively impacted from FY'19 to FY'23. We have also positiv ely impacted 2.2 million lives through our various initiatives in healthcare from FY'19 to FY'23. For our work we have won 90 Plus ESG Award from FY'20 to FY'23.

Corporate Action

We have proposed to merge the Global Se rvice Business to STL Network Limited, a wholly owned subsidiary of STL on a going concern basis. For the purpose of a demerger , the company will be filling the scheme of arrangement with NCLT. Pursuant to the demerger STL Network Limited will be a separat ely listed entity with a mirror shareholding of STL 's.

A demerger is intended to meet the requisite conditions under the Income Tax Act to be a tax neutral. This demerger will be very positive for both the optical and the service business. Both the business can now pursue growth opportunities independently wit hout any capital constraints. This move shall also help both the businesses to further entrench with clear value proposition to the customers and other stakeholders. It shall also provide new opportunities of growth for our employees. Last but not least the demerger shall help us to widen our investor base for both the entities thereby unlocking the shareholders' value.

Summary

In summary I would like to say that our profitable growth journey in optical business continues. We continue to gain market shar e across the focus markets, increase the optical connectivity attach rate and simultaneously work to optimize the cost base. In the global services we continue to focus on India, private and move towards the value -added services with improved margin profil e and better fund involvement. In digital business we shall consciously invest to grow on a quarter -on-quarter basis. We are also working to improve the utilization to move towards profitability . Last but not least, we have targeted to generate free cash and reduce net debt to EBITDA to less than two and half times by the end of the financial year.

With this, we come to the end of our opening commentary and we shall now move to Q&A.

Pankaj Dhawan : Ladies and gentlemen, please note if you want to ask a question you can click on the Raise Hand and also you can send us over Chat and we shall take your question one by one. So, we will take the first question from the line of Mr. Pritesh Chaddha. Pritesh you can ask your question now.

 Pritesh Chaddha : Considering your outlook which you have mention ed on slide #12 and your backlog which is flat for the year ahead is it fair to assume that you will not grow in the first half and all your 10% to 12% led grow th which you have given as a guidance will mostly floor in second half of the year?

Ankit Agarwal : So, what we have tried to share is what is our current visibility ; of course, it's a dynamic situation on two parts , there has been inventory buildup that we have seen from our customers but also our peers and our competitors in the U.S. have also witnessed. How quickly that inventory gets drawn down, how fast can the operators execute on their fiber deployment that's som ething that we continue to watch on a monthly basis.

So, I think our current visibility certainly is that by H2 of our financial year there should be an improvement in pickup. And we are watching very closely our current customers. We are also seeing how w e can increase our customer base across Europe, U.S. as well as India and Australia to further improve our sales of the cables and the connectivity. So, I would say definitely better visibility of H2 compare d to H1. But even in H1 certainly cont inue to look what more we can do, given some short -term weakness in the North America market.

Pritesh Chaddha : Any reason why our optical connect rate has not improved this year?

Ankit Agarwal : Yes, so I think as we had shared in the past that there are two to three specific areas that we are focused, one is the product development itself on the back of our acquisition of Optotec, we have invested and look ed to scale up our product portfolio itself. As I shared earlier also the portfolio requirements are very d ifferent even within Europe, again quite different for U.S. and the rest of the world. So, there is a lot of work going in on building the product portfolio, creating our own IP to make sure that we can sell them successfully.

At the same time, one thing t hat we have seen has taken longer than expected is the customer approval cycle , both at the supply chain level as well as at the installer level. So, these are areas that we have built based on our learning. I am confident over the next six to nine months as some of these core products can develop

as well as custom er approvals will come, that certainly going into H2 there should be an improvement in the sales of our optical interconnect solutions.

Pritesh Chaddha : On the fund raise , I think you guys have taken a resolution of Rs. 1,000 crores instead of Rs. 500 crores earlier? if you have to raise, will it be a ri ghts issue or you will go and seek funds from investors?

Tushar Shroff : So, at this point in time the current proposal is the enabling resolutions that we are taking it. It is a part of renewing the existing resolution that we have. So, this is basically enabling resolution that we have. When we come to a very specific , at that point in time will again inform everyone with respect to our plan in terms of raising of the funds. However, we already have, we are in the process in terms of looking for a right opportunity, right window to raise the funds by way of the right issue wh ich is already there on the card.

Pritesh Chaddha : We had a Rs. 1 ,000 to Rs. 1 ,100 crores kind of EBITDA , Rs. 1,000 crores kind of an EBITDA, and we also had some asset sale totaling about let's say $50 million to $60 million we had three asset. But when I look at the debt it's not come of f a lot . So, if you could give the cash flow bridge where did we deploy our annual cash flows which came in ?

Tushar Shroff : So, I would say that Rs. 400 crores have been deployed in terms of a CAPEX. And the working capita l have been involved, working capital blockage is about I would say including the operating margin is more or less flat. So, I would say that major part has gone for a CAPEX which is almost like Rs. 400 crores .

Pritesh Chaddha : So, we will see a material r eduction next year or we won't?

Tushar Shroff : So, yes, with improvement in the EBITDA the kind of you know we have, if you look at our guidance and the profitability in terms of the numbers, definitely we will see that kind of cash generation that we have been targeting. We will see a definite reduction in terms of debt .
Ankit Agarwal : And that's why we talked about dented EBITDA 2.5x.
Pritesh Chaddha : But that number when you are saying 2.6 into the EBITDA it doesn't show any debt reduction so that's why I was confused, because that statement is a n open -ended statement, lower than 2.6, if I just assign 2.6 then there is no major reduction so that's why I was confused.
Tushar Shroff : Yes, so it will be a reduction of about Rs. 200 crores to Rs. 300 crores kind of a things that we have been looking at, over next year.
Pritesh Chaddha : One-year period.
Tushar Shroff : Yes, one year, yes.
Pritesh Chaddha : Which means your CAPEX will be higher than your depreciation number.
Tushar Shroff : Yes, at this point in time we have consider ed our CAPEX which is I think which is about Rs. 350 crores to Rs. 400 crores kind of a CAPEX that we have considered yes.
Pritesh Chaddha : Is this growth or maintenance?
Tushar Shroff : It has some part in terms of growth , in terms of investment that we have in connectivity business that is wire business as well as some parts in terms of maintenance CAPEX.
 Ankit Agarwal : But it's largely in line with what we had already shared, so we talk ed about getting the U.S. facility up to speed, so some link ed to that the optical connectivity, scaling that up, and then some maintenance CAPEX. And I think it's fair to say at least with current visibility, we had talked about overall cable capacity going from 33 million to 42 million so that all will come in full stream by H1 of current year.
Pankaj Dhawan : Thanks Pritesh. We will take the next question from the line of Mr. Balasubramanian. You can ask your question.
Balasubramanian : My first question, what is the current scenario for OF and OFC realization side ? DGTR recommends anti -dumping duty on optical fiber imported from China, Korea and Indonesia and other countries. And w

hat would be the impact after this on the realization side?
Ankit Agarwal : Yes, I will take the second one first. So, far just to be clear there is a recommendation by DGTR DGFT for the anti -dumping versus some countries like China, Indonesia etc. this is still to go to Ministry of Finance for their approval. So, this is something that is still work in progress. Of course , we are very confident of the merits and we do believe that there is a clear case of dumping. We also believe that Indian capacity is far more than sufficient to meet the countr y's requirements amongst all of us in terms of the leading players. So, in the next few months we will see the results of the Ministry of Finance. And I think the amount of percentage that could be charge d in terms of duty will also vary I think anywhere in the range of 5%, 10%, 15% depending on the country and within that the respe ctive player. So, I think let's wait and watch in terms of how the actions progress. But we are hopeful that this will be positive outcome for the Indian industry both I think from supporting the Indian industry but also I think from a quality perspective ensuring right kind of fiber and quality of fiber is coming into the country. I think in terms of the overall market, as we said that there has been some delay in the China Mobile tender and so to that extent we have seen some softness in the fiber pricing in China. I think as we shared that we don't really see that immediately impacting the cable prices at least in our focus markets of Europe and U.S. because a lot of these markets are quite protected against say Chinese cable in particular. But yes, we do see some s oftness in fiber prices . Locally the current imports of fiber into India or into markets like Indonesia and other places, we do see some reduction in prices. We are positive that China Mobile given its focus on 5G and Fiber to the Home, we are hopeful that in the next few months, there should be a good volume tender and pricing tender for the China market. And prices should also normalize after that. So, that's our current visibility , we are watching it closely, but we are also confident given that we have long -term contracts with Tier-I customers that we will continue to have a positive growth. As we have shared there is also inventory in the U.S. that we see and also our peers see. So, as the operators continue their deployment and scale up their deploymen t, as the inventory gets reduced then we shall continuously fresh demand growth from North America in particular.
 Balasubramanian : My second question, could you please share the volume growth for OF and OFC s for the quarter and full year ? And also could you please share the optical interconnect attach rate in value terms ?
Ankit Agarwal : We are not sharing actual capacity and volumes for the last couple of quarters for competitive reasons. What we can share is that the volumes have increased in Quarte r 4 versus Quarter 3. And certainly, going forward we have positive as I shared the shift from 33 million to 42 million will be completed by H1. So, I think that's a good capacity that will be coming on stream. On the fiber side, we continue to look at opt ions to scale up our fiber , both in India as well as our Fiber to Operations in China. So, I think that's also something that will be positive. So, I think we will have a good amount of capacity available and as we continue to secure our contracts in our focus markets, we should start seeing volume increase particularly in second

half of this year.
Balasubramanian : My last question is, could you please share the capacity utiliz ation across plants in India, China and U.S.?
Ankit Agarwal : Sorry, I won't be able to share that as I just shared --. We are not sharing our capacities and utilizations at a unit level , suffice to say that we had good utilization in Q4. We are watching the market

closely in Quarter 1 and Quarter 2, but certainly confident of our capacit ies coming on stream and we are working hard to fulfill those capacities.
Pankaj Dhawan : Thanks Bala. We will take the next question from the line of Mr. Hiten Boricha. Hite n, you can ask your question now.
Hiten Boricha : My first question is on the inventory buildup which happened in U.S. so can you sh ed some light what exactly happened and why we saw inventory build in U.S.?
Ankit Agarwal : Yes, so I think overall what we had seen in the last 12 to 16 months is that the lead times had increased quite significantly going up to almost 40 to 50 weeks in the U.S. for certain cables and connectivity. At the same time various telecom operators, servic e providers in the U.S. had some very strong and ambitious plans to deploy the fiber , which still continues by the way. So, in this period because of the large lead times and their clear visibility of deployment they had started building a lot of inventory .
What we now see is that they are probably not able to execute on the ground, mainly because of trained labor shortages and some permitting issues. So, because of this imbalance they have a certain amount of inventory built up, and other side they are not able to deploy. Also what we have seen is now the lead times have come down from about 40 to 50 weeks to probably anywhere between six to 10 weeks. So, the operators are also now aware tha t as and when they need it they can get the cables quickly.
 So, that's where we are in this in -between phase. The intent to deploy continues across the operators, most of them are listed and they announce d their CAPEX plans. So, we are tracking that very closely. And our own conversations with them, they continue to remain committed but they are sharing this visibility of the inventory. Our current visibility is that it will improve in H2, but of course we are working on how to fu rther improve our sales in H1 as well.
Hiten Boricha : This is the main re ason for the price surge, so just want to understand how has the pri cing volatility for the cable because of this inventory buildup ?
Ankit Agarwal : Yes, there are two levels one is in certain markets like in China, Southeast Asia , pockets of Africa where we do see some of the Chinese players , there we have seen some reduction in pricing because of say demand reduction in China, which we believe is a temporary phenomenon probably for next few months so that is on one level. I think we have seen limited competition or almost zero competition of Chinese in Europe and North America. So, pricing is still stable, it might have come down a little bit, given th ese inventory leve ls.
So, our bigger focus is to continue our commitments with our long term customers. And the way the contracts are setup generally is that there is a good understanding both of volume and pricing. But given the long term nature of these contracts, we cont inue to negotiate with them ensuring that the volumes also continue.
The other element, Hiten is very important is that our factory in U.S. is also coming up. So, there is a good amount of effort we are putting into ensure that we get good long term contra cts to support those facilities to be fully utilized.
Hiten Boricha : Can you quantify the pricing, what was it in FY'22 and in FY'23?
Ankit Agarwal : No I think it will really vary by market, I think for example we would have seen probably a 10% to 15% redu ction in China on the fiber prices. But it would be smaller in other markets. And again, I wouldn't generalize but each operator and depending on which market they are, who the competition is, I think that varies , anywhere between 5% to 10% is possible in other markets as well. And that's again just a general data point, each customer and depends on our contract and our negotiations that would vary.
Hiten Boricha : Question is on the dividend; we are giving

the dividend of Rs. 1 and the other side we are als o looking to raise a fund. So, I know the dividend outflow is very low when we compare it to the fund raised, but just wanted to understand the rationale behind that why we are giving dividend and on the other side, we are looking for fund raise?
Tushar Sh roff: So, Hiten as I said that dividend is important because it's a source of earning for a lot of investors for us. So, keeping that in mind and as per the policy we are supposed to declare the dividend so that's the reason that we have declared the divid end. Yes, we will be raising the
 right issue but the right issue will be continued on the right timing and the right market conditions. So, we will be watchful of that to get into the market with respect to the rights issue.
Pankaj Dhawan : Thanks Hiten. We will take the next question from the line of Mr. Prat ik Singhania. Prat ik you can ask your question now.
Pratik Singhania: In terms of the deployment rate, how do you track it like what metrics do you observe whether

it is monthly, quarterly, fortnightly t o determine whether the ground level demand of fiber optics in U.S. is not slowing down?

Ankit Agarwal : So, I think three to four metrics, as I said a lot of these customers of ours are public both in Europe, U.S. Australia, so they regularly publish both their CAPEX spend, their forecast for CAPEX at least for next 12 months. And then on a quarterly basis they share both in terms of subscribers as well as homes passed . And they give a target of home pass generally at least for one year forward and some of them even have three to five targets. So, that's something that is from their own data that that gets published on top of that we see very interesting data point from deployment companies. So, I can give you some examples there are companies in U.S. called Dycom and Mast ec which are listed and then they share their data points of how they are deploying the fiber on behalf of these customers. And again, you can see the latest Dycom results they have just si gned multi -year contracts with many of our customers, where we supply cable and they would do the deployment.

So, these are kind of two or three data points, of course then we have CRU data which we also share with you from time to time which is probably a third data point. Of course, the most important being our own conversations with the customers how they are seeing the visibility and of course on very regular basis that conversation happens at senior levels. So, I think multiple data points and hence th e outlook we are giving you is a summation of these data points.

Pratik Singhania: So, for the calendar year 20 23, we are witnessing slowdown in deployment rate as well as the inventory level coming down at the customer level or how it is like do you have any growth rate in terms of deployment whether it is down sequentially or up in terms o f percentage?

Ankit Agarwal : So, happy to share probably some data point with you offline purely based on what some of our customers have shared. But I think what definitely we can tell you is that there is the biggest constraint in North America, in Europ e various parts of the world is even if operators want to scale up say 10% to 20% year -on-year they are getting constrained by availability of manpower. This is a global concern where operators are now investing directly in building in the training capabil ity of people. And so, this is something that is now becoming the major constraint to rapidly scale up the deployment.

 So, we don't see constraint in capital, we don't see a constraint in intent, in fact most of them have talked about how they want to grow their deployment, but they are clearly seeing a challenge in execution on the ground. And then in some pockets of U.S., some pockets of Europe there is also constraints in terms of permission and permitting which also

again is an
ongoing effort to ease th ose out like we see in India as well.

Pratik Singhania: And in the digital business you talked about having an order book of almost Rs. 650 crores . So, this amount would be executable over how many years? And in next say two to three years' time how scale t his business can reach?

Raman Venkatraman: Yes, the orders are both near terms and long term, so we have some orders that stretch to three to four years' duration and then there are many orders that gets to be executed over the next 18 to 24 months. So, from that perspective in most the orders that we have got is in the third and the fourth quarter so we see the future pretty good in terms of how we are going to execute those orders and we continue to gain new orders in this quarter as well so it's pretty good the way we see it.

Pratik Singhania: In next three years, what kind of a scales you aspire to reach in this business?

Raman Venkatraman : See this particular year , if you look at our guidance that we have given, we will at least grow the business by at lea st 3 to 4 times, that's what we are expecting from this year. And I would say that for FY25 or FY26 again futuristic too much, that is too much in the future but still looking at the way that we are scaling from quarter -to-quarter perspective it looks pret ty good. It will have decent growth in FY25 over FY24, so I already mentioned.

Ankit Agarwal : So, it's a bit early to give a longer -term forecast, I think from an STL perspective, definitely one focus as far as everything in STL its first focus on profita bility. So, we have put in about Rs. 120 crores last year into this business, as an investment. Also, probably similar level will go into this year. A real priority now for Raman while tremendous work on the order booking and right team, now to breakeven and start becoming profitable, towards the end of this year is what he has committed. So, I think that is more where we are really focused, I think clearly lot of success with very high quality clients so we are watching this on say quarterly basis and certainly there is good potential to grow it.

Pratik Singhania: And in terms of the demerger, the rights issue or the fundraise that you plan to do, any segregation is there wherein how much you will put in a services plus digital business versus how much you will be using for the product business?

Tushar Shroff : No at this point in time this entire demerger is going to take anything between I would say 9 to 12 months depending on the NCLT approval process. So, whatever the proceeds that we may get will be used for both the business in order to bring down the overall debt. So, whatever we

 discussed in terms of debt to EBITDA 2.5x is not considering any kind of rights issue proceeds that we may have.

Pratik Singhania: And in terms of optical interconnect, I assume that lot of our products are under the trial phase, testing phase with the clients. So, any visible breakthrough that you anticipate in FY24 for your optical interconnect business to growth maybe 2x or something like that, because it's a very good business per se. So, anything with respect to Australia and U.S. market where you anticipate a good growth in optical interconnect income from these geographies?
Ankit Agarwal : Yes, I mean look, I think good question, as I said it's a balance of all three, there is still work to be done to build product portfolio both for telecom operator and I think also eventu ally for data centers, I think those are areas we clearly need to build that out. We continue to build our internal teams also who has specialist's knowledge technically and sales wise in this fields so that's another work in progress. The third part is on the IP part, as I said earlier also this a field with a lot of IP and we want to make sure that we build the right product with the right IP as we are entering these global ge

ographies.
And then obviously the part that is probably taking longer than we exp ected is the customer approval cycle and I think that's probably something where there have been learnings for us and we will really look to fast track that as much as possible going forward. And that's both at the customer level and at the installer level. So, I think these are some of the , I say learnings, but I continue to be positive there is no question I think as you said that it's a good business to be, it's complementary to our cable, the customers are looking for solutions of cable and connectivity t ogether. And really even if you look at for example our latest product the 180 micron, essentially with a thinner fiber you can get a thinner cable, those thinner cables can be more compact and lead to a more compact interconnect solution. So, it's all int erconnected for us and the more of these solutions we can provide to our customers, there is creator value for them and for us.
Pratik Singhania: Right so that leads to my another question that can we expect at least a fiber division of STL to be running a t 90% capacity utilization for the current year, because see you have such a good product in terms of capability and everything is all top -notch. So, at least whatever we need internally we can consume and the balance is it possible to increase that like e xternal sales of fiber in this current year --?
Ankit Agarwal : As I said, strategically we have always said we want to focus our fiber towards our cable and cable and interconnect will be our go -to-market. So, that continues to be our strategic focus going forward and there as I said we want to be tied up with Tier-I customers globally to make sure that they buy our cables and interconnect solutions. So, that remains a priority. And I think then it really is a function of how quickly can we scale up as these capacities are coming on stream that I spoke of in U.S. and other places, how quickly can we utilize those capacities and then obviously then pull in the fiber for making that happen. Very positive about our capacities coming on stream by end of H1 I think we have to watch the market very closely particularly in U.S. to make sure that we can pull through those volumes and then on the back of that the fiber.
Pratik Singhania: Because at present we have 50 million fkm capacity and it will be a 42 millio n fkm cab le capacity, so the balance whatever is 8 million at least 90% of that can be, can't we do like the external sales till the time we setup another cabling capacity maybe in U.S. or domestic?
Ankit Agarwal : I think those options will continue to remain and we will be doing some amount of fiber sales very strategically to some long -term customers and also value -added fiber so next generation fiber etc. So, those are things that will continue, but also to be mindful between cable and fiber there is typically a 5% scrape so it won't be that the delta is exactly what we will sell externally. Some portion of that we would utilize, we would use larger portion than 42 in our own internal captive requirement.
Pratik Singhania: And my last question would b e in respect to the services receivable, can you update anything with respect to that, what's the current status?
Tushar Shroff : So, I think receivable for the services with respect to some of the projects as we continue to execute some of the projects, it's starts to liquidate the outstanding that we have on --
Pratik Singhania: So, what kind of operating cashflow can we expect through services business this year given the release in the working capital from there?
Tushar Shroff : So, we are targeting something like Rs. 100 crores to Rs. 200 crores to be released from the service business this year.
Pankaj Dhawan : Thank you. We will take the next question from the line of Mr. Sunny Gosar. Sunny you can ask your question now.
Sunny Gosar : My

first question is in terms of the growth rate that you have highlighted at 10% to 12%, can you basically help us understand what would be the growth in the service business in that and what could be the mix of growth from the optical business, because that growth rate seems to be very conservative considering your digital business will growth significantly, although the base is very small but there is very high growth there. So, are you assuming a flattish or a degrowth in the service business?

Ankit Agarwal : Look I think, so maybe I will break it up, so certainly optical we have capacities coming on stream on one side, other side there are some I would say in near term areas we need to look at in North America in particular. We also need to be mindful and watch closely on the pricing and lead time. So, I think those are a combination of things we are watching out for particularly H1, but certainly quite positive or more positive in H2 on the optical. At the same time, as we Page 21 of 24 also shared briefly there is a lot of focus now internally to improve our cost structures and reduce our working capital which should support the business as well. So, that's broadly what we are trying to do on the optical part. And of course, then continue to look at options to grow our interconnect business as well. So, that's on the optical.

On the services part, I think three or four large opportunities for us, we are looking at scaling up our deployment with operators like Airtel and Jio so some interesting opportunities there. There are a couple of opportunities we have started to get into on the managed services and so we are looking to scale up on that. And then of course there could be big bang at some point in the current year if BharatNet materializes in some form. And certa inly, that's an area again with the right payment terms, right milestones and cash visibility we would look to participate and be a leading provider both on cable connectivity and the services for that business.

And then I think as Raman alluded to us have started with a base about Rs. 70 crores we think is a good base to now scale up from there, but again it's a small number compared to the overall STL number for the current year, current year are at about Rs. 6800 to Rs. 6900 crores and so even if you tak e 10% growth of that, that's another say Rs. 700 to Rs. 800 crores growth on that.

So, I think, I would say that balance is there some growth will happen on optical clearly, services we do see the opportunities but we are very mindful of cash being a prior ity in the services business versus topline growth and hence probably we are conservative there on those scaling up of services. And as I said IT service is a small base today.

Sunny Gosar : Just to reconfirm on this, in your guidance of 10% to 12% you are not assuming any big, or basically largely flattish numbers in the service business, right?

Ankit Agarwal : Sure, yes.

Tushar Shroff : Coming back to your specific point, the purpose of creating two separate entities is that you know the capital should not b ecome constraint for the growth of these two businesses, that is fundamental way that we have been looking at so both the business can grow independently without having any constraint on the capital. So, that's fundamental , that's the reason that we are cr eating this company, this is one of the clear reasons that we are looking at so that both the companies can grow independently.

Sunny Gosar : My second question is on the demand outlook that you highlighted basically you have been highlighting that there is some kind of demand softness in North America. So, considering the situation do you foresee any volume declines on a Q -o-Q basis? Or what you are trying to communicate is on whatever base we have in Q4 there may not be significant growth at least for next one or two quarters and then we can see growth in the second half? Or yo

u see some
declines for the next one or two quarters?

Page 22 of 24 Ankit Agarwal : So, we are still, I won't be able to comment in Quarter 2, because as I said Quarter 2 for us would be end of H1 an d calendar year for U.S. so we are watching the data still closely. But I would say that Quarter 1 there is a possibility of quarter -on-quarter volume decline. But also have to be mindful that both Europe and U.S. are typically a better margin region . So, I think those are elements that we are watching closely in terms of not just volume impact but also our profitability impact.

As I said we have got these inputs from the customers we are actively looking at how do we look at alternate customers, what more can we do, can we get more wallet share from our current customers and of course we are also looking at other markets outside of North American and Europe including in India and other markets where we can further scale up our cable sets.

Sunny Gosar : My t hird question is on the margin profile, so you have done a very good job of scaling the optical margins to about 21% more than 21% in Q4. So, basically on the cost, you have given a good direction on the pricing and demand but on the cost side are all the cost savings in the base or are there further potential cost savings possible from say either helium cost or any other raw material or logistic cost, so how should we look at the margin for FY24 as a whole? I understand Q1, Q2 maybe slightly challenging bu t how should we look at FY24 as a whole?

Ankit Agarwal : Yes, so I think still as a I said a little bit early to say, I can tell you what we are focusing on. I do believe there are opportunities for cost reduction purely from the operations, then of course as we had called out helium has been one big x factor for u s and that we still continue to see challenges and shortages in the market from a pricing and availability perspective. Our own current view is that probably another 5 to 6 months at least that will continue to be a concern.

On the positive side, obviously we have talked about trying to push forward on the connectivity side where we have seen higher margins so I think that is something that certainly into H2, we do believe that should improve and there is a focus there. So, I think there is a balance of the se

two or three things some possible volume decline, some challenges in margin because of U.S.
sales, some cost areas where we are focusing to improve but helium continues to be a concern
and then possible upside from the interconnect. So, I think it's a b alance of all of these things.
I would say currently we are focused that at least we should get to 20% margins but again it
can vary little bit at least in H1.
Sunny Gosar : Any my last question is on the margin on the service and the digital business, so t here was
some margin improvement that we saw in the service business in Q4 and now with UK business
say breaking even in March 2023 how should we look at the margin profile in the service
business going forward say for the immediate quarters and the full y ear FY24?
Tushar Shroff : So, Sunny, we have been looking at the EBITDA margin profile to improve presently from 4%
on a consolidated service level to the 8% kind of a level, that we will be looking at. So, gradually
Page 23 of 24 growing on quarter -on-quarter basis with improvement in terms of overall operations in UK we
see that there will be a gradual growth in terms of an EBITDA.
Sunny Gosar : So, will it be fair to assume that 4% is the base now and you should see gradual improvement
every quarter going forward?
Tusha r Shroff: Ideally yes.
Sunny Gosar : My last question on the digital business so the EBITDA burn was about Rs. 35 crores in this
quarter --
Ankit Agarwal : One part mindful of that specially monsoon is typically lower deployment right in India. So, I
think that's something we will have to watch for in this kind of June

/July/August monsoon
period, where actual deployment would be a challenge for our projects across India.
Sunny Gosar : And on the digital business, your burn in Q4 was about Rs. 35 crores . So, is this the peak
quarterly burn that we should see or there could be, for the next one or two quarters , a higher
EBITDA loss and then basically breakeven towards the end of the year. So, how should we look
at that?
Ankit Agarwal : Yes, we believe this is the peak, it should start coming down as our utilization of our teams and
the projects that we have start to improve. And then as we said, get to breakeven by say
between Quarter 3 or Quarter 4-time period.
Sunny Gosar : In one of the statements, you highlight ed that your investment in this business for FY24 also
could be Rs. 125 crores but then that won't add up right?
Ankit Agarwal : Correct, so between I would say currently visibility is around Rs. 120 crores obviously say for
example if entire Quarter 4 breaks even to that extend Rs. 20 to Rs. 30 crores could be lower,
but we are in that range of, I mean I would say safely take about Rs. 100 crores for example.
Pankaj Dhawan : Thank you. So, ladies and gentlem en with this we come to the end of Q&A session. I now hand
it over back to Ankit Agarwal for closing remarks.
Ankit Agarwal : Before I do my closing remarks, I just wanted to highlight that I was recently in a forum in
Brussels with our ministers representi ng panel of Indian CEOs and I must say there was a lot of
excitement and positivity for increasing partnership between Europe and India. And really I
think that presents a lot of opportunities even for STL across our businesses on optical and
services and of course on IT service as well. So, I think there is a very strong interest, I think it
was a privilege and very grateful to be part of that forum, with the ministers. And I am very
bullish that the business between India and Europe will grow significantl y from here given the
kind of conversations happening.
Page 24 of 24 So, overall, again thank you everyone for attending this call, showing interest in our company,
for all your inputs over the several quarters. We hope we are able to address and clarify all
your querie s. We hope we have given you good visibility of how we see the market in the
coming quarters. For any further questions and discussions please feel free to contact investor
relations team which includes myself and Tushar. We really look forward to continui ng this
conversation with you in the future. We welcome you to visit our facilities, which I think you
will find very interesting. And do keep in touch. Thank you, stay safe.
Pankaj Dhawan : Thank you all.

Call: Aug 2023

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India .
CIN - L31300PN2000PLC202408
August 01 , 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051.
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 1 FY24
Ref.: Scrip ID - STLTECH/ Scrip Code - 532374
Dear Sir/Madam,
In furtherance of our letter s dated July 18 , 2023 and July 27, 2023 respectively, please find enclosed transcript of earnings call held on July 27 , 2023 in respect of Company's Q 1 FY24 financial results.
The same is also being hosted on the website of the Company and is available under t he tab ' FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://www.stl.tech/downloads.html#qiect
Kindly take this on record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Amit Deshpande
General Counsel & Company Secretary (ACS 17551)

Encl.: As above.

Sterlite Technologies Limited Q 1 FY24
Earnings Conference Call Transcript

July 27, 202 3

MANAGEMENT : MR. ANKIT AGARWAL – MD, STL
MR. TUSHAR SHROFF – CFO, STL
MR. PANKAJ DHAWAN – HEAD IR, STL

 Pankaj Dhawan: Ladies and gentlemen, good day and welcome to the STL's Q1 FY24 Earnings Conference Call.
I'm Pankaj Dhawan, Head, Investor Relations at STL.
To take us through the results and answer your questions, we have Ankit Agarwal, Managing

Director, STL and Tushar Shroff, Group CFO, STL.

Please note that all participant lines are in the listen -only mod e as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. You can also download a copy of presentation from our website at www.stl. tech .

Before we proceed with this call, I would like to add that some elements of today's presentation may be forward -looking in nature and must be viewed in relation to the risks pertaining to the business. The Safe Harbor clause indicated in the presenta tion also applies to this conference call.

For opening remarks, I now hand over the call to Ankit Agarwal. Over to you, Ankit.

Ankit Agarwal: Thank you, Pankaj. Good day everyone. Thank you for joining our Q1 FY24 earnings call today.

Just to reiterate, our strategic priorities for STL remain the same and are as follows: Firstly, we will continue to grow the optical business by increasing OFC market share and the connectivity attach rate that we've been speaking about. We've also started projects to optim ize our raw material and fixed costs in the business to become more competitive.

Secondly, we shall continue to consolidate global services in the segments of our choice. We are building new capabilities for value added services. We are also working to imp rove the UK operations profitability that we've touched on earlier. Last but not the least, we shall build the digital business through focused investments in new technologies and capabilities.

Let's first touch on the optical business. The 5G deployments continue to remain strong globally. As of June 2023, a total of 532 operators in 160 countries have invested in 5G networks, with over 254 operators having launched commercial 5G services. At least 41 carriers in 20 countries have launched standalone 5G ne tworks. There are already 1.1 billion 5G subscribers in the world, which is expected to reach 1.5 billion by. the end of this year. Leading the 5G deployments is China, which plans to increase its 5G base stations from 2.3 million to 2.9 million by the end of 2023. Also, fiber -to-the-home deployments continue to remain strong. In the US, the number of homes passed in 2023 is likely to remain at similar levels as 2022. As examples, Frontier Communications passed 339,000 homes in Q1 2023, up by 60% over Q1 2022, while AT&T added 600,000 locations in Q1 2023. In the UK, 4.7 million home passes are expected in this year. Similarly, in Germany, Deutsche Telekom plans to pass another 3 million homes in 2023. Lastly, China continues to deploy fibers now more and mo re for fiber to the room applications to prepare for AI and Internet of Things.

The Biden administration has recently announced the distribution of funding of over $4.2 billion, the BEAD program. The funding shall be used to primarily deploy last mile fibe r networks. The funds expected to flow to states early next year and shall start to fund projects by the middle of 2024.

In total, government plans to spend close to 100 billion in building broadband connectivity by 2030. We expect the excess inventory to correct and growth to come back by the end of the year. Therefore, we remain committed to the US market and continue to broaden our customer base. In this regard, we have recently announced a partnership with Windstream, a privately held communications and software company. Our collaboration started in February 2021. We will provide them with advanced optical designs like high fiber count, intelligently bonded ribbon and flat ribbon in addition to loose tube cables. These products are designed to

ensure

faster rollout and superior network longevity, which aligns perfectly with the Windst ream's requirements.

I'm also happy to share that China Mobile has announced the results for 2023 -24 tender. The tender volume is 108 million fiber kilometers. While it is lo wer than last year, the previous tender was actually extended beyond 12 months. The final settled average weighted price remains unchanged from last year in local RMB terms. The big five players in China got a majority of the tender volumes, which is very positive, which will lead to consolidation in the China market. The tender war might mitigate any price risk that we see out of China in the near term.

In addition to the China Mobile, China Telecom has also announced a tender of 50 million fiber kilometer s, which I am happy to share that is higher than last year.

Now, coming to the demand outlook, as per CRU, the medium term demand and optical fiber cable volumes expected to go up to 638 million fiber kilometers by 2027, up from 535 million in 2022. In the short term, however, as expected, global OFC demand is contracted by 3.4% in H1 2023, particularly in North America, demand contracted by 11%. However, the demand grew in Europe, Asia excluding China as well as the rest of the world.

Our market share rema ins stable at 11% in H1 of calendar year 2023 versus H1 of calendar year 2022. Our connectivity business also remains stable at 10%. We expect OFC market share to grow from H2'24 onwards. We also strongly feel that new products in the connectivity business should see a jump in attach rate from H2'24 onwards.

Coming to the financials for the optical business, in Q1 FY24 revenue stands at Rs. 1,112 crores, which is lower by 2% on year -on-year basis. OFC volume is lower on QoQ basis and OFC

Page 4 of 16 realization is also lower on QoQ basis due to change in geographical mix away from North America.

Even though revenue has gone down, EBITDA has gone up by 53% year -on-year basis to Rs.246 crores. EBITDA margins for Q1 FY24 stand at 22.1%. We have reduced our operating cost on QoQ basis to mitigate the realization impact.

Going ahead in Q2, we're taking the following actions to grow and maintain our operational profitability. #1 we're taking action to increase our share in EMEA, India and APAC markets to fill some of the volume gap from the US market. We continue to drive new product development, approval and commercialization in the optical connectivity business. And we have engaged a tier -one management consulting firm to further optimize our operating costs.

We expect these a ctions to start showing results from second -half of this financial year.

Now, let's discuss the progress in the global services business. In Q1 of FY24, in line with our strategy to win profitable projects with optimal fund involvement, we have won two key orders. The first one, we are a system integrator to provide the ICT infrastructure for data centers and for remote sites along with the responsibility of operations and maintenance.

In the second order, we shall supply optical fiber cables and shall do t he fiber rollout for 5G deployment in multiple circles for one of the largest Indian private telecom operators. We expect BharatNet phase -III tenders to be released in second -half of this financial year. As a result, we also expect our order inflow to incr ease as we go through the rest of this year.

In the global services, Q1 FY24, now revenue stands at Rs.353 crores EBITDA has gone up by 27% on year -on-year basis to Rs.28 crores due to a favorable project mix. The EBITDA margin at Q1 FY24 stands at 7.9% in line with our expectations.

Our project execution in the services business is on track. Among Indian public projects, BharatNet projects, for State of Telangana 65% complete, including all packages. The network modernization project is 68% complete. The f iber rollout project is 3% complete. The new manage

d services project is 12% complete. And additionally, we've just started the data center project that I spoke about.

In the Indian private side, fiber rollout projects for a large tier 1 telecom operators, 20% complete for phase -III. Fiber rollout for another large telecom operator phase -II is 28% complete. And finally, the fiber rollout for a modern optical network for another Indian private customer is 58% complete.

Coming to the UK, fiber -to-the-home rollo ut in the UK for projects combined is that 31% complete.

Page 5 of 16 We shall now talk about the updates for. STL digital business. In STL digital, we are continuing to grow with momentum. We acquired new customers in the US and India across technology and service ind ustry verticals. We have more than 20 plus active customers at the end of Q1 FY24. We also had a very strong deal inflow in the Q1 of FY24.

We are happy to announce that we have signed strategic partnership with SAP and Google to offer the solutions jointl y to our customers.

We have also expanded our delivery team to 950 plus consultants and our open order book is also very healthy at 900 plus crores.

In line with the expectations and despite a tough industry environment, we have grown our revenues on QoQ b asis to 62 crores. Our EBITDA loss for Q1 is at Rs.37 crores. We expect to maintain this growth momentum, but at the same time, we also expect the losses to go down as the revenue ramp up increases.

I now hand over to Tushar to talk about the financials.

Tushar Shroff: Thanks, Ankit. Good day, ladies and gentlemen. Q1'24 revenue up by 2% on year -on-year basis to Rs. 1,522 crores. EBITDA grew by 42% on year -on-year basis to Rs.235 crores. EBITDA margin increased correspondingly to 15.4%. Net profit after mino rity interest and share of joint venture increased by 156% on year -on-year basis to Rs.46 crores.

In terms of new orders in optical business, we continue to win multi -million orders for optical fiber cable in Europe and Americas. We have already talked about new orders in service business in previous slides. In terms of a revenue mix, it has shifted to EMEA and India in Q1 FY24 in line with our guidance in previous quarter.

Our open order book at the end of Q1 FY24 is Rs. 10,938 crores. Our order book is well diversified across our customer segment and also across all our businesses.

We have placed a bridge version of our reported numbers for your reference. Our net debt is stable on quarter -on-quarter basis.

Also, we have filed a demerger of service busin ess with stock exchange. We expect to complete the demerger by fourth quarter of next financial year.

Based on current US OFC industry situation, we are revising our revenue guidance to 7% to 9% growth for full year. However, we are still targeting net deb t to EBITDA to be at 2.5 times.

On this particular slide, one major update is our ESG rating by MSCI has gone up from Triple B to A which is positive.

Page 6 of 16 In summary, I would like to say that we shall target to gain the market share across our focus

markets, p articularly in EMEA, India, APAC markets to fill the volume gap from U.S market. We shall also optimize our operating cost to maintain the operating profitability.
In global services, we continue to move towards the value added services with improved margi n and fund involvement. In digital business, we shall consciously invest to grow the revenue and reduce the EBITDA losses on a quarter -on-quarter basis.
Last but not the least, we are targeting to grow 7% to 9% in FY24 with reduced net debt to EBITDA at 2. 5 times by the end of financial year.
With this, we come to the end of our commentary and we shall now open for Q&A.
Pankaj Dhawan: We'll take the first question from the line of. Mr. Mohit. Please go ahead.
Mohit: So my first question is on the North Amer ica business, right. I mean there seems to be some slowdown which we have also in

dicated. So, can you give us some color, what is driving this slowdown, there's a slowdown in 5G, is the adoption slower, is the CAPEX investments have gone down by the teleco m players, so what is driving the slowdown in North America because the inventory, has also got built up?
Ankit Agarwal: Yes, absolutely. Thank you, Mohit. So I think as we shared even at the end of our previous quarter results and we've reiterated now, we do see some slowdown in terms of our sales specifically in North America. I think there are two or three elements that are playing out. I think #1 is as we had shared last time and we reiterate, broadly, there is still inventory with the tier 1, tier 2 pl ayers in the market. So as they start depleting that inventory, we do expect the demand to come back up. Currently, we do see that probably the depletion of that inventory will still take a quarter or two. So our own view is that we should start seeing goo d demand coming back in North America probably in Q3 and Q4 onwards. The second point is from the operator perspective, it's probably still taken time to scale up the deployment speed, that is still taking some time in terms of availability of skilled manp ower and execution capability, that's probably been slower than what the customers expected. And then of course, lastly, because of the higher interest rates and inflation, I would say, there's some level of caution from the operators in terms of really en suring they are doing the right projects. But at a macro level, I want to reassure that overall in our conversation with customers and what they have put out publicly, they continue to be committed towards long term deployment of fiber networks for all thr ee elements, whether it is linked to 5G, whether it is fiber -to-the-home, or it is for data centers, all of the requirements continue to be there, continue to be strong. One other part that we just shared was in terms of the BEAD. That has been announced i n terms of $42 billion. There have been discussions about allocation to the various states for the connectivity. Our view is the demand linked to the BEAD will come in half of calendar year '24 is when we should start seeing some positive demand linked to t hat.
 Mohit : My one other question is, there's a massive improvement in the gross margin. So is it that also a function of change in geography mix because your raw material consumption will be lesser or is it like the raw materials have cooled off as a whole? Once the demand in North America comes back, we'll just again go back to previous levels?
Ankit Agarwal: So Mohit, I would like to address this particular question. If you see that the material cost percentage has gone down mainly because the prices of some of the material has gone down as well as we have been working on optimizing the consumption of some of our key raw materials, correct, which is also helping us in driving the overall material cost. So, there are two parts to it. Structurally, we s ee that there is a price impact as well as the consumption impact in overall material cost.
Mohit : So there's an open order book of Rs.900 crores for STL Digital. So can you give us the average tenure of this order book?
Ankit Agarwal: So the average is ab out three to five years because it's over a period of five years, so we signed the long term contracts with the customer and we continue to provide the services over a period of three to five years.
Pankaj Dhawan: We'll take the next question from the line of Mr. Balasubramanian. Please go ahead.
Balasubramanian : One of your competitors mentioned optical fiber prices have been declined by 10% to 15% and other expenses also has been decreased by 10% to 15%, that's why the margin improvement will be there in this quarter. Whether this will be sustainable in upcoming quarters and optical networking side also we have witnessed 22.1% margins which is higher compared

to past four to five quarters. So like how do we see on the margin side in upcoming quarters? Also , also please provide the realizations in the market for OF & OFC side, that would be really helpful.
Ankit Agarwal: Firstly, I would say that we continue to be focused, as we shared, we do expect healthy mix between the various geographies given some of t he lower sales that we have seen in Q1 and we will also see in Q2, we are actively focused and also improving our sales in other markets. As we have shared through our presentations and previous discussions, we do experience higher realizations in U.S. mar ket. So to that extent, our share and volumes increase in other markets. The average realization for STL would come down. So that is our current expectation

probably for Q2 and we would need to see how our volumes come back in US as I mentioned probably in Q3 or Q4. So I think it will be a function of these things. In our current quarter, our realizations specifically for cable, I can mention, continue to be steady, it has come down marginally, as I said, because of the mix slightly away from US, but I stil l believe that looking at our focus, our priorities on improving our volumes which will be a focus for us going forward. We do see a good balance of other geographies as well.

 Tushar Shroff: And just to address your very specific questions on a gross margi n, as I said, we continue to work to optimize our material cost correct by looking at the consumption of key raw material, we have engaged the leading management consulting firm to help us out in terms of optimizing the productivity in terms of ensuring th e better yields as well as we are also looking at the right prices for some of the key raw materials that we procure.

Balasubramanian: Apart from North America, any other countries we are facing slowdown on that export side. So, if you could throw some lig ht on that, that would be really helpful?

Ankit Agarwal: No, sir, I think we continue to see good demand in Middle East, in India, in parts of APAC, we have seen slight slowdown in Europe market. But that we think should come back faster. Specifically, I t hink again, there it has linked to high inflation and high interest rates which have taken some period of pause. Also, typically, we are also seeing in Q2, for example, August, month and parts of September also slower months in Europe generally in terms of execution of projects. So we are looking at these elements, but overall I would say that we are still bullish on Europe market, we do expect that to bounce back. It is also a market where we have good amount of sales of our optical interconnect. So that's also something that we are bullish that will grow from H2 onwards.

Balasubramanian: Sir, on that digital and technology side, so we made this quarter Rs.62 crores. So, we may see the same kind of run rate for next three quarters?

Ankit Agarwal: I think what we can share about digital definitely, as you can see, we are really getting good order book, good commitment from high quality customers particularly in US and other markets. So, I think that gives us confidence on the underlying business and the val ue we are creating for the customers. What I would say is, as we had shared last time also, our focus is to make the business breakeven by Q4. That's the current priority and that will happen by further scaling up the revenue and covering the fixed costs a nd other costs. So that's something that the leadership here, Raman is focused on, and we are confident the way the orders are progressing and the customer conversations that we should break even by Q4.

Pankaj Dhawan: We'll take the next question from the line of Pratik Singhania. Please go ahead.

Pratik Singhania : My question is with respect to optical fiber interconnect business. So as compared to what we had planned at the start of the year and the actuals which are being repo

rted, there's quite a bit of divergence into our expectation at the start of the year. So what steps are we doing to rectify that, how can we grow this business further as compared to its full potential?

Ankit Agarwal: Good question, Pratik , I think absolutely right. In the past, we had looked at how do we scale up this business probably even faster. I think some of our learnings that we did share last quarter as well is that the whole cycle that it takes from understanding the customer's problems, creating some unique innovation, c reating the IP, getting that approved through the technical cycle of the customers and then getting large scale, then trial rollout and larger scale rollout. I think that whole time period has probably been longer than we initially expected. We are much mo re mindful of the entire cycle now. Having said that, we are definitely in trials with various customers globally. And so it's one of those things where as more and more of our customers get comfortable and we successfully pass through this trial phase, we do expect good volumes to come up for the products. Another thing that we have done is very proactively invest both in the product development as well as the team development for this business. So, very happy to share that we have got onboard some very st rong talent globally to help scale up this business. And on the customer end, we are also adding resources who are very comfortable with this product portfolio and really is looking at that package solution of cable as well as the interconnect together for our customers. So, I'm confident that probably by Q3, Q4 we should see some improvement in sales and certainly going into next year we are even more confident that the sales will come up. So, I agree with you. In summary, I think versus what we had though t of how this would scale up, there's been a lag. I think we've taken some of the learnings and I'm confident of our actions that this will start stepping up as we particularly go into H2 of this year.

Pratik Singhania: So based on the revised plan in ter ms of the scale and the execution, what kind of an exit quarterly run rate you see by say FY24 end and by FY25 end?

Ankit Agarwal: We are not sharing that kind of forecast currently. What we had shared was about our vision of getting to a high attach rate if you remember in the past, versus that, as you can understand today, we are at a 10% attach rate. What I can say is clearly our intention would be to scale that up, both see that as an important lever with our customers and as we have shared the margins on our interconnect are closer to 30%. So, there is clearly an intent to scale it up also from a bottom line perspective.

Pratik Singhania: My question would be with respect to the consultant that we have hired. So, what kind of conservative cost -cutting initiatives that you have taken would result into, and by when we can see the results percolating in our financials?
Ankit Agarwal: We won't be able to share too many details, but what I can share is as I said, it's a tier 1 consultant who has experience specifically working with us on optimization of all our costs, also looking at our consumption, we had shared in the past where we had certain raw materials and gases which had high cost for us. So, we have been actively working with the consultant for a f ew months now. We do expect some of these benefits to start flowing in H2 of this year and some of it will come in Q2 as well. As we progress, we will share our overall cost improvements. We won't be able to share things directly linked to any specific con sultant.
Pratik Singhania: So, if you can quantify how many bps of EBITDA margin you are envisaging because of this entire exercise of cost initiatives?
 Tushar Shroff: Overall, the entire management team is presently working on it. So the kind of savings that we have been looking at is,

some of the savings are under the evaluation stage. So at this point in time, we will not be able to actually quantify in terms of that whatever is the total savings that we will be able to generate, because these are our t echnical matters and which requires a thoughtful evaluation before implementing any changes, correct. So that's why at this point in time, it is too early for us to quantify any kind of a savings that we are planning to accrue for this particular financial year. But, definitely, the team is working on it, there are different projects, different teams which are working on various aspects, material costs, material consumptions, indirect spends. So, a lot of other areas that we have been working on to optimize the overall cost structure for this business.
Pratik Singhania: So, in terms of the business environment in US as compared to last con call when we had discussed the environment to be a weaker for a couple of quarters as compared to last quarter, the sce nario remains exactly same, worsen, better like what is the feel over there?
Ankit Agarwal: Good question. I would say, on the positive side, I think there is more clarity now with the announcement of BEAD, right. So I think that's clearly a massive quantu m, $42.5 billion dollars. There's more clarity now around which states will get what kind of allocation, how will the flow happen and a lot of that will now start getting worked out and clearly we think at least 20% of that quantum there will be procuremen t and deployment starting to link to that starting in kind of mid of next year. So I think that's positive from a market perspective, and clearly as we said in the past, a vast portion of that will be directly optical fiber as the medium for connectivity. Again, most of the telecom operators have reiterated their focus on optical fiber and fiber deployment. So we continue to track that very closely. I think what we had shared is that probably for two quarters at that point we had shared that we see it takin g time to go through the inventory. I would only add that continues to be the case. Whether it's two quarters or three quarters is the only X -factor in our view. So we are watching that closely. We'll certainly update you probably during the next set of re sults, but certainly nothing more has significantly changed. Our own interactions with customers remain very strong, as you would have seen with for example with our Windstream press release, customers are really appreciating our product portfolio, our inn ovation, the fact that we are now manufacturing locally in the US and supporting made in America. So I think these things are going quite well for us.
Pankaj Dhawan: We'll take the next question from the line of Mr. Kaushik Poddar. Kaushik, you may ask you r question now.
Kaushik Poddar : My question is with regard to the debt -EBITDA ratio of 3.5 that you have projected to be at 3.5 at the end of this year.
Tushar Shroff: I think it is 2.5 that is what we are looking at targeting.
 Kaushik Poddar: So will you be able to attain this with the current state of operation or you have factored in a rights issue or something of that sort?
Tushar Shroff: So I think it's a mix of two things. One is it is mainly from the current operations at this point in time, because we are also working on cost optimization project and how effectively we are able to serve our customers in terms of the cost. So that's something that we have been working on and I think that also should start accruing over a period of time, and that shoul d drive us in terms of generating better cash and should be able to reduce our debt. Similarly, on our GSB side, we have clear focus on execution. If we have been able to complete some of the projects in terms of a better execution, we will be achieving so me of the critical milestone. That also will be able to help us in terms of releasing some cash which is bl

ocked in some of these projects. So those are the two levers that should help us out in terms of releasing the cash and reducing the net debt -to-EBITDA.
Ankit Agarwal: And also as some of the losses in our digital business comes down, to that extent that would improve our EBITDA.
Kaushik Poddar: So you don't have any rights issue in the immediate future, right?
Tushar Shroff: As of now, we continue to purs ue, but we have not factored in this particular working at this

point in time.

Kaushik Poddar: And this U.S. is talking about making US products and all those things. So, does that help with your operation in US, do you stand a better chance in the bids th at are to be bid out in next year or something?

Ankit Agarwal: So, I would say broadly Kaushik, that's been the whole strategic intent of why we set up the cable factory there. It's really a world class facility we've set up there. We're very proud of it. When the whole intent there was to provide world class service locally to tier 1, tier 2 operators, hyper scalers etc., that's certainly I would say helped us in terms of our branding and positioning and really providing that quick turnaround, quick servic e to the customers. And again to retreat customers like Windstream coming on board and being proud of the partnership. So that's the whole intent. Again with projects either with our current customers or large projects would be the whole intent is to suppo rt those projects through our local manufacturing.

Kaushik Poddar: And is the peak of CAPEX behind us and from next year onwards, there will be hardly any CAPEX, is that the way to read?

Ankit Agarwal: So I would say, see, currently we are in that range, if you see last year we were in the range of about 400, even this year we talked about 350, 400, but I think also linked to what Tushar just mentioned, looking very closely are a net debt, EBITDA, etc., We are re -evaluating all the CAPEX even for this year and going forward. We really want to make sure that we generate cash as a business and then can reduce our debt. So, I think those are the elements that we are just balancing. But overall, first priority is whatever capacity we have set up to make sure tha t we utilize those fully. As given the current lower volumes of Q1, etc., the first focus is to ensure we get the right customers, right orders and we fill up our factories.

Pankaj Dhawan: We'll take the questi on from the line of Mr. Sunny G osar. You can ask your question now.

Sunny G osar : I had a couple of questions. So first is on the US market. So we were doing about Rs.750 crores plus kind of quarterly revenue run rate in US which has dropped below Rs.450 crores in this quarter. So although I understa nd that the demand is soft, but how should we look at in terms of number, so when this bounces back, say like in Q3 or Q4, do we expect to go back to that 750 crores plus run rate? And second is, is this the bottom in terms of a quarterly run rate, it may not grow, but do you see that this is the bottom in terms of the quarterly performance in the US specifically?

Ankit Agarwal: Yes, good question. So, I would say we're still watching the US market closely. I don't think we can say definitive when the demand will fully come back, because I told you it's a function of these 3 -4 factors. How quickly do they deplete the high inventor y that they have? Second is, how can they scale up the execution, which is a constraint. And then obviously their internal metrics around looking at the higher interest rate, etc., how quickly they want to deploy their capital. In principle, in our convers ation with customers, their intent to roll out continues to be strong. So, it's more a function of going through the inventory and the other elements. That's why what we have been saying is that it will be two quarters. What I just shared a few minutes back is that it could be up to one more quarte

r where it takes that kind of time. Also, when we look at some of our peers in the industry, that's also similarly what we understand not only for STL, but also for our peers that it could be even up to end of thi s calendar year that it takes to run through the inventory and the fresh ordering comes through. So to your specific question, this is the time period it will take for us to get back our volumes. Principally, our customers remain committed with us. We are their preferred partners in many of the large customers plus as we have been able to start supplying from our US facility to them, that will also increase. We do share a good relationship with the customers. What we are doing in the meantime is to ensure t hat to saturate our facilities. We're looking at ensuring that we increase our volumes in other markets like APAC, India and the Middle East.

Sunny G osar: Just to harp on this a little bit more basically, do you expect that whenever this bounces back… I'm not saying, Q3, Q4, but this bounce back will be to the older levels or you feel that may take a much longer time like when you did more than 750 crores in a quarter, from 450 crores to 750 crores, will this bounce back be as sharp whenever that is to hap pen or that that?

Ankit Agarwal: See, it's a function of both things -- volume and realization, right. So, I think both things we are looking at closely. Again, it's a function of timing of the orders, other things. So, we could have some reduction in real ization, but I think structurally from a volume perspective, we continue to see that to be strong. Again, it's a function of how quickly the depletion happens, particularly with our large customers, both in tier 1 operators as well as some of our distribut ion partners, we do see that volume coming back.

Sunny G osar: Second question is on the optical margin. So it's commendable that in spite of the operating deleverage, you guys have delivered like a 22% margin on the optical side. So, if you can help me un derstand like what has changed because we were seeing improvement in quarters before that, from the freight cost and some other cost elements reducing, but what has aided this improvement in spite of an operating deleverage? And once say your revenue goes back to your peak quarterly level, do we now look at a much higher base in terms of optical EBITDA

margins going forward versus your earlier range of say 20%, 22% that you had been guiding, so do we now at a higher revenue base, look at much higher margins ?
Ankit Agarwal: I'll make one comment and I'll pass to Tushar. I think it's two things we'll have to keep in mind, Sunny. One is how will our realizations particularly in U.S. market move going forward and that's what I was alluding to earlier. Today, we can't fully commit the same realizations, there could be some reduction in realizations going forward. So that's something we just have to watch on where that could take us. I think the second part overall on margins, to your point is also a function of ho w we see the interconnect scale up, may not be very substantial in second - half and then it could further increase in the next year for example. So I just keep these two X - factors in mind of what could also drive the margins going forward.
Tushar Shroff: To your specific questions, I think this quarter also in spite the fact that we have lower volumes and in spite the fact we have been able to improve on the overall margin, so we are putting our all the efforts to ensure that we are at this kind of a margin in spite the fact that we have the challenges maybe in terms of making the volumes, but as an organization we are committed to maintain that kind of a cost basis, whether it is a direct spend or indirect spend to ensure that we are able to maintain the rig ht profitability for that particular business. So, our approach is more disciplined as compared to in the past. So it is going

to balance in terms of whatever
we may have the impact in terms of realization, if realizations are at the current level, I'm sur e that we will be able to improve on the overall margins, that is what is my outlook.
Sunny G osar: So on the global service business, we have again shown like very good margin performance. So, again some outlook on how should we look at margin going forwa rd, is this the base going forward, can we see some improvement or this is the level that we should work with going forward?
Ankit Agarwal: So I think there's two parts to it. As we said, we are definitely focused on any projects we take on, whether privat e sector or in the public, we're very conscious of the margins and the cash flow. So I think that's definitely a very strong discipline with the CEO, Praveen and his team for this business. So I think that's something we continue to watch closely and I thi nk we continue
 to see how we can keep these margins and see to improve them as well. The X factor certainly for our services business will be the BharatNet project which we should have better visibility in the coming months, but clearly that will be a larg e 3-4-5 year, execution that will happen and then maintenance of that going forward. So I think that's one X factor to keep in mind. I would give one caveat. We still have challenges with our UK business. We had talked about break - even . it's been in that r ange of break even or marginal losses. So that's something we're watching closely on how we can turn that around so that overall the profitability of services can also improve.
Pankaj Dhawan: We take a few questions from the chat in the meanwhile which has come. So one is on the digital business. So, when can digital business be EBITDA positive? And second is that can you give some more color on the strategic partnership that we have signed with SAP and Google and how are we looking at in the long run.
Anki t Agarwal: On the first part, as I said, we are looking at break even in Q4 and probably get to positive EBITDA in Q1. I think as we stated, we have a strong team in place, we have 950 consultants, we have over 900 crores order book. So I think all the inv estments that STL has done into this business, this is the right time where the business scales up and starts performing. So I think we're at that phase. I think specifically to your question in terms of the details of the business, I can just give you som e more details; so essentially, we have tied up a partnership with SAP, which is a market leader in ERP. Essentially, the objective is to help our clients to upgrade to resilient future proof and scale ready operations and we're essentially enabling them t o be cloud -enabled for their business modernization and some of the key features of SAP, you might be aware with is for example, their eyes with SAP that they have. So, essentially the partnership pairs our digital services, C -Suite advisory and strategic implementation along with SAP's market leading expertise and enterprise software and cloud solutions.
Pankaj Dhawan: We'll take one more question from the chat. Can you talk about the working capital movement in the first quarter?
Tushar Shroff: So as you know that we have three businesses in terms of optical network, service business and our digital business. Optical network and the service business is working capital -light, while the major working capital requirement is generally for the service businesse s. As we continue to execute and progress on some of the contracts that we have been awarded with, the initial… till the time we don't achieve those milestones, we continue to invest in the working capital, that all will get released once we start to achie ve the milestone which is required as per the tender conditions. So for this particular quarter, yes, we have made some investment in working capital for our GSB business.
Pankaj Dhawan: One mo

re question in the chat is that for the USA, how much time it w ill take to clear the inventory, any data points if you can give, that would be helpful?

Page 15 of 16 Ankit Agarwal: I think we touched on it, so broadly as we said earlier in the last performance call, it would take two quarters. Our current view is it's somewhere bet ween two and three quarters is what we see. We're tracking announcements by our customers and in our conversations as well we're seeing how we can support them, and at the same time, we ourselves are looking at other markets to increase the volumes.
Pankaj Dhawan: Probably one last question from the line of Mr. Kaushik Poddar again. Kaushik, you can ask your question.
Kaushik Poddar : Can you give us the rationale for this separation of the service business? And will the service business include your digital also?
Ankit Agarwal: No, so Kaushik, this is a standalone what we call are global services business where we do large scale deployment of networks and we do system integration. So it's purely that vertical. So Kaushik, we had shared the rationale last tim e. I'll reiterate and Tushar can add. But, essentially, when we look at the businesses we are in, from our perspective, our customers and then we look at various stakeholders, looking at investors and we look at what is the underlying capital model of the business is. We clearly saw that particularly when we look at the optical business vis-à-vis the services business, these are fundamentally very different models where clearly a lot of working capital is required for the services business vis -a-vis optical is essentially more CAPEX -heavy, needs more investment in the manufacturing. One business is fairly global, tier 1 telecom operators where we provide our cables and connectivity, and other is more system integration and more EPC kind of business. And also then looking at feedback from various stakeholders, we also realize that the investor profile is quite different for these businesses. So, clearly the intent is to scale up both the businesses, the optical business as well as services. And then we are loo king at feedback, looking at inputs and advice, we felt it's best to look at a demerger. So both the businesses would be listed separately, as a one -to-one ratio and we do believe this will enable the right kind of investment into the two businesses separa tely and will help to scale up both the businesses. So that's at a high level the thought process. We are confident as we said that probably by Q1 of next year, we should complete this process and it will enable the growth of both the businesses.
Kaushik P oddar: And digital is not part of this service business, right?
Ankit Agarwal: No, that will stay with the current STL.
Tushar Shroff: So, Kaushik, the detailed scheme of demerger is already uploaded on the website, and it's also available with the stock e xchanges now.
Pankaj Dhawan: Ladies and gentlemen, with this we come to the end of our question -and-answer session and I now hand it over back to Ankit Agarwal for closing remarks.
Page 16 of 16 Ankit Agarwal: I'd like to thank everyone for attending this call, showing interest in our company and we hope to be able to address and clarify all your queries and comments. I'm personally very, very excited with how we see STL going forward. We really are taking an Indian brand globally and setting global benchmarks for manufa cturing. We're really living through our purpose of connecting the unconnected and transforming millions of lives. I'm also very happy with our impact, how we enabling our country to move forward on 5G, how we're supporting our defense networks and we're c onnecting the remotest people of India on high quality optical fiber. So very, very bullish on playing our own role to take India forward. For any further comments, questions and discussions, please feel free to contact our Investor Relations t

eam,
which i ncludes myself and Tushar. We really look forward to continuing the conversation with you in the near future. Thank you. Jai Hind.
Tushar Shroff: Thank you.

Call: Nov 2023

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India .
CIN - L31300PN2000PLC202408
November 01, 2023

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051.
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 2 FY24
Ref.: Scrip ID - STLTECH/ Scrip Code - 532374
Dear Sir/Madam,
In furtherance of our letter s dated October 20 , 2023 and October 27, 2023 respectively , please find enclosed transcript of earnings call held on October 26 , 2023 in respect of Company's Q 2 FY24 financial results.
The same is also being hosted on the website of the Company and is available under the tab ' FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://www.stl.tech/downloads.html#qiect
Kindly take this on record and acknowledge the same.
Thanking y ou.
Yours faithfully,
For Sterlite Technologies Limited

Amit Deshpande
General Counsel & Company Secretary (ACS 17551)

Encl.: As above.

Sterlite Technologies Limited Q2 FY24
Earnings Conference Call Transcript

October 26, 2023

MANAGEMENT : MR. ANKIT AGARWAL – MD, STL
MR. T USHAR SHROFF – CFO, STL
MR. LAKSHMI IYER – HEAD IR, STL

 Lakshmi Iyer : Ladies and gentlemen, good day and welcome to the STL's Q2 FY24 Earnings Conference Call. I am Lakshmi Iyer , Head, Investor Relations at STL.

To take us through the results and answer your questions, we have Ankit Agarwal, Managing Director, STL and Tushar Shroff, Group CFO, STL.

Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. You can also download a cop y of presentation from our website at www.stl.tech .

Before we proceed with this call, I would like to add that some elements of today's presentation may be forward -looking in nature and must be viewed in relation to the risks pertaining to the business. The Safe Harbor clause indicated in the presentation also applies to this conference call.

For opening remarks, I now hand over the call to Ankit Agarwal. Over to you, Ankit.

Ankit Agarwal: Thank you, Lakshmi . Good day everyone. Thank you for joining our Q 2 FY24 earnings call today.

Just to reiterate, our strategic priorities remain the same and are as follows. Firstly, we continue to grow the optical business , we are increasing the optical fiber cable market shar e and connectivity attach rate. Initiatives to optimize raw materials and fixed costs in the business to become more competitive are ongoing. Secondly, we shall continue to consolidate our global services business in select segments . We are bu ilding new capabilities for value added services and looking at improving the profitability. Lastly, but not the least, we shall build the digital business through focus ed investments in building technology and domain capability and looking at getting to EBITDA breakeven in the near term.

We shall now cover the outlook and performance of our optical business. Coming to the demand outlook as per CRU, the medium -term demand for optical fiber cable volumes expected to go up to 623 million fiber kil ometers by 2027, up from 535 million fiber kilometers in 2022. The short -term headwinds are mainly in the markets of North America and expected to continue with contraction in North America for 7.7% and in China by 1.9% respectively in 2023. CR U has made a downward revision of the earlier forecasts in North America for 2023 by 7%. The near-term downturn in North America is on account of inventory correction and is expected to correct in Q1 or Q2 of 202 4 calendar year. Service providers are already in t he process of participating in various government funded opportunities including the US$42.5 billion BEAD program. ST L's focus markets of North America, Europe and India are high potential and is estimated to grow at a CAGR between 2023 -2028 of 10.1% , 4.7% and 9.5% respectively.

This is something we wanted to share with all of you in terms of how the networks are evolving and the new way in which operators are looking at carpet coverage of fiber. Telcos on a global scale are prime d for substantial expansion of the 5 G subscriber base. Moreover, we now see 6 G technologies starting to create more and more noise in the market and it will be at the forefront by 2028 . From being linear with limited applications as you can see on t he left -k hand side of slide 8, fiber has now become denser and all pervasive . With the growing utilization of fiber in various applications like Fiber-to-the-home. AI based data centers, edge data centers, smart cities, small cells and the in tegration of 5 G into smart enterprises , demand is expected to increase multi fold .

Presently , 5G penetration is 36% as per Omdia and 5G subscription is forecasted to grow at 184% in the North America, from 173 million to 601 million subscribers . In the case of Fiber-to-the-home , currently 67 million unique homes have been pa ssed out of the 129 million homes . As per CRU FTTH homes passed will increase in line with Bead from 8.7 million per year to 12.2 million in 2025, with a CAGR of almost 18%. Also , the current data center expansion in capex of between $50 billion to $60 billion is forecasted to grow to $90 billion by 2027.

Coming specifically to the BEAD program, as on date, the broadband mapping has been completed and state wise allocations for B EAD funding has been announced. The initial grant will release 20% of the funding, with funds expected to flow into the respective states by early 2024 and should kick start the demand recovery in the market. The fi nal grant will release the balance funding by early 2025 and will drive a continued demand phase beyond that. Since the deployment needs to be completed within four years of the award, there will be an adequate runway of growth beyond 2025 as well. Our US factory in North America is fully compliant with Build America By America ('BABA') regulations. STL is well positioned to capture the growth impetus from this BEAD program.

Coming to India , the 5 G subscriptions are expected to grow at a CAGR of 48% fr om 100 million subscribers currently to 700 million subscribers by 2028. Telcos are expected to spend between $1.5 billion to $2.5 billion for 5G fiberisation as per research reports . Similarly , the data center capex is also expected to grow sign ificantly between 2023 , where about $4 billion currently invested will grow to as high as between $16 to $20 billion by FY25. And just one example is Amazon Web Services is expected to invest $12.7 billion in data centers in India between now and 2030. As you may be aware, the India fiber per capita stand s at only 0.25 km compared to China at 2.5 km and US at 1.8 km indicating a massive potential ahead. The government has recently approved the Rs.1.39 lakh crore for Phase 3 of Bharat Net which is envisaged for upgradation of the fiber network across the 2.5 lakh gram panchayats of India .

Our market share remained stable at 11% in H1 of CY2023 versus H1 of C Y22. We expect the OFC market share to grow from second half of FY24 onwards . Our connectivity business attach rate has increased to 13% from 10% Q -o-Q basis . Commercialization of the new optical connectivity products will further increase the attach rate from H2 FY24 onwards .

Coming to the financials for the opt ical business, the H1 FY24 revenue stands at Rs. 2,196 crores which is lower by 10% on Y-o-Y basis on the back of lower OFC volumes but are partially offset by improved realization . Although revenue has declined but H1 FY24 EBIT DA has gone up by 8% on Y-o-Y basis to Rs.457 crores . EBITDA margins for H1 FY24 stands at 20.8% .Reduction in operating costs have ensured increase in mar gins.

Moving on to the performance of our global services business , our project execution on the service s business is on track. Among Indian public projects our Bharat Net project in the state of Telangana is 66% complete, including all packages. The network modernization project is 71% complete , our Managed Services Project is 31% complete and additionally we have just started the data center project .

On the India private sector, the fiber rollout project for large Indian telecom operator is 30% complete for Phase 3. Fiber rollout for another large telecom operator for phase 2 is 42% complete. And fiber rollout for a modern optical network fr om other private customer is 70% complete . In the UK , fiber-to-the-home rollout for all projects combined is 31% complete .

In the Global Services business , H1 FY 24 revenue stands at Rs. 728 crores , we have been selective in order intake and execution . H1 FY24 EBIT DA has gone up by 81% Y-o-Y basis to Rs.49 crores due to favorable project mix . EBITDA margin for H1 FY24 stand s at 6.7%.

We shall now talk about the performance of STL

Digital . In STL Digital we are continuing the growth momentum. We acquired new customers in the US and India across technology and services industry verticals . We had more than 20 plus active customers at the end of Q2 FY24 . We also had a strong order deal inflow in Q2 FY24 . Currently we have 43 plus active technology partners and signed strategic partnership s with SAP and Google to offer the solution jointly to our customers. Growth will be driven by a robust order book over 780 crores and the right team of leadersh ip and consultants .

In line with our expectations and despite tough industry environment , we have grown revenues to Rs.140 crores in H1 FY24, 25% growth on Q -o-Q basis . The EBITDA loss for H1 FY24 is at Rs.54 crores . EBITDA losses ar e trending downwards on Q-o-Q basis and expect ed to further reduce with increase in revenue run rate.

I now hand over to Tushar for further talking about the financials.

Tushar Shroff: Thank you Ankit. Good day ladies and gentlemen. Now we talk about ST L Q2 FY24 financial highlights. Q2 FY24 revenue stands at Rs. 1,494 crores . The 11% drop in revenue is on account of the reduction in the OFC volume s which was down on Y-o-Y basis, partially offset by improved realization. Q2 FY24 EBITDA margin is, howeve r up at 14.4% , margin increased by 50 bps on Y-o-Y basis due to improvement in operating efficiency. Q2 FY24 PAT is at Rs.28 crores on account of higher depreciation of US factory and increase in interest costs led by higher interest rates.

We talk about STL H1 FY24 financial highlights , STL recorded H1 FY24 revenue at Rs. 3,016 crores. H1 FY24 EBITDA at Rs. 451 crores which has increased 13% on Y-o-Y basis along with margin expansion of 2 30 bps. H1 FY 24 PAT stands at Rs.74 crores.

Now we talk about the revenue mix, which is now moving from US to other geographies . In terms of new orders , in optical business we continue to win multimillion dollar orders for optical fiber cable in Europe and Americas . In service s busine ss, we continue to win system integrator contract in a data center space and fiber rollout for 5 G deployment in India . In light of lower demand from North America , revenue mix has shifted more towards EMEA and India in Q2 FY24 versus FY23 with th ese region s accounting for 72% of revenue s.
Page 5 of 15
Open order book highlights , our open order book at the end of Q2 FY24 is Rs. 10,516 crores . Our order book is well diversified across our customer segments and across all our businesses .
The financial abridged version is placed before you , the main highlight of the financial is with respect to the net debt of FY24 for 6 month period has reduced by Rs.111 crores from FY23 . We expect to complete the demerger of Global Service business by Q1 FY25.

The curr ent demerger status is that we have recently received the NOC from both the stock exchanges for the demerger scheme and we will be filing the application with NCL T shortly.

In summary, I would like to state that in optical network business we sha ll target to gain market share across our focus market particularly in India , EMEA, APAC markets to fill the volume gap from US markets . Ramp up of US plant to capitalize on demand surge in North America going forward that is 24-25 onwards . Increase in optical connectivity to drive the growth and the attach rate. In global service business , we continue to focus on select projects to improve the profitability and optimize the net fund involvement.

In digital business, we continue to grow revenue an d achieve a n EBITDA breakeven by Q4 FY24. With operationalization of US plant, capex cycle has been completed . Our capital allocation priority will be towards the debt reduction .

In terms of guidance , given additional quarters for inventory correction in North America to play out fully , we expect the revenue to decline in FY24 . For FY24 significant

focus will be towards
the reduction in the net debt.

Now we talk about our initiatives on ESG . Our ESG rating from Morgan Stanley Capital International has improved from BBB to A . Major updates for the quarter - STL has become the world's first optical fiber manufacturer to launch independently verified eco label methodology . STL has collaborated with Hygen co for supply of green hydrogen fo r use in its manufacturing.

Now I hand over to Lakshmi for closing remarks.

Lakshmi Iyer: Thank you Tushar . Ladies and gentlemen with this we come to the end of our presentation and shall now move on to the Q&A.

So, Sunny please go ahead with your question.

Sunny : First of all, if you can help us understand that how is the demand situation evolvi ng in North America ? And basically, when you say that inventory correction will continue for few more month s so how should we read that in terms of the base revenue that you have done in Q 1 and Q 2 from North America? Whether the worst is over , and things start improving from here on out we do expect things can even worse n from here on .

Ankit Agarwal : So, I put it in two three areas. One definitely , probably since what we spoke last and guided last we still see more time required in Nort h America market to really get through that inventory and
Page 6 of 15 for the demand and the right kind of demand coming back with full steam. So earlier if you remember we had probably guided that somewhere around Q3 or Q4, we should start seeing that demand come bac k. We now see that w ill probably be closer to Q1 of next financial year , where we start seeing some of the regular or the good volume of demand coming back from North America. So that is one shift that we are seeing from the market perspective when we speak to our customers and also look at our peers in the industry. From the operations perspective, that also means what we have shared is , we have also looked at other markets including EME A as well as India for growing that and making sure that some of the volume drop gets covered in those markets. Of course our realizations as we shared in the past , are higher typically in North America and then in Europe as well. So , to that extent we do expect a decline from a revenue perspective. So that is what we have just shared in our last slide , that overall there will be impact on the revenue of the optical business and then overall for STL for the rest of the year.

Sunny: And by recovery do you mean that basically, we will go back to what you were doing before in

Q3 or Q4 of FY23 in terms of the run rate from North America? That is what you mean by recovery , or you mean that things improved from the current base because what is not clear from any of the commentary or the presentation is w hat the new base is looking like.

Ankit Agarwal: I think that is fair. I would say that there is still uncertainty certainly over next 6 months of how the demand pans out. So, I would say we are still looking and continuing to converse with our customers on how that demand comes through. So, we will probably be able to update you as we see that . What I am structurally saying is that , we do see fundamentally as the inventory comes down, the projects like BEAD and demand for that sta rts coming in, as well as the other projects start kicking in. We do fundamentally believe that the North America market will continue to start growing back in that timeframe as I shared , from Q1 next fiscal year onwards. So that is when we see that the d emand should be strong on the back of that and especially now with a US factory fully ready and fully compliant, we are very well positioned to capture that growth as it comes back. But we don't see it as kind of a hockey stick , there will be quarter on quarter improvement.

Sunny: Sure. Basically, if you can give some color on interconnect because there is no out

look or any
description on the interconnect business in the current presentation. So, how is that progressing and what is the attach rate we are operating at currently? And how do we see the outlook of that business in the near future and medium term.

Ankit Agarwal: So, as we share, this continues to be a top priority for growth for the optical business. The key areas for us have been very focuse d in terms of improving the attach rate compared to the cable that we do. What we have shared earlier also that we have seen some success particularly in Europe, so we want to continue to scale up in that market, but also exploring how we can scale up in other markets including North America. The reason we cannot give very specific forecasts is because of the fairly long cycles that it takes to get the approvals and to get in with some of the leading Telco operators. What I can share is that this is certain ly a top priority for us. We currently have improved from 10% to 13%, which is in Q2 and as we have shared earlier as well the intent is to continue to improve that going forward and certainly will continue to give you more visibility particularly as we st art improving our positioning in Europe and US.

 Tushar Shroff: Sunny you can refer the slide 12 where we have given a little color on OI attach rate in terms of how we are seeing it. In the quarter it has gone up to 13%. So, I think we have provided some information on OI on slide number 12.

Sunny: Sure. Thank you. Basically , on the global service business what is the status of your T -Fiber project? Because the completion rates look to remain stagnant there. So is tha t project moving very slowly? How should we look at the completion of that because I believe that the large amount of capital employe d is stuck in the service business t hrough some of these government projects? So, what is the outlook there , any color will be helpful .

Ankit Agarwal: So, you are right, that is an important project for us. Just to be clear, we continue to make progress in that project. There would have probably been slower execution on the account of factors like monsoon and other things but what is important to also remember is that the way these projects are structured, especially from a cash out perspective, are on achieving certain milestones. And so it is one of those elements where even if smaller amounts from a kilometer p erspective is achieved , but as you keep completing those links and milestones, then the cash payouts happen. So fundamentally, we believe that is the focus for us. We want to continue to move and you will see progress in this project broadly over the next 6 months. And the n as we see start hitting the milestone there will be disproportionate cash out from these projects, but structurally, there is a good understanding between us, T -fiber and as we complete these milestones, we have good confidence on th e cash getting released.

Sunny: Ok. Thanks for the detailed answers.

Lakshmi Iyer : Thank you Sunny. We will now move on to Bala.

Bala: I am Bala from Arihant Capital. Sir, I have one question , in the realization s ide you have mentioned the improvement on the realization. One of your competitors talked about decrease - on the OFC side they have mentioned Rs. 1,200-1.300 per fiber kilometer price corrections and on the OF side Rs.345 /350-380 in that range per fiber kilometers price corrections but we have mentioned about improvement in the realization. How do we understand this in this quarter?

Ankit Agarwal: Thank you , Bala. So, firstly we do not normally comment on our competitors. What we can share at least is that we have strategically always looked at our focus markets being Europe, North

America and India which largely contribute to 90% of our sales. These are markets where we have been very focused on selling o ur innovations , selling our p

roducts and also some element of the interconnects that comes through. Specifically on fiber and cable I won't be able to comment on specific realizations, but we have been able to push some of the price increases to our customers successfully and that is what has come through in our realizations improving from last quarter to this quarter.

Bala: Ok sir. On the debt side how much we are focused to reduce in this financial year ?

Tushar Shroff: Our internal target is to see that anything between Rs. 200-250 crores in terms of a debt reduction .

 Bala: Okay sir . On the volume side you have mentioned some volume drop , this volume drop is specifically in domestic market or in int ernational markets?

Ankit Agarwal: It is l argely international market. In fact, since we saw some of the slowdown in North America , we have in fact increased our sales successfully in the Indian market as well.

Bala: Okay sir , got that. Thank you.

Lakshmi Iyer: Nikhil Cho wdary please go ahead.

Nikhil Chowdary : First question is regarding the revenue growth guidance. So , on one hand C RU is guiding less than 1% decline in overall v olume ex China in '23. Our guidance states that our revenue growth will be negative. Is it fair to assume that we might be losing market share in some geograph y given our overall revenue growth is negative but overall market is more or less flattish.

Ankit Agarwal: So, I would put 2-3 parts to it , one categorically we are not losing market share. In fact, a big focus for us , is how we in fact increase our market share in this market scenario . As I also shared , we are very well positioned now in North America with absolute tier I and tier II customers we have on board , with the facility that we have now set up as well as now getting BABA compliant for BEAD . We are in fact very strategically well positioned to capture good market shar e as the market comes back. So , that is one on the US . In Europe also , with our facility o f Metallurgica and Optotec acquisition , we are in a strong market position to capture the Europe market . India as well as I just shared , we are in fact in creasing our share in the Indian market, with customers like Airtel and some others. So overall, we are quite well positioned. I would not comment on the numbers between how we are growing versus C RU because CR U is also an external market forecast. Wh at we are very clear is that these are the three current markets that we are operating in. Within this period, we are seeing how to maximize our market share on one side with our customers. We are looking to increase our interconnect business that we sp oke of and what Tushar has touch ed on is from an operational perspective really looking at cost efficiency to ultimately improve our profitability.

Nikhil Chowdary : Sure Ankit . Second is again on operating efficiency that you mentioned . Clearly we have seen quite a bit of improvement despite of challenging quarter and margin facing challenges to lower America's revenue. But just want to understand where we are in the journey, how much we have already traveled. And also , we hired extern al consultancy to guide us in terms of cutting our overall costs. So , maybe a directional guidance you can give where we are, how far we have reached and any color on that will be appreciated.

Ankit Agarwal: So, timing wise probably, halfway or 3/4th into that journey. So , we still have a few months where some of the impacts of these initiatives should continue to come through. I think what is important to understand is the way we have gone about it is that to make sure that structurally, we are in a better cost efficiency base. So that whenever as the market improves and other op erations improve we are able to hold on and get the benefit of these costs in the years to come. So that is how we have gone about it , these are structura

l ly focus ed and structu red initiatives we have had, looking at every element of our cost and making sure that we see the benefit of that. So, that is broadly where we are. We continue to believe that there are opportunities for further cost improvements, and we are focused on t hat.

Nikhil Chowdary : Sure Ankit . That's it from my side. Thank you. Good luck for coming years .

Lakshmi Iyer: Thank you Nikh il. Now w e will move on to Sohan Joshi .

Sohan Joshi: I am from ASC consultants and want to ask one question, what is it timefra me now within which we can achieve the net debt to EBIT DA to 2.5 or below 2.5? I mean, want to understand up to what timeframe we will achieve that and are we now factoring the right issues as well in achieving these 2.5 to below 2.5 net debt to EBIT DA level?

Ankit Agarwal: So, as Tushar just mentioned, definitely one data point is , we have reduced our net debt by about 110 odd crores in the first half. And overall, we are looking at somewhere between 200 -250 crores net debt reduction for the year so tha t is clear priority in line with what we have guided in the past of generating cash on the business and reducing the net debt. We have also looked at our capex for the full year and broadly looking to reduce our capex from around Rs. 350-400 crores, to probably closer to 250 crores for the year. So , these are 2-3 areas where we are looking at it very closely from cash and second part also from fund involve ment, looking at how we can reduce that further, particularly in the services business. So , these ar e some of the areas that we are very focused on. The last part is also on our digital business, where this year overall we would be spending close to Rs.120 crores as an investment into this business , as that also gets into EBIT DA breakeven by Q4 then that cost and cash also comes away. So , these are the areas that we are focused. I would not be able to comment specifically on the net debt /EBITDA at this moment, particularly given how we are looking at the next six months so we are just watching t his very closely in terms of the market dynamics and as we get better visibility we will be able to share with you.

Sohan Joshi: Okay, thanks a lot. My second question is that given the bleak outlook on the demand side, will we push back or right iss ues proposal, any guidelines on that?

Ankit Agarwal: We have got the approval in terms of the rights issue and overall fundraise , we have got approval up to Rs.1 000 crores. So , depending on the strategic requirements as well as market conditions, etc. we continue to evaluate. I would not be able to comment on it specifically at this time.

Sohan Joshi: One last question, what is the current order book status from the Bharat Net project . I mean, what is the value addition we are now gaining from the Bharat Net project?

Ankit Agarwal: So just to be clear th e new phase III Bharat Net is almost 1.4 lakh crores project. That is a clear priorit y of the government to take that forward and the conversations and the discussions are progressing, even sinc e we last spoke, so there is a real intent to get the project executed. The investment is structured broadly as 50% capex and 50% opex, where the execution would happen over 2.5-3 years and maintenance will be for 7 years. So , this presents a very exciting opportunity for STL across , from supply of fiber , supply of cables, supply of interconnect, as well as, of course services and maintenance business. So , this is something that we are very much actively participating in and as we shared earl ier, we are very mindful of looking at this and the government business. So very mindful of the cash and the exposure as well.

Sohan Joshi: Just one thing, a re the bi ds submitted for the Bharat Net project , or allocation is pending or even part allocation is there

. So, what is the status on that?

Ankit Agarwal: No, we are not at the bi d stage , we are before that .

Sohan Joshi: Thanks a lot. That is it from my side. I wish you good luck.

Lakshmi Iyer: Thank you Sohan . Now we will ask Ravikanth to ask the questions.

Ravikanth: I am an individual investor . My question is , a couple of quarters back we heard from you that the China Mobile tender has been released. So , did we get any business from that pa rticular country ? We even acquired a joint venture , we had 100% stake from the joint venture so did we get any business from that .

Ankit Agarwal: So, we did acquire the balance 25% stake so it is 100% STL own entity n ow in China. But strategically just to be clear, we have always set up and built that facility to not just meet China requirements, but our global requirements , both whether it is for our own cable requirements or any other external cable rs. So , to that ex tent, that is how the factory is operating. And we continue to serve our global requirements for fiber from that facility . Guiding specifically to China mobile, of course that tender has come through , the volumes continue to be in the market , we do not su pply from that facility into the China market. We do see more strategic reasons to supply to our global cable operations or to external markets , other cable rs globally.

Ravikanth: From past 6 months, we have been h earing from North America that there is a lot of inventory pending . So, today w e are also saying that it will take about 6 months , so in the past 6 months is there really any commissioning going on there. I mean, why such slow progress. Can you provide some insight on that?

Ankit Agarwal: So just to be clear, there is still deployment going on. And so it's just a function of how quickly does the execution happen across the broader customer base to ensure that the inventory comes off. Essent ially, as I have shared earlier, the inventory is in three places, inventory with us as a supplier, inventory with the distributors, and it's also inventory with the end customers. So , it is a function of all that inventory cumulatively coming off and that is what we have been sharing will take some period of time, versus what we had expected in last quarter as well it has still taken more time. Part of that also is because , the execution speed on the ground is actually not picking up as much a s we would have liked to hope for in terms of physical deployment on the ground. So, hopefully that also picks up over the next 6-12 months as w e get more manpower into the ground to execute . Hopefully that also leads to more execution . In terms of actual funding commitments, interest from private equity or from telecom operators to deploy , we fundamentally see that to continue and also from mid to long term perspective, we continue to be very bullish on the North America market.

 Ravikanth: Just one last question, in the UK service business , even there we did not really see much momentum . Can you throw some light on that?

Ankit Agarwal: So, as we shared last time that currently in part of Q1 and then into Q2, the UK services was still looking to scale up but was operating at losses. So , to that extent as we have shared , we have evaluated the business closely and we are closely evaluating strategic options to take the business forward. There we clearly see there is an operating model and a cost base that we are looking to reduce towards , to make the business breakeven and profitable and parallelly w e also evaluating other strategic options . So we will come back to you on that shortly.

Lakshmi Iyer: Thank you, Ravi . We will now move on to Aditya Zaveri .

Aditya Zaveri: My question is regarding the North America market. So , everyone is expecting that next year there will be growth right. So firstly, I wante d to ask wh

at our capacity utilization is . And the second part is if everyone is waiting to dump next year, then the pricing pressure also can come here. So , can you throw some light here on the pricing front and the capacity utilization?

Ankit Agarwal: Yeah, so at least on the North America, just to be clear, I think it is not that we expect the market to dump and the price to go down. We have infact even seen in this market , prices to actually be quite healthy and that is just the nature of that market specifically, where you typically have good tier 1 suppliers with you through market conditions , who continue to supply . What we have seen is lead times have come down from its peak which was probably north of 50 plus weeks , have probably come down to somewhere around 8-10 weeks currently. And to that extent, wherever we need to supply from our North America market, we have started supplies from those operations, that the factory is still scaling up and overall at STL leve l we are operating at close to 60% utilization for first half of this fiscal year.

Aditya Zaveri: So next year, any additional capacity is commissioning , or it is already commissioned with us.

Ankit Agarwal: So, as we shared in the past, our main invest ment is to look at our US facility, so probably in the second half of this fiscal year , there will be some more capacity getting added as per our current plan for North America. But beyond that, we have no other capacity addition plans and that is also where we have talked about our capex plans for the year coming down from 350 crores to 250 crores. So , we are pretty much done with our capex investment, apart from maybe some maintenance capex etc. And the prime focus will be to look at various markets for our sales and to ensure we improve our factory utilizations.

Aditya Zaveri: Okay, the next question is regarding the demerger. I had one question , how will be the debt restructure d there . Can you throw some light ?

Tushar Shroff: So, fr om a debt restructuring for GS B business, it is a function of when we are going to get the necessary approval from NCLT . On the date when we get the approval from NCLT , whatever is the specific debt attributable to the GS B business will ge t transferred . We looked at a current debt attributable to the STL service business which is about Rs. 550-600 crores .

Aditya Zaveri: Okay, but I think the working capital is high there , so it comes only to the services business and rest of the debt is on the optical business.

Tushar Shroff: That is correct, but the way it is required from the income tax perspective, the debt has to be very specifically attached to that particular business when you borrow the funds for the purpose for which you borrow the funds is important. So , the lines that we have very specifically for the GSB business which has been utilized is about 5 50-600 crores as on date.

Aditya Zaveri: On product business how much working capital or debt would be required?

Tushar Shroff: So, the working capital cycle for ONB business is in the range of 60 to 75 days. So , the balance debt will be with ONB business at STL level which will be attributable to ONB business as well as the digital business.

Aditya Zaveri: My last question is on the digital , I see that there is a quite a jump up in our revenue. And I know that you are taking a consultancy model here , you are hiring the consultants here but if you think of a long term strategy, if you want to scal e this business big , do you think is the right strategy to go forward . And can you talk about the projects here , what kind of projects we are doing that is getting the revenue of Rs. 140 crores within a span of one year.

Ankit Agarwal: I would say at a high level it is still very early stages in this business. What we have focused on and what we have shared earlier as well is we wan

t to focus on few segments. Make sure that we have strong customer relationships in those segments , and we create value for those customers. That is really been the focus. And really from a financial perspective, I think we have got a fairly healthy order book close to Rs.750 crores. We have very strong team and leadership in place and very specific near term target for the business is to look at EBITDA breakeven by Q4. We continue to evaluate how we want to take this business forward, how we want to scale it up, what are the areas we want to focus on, what are the capabilities we built , but from a management focus , the immediate priority to breakeven and from there on we will provide more update s as we get clarity on the plan ahead .

Tushar Shroff: Just to clarify the consultant means these are our own employee having the capability to deliver the req uirement of the customers. So they are not third party consultant s, they are our own people.

Aditya Zaveri: So how many people are there here?

Tushar Shroff: So, if you go to the slide number 18 of the presentation, we have 900 plus consultants.

Aditya Zaveri: So, then why are we calling as consultant s?

Tushar Shroff: It is our internal terminology so, that is why we call consultant s but these are our own employees because they provide consulting to the customer that is why we call them inte rnally as a consultant.

Aditya Zaveri: But what kind of work , can you throw some light like is it a typical IT services work ?

Ankit Agarwal: It is IT services business, just to be very clear, it is very focused. We have some tier I custome rs onboard and as we continue to scale up with these customers, that is where we see , particularly by Q4, we see a path where we can get this to break even.

Aditya Zaveri: So, basically it is like banking, retail that we are doing.

Tushar Shroff: So if you go into slide number 18 , the service offering that we have in the second bullet , where we have clearly mentioned that we provide an enterprise SAS services, product engineering, cloud and cybersecurity services, data analytics and AI services. So those are the specific services that we provide to some of our customers.

Lakshmi Iyer: Thank you Aditya. We will now move on to Saket Kapoor.

Saket Kapoor: I am Saket Kapoor from Kapoor Company. You did mention that we are reducing our capex target to Rs. 250 crores from Rs.350-400 crores . So, if you could e laborate more, where is this reduction going to happen and what was the earlier thought -out plan and why is this reduction now and the capital work in progress is at Rs.180 crores . So that has increased year on year , if you could explain these two numbers .

Tushar Shroff: So, I take your first question with respect to our capex program. So, when we started the financial year, we looked at what was the overall capex program which was required , it had US speci fic phase II capex plan . Now, lookin g at the current demand in US , we will have to defer some of those things till the time the demand picks up and we see sustainable demand and then we will try to revise the second phase of any kind of capex program that we may have for US plant. So, that is your first question.

Saket Kapoor: Just one second, is it capacity building or operational efficiency building at the US part, which you are deferring right now.

Tushar Shroff: The US part is a capacity building , the phase two of th e capacity building based on the demand. So, at this point in time since the demand has still to pick up , I think we have curtailed this particular capex in order to manage the cash efficien cy

Saket Kapoor: And point 2, the current capital work in progr ess. I think it was around 180 crores . So, when are we going to capitalize this and where is this money deployed ?

Tushar Shroff: The large part of the capex is relate

d to US, which will be capitalized once we are able to commission some of these parti cular lines . So, as we commission some of these lines, the capitalization will happen.

Saket Kapoor: Right s ir. When we look at your employee cost as a percentage of sales that has remained elevated at the consol level. So, what is your comment on t he same , is it because of the ramp up exercise for the US facility or how should we take this number , the run rate of Rs.250 crores on a quarterly basis . And also Ankit when you mentioned that we are looking at muted numbers going a head. So, on an H1 basis, do we look at the exit of H1 as what we can look for H2 as of now or H2 will be comparatively lower than what we have done for H1.

Tushar Shroff: So with respect to your employee cost, we need to understand that we are into 3 separate businesses, the 2 businesses are highly employee intensive or people intensive. I would say that service business as well as a digital business, which requires headcount that is required to serve the customer that is the reason that we are into high employee cost as a n organization, because we are into 3 different businesses.

Saket Kapoor: The revenue trajectory for H2 versus H1. What we exited H1 at 2200 . The pessimism is towards the optical network business , our core . It is not regarding the global services neither for the digital part. There I think you are looking at better time s, but for our core business, things look on the lower side. So , what sho uld be the impression going forward in H2 for the 2 segments

Tushar Shroff: So, I think these both segments will continue to grow and serve the customers based on the execution plan that we have. So , on a sustainable basis these 2 businesses will grow on a quarter on quarter basis except for ONB business.

Saket Kapoor: So, how should we look at the ONB business? My question is ONB is on a declining trend. So , this is done with or more decline is expected for H2 going ahead. What should we be factoring in?

Tushar Shroff: I mean, the guidance that we have given is with respect to the overall situation, we see that this year we may see th e decline with respect to the previous year and the large part of the revenue come s from the ONB business.

Saket Kapoor: Okay, so no percentage you can guide as to where we can get.

Ankit Agarwal : No, as I said we are watching the market closely and particularly impact on North America. So , as we get better visibility, I think it will be fair for us to comment at that time

Saket Kapoor: Two very small point for the receivable part, from T fiber project how much is the receivable pending and what kind of milestones are we going to complete so that these receivables get liquidated .

Tushar Shroff: Our w orking capital employed in this T fiber business is about Rs.700 crores. T he T fiber as Ankit mentioned, is a very complex project because it requires the entire state level in the network to g et built up. So, each Panchayat , then the district, then the village, then the city and then the entire state needs to be built up to ensure that we have built up the entire network at the state level which is a little bit of complex project because each and eve ry segment of the network should work efficiently to get the necessary approvals from the customer, which we call it as ATC (Acceptance

Test Certificate). That is the way we have been working on to ensure that we complete progressively on each and ever y segment so that we move ahead on this particular project faster .

 Lakshmi Iyer: Thank you Saket. With this we come to the end of the question and answer session and now I hand it over back to Ankit f or closing remarks.

Ankit Agarwal: We would like to thank everyone for attending this call and showing interest in our company. Despite the challenging market envir

onment we have managed to maintain EBI DA margins at consistent levels . At H1 FY24 we have reduced our debt levels by Rs.111 crores and the cap ex cycle has been completed with operationalization of the US facility. We are thus well positioned to execute on our growth strategy of being world top 3. We will be able to deliver more robust results when the demand , particularly North American market recove rs. I hope we a re able to address and clarify all your queries and comments. For further questions and discussions feel free to contact our Investor Relations Team, which include myself and Tushar . We really look forward to continuing the conversation with you in the near future. Thank you.

Lakshmi Iyer: Thank you everyone for attending the call .

(This document has been edited to improve readability)

Call: Mar 2024

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India .
CIN - L31300PN2000PLC202408
February 01, 2024

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051.
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 3FY24
Ref.: Scrip ID - STLTECH/ Scrip Code - 532374
Dear Sir/Madam,
In furtherance of our letter s dated January 12, 2024 and January 25, 2024 respectively , please find enclosed transcript of earnings call held on January 25 , 2024 in respect of Company’s Q 3 FY24 financial results.
The same is also being hosted on the website of the Company and is available under the tab ‘ FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT’ drop down available at https://www.stl.tech/downloads.html#qiect
Kindly take this on record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Amit Deshpande
General Counsel & Company Secretary (ACS 17551)
Encl.: As above.

Sterlite Technologies Limited Q3 FY24
Earnings Conference Call Transcript

January 25, 2024

MANAGEMENT : MR. ANKIT AGARWAL – MD, STL
MR. TUSHAR SHROFF – CFO, STL
MR. CHETAN WANI – HEAD IR, STL

 Chetan Wani : Ladies and gentlemen, good day and welcome to the STL's Q3 FY24 Earnings Conference Call. I am Chetan Wani and I am responsible for Investor Relations at STL.

To take us through the results and answer your questions, we have Ankit Agarwal, Managing

Director, STL and Tushar Shroff, Group CFO, STL.

Please note that all participant lines are in the listen -only mode as of now. There will be an opportunity for you to ask questions after the presentation concludes. Please note that this call is being recorded. You can also download a copy of presentation from our website at www.stl.tech .

Before we proceed with this call, I would like to add that some elements of today's presentation may be forward -looking in nature and must be viewed in relation to the risks pertaining to the business. The Safe Harbor clause indicated in the presentation also applies to this conference call.

For opening remarks, I now hand over the call to Ankit Agarwal.

Ankit Agarwal: Thank you, Chetan . Good day everyone and thank you for joining our Q3 FY24 earnings call. I wish all of you a very Happy Republic Day. I look forward to our conversation and questions at the end.

Just to reiterate, our strategic priorities remain the same and as follows. Firstly, we shall continue to grow our optical business by increasing optical fiber cable market share and optical connectivity
attach rate. We will continue to drive these initiatives to optimize the raw materials and the fixed cost of the businesses to improve our overall cost competitiveness.

Secondly, we shall continue to consolidate our Global Services business in select segments, work towards achieving profitability in the U K operations . Last but not the least, we shall build the
digital business through focused investments in building technology and domain capability and as discussed, progress towards EBITDA break even.
On the ESG front, we remain committed to achieve net 0 emission by 2030. Our ESG ratings MSC I stands at A, we are very proud that we continue to be one of the leading companies in the world in our sector, in the ESG domain.
Let us talk about optical business first. About the demand outlook, CRO has recently updated the estimates from 2022 to 2028. The short -term headwinds in the main markets of North America and India continue with demand projected to contract by 10.8% and 1. 7% respectively in 2023 against the 2022 revised estimate. For North America specifically, the demand is estimated to contract by 12% during nine months of calendar year 2023 over 9 months over the same period in
2022. The demand in Europe is estimated to be contracted by 5% during quarter three of calendar year 2023 compared to quarter three of calendar year 2022. The near -term downturn in North America is on account inventory digestion, which is expected to correct steadily by Q2FY25 onwards. While the near-term demand contraction, the medium -term demand volumes are revised upwards to 684million fiber kilometers by 2028, up from 577 million fiber kilometers in 2022.
The global demand ex -China is expected to increase to 417 million fiber kilometers by 2028, up
Page 3 of 15 from 293 million fiber kilometers in 2022. S TL focused markets of North America, Europe and India are high potential and estimated to grow at CAGR of 11.4 percent, 5.2% and 15.6% respectively during the period from 2023 to 2028.

This is an imp ortant slide which shows how the global data consumption across traffic categories is expected to rise multi fold in coming years and there's simply no alternative than to expand fiber networks to support such massive traffic expansion. Be It network param eters such as bandwidth
offered , latency, data loss or energy savings, and in fact even environmental friendliness and reliability , fiber is undoubtedly the most efficient and reliable data transfer technolog

y. This is
recognized and echoed by various industry experts and CEO's . We have shared examples of comments by the Airtel CEO, by Ericsson CEO and also Elon Musk talking about SpaceX and the comparison with terrestrial cellular networks. With the growing use of fiber in various applications, such as fib er to the home, AI in data centers, edge data centers, smart cities, small cells, and the smart enterprises, fiber demand is bound to increase manifold going forward. Coming to North America, there are certain strong d rivers which we believe will lead to sustained
growth for the market. In North America, as per Om dia, the 5G subscriptions are forecasted to grow significantly from 173million currently to almost 600 million . 5G is expected to become the most dominant mobile access technology by 2028. And as we all know, fiberization will be at the core of this 5G deployment. In the case of fiber to the home as well, US has close to 100 million homes, which are remaining to be passed. AT&T alone is eyeing 10 -15 million addit ional
locations to be passed in the coming years and as per CRU , FTTH homes passed expected to rise with BEAD projects from 8.7 million per year in 2023 to almost 12.2 million per year by 2025, at a CAGR of almost 18%. Data Center for Capex is also forecas ted to grow to $139 billion by 2028.
Lastly, the BEAD program allocation is progressing steadily and recently Louisiana became the first state to move from planning phase towards the execution phase.
Coming to India, we also see similar strong drivers for sustained growth in the market. In India ,

5G subscriptions are expected to grow at a CAGR of 33%, for a total of close to 500 million subscribers by 2028. The Tower 5 realization currently stands at c lose to 38% and expected to grow towards 70% by 2025 onwards. Telco is expected to spend close to $1.5-2.5Bn for tower fiberization in the coming years. In case of fiber to the home, India is expected to be the second largest fiber broadband market by 2030 and India's FTTH installations are expected to grow fastest globally at C AGR of 26% between 2023 and 2028. India has 15% of the global Internet users, whereas limited data center capacities exist in the country. CRISIL estimates that the tune of 45,000 cr ores will be invested in data centers between now and FY26. BSNL also has recently released a draft of Bharatnet phase 3 RFP for industry consultation. This program intends to connect the 2.5 lakh Gram panchayats with fiber connectivity and should provide a major boost to India demand, particularly in rural India.

Coming to the Chinese players that we have currently in the market. The government and the European Union, UK as well as in India have imposed significant anti -dumping duties on the Chinese optical fiber and cable manufacturers which resulted in significant decline in the optical fiber and optical fiber cable exports from China to Europe as well as to India. These measures from the government are expected to support the overall demand and rea lizations for non -Chinese suppliers like ourselves.

So even though we observe a minor decline in our market share, we also see a good improvement or minor improvement in our attach rate. Our market share slightly declined to 9% in the first half versus 10% in the first half of previous year. We expect OFC market share to grow from FY25 onwards . Optical connectivity attach rate has improved marginally to 14% in the recent quarter and as we continue to commercialize new opti cal products , we believe that there should be a further increase in attach rates in the coming quarters.

Coming to the financials for the optical business, as guided revenue in Q3 FY24 has declined on account of lower volumes as stands at 857 crores, which is lower by 42% year on year basis. The 9M FY24 revenue stands at 3053 crores, which is lower by 22% on year-on-year basis ; in li

ne with
the reduction in revenues the Q3 FY24 EBI TDA stands at 104 crores which is 66% lower on year on year basis and for 9M FY24 Absolute EBITDA has declined to 561 crores, which is 23% lower on year on year basis. Due to the lower EBITDA , the EBITDA margins for Q3 FY24 has declined to 12.1%, although the 9M FY24 EBITDA margin has been stable at 18.4% on y ear-on-year basis .

We are well positioned to grow our optical business with our strategically located manufacturing facilities. Our optimized cost structure and our continued product innovation and customer approvals from our products from Tier 1 telecom operators and customers across the globe. We believe that we are well positioned to capture significant market share, as the demands come back
up.
Let us now go through the performance of our Globa l Services business. In the Global Services business, the Q3 FY24 revenues have increased by 6% year on year to 405 crores . For 9M FY24 revenue stands at 1133 crores, and we have been selective in our order intake and execution which has helped us improve our Q3 FY24 EBITDA to 22 crores and EBITDA margin to 5.4% . Favorable project mix and effective execution has resulted in improved 9 M FY20 24 EBITDA to 71 crores and EBITDA margin to 6.3%. Our project execution in the services business are on track . Amongst the India public projects , our Bharatnet project and state of Telangana is now 67% complete. The Network Modernization project is 71% complete , fiber rollout for public sector unit is 17% complete and we have progressed well on a large data center project in last quarter and the project is now 70% complete.
On the India private side, fiber rollout for large Indian telcos is 35% complete in phase three , driver rollout for another large Indian telco is 51% complete. Fiber rollout for modern optical network for Indian private customers, 78% complete. I would also like to share with a lot of pride that your company was actively involved in the network build out in Ayodhya and our team worked diligently day and night for seven days to build a world class fiber infrastructure in Ayodhya. So we could have all the amazing videos and pictures over the last several days.
We s hall now talk about the performance of STL Digital. In STL Digital, we are continuing the growth momentum. We continue to add new customers in the US and India, across technology and service verticals and observe a strong order flow during FY24. We have more than 25 plus active customers at the end of Q3 FY24. We have 46 plus active technology partners and have signed up strategic partnerships with SAP and Google to offer the solutions jointly to our customers. Expect the growth to be driven by robust order book of more than 780 crores and the right team of leadership as well as consult ants.

In line with our expectations and despite a tough industry environment, we have achieved a Q3 FY24 revenue at 80 crores and a 9M FY24 revenue of 220 crores. The EBITDA loss for Q3 FY24 stands at 12 crores and 9M FY24 EBITDA loss is at 66 crores . As a result of our efforts, EBITDA losses are now trending downwards on Q -on-Q basis and expected to further reduce going ahead. I shall now hand over to Tushar to talk through t he financials.

I now hand over to Tushar for further talking about the financials.

Tushar Shroff: Thank you, Ankit. Good day, ladies and gentlemen. In line with our lower guidance, the consolidated Q3FY2024 revenue stands at 1322 crores. While 9M FY24 revenue stands at 4338 crores. The drop in revenue is attributable to lower OFC volumes. The Q3 FY24 EBIT DA stands at 109 crores. The 9M FY24 EBITDA has dropped to 559 crores o n account of lower revenue. Q3 FY24 EBIT DA margins are at 8.2% vis-à-vis 9 M FY24 EBITDA margins are at 12.9%, which is stable as compared to previous year. On account of lower EBITDA and higher interest and depreciation cost Q3

FY24 profit after tax stands at 49 crores in terms of the losses. Due to Q 3 FY24 PAT loss, the 9M FY24 PAT is reduced to 24 crores. In terms of new orders, the optical business, we continue to win multimillion dollar orders for optical fiber cable in our focused markets . In the service business, we secured large fiber rollout orders from a private customer for 5G deployment in India. In light of lower demand from North America, revenue mix has shifted to India in Q3 FY24 versus FY23 and India region started to account for 40% of revenue during Q3 FY24. Our order book at the end of Q3 FY24 is at 9, 849 crores . Our order book is well diversified across all our customer segments and our businesses. We have placed the abridged version of the reported numbers for your perusal, our net debt for 9M FY24 has reduced by rupees 174 crore from FY23.

On Global Services, the business demerger status, we have filed the application with NCLT and awaiting the first hearing from NCLT which is expected to get scheduled somewhere in the month of February.

In summary, I would like to say that in optical netw ork business, we will target to drive the cost leadership and pursue our ambition to be global top three. Increase the sales in EMEA, India and APAC market to fill short term volume gaps. Increase optical connectivity growth and attach rate. In Global Serv ices, we continue to focus on select projects to improve profitability and optimize net fund involvement . In digital business we continue to grow our revenue and achieve the EBITDA break even in subsequent quarters . Our guidance on overall business given the softness and demand in North America and Europe, we expect the volumes and revenue to be lower in FY24 vis-à-vis FY23, we continue to continue our significant focus in terms of a debt reduction going forward.

Now I hand over to Chetan for Q&A.

Cheta n Wani : Thank you, Tushar . Ladies and gentlemen with this we come to the end of our presentation and shall now move on to the Q &A.
So, Aditya Jhaveri please go ahead with your question.

Aditya Jhaver i: I have a couple of questions. Firstly, disappointing set of numbers from this Q3 . So I want to specifically understand on the optical business . What is the gross margin in this optical business? Because I see you mentioned the volume decrease, but I see there is a lot of pricing pressure and the pricing trending toward downwards. Can you throw some light here? That is my first question.
And the second question is I want to understand the long-term nature of our optical business. So we are in this industry for quite some time and how can we incr ease value per cable, suppose it is in the range of 1000 to 1200, how can we maximize that? And there is optical interconnect. Because I see, you said that optical interconnect should be a bigger pie, bigger value addition. But what levers take us through that, and can you explain throw some light on these three?

Tushar Shroff : With respect to the margin, our optical business has a material contribution margin to the extent of almost 54%, so 54% is material contribution margin that we have in the business . This quarter specifically the margins are lower , mainly on account of lower revenue which has resulted into the contribution loss for this particular quarter , which has resulted in a lower margin profile.

Aditya Jhaveri : What is the gross margin in thi s quarter?

Tushar Shroff :
I am talking about material contribution margin is about 54%.

Aditya Jhaveri: So what is the difference between material and gross?

Tushar Shroff : So gross margin includes the plant related specific cost s, gross margi n when we talk about plant gross margin it includes the plant specific costs . I am talking about material margin because in this particular quarter since the plant was not completely utilized, so gross margin c

omparable is
not right measure to compare quarter on quarter gross margin.

Aditya Jhaveri: OK, generally in this business we are having 54 to 55% gross margin you are saying.
Tushar Shroff : Material contribution margin is what I am saying, that is the revenue minus material cost.
Ankit Agarwal : On your question on cable. So one, just want to highlight that we continue to see at an average the realization still holds up positively for STL. So we want to definitely highlight that we have not seen any material reduction in realizations . This has both been a combination of multiple elements. One is we continue to have strong relationships with our customers globally, even in some pockets, while v olumes have come down, we do have multi -year contracts with several of our customers and hence our realizations have been steady. Second part is , we continue to focus on more value - added fibers and cables. That 's been part of our focus, which has continued and helps us keep the realizations up. Third is, part of our focus strategy where we see minimal competition, which includes US and Europe where we see minimal competition from Chinese. That is also something that has helped us in terms of the realization s. So this is how we see the markets from the cable as well as from the interconnect, the intent very much is to continue to drive customization to create value added solutions of cable and interconnect together . We would like to have seen probably faster growth and interconnect, but the approval cycle has been longer than we expected. We are continuing to get approval from our customers as we speak and into this quarter as well. So certainly, going into next year, we do expect the attach rate to start impr oving from next year onwards.

Aditya Jhaveri: So what are your debt targets for this year? I see that it is a good improvement for nine months, that is 180 crores. What are debt targets?

Tushar Shroff : So this quarter also we are targeting debt to reduce by 50 to 75 crores , which is the internal target that we are working towards

Aditya Jhaveri: If I take some medium -term guidance from the optical business , what sort of revenue and the margins for next tw o to three years you will see in this business?
Ankit Agarwal : We won't be giving any specific guidance at the moment. What we can definitely share is our capacity utilizations have been some 50% on a nine-month basis. So certainly the focus in the short term is to make sure that we cover that to other geographies, and it certainly has especially the US demand comes back , the intent is certainly to improve our capacity utilizations from here. We shared in the past our capacity is al most 50 million on fiber level and 42 million plus on cable level. So there are sufficient capacities that we have now invested and as those utilizations improve , you will see a meaningful improvement in top line, but more so on the bottom line basis.

Aditya Jhaveri: Ok thank you.

Chetan Wani : We take question from our next caller, Nikhil. You may go ahead with your question please Nikhil Choudhary.

Nikhil Choudhary : What I want to understand is particularly the problem in North America . While we are seeing some volume and inventory buildup, which is impacting our growth, the industry decline is 10%, but for us the decline is more than 50% when comparing to FY23. That clearly shows that there is a significant market share loss there rather than just industry decline. So just want to understand what is happening there and what is our expectation going there?

Ankit Agarwal : It is a good question. I'll put it into three pockets. One is our own view is that the decline in North America was more aggressive than what CR U has shown which is a third -party house . Our own view is that certainly in the last six

months we have seen an d experienced the market being a
steeper decline than that . As we have been sharing consistently in our conversations and our analyst calls that there has been inventory at 3 levels - at the customer , with the distributors as well as with the manufacturers like us . So we have been tracking those inventory levels. We definitely are confident in saying those inventory levels ha ve been coming down meaningfully, but probably not as fast as we would have liked. So that is where we believe that probably it will take another four to six months for that inventory to come back to normalized levels. But we do believe that the Q3 was probably the bottom from our experience of sales into the market and particularly North America , and volumes should improve in Q4 and going for ward . We are watching every quarter, obviously very closely, but given current visibility and our understanding

from our own conversation with customers , that probably it will take four to six months for all of that inventory to normalize and the v olumes coming back in, in a good way.

Nikhil Choudhary : Just a couple of follow -ups. First, even though there was a material industry decline, 50% is still significant. So anything one -off here or it was all due to industry decline?

Ankit Agarwal : So I think the main factor is definitely the inventory with the customers. We have also seen that the interest rates have continued to be on the higher side. That is also something that we foresee, as that stabilizes and starts to come down , that should also lead to some of the projects which are on the edge , some of those should start coming through in terms of fiber deployment . From our own perspective, we do have the facility in US which is now ready and functioning. We also have our operations in India. S o we are very well set up in terms of our capacity product portfolio for the North America market . We continue to engage with our customers, some of whom we have announced. We will be making some more announcements . On top of this we are also looking to grow our interconnect business in North America. So that will also be something that we focus especially as we get into next year.

Nikhil Choudhary : Given you highlighted that we have reached bottom in terms of overall pain in optical fiber , is it fair to assume on an absolute level we have reached the bottom in terms of the value and from hereon on Q&Q basis we should see some improvement from quarter perspective?

Ankit Agarwal : That is what I shared a little bit earlier. We do believe that certainly from a volume perspective that it should improve quarter on quarter. I do not think it will be a significant improvement. A s I said it will take time for the inventories in North America to r educe and our sales to improve. But certainly directionally, I would agree with what you have said.

Tushar Shroff : So Nikhil, one good thing that we have seen is that now customer have started engaging in terms of their requirement. They have started floating the RFP, we started participating in some of the RFP's and that is a positive sign. W e believe that is a positive sign especially in North America. So probably in next couple of quarters probably all this RFP will get converted into the orders , that is what we believe.

Chetan Wani : We take question from Sohan Joshi. Our next participant. Sohan, please go ahead.

Sohan Joshi : In India Mobile Congress, you said that there is a lot of opportunities in enterprise 5G. So are we in talks with any of the corporates for the 5G deployment data centers or say tower fiberization , I mean we would like to increase more focus on India since the North America business is not picking up or are there any plans ?

Ankit Agarwal : Good question, there is 2-3 parts to it. We do have a very strong fiber as well as copper connectivity portfoli

o. So, to that extent, we have our own brand called Estelan , which we have launched and looking to sell that to enterprises both in India as well as Middle East. Some of that business is starting to come in. We are also seeing other opportunities in sectors like oil and gas
 etcetera, which are low volume but high value opportunities . In India as well as you mentioned, especially on the data center side, there is interest ing opportunities where there's significant amount of fiber optics required within data center as well as interconnect between data centers. So those are some of the conversations ongoing. Again, these are typically lower volumes but higher value and good margin opportunities. So those are those are things that we are evaluating in India . For example on the fixed wireless side where some of the operators are deploying , even there, there will be some amount of cabling required and we are in some conversations with telecom operators for some solutions linked to fixed wireless.

Sohan Joshi : But then we are not planning to enter into the open Ran segment, right. We are strictly adhering to opt ical fibers only.

Ankit Agarwal : No, no, absolutely. Just to reiterate, we were, and we had explored that business, we had invested in it. We have clearly exited that. We have very, very focused - our core being on the optical, cable connectivity, we have a services business which does the deployment & system integration, and we have a digital business. These are our three very focused businesses.

Sohan Joshi : Just two more questions , there were some collection issues from one of the receivables in Maharashtra, I think it was put up on the announcements. So, is there any provision made or will it be made in the coming quarters, or it is not required?

Tushar Shroff : This particular Maharashtra project, especially with one of our customers , the matter is presently subjudiced. So, I will not be able to comment very specifically on the provision related to this particular project. But the company has a n adequate provisioning policy with respect to unbilled revenue as well as for outstanding debtor s. We apply normal economic credit loss provision policy at the company level .

Sohan Joshi : But the talks are going on for the collections, right? S till there are no sign that we may require a provision on it, right?

Tushar Shroff : So, we have a very strong case. That is why we have gone ahead with the arbitration in this particular matter .

Sohan Joshi : And any impact on our container caused to ongoing Red Sea issues or we are we are not impacted at all?
Ankit Agarwal : Nothing. We have not seen anything significant currently, we have seen slight delays in our shipments to Europe and slight price increases, but from a from a value perspective, it has not been significant . As we have done in the pas t, if this does sustain then we would have conversations with our customers as well , to see what portion of the cost we could share with them . It is not meaningful at this stage.

Sohan Joshi : And when can we expect the right issue? W ill it be after demerger, or we may further delay it when the demand starts picking up ?

 Tushar Shroff : We are exploring the various fundraise options at this point in time. A t an appropriate time when
we see a larger engagement of investors , that is a point in time we will get into the market and launch the fundraise.

Chetan Wani : We'll take next question from Saket. Please go on with your question
Saket : Just coming to the point which Tushar just mentioned that on better engagement with the investors and at an appropria te time , when we are seeing that at one side, our core business is not performing because of the reasons as mentioned and on the other side, we are trying to develop business in the digital part. So would it not be a prudent

exercise on the part of the promoters to infuse funds
at this level to put the confidence on track from the promoter itself rather than waiting for an opportune time and then engaging your investors. What's the take of the promoter currently, in terms of infusing capital at this appropr iate time, since the valuations are also low, if I may call
so, but what's the understanding currently, Sir?
Ankit Agarwal : See, I won't be able to comment specifically on rights issue, but as Tushar mentioned, we are definitely exploring all the options . We have taken the enabling resolution up to 1000 crores from our board and we are evaluating the options. We are definitely very clear on growing the business, taking the business forward. Also you commented on STL digital as we have been discussing, we have been looking at reducing the losses in that business quarter and quarter, which we have demonstrated . So I think that business unit will also be well placed for growth going into next year. On overall fundraise, I would still say that we are exploring all the options. Certainly as the time goes, we will share the update and our inten t definitely is to scale up the business and we continue to be very bullish on the business.
Saket : On the US part particularly, you mentioned that our utilization levels have been on an overall basis at 50% on a total basis. So , we have done a new capacity addition for the US factory. What are the current utilizations and Sir, what is the order booking especially for the new facility which we have created ?
Ankit Agarwal : For competitive reasons, I won't be able to give utilization at a factory level. What I can share is that it's truly a world class factory that has come up. We have had several government officials,
several customers visit the facility and feedback has been very, very positive and it is also really helping us grow the brand and positioning of STL. We are also mindful that there are large
government projects like BEAD which are coming up and that is placing the company very well to be qualified to supply for such large projects. So I think we are now well placed to scale up this factory , within the next few months and certainly as these large projects come up, we are very well placed to set up to supply from the factory locally in North America with very qui ck lead times and turnaround times.

Saket : So this is the $100 million investment we have done ?

Tushar Shroff : It is about $40 to $50 million in terms of overall investment in US facility.

Saket : And you said that the debt has been reduced for nine months. Can you give the net debt numbers
 and the split up between long term and short -term debt?

Tushar Shroff : Long term debt is about 1300 crores and the net debt is 2947 crores .

Saket : And we are about to close at 2900 or lower than that for the current fiscal. This is what our target is - 50 core reduction.

Tushar Shroff : Yeah, 50 to 75 crores that we are targeting for this quarter.

Saket : And one more small point, when you mentioned about interconnect growth going ahead, what factors are you taking into account that will play out in the larger percentage of interconnect because this interconnect story we are harping on it for more than one year. So why have we not seen the anticipated growth ?

Ankit Agarwal : I am guilty of harping on it for a year. The reason is that , essentially, we have already great relationships with Tier 1 telecom operators around the world and the whole intent was along with selling cables, the same customers buy large volumes of these interconnect, especially as you go more closer fiber to the home connectiv ity, then you need more of these interconnect solutions . So we were very clear that we had the relationships, the customers were spending . Probably what we did not factor was the very long approval cycle

that happens. These are very, very technical,
very, very customized solutions where multiple stakeholders at the customers and installers have to approve the product. So we took time to get the approval process. We are still in multiple approval processes with various customers and then as those RFQ cycles come up for the interconnect , that's where we believe that we will be in a much better place. A lot of product development has happened, a lot of good teams has come in place. We recently also announced David has joined us as a leader for this business who comes from CommScope. So good team is there, good product is there and that gives me the confidence that going forward we will be able to improve this business.

Saket : But any number which you want to provide of interconnect contribution to the total optical fiber business for the nine months and what are you projecting going ahead? And for Tushar Sir, we had a foreign arbitration case also wherein we lost. So what is the status on the same, I missed the amount, it was a substantial one we lost at Singapore Forum. So these two points, if you could answer.

Tushar Shroff : This is one of the suppliers to us and in past we had some kind of a volume commitment from that particular supplier . Due to certain reasons we didn't pick up that kind of a material and that was the reason that entire matter was in arbitration. These are not the current contracts , these are the past contracts and for that past contract , the arbitration award was against us that we have to fulfill the minimum commitment requirement. This was mainly during the COVID time that that the entire arrangement was and because of COVID time we couldn't pick up the material and that was one of the reasons that we got into this particular liability and we challenge d this particular order on certain grounds in the High Court also but the unfortunately the decision has not come in our favor . We had adequately provided for this entire loss in our financials and the impact of this in our financials. There will be a cash flow impact. Because there will be some kind of a payment structure that we have agreed with this particular vendor and gradually the payment will have to be made to this particular vendor based on the arbitration award that we.

Saket : Right and value of interconnect number you can give Sir for nine months. How much has been that revenue contribution?
Ankit Agarwal : Directionally what we can share is that the intent has always been to grow this interconnect rate, while we at 14% attach rate currently , clearly the intent is when we look at our global peers and the customer demand as well, the intent is definitely to scale this up. W e won't be able to give our forecast at this point, but certainly as we get into our business planning for next year and we look at next two to three years out, the intent is definitely to scale this up.

Saket : Sir can you give a percentage for nine months? What percentage of the total revenue would be from the interconnect , a ballpark number?

Ankit Agarwal : Just the attach rate, we are saying 14% of interconnect to our cable sales.

Saket : Lastly, on the Jio air fiber issue , now broadband being av ailable also on the Wi-Fi. So what kind of threa t do you think it is to the structure for OFC . I think one more competitor Tejas has developed one of the AI software wherein we can view videos in mobile without Internet. There was some sort of story on that front also. So what kind of threa t for O FC as a product , do you find going ahead with Wi -Fi and these technologies coming into play with more an d more f ocus. Although you have been mentioning that $1.5 billion to be spent by the telcos on fiberization s o if you could give this number for the nine months and what is the expected spend by them and also the percentage of fiber ization ?

Ankit Ag

arwal : One is , as we said, at a market level, we are probably around 37 to 40% tower fiberization today . That has to go to 70 to 80% at least for good 5G network coverage pan India. So I think that's the work over the next few years , which the operators are wor king on. To your point on fixed wireless, which particularly one large operator in India is looking at , I don't see that as a threat. I think we look at this technology, we have been studying it . In principl e this is really where you're not able to get rig ht of way and other challenges on the last 100 meters or so and this is also getting deployed more in Tier 3 Tier 4 where you see the demand pickup. Most of the telecom operators see that you can get much better ARPU with fiber to the home services as well as bundling that.
And so the intent continues to be for operators to balance as much as possible, take the fiber to the home and provide direct fiber service and then the backup alternate is through fixed wireless. There are multiple bandwidth issues, latency issues, uplink downlink issues with fixed wireless and we don't see that as a threat . Anyways, up to the last 100 meters, you would need a very, very large and intensive fiber backbone. So from our business perspective, we don't see it as a threat to fiber demand.
In fact, overall Connectoriza tion is a positive for us because it will mean more dense networks , both on long distance and ultimately within the metros. So we see this as a as a positive development and overall in terms of connectivity, as we shared in one of our slides as well, fiber continues to be the best medium by far compared to copper , compared to satellite , compared to fixed wireless and that gives us a lot of positivity and bullishness in terms of demand for fiber going forward.

Saket : And on the Capex part, you want to elaborate on $1.5 billion figure being mentioned.

Ankit Agarwal : That is a number we have quoted from the research reports, but certainly we have seen that there continues to be investments in fiber networks by the telecom operators in India. On top of that, we will have Bharat Net networks getting deployed at large scale . So we continue to be quite bullish on fiber demand in India going forward.

Saket : And for the employee cost also, please show some rational e as to why the employee cost as a percentage of sales is higher . Mainly due to the utilization levels being lower and this will get offset once the utilization picks up. And we also heard about lot of layoffs also.

Tushar Shroff : There is a one-off cost. We have paid some ex -gratia payment which is to the tune of 12 to 13 crores rupees, which is counted in this particular financial period.
Chetan Wani : We'll take question from next participant Sunny Gosar. You may please go ahead with your question.

Sunny Gosar : So just continuing on the last question of the previous participant. So you mentioned that there's an ex -gratia cost of about 12 to 13 crores, which has been paid out. So except that our employee cost comes to around 240 odd crores for the quarter, so I assume that there are basi cally some rationalizations in our employee strength which has been undertaken. So what should be a revised base post this entire exercise in terms of the quarterly employee cost and is there any other cost item that we are rationalizing? So overall on a q uarterly basis, what is the cost savings that we can expect over the coming quarters?

Tushar Shroff : Thanks for this question. A s I said that , there is a one -off cost which is provided for in this particular quarter which is related to the ex -gratia payment. Structurally what we are looking at is that, since the capacity utilizations are at lower level, we are also looking at each and every cost, whether it's a fixed cost, it's employee cost or any kind of admin expenses, which is con

trollable in nat ure, we are trying to see that all of those costs ar e rightfully being rationalize d. We are also looking at all the discretionary spends in terms of marketing , business development wherever it is required to be rationalized, and that's the way we have been looking at it. So if you see the structur ally also if you take out this one-off cost, you will see that the other expenses and the employee cost on quarter on quarter basis has reduced to the meaningful level . And we continue to pursue that path in terms of managing the cost efficiently so that we remain profitable going forward .
Sunny Gosar : Sure, that is helpful. So basically just to get some quantitative understanding or some reference points . So excluding our cost of goods sold, our overall quarterly c ost between employees and other expenses comes to about 58 0-590 crores for this quarter. So, any percentage or any reference point in terms of how much c an this come down in terms of overall fixed cost level that will be very helpful to get some context ?
Tushar Shroff : As a journey, because the manpower cost and other expenses is also a function, a lot of expenses which is a function of the revenue. So as the revenue goes up, there are certain expenses like freight and other things also which is linked to the other expenses also which starts to go up. So from that perspective, when you look at other expenses it has both the component s - it has a component of fixed cost also and it has a component of variable cost also. But structurally we are targeting 100 to 150 crores of a cost rationalization over a period of time , in the next three to four

quarters is what we are targeting for. Fr om our perspective if you see the employ ee costs have gone up mainly from the fact that there is a substantial growing in this digital business, a lot of ramp up has happened in the digital business which is contributing to the increase in the employee cost. Otherwise if you see that the ONB business or GSB business, both are at a sustainable level in terms of employee expenses. Rather it has reduced not increased for sure.

Sunny Gosar : And in terms of digital business , last quarter we were at 78 crores of quarterly revenue. This quarter has been about 80 crores of quarterly revenue, so going forward, how should we look at this business in terms of growth? We have a 750 -crore order book but that obviously is over a time period . Basically if I have to project say next two years or three years and I am not looking for any immediate short -term guidance as such but how should we look at this business in terms of the quantum of revenue? Can this be like $100 million revenue over next two to three years and at some stable state, what are the kind of margins that this business can generate?

Tushar Shroff : Specifically on this particular quarter and with respect to the revenue, this particular quarter being a year-end for most of the US customers and always this particular quarter remains dull not only for STL, but probably for the industry a s well. So from that perspective, probably we have not seen very significant order book building up for the digital business in this particular quarter. However, we remain bullish in terms of building up the customer base, especially in the US market , the way we have been trying to grow and the way the team has been built up. Y ou are absolutely right. We are targeting that in next two to three years we should be able to make this particular business to the extent of $100 million with a reasonable EBITD A margin of 10 to 15% because the initial 350 to 400 crores will be about breakeven level and that's the incremental revenue which should start to reflect into EBITDA margin.

Sunny Gosar : Got it, thank you.

Chetan Wani : We move to the next participant Ravi B.

Ravi B. : Can you please provide me some update on the T fiber a

nd the UK service as there is really no movement there or progress. And the other thing is , based on the all these conversations, what I understand is like even in this calendar year, we don't see really any growth in our revenues based on all the discussions right now, so I think s olely the two important things which could improve are the BEAD project and the Bharat Net project, which anyway would take its own time. It will probably be at the end of the year, if not earliest. Is my understanding right, Sir?

Ankit Agarwal : Good questions, I will take a couple of them. One is , on the positive side, BEAD is fully approved bipartisan. There has been allocation to the S tates and there is phase one of immediately 20% of overall 42 billion getting allocated so our own view is from a calendar year, 2024 basis, probably around Q3 of calendar year is where we expect people to start getting some of the projects, the Page 15 of 15 States and then on to some of our potential customers . Bharat net, as we said, the phase three RFP is now out , where it is up for industry consultation. So I think it will take probably a quarter or two for final release of an award , but this is broadly the time fram e of these two very, very important projects.

But at least from a from STL perspective, we are not completely dependent on these projects. These would be a further volume upside for the company. We are already seeing, as we mentioned inventory reductions from our customers and as those come down, volumes come back and probably positive triggers on interest rates etcetera coming down , we do expect the volumes to come back for STL .

Coming to T fiber and the UK services - on UK, we had talked about getting to profitability in our last call. Happy to share that we have taken good actions in terms of cost reductions, admin and other travel and all of those costs. So we do believe we are on path to exit the current quarter with at least getting to break even. It has taken us more time than we would like, but we do believe that we have taken some of the actions and those costs should help us come to EBITDA break even towards the end of the quarter.

On T fiber, we are actively both looking at improving our executio n. There have been some delays , going to forest clearances in particular, which is responsibility of the state government. But we are in conversations to both , look at how do we get our cash release as well a s for whatever we have executed , to remove to complete the milestones and improve our execution percentage.

Chetan Wani : We have co me to the end of the question and answer session with this. I now hand it over back to Ankit for giving the closing remarks.

Ankit Agarwal : I'd like to thank everyone fo r attending this call, showing interest in the company . Despite the challenging market environment that we spoke about, we have managed to reduce our debt by 174 crores and we a re focused on reducing it further. We continue to aggressively drive business fundamentals of deep customer engagement, product innovation and sustainability. By using this period to drive all factors in our control, becoming l ean, agile and as we discussed , establish industry -leading cost model. While this downturn is tem porary, our customer centricity and the

capabilities we have built around product design, quality and manufacturing presence globally will reap us benefits well into the future. We are well positioned to execute and deliver robust results as we see the demand normalize.
I hope you were able to address and clarify all your queries and comments for any further questions and discussions. Feel free to reach out to the investor relation team, which includes myself and Tushar. We look forward to continuing our conversations with you in the future and again wish you a very Happy Republic Day. Thank you.

Chetan Wani : With this, we come to the end of the call. Th

ank you everyone .

(This document has been edited to improve readability)

Call: May 2024

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India .
CIN - L31300PN2000PLC202408
May 14, 2024

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051.
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 4FY24
Ref.: Scrip ID - STLTECH/ Scrip Code - 532374
Dear Sir/Madam,
In furtherance of our letter s dated April 23, 2024 and May 08 , 2024 respectively , please find enclosed transcript of earnings call held on May 08 , 2024 in respect of Company's Q 4 FY24 financial results.
The same is also being hosted on the website of the Company and is available under the tab ' FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://www.stl.tech/downloads.html#qiect
Kindly take this on record and acknowledge the same.
Thank ing you.
Yours faithfully,
For Sterlite Technologies Limited

Amit Deshpande
General Counsel & Company Secretary (ACS 17551)

Encl.: As above.

Sterlite Technologies Limited Q4 FY24
Earnings Conference Call Transcript

May 08, 2024

MANAGEMENT : MR. ANKIT AGARWAL – MD, STL
MR. TUSHAR SHROFF – CFO, STL
MR. CHETAN WANI – HEAD IR, STL

 Chetan Wani : Ladies and gentlemen, good day and welcome to the STL's Q4 FY24 Earnings Conference Call. I am Chetan Wani , Head, Investor Relations at STL.

We are joined by Ankit Agarwal, Managing Director, STL and Tushar Shroff, Group CFO, STL to walk us through the Q4 and full year FY 24 results and to take your questions.

Please note that all participant lines are in the listen only mode as of now, and there will be an opportunity for you to ask questions at the end of the presentation. You can also download a copy of the presentation from our website that is www.stl.tech . Please note that this call is being recorded.

Before we proceed with this call, I would like to add that some elements of today's presentation may be forward looking in nature and must be viewed in relation to th e risks pertaining to the business. The Safe Harbor clauses indicated in the presentation also applies to this conference call.

I now hand over the call to Ankit Agarwal for opening remarks over to you Ankit.

Ankit Agarwal: Thank you Chetan. Good day everyone and thank you for joining us for our Q4 and full year FY24 earnings conference call.
As we reflect on the financial year 2024 , we have made significant progress on all of our outlined strategic priorities. Starting from the optical business , we have made significant progress on the strategic goal of increasing our optical connectivity business by securing our first large orders in North America region. We undertook various fixed and variable cost optimization initiatives. And we optimize d our cost structure to become more efficient so that we can deliver better returns from future operations. In the Global Services business, we improved our EBITDA margins year on year from 3.1% to 7.6%. We are also very happy to share that our digital services bu siness ,we have scaled the business and more than quadrupled our revenues year on year . During the FY24 we also completed our capex cycle with the operationalization of our US facility and we are now fully set up to fulfill demands of US made optic fiber cable product s.

We were evaluating options for fundraise and we worked extensively on this priority during FY24. I'm happy to share that we have successfully completed Rs.1,000 crores QIP fundraise in April 24 by onboarding marquee institutional investors who will partner with us on the exciting journey ahead.

 Last but not the least we continue our efforts on cash and generation and net debt reduction . In FY24 we divested our holdings in M B Manshaan for Euro 5.95 million. I am glad to share that our cash generation from the business helped us reduce our net debt by Rs.334 crores during FY24. Our c ash generation and debt reduction focus aided by the Q IP fundraise will enable significant debt reduction and balance sheet strengthening and propel us to achieve our strategic objectives with renewed zeal.

Let us now look at our strategic priorities for FY25. As we enter FY25 our strategic direction remains the same . On optical networking business , we shall continue to grow the optical business by increasing OFC market share and connectivity attach rate. We shall continue our efforts to drive our cost leadership in the optical business. On the Global Services business , we shall continue to build new capabilities and value added services. We will st ay focused on improving project mix to improve profitability and we will work towards successful demerger of our services business. Lastly, on STL digital business we shall continue to scale business t hrough focus ed investments in building new technologies capabilities and focus on profitable growth.

Sterlite endeavors to be a responsible leader and ensuring a connected and inclusive world. This focus reflects in the way we have designed and implemented our ESG agenda . We have diverted 2 45,000 +

metric to ns waste away from landfills during FY19 to FY24. We have also reduced emissions of 30,000 tons of carbon dioxide equivalent through various initiatives in the plants during FY21 to FY 24. We have recycled 830,000 cubic meters of water during FY19 to FY 24. I am proud to share that we are the world's first optical manufacturer to launch externally verified eco label methodology. We remain committed to become carbon neutral company by 2030.

Through our various initiatives in education, women empowerment ove r 900,000 lives have been positively impacted during FY 24. We have also positively impacted 2.7 million plus lives through our various initiatives in the health care during FY19 to FY24. We are proud to share that we have won over 100 + ESG awards for our w ork during FY19 to FY24.

In the next few slides, let's talk about optical networking business and our efforts towards becoming the top three players globally in the optical connectivity business. Before we look at the demand outlook, let us first reflect on FY 24. As per the CRU la test estimates , OFC consumption for 2023 declined by 7.1% globally. This was led by 12% decline in North American markets for the calendar year. Inventory at multiple layers played a major role during this time and the sub optimal factor y utilization was a trend across the industry. It is important to note that we observed continued fiber deployment resulting in healthy inventory digestion during FY24. Analyst report suggests demand improvement Calendar Year 20 24 onwards and robust demand scenario from a me dium Page 4 of 17 to long term. As we look at the future projections from CRU , the medium term demand for optical fiber cable volumes is expected to go up to 617 million fiber kilometers by 2026 and 666 million fiber kilometers by 202 8, up from 536 million kilometers in CY2023, t his is a healthy 4.4% annual growth rate from 2023 to 2028 and approximately 8% annual growth excluding China. The positive demand outlook by CRU along with the continued client commitments and increasing fiber deployment and STL ’s order book su rge in Q4 FY24 is indicative of the recovery in the coming quarters.

Let us also look at the major technology trends such as AI and its impact on the fiber demand. As we all know AI is reshaping the technology landscape and influencing every technology theme that is unfolding such as cloud computing, AR, VR, IoT, online video game streaming , online gaming etc. The consumption of these technologies and their overall market size is expected to continue at a healthy pace for the foreseeable future. Moreover, we have 1/3 of our global population which still remains offline and yet to be connected . AI and machine learning are gradually taking center stage and are swiftly blending in with all these technology trends. AI ’srole in reshaping the new digital society is un debaated. No wonder various industry reports suggesting 2/3rd of network traffic sh all involve AI by 2030 , for this high growth of AI and technology users who sustain and succeed the technology backbone shall need massive data center capacities with fiber rich interconnections that smoothly manage the data explosion. It is estimated that the fiber demand and AI data centers maybe 5x to 8x higher than normal data centers. To access these AI data centers and applications at the front end users shall need reliable connectivity through FT Tx or 5G or future generation like 6 G but fiber again shall be at the core of the connectivity. As we digest this further our belie f get stronger every day that denser fiber networks will be necessity for the success of the futuristic AI led digital society. Apart from A I, there are of course three other key t hemes that are playing out globally on the optical connectivity product demand mainly the global investment in 5 G network creation, FTT H deployments and new age data center buildouts.

These demand drivers are expected to bring significant growth investments in the foreseeable future. 5 G is one of the fastest growing technologies in the world and tower fiberiz ation is at the core of 5 G. 5G subscribers are to grow at a very fast pace in the next few years and as we can see 5 G subscriber s in all key regions such as North America, Western Europe and India are expected to clock a CAGR of more than 30% for the next five years, with high tower fiberiz ation required for 5 G. Clearly 5 G global expansion should continue to drive demand for more optical fiber. Apart from 5 G, FTTx connectivity, demand for homes and businesses globally remain strong. In the US alone, approximately 100 million homes await FTTH connections . Fiber Broadband Association predicts 12 million homes to be passed in US just in 2024. Europ e FT TH passes are expected to grow at 4% at least for the next five years and India is expected to lead the global growth and fiber installation with 26% CAGR between 2023 and 2028.

Page 5 of 17 Data Center is another driver of optical products demand data center capacity in North America expected to grow at the 10% CAGR during 2024 to 2029 and in Europe expected to grow at approximately 9% CAGR for the next four years. Similarly, India data center capacity is expected to grow even faster with a CAGR of 26% over the next five years. In addition to the demand coming from these technology divisions, departments, the mega government projects such as B EAD in the US, Bharat Net in India, and other such p rograms in Europe and UK can substantially add to the overall global demand of optical connectivity products. The application of anti- dumping duty on Chinese products in India, Europe is expected to balance out the optical connectivity product supply and h elp non Chinese players such as STL further standing up our global positioning.

If we just zoom into the North America region , CRU is projecting the region optical cable demand to grow at a fast pace of 13% CAGR till 2028. More than 9 million homes were passed in 2023 alone. And as we just said another 9 -12 million homes pass additional expected just in 2024. V arious telecom internet providers in North America have an aggressive ambitions on FT TH home pass targets for the next 2 -3 years and announced the se targets publicly. For instance, in the very near term, AT &T intends to add 19 million new home passes, Lumen plans to add 9.2 million home passes, and Frontier has announced plans for another 5 million new home passes. The government spending through BE AD and other programs should only add to this fiber deployment plan by the private sector. It is estimated that in North America nearly as much fiber will be deployed to the next five years as it has been deployed through its history. So very strong demand in North America in the coming years.

As we now reflect on our market share optic al connectivity attach rates , basis CRU global consumption data during FY24 we had 8% market share and global cable demand excluding China. FY24 was clearly a year of challenging demand environment where inventory digestion impacted fresh procurements and we believe that the market share shall normalize as a fresh demand suddenly picks up. Our optical connectivity attach rates have increased to 13% from 10% last year . We are continuously working on new product development and commercialization in optical connectivity space to further increase our attach rate.

Coming to the financial performance of optical business as guided in Q 4 FY24, revenue has decline d on account o f lower volumes and stand s at Rs.777 crores . The full year FY24 revenue stands at Rs. 3,830 crores . In line with the reduction in revenues Q4 FY24 EBIT DA stand s at Rs. 60 crores and for the full year FY 24 EBITDA stands at Rs. 621 crore . Due to the lower absol ute EBITDA , the EBITDA margins of Q

4 FY24 stands at
7.7% , although full year FY24 EBITDA margins is at 16.2%.

 It has been a challenging quarter but with strategically located manufacturing facilities globally , optimized cost structure , continual production innovation efforts and customer approvals for our products from tier 1 customers across the globe , we believe that we are well positioned to capture significant market share and grow as the demand picks up.

Now let's discuss the pr ogress in the Indian market and how we are pivoting the global services . In the global services business Q 4 FY24 revenues stands at Rs. 323 crores and full year FY24 revenue stands at Rs. 1,456 crores . We have been selective in our intake and execution which has helped us improve our Q 4 EBIT DA to Rs.39 crores and EBIT DA margin to healthy 12.1%. Favorable project mix and effective execution resulted in improved full year FY24 EBITDA to Rs.110 crores and EBIT DA margins for FY24 to 7.6%. We continue to build our capability towards value added services to improve margin profile and reduce fund involvement .
We made substantial progress on all the projects and as you can see on our slide among the major India public projects include our BharatNet project in the state of Telangana is now 68% c omplete including all the packages. The network modernization project is 74% complete the data center project with the PSU standard 88% complete and on the India private side fiber rollout for a large telecom operator phase t wo is 55% complete and fiber rollout for modern optical networks for other private customer is 94% complete.
Coming to STL digital, we are continuing the growth momentum. We're continuously working with new customers for growing our business in US , Europe and India across technology and services verticals as observed during strong order flow during FY24. With more than 25 global customers at the end of Q4 FY24 we have 40 plus active technology partnerships. We have signed strategic partnerships with SAP and Google to offer the solution jointly to our customers. We expect the grow th to be driven by robust order book of more than Rs.660 crores and the right leadership as well as consultants . In line with expectations and despite a tough industry enviro nment for IT services we have achieved a Q4 FY24 revenue at Rs.78 crores and the full year FY24 revenue of Rs.298 crores . The full year FY24 revenue of Rs. 290 crores is more than four times the full year FY23 revenues. The EBIT DA loss of Q4 FY24 stand s at Rs.17 crores and for full year FY24 EBIT DA loss stand s at Rs. 83 crores .

I will now hand over to Tushar to talk about the financials.

Tushar Shroff: Thanks, Ankit . Good day ladies and gentlemen. In line with our guidance, the consolidated Q4 revenue stands at Rs.1,140 crore . Full year FY 24 revenue stands at Rs.5,478 crores , a reduction in the revenue on year on your basis is mainly attributable Page 7 of 17 to lower optical fiber cable sales volume in optical network business . In quarter four EBITDA stands at Rs.67 crores , the full year FY24 EBIT DA stands at Rs. 627 crores , while for Q4 after tax losses stands at Rs. 83 crores and full year FY24 after tax losses stands at Rs.58 crores .

In terms of new orders in the optical business we continue to win mult ibillion dollar orders for optical fiber cable in our focus market. We secured large orders in UK for multiple large telecom operators. We also secured large order s in Italy from fiber optic network operator. We secured the first large orders in North Amer ica for our optical connectivity products.
In the service business we secured large fiber rollout orders from large private telco operator in India for 5 G deployments . On the back of our global businesses our revenue mix was well diversified during last quarter and we expect this to further improve towards North America and Europ

e as the demand for the optical products pick up in the global markets. Our open order book at the end of Q4 FY24 is Rs. 10,290 crores we are happy to share that robust order book edition amounting to Rs. 2,064 crores happened during last quarter. Our order book is well diversified across our customer segments and all our businesses.
We now place abridged version of our reported numbers for your perusal. The net debt has reduced by Rs.334 crores during the financial year.
Now let us understand the current status of the demerger of the service business . During the quarter , the first NCL T hearing was conducted in April 2024 NCL T has directed us to convene the meeting of the shareholders secured and unsecured creditors to approve the scheme of de merger and we are working on next steps in the approval process.
In summary, I would like to say that in the optical network business we shall target to drive the cost leadership and pursue our ambition to be a global top three. We shall increase the sales of our focus market to grow our optical network business. We will continue to increase optical connectivity growth and attach rate. I n the global services , we will continue to focus on select project to improve the profitability and optimize on the working capital . In the digital business , we will continue to scale up and grow our revenue along with focus profitability.

Now I hand over th ecall to C hetan.
Chetan Wani : Thanks Tushar . Ladies and gentleman with this we come to the end of our presentation. And we should allow more towards the segment of Q &A with management.

Page 8 of 17 Please note that if you want to ask a question, you can click on the raise hand button and we shall take your questions one by one. special requests we ask we request all of you to limit your questions to maximum two questions so that the management can at tend to questions from maximum participate participants the call is now open for Q &A.

We will take the first question from the line of Nikhil Choudhary. Nikhil please go ahead with your question.
Nikhil Choudhary: Hi Ankit and Tushar, thanks for the opportunity. So , this was a tough year for industry and for us , but I want to discuss, especially related to the market share loss which we had during the year. E specially in America we still had negative growth in Q4 . One of your peer, largest optic fiber company globally has reported much better results in Q1 CY20 24. So, any comment there?
Ankit Agarwal: Okay, so I think the question was a little unclear but what I understood is in terms of our market share in North America, vis -à-vis some of our global competition. So , I won't be able to comment on the competition, but what we can definitely say is that we do expect and we have talked in the past about principally the market deployment, the fiber deployment continued to be strong. More than 9 million homes have been deployed which is one of the highest ever in history. And that is also leading to strong reduction of the inventory, especially with our end customers and distributors. So that's where we continue to believe that we are probably one to two qu arters away from the market normalizing. During this time, we are focused on two or three things. One is improving our product portfolio, both on cable as well as connectivity , as we shared recently in the results, w e have also started our first sale of co nnectivity in North America market which is a positive development. We also focusing on ramping up our US factory in terms of production and output. So, I think these are the focus ed areas, definitely as the market rebounds we are confident that our volume s for the US sales will improve.

Nikhil Choudhary: Sure, second one is regarding the update on the BEAD project . There are some article s about changing timelines which generally happen with common products. So, any update on

how the overall implementation and project development process is going on and when do you expect any meaningful uptake in terms of contribution from BEAD especially related to your US spectrum . Thank you.

Ankit Agarwal: Good question. So, broadly our sense is that somewhere in the timeframe of probably our Q3 or Q4 is where we can see some initial demand coming in. But when we look at our discussions with customers and even what we see with our peers, most people are factoring in probably meaningful demand coming in next year, so calendar year FY25, is where they see meaningful demand for the connectivity. Again, here we are working closely with our customers who we do expect to get the BEAD funding. We are also working both on our product portfolio as well as capacity readiness of our US factory. And recently, we have also made a public announcement to this effect, where we are meeting the BABA compliance which is important for the BEAD requirement. So that's where we stand today. There are efforts going on locally in the US around how the timing can be fast track but currently, the visibility is probably Q 3/Q4 of our financial year, is where we can see some initial impact or benefit and then meaningfully next year onwards.

Nikhil Choudhary : Last one question is related to services business , we have seen some changes in this quarter with margin profile has been menaingful at the cost of revenue growth. Is it fair to assume that this will be our strategy where we focus more on EBITDA margin than revenue growth for now in the services business . Thank you.
Ankit Agarwal: Yeah, absolutely. I think as we have been sharing on the services business in India and overall for the business, we have been very focused on taking on the right kind of projects with the right margins and most importantly right cash profile to reduce our fund involvement so that efforts continue. We do have strong relationships with the telecom operators. We have some interesting projects, which we have and have also recently won on the system integration side. So, I think that's the whole focus , we will continue to drive towards the good balance between the fiber deployment and system integration. One caveat in all of this is that we will see how the BharatNet gets played out over the next one to two quarters. And definitely that will be an interesting opportunity for STL across fibe r cable connectivity as well as deployment. So, I think let's see how that gets played out. And again, as long as the terms are to our liking that can be a good opportunity for STL.

Nikhil Choudhary: Thank for giving the opportunity and good luck

Ankit Agarwal: And one more thing to add is that we also had in line with what we had promised, we have been able to get our UK services nearly to breakeven so I think that is also something that's positive and we see good order flow up there.

Chetan Wani : Thank you, Nikhil. We will take the next question from the line of Bala Subramaniam. You may please go ahead.
Bala Subramaniam: Sir in this quarter we have seen more than 80% degrowth in optical networking business. How much impact from volume and realizati on front and how was the realization on optical fiber and OFC side in this quarter. Are we seeing any improvement on the prices side or it will likely continue to reduce in coming quarter.

 Ankit Agarwal: As we have been sharing primarily if we compare to last year, the biggest delta has been lower volumes, primarily in the US and then in Europe. We have increased some of our volumes in some of the other markets. And that also reflects when you look at our geography distribution in slide 25, where you will see our India revenues, for example, have grown from 26% to 35%. So, that's something that we are mindful of , the volumes have reduced as we have shared in a couple of discussion the past, utilizatio

ns have also been at sub 50% level. So, I think that 's something that we do see good opportunity for the business improving going forward, volumes improving going forward. I think on the realization part, we have seen that to be reasonably steady. And from our perspective, the because of the mix where typically we see lower realizations in India and Europe compared to US , because of that our average utilization would have come down at the optical business level. So , I think these are the two main factors again as we see the US demand coming back, both for cable and then eventually for connectivity , that will be a positive trigger, both for the top line and bottom line for the company. In parallel we are doing we have been doing a lot of work on the cost side, looking at all the elements of costs, which you shared in the past, both fixed costs, administration costs and various

other costs. So , that will also help us once we start seeing some of the volumes coming back.
Bala Subramaniam: Got it sir. Sir, what kind of products are in pipeline in optical interconnects from 13% rate in this year to where we can see improvement over the next two to three years .
Ankit Agarwal: Look, I can share at a macro level this definitely remains a strategic priority for us, it' s part of our strategy to provide an end to end solution to our customers. And certainly, there is good focus from our side, from product development side , from build ing the right team and capability both for our global markets , so that continues as a priority. And I think certainly we do we are keen that we increase a ttach rate as we scale up .

Bala Subramaniam: Got it. On the g lobal Services aside, we have witnessed the highest ever margin at 12.1%. So , what are the key triggers for this improvement and where we can expect from current levels .

Ankit Agarwal: As I shared , principally we are focused on executing the right kind of projects at the right margin and directionally we have shared that we want to keep this business somewhere in the range of at least 8 -10% with the right mix. So, that's what we continue to believe in. There is good discipline with the team and the business and good system integration opp ortunities that are coming up over the next 12 - 24 months. So, there is good discipline with the team and then we will see as we discussed with B harat Net that could be a n interesting opportunity and upside for this business.

 Bala Subramaniam: Okay, so my last question is regarding the situation in Europe, US and Indian markets regarding inventory piled up with operating levels and what are the changes going on in this quarter and coming quarters, is there any order slowdown due to elections in India and US market .

Ankit Agarwal: No, we are not seeing any impact of the elections per se whether in India or globally. And in fact, when you look at our own order book, that has been quite high in the last quarter , overall 2 ,000 crores plus order book and even in the optical business, very strong order book. So, I think that gives us some level of confidence that the customer inquiries are increasing, orders that we are taking in from variety of customers are increasing. So, I would say that deployment is strong, the inventories are continuing to get depleted, and we are one to two quarters away from some level of normal demand coming back.
Bala Subramaniam: Thanks so much.

Chetan Wani : Thank you, B ala. We'll take the next question from the line of Darshil Zaveri.

Darshil Zaveri: Good evening, Sir. We have had like, maybe not a stellar FY 24 but any kind of guidance that you would like to give in terms of our growth and margin in FY2 5.

Ankit Agarwal: No, currently we are not looking to give any specific guidance, because we are still in that phase as I have been sharing that principally, in our optical business we have made all

the right investments in our capacities , in our team product capability, but our utilization levels are still on the lower side. So , once we start seeing some of the regular demand coming in, when we start seeing especially in our focus markets in Europe, US and even in India with B harat Net kind of projects. So , once we start seeing that and we are able to get some comfort on that demand, then I think we will be able to provide a better guidance. Right now , as we are sharing is the primary driver specially in US market is inventory drawdow n, whic h we do expect that will lead to demand normalization in one to two quarters.
Darshil Zaveri: Okay, fair enough. So, for a common man like us, what could be an inflection point where we would say that now things have come back to normal ,something on the broader sense , what will be the turning point for us.
Ankit Agarwal: Yes, in simple terms we have added a fair bit of capacity , we are fully backward integrated from glass fiber cable, and now connectivity. So essentially, we would like our capacities to be running at least 70 -80% plus levels. S o, once we are able to get to that level and continue at those utilization levels, that will be where we get that comfort in terms of our volumes and ultimately the profitability.

 Darshil Zaveri: Okay, perfect.

Chetan Wani : We will take next question from Ashish Chopra. Please go ahead.
Ashish Chopra: Hi Ankit could you help us with what would have been the utilization levels in this exit

quarter as compared to how much it was in the last quarter .
Ankit Agarwal: We won't give specific numbers Ashish for competitive reasons, but it was sub 50% levels. And as I s hared, while the volumes have been largely flattish ,basically, we have seen that principally they've been lower volumes from North America and more volumes from other markets like Middle East and India, etc. which would have driven down the realization and profitability

Ashish Chopra: Understood, and also on the inventory levels you have been calling out, which has been on its way down and hence the outlook turning slightly positive, any qualitative or quantitative color on how and where do these inventory levels time today . Where were they at their peak? And what is really the steady state, the norm for the industry in general?

Ankit Agarwal: Ashish, it varies a little bit because there is inventory essentially in three places, it's with the manufacturers, the distributors, and with the end customers, it's across three levels. So that's the data that we are tracking closely and in our conversations with more distributors and customers ,they do see the se draw downs, which we are now tracking monthly and on quarterly basis. So that is why we get the confidence and when we look at what is kind of a basic or bare level of inventory, they would still need to maintain and it will never go down to zero, at which point they need to make sure that they a re
ordering and replenishing. That is where we are seeing that we are probably at current run rate levels of reductions, that is where we believe that we are one to two quarters away from reaching those levels that they are comfortably needing to replenish and that
the whole cycle picks up to a normal level. And if you look at also the CRU forecasts and other forecasts from the industry on optic fiber volumes picking up, you will see that kind of upt ick particularly, towards the end of C Y24 and into CY25 onwards and quite meaningfully in 25 -26 on the back of BEAD and other projects.

Ashish Chopra: And just the last couple of questions from my side , one was on the order booking how was it from the US in this quarter in terms of contribution , did you already see a pickup there. And lastly on the data center business how much would be our exposure and do you think that you need to build separate capabilities u

nder acquisitions to be a
significant player in that market.

 Ankit Agarwal: So, I wou ld say we have normalized demand from US and probably some good long term orders particularly from Europe market, some from India market as well. T ypically , our customers in Europe and US would look at 2 -3 years contracts. So, as it depends on where some o f those opportunities come up. So that's where we see that and also from distributors those was opportunities will continue to start coming in including in Q1, Q2, etc. for the US . On the data center part I think, definitely, as we shared in our slides it's quite exciting and I think there is more and more of an understanding for the industry and ourselves that clearly these kinds of Gen AI enabling data centers will have fairly dense kind of fiber networks within them. Much more fibers required per rack, and it could be the magnitude of 5 - 6x or even more. So , we are trying to understand that more and we are trying to understand what is our own product portfolio required, literally starting from glass fiber, cable and even connectivity, and certainly we would look to increase our own capability and team to cater to this market . But this is something which will take little bit more time probably over the next 2 -3 years. We will look to build this and make more of a presence in this market.

Ashish Chopra: Thanks, and all the best.

Chetan Wani : We will take the next question from line of Vipul Shah. Vipul you please go ahead

Vipul Shah: So, since you are reluctant to share your absolute production and utilization levels, may I ask at what percentage of capacity utilization will break even in our optical fiber business .

Tushar Shroff: So, Vipul at above about 60% kind of utilization, we see that at 60-65% of utilization we should be back on track in terms of the profitability for the optical network business from OFC perspective.
Vipul Shah: So, what was your exit rate for Q4.
Ankit Agarwal: It was sub 50% that is what I shared.
Vipul Shah: Okay a nd do you see any near term improvement overall .
Ankit Agarwal: I mean, that is what I have been sharing, that it's really a function of how we see the inventories going down and the demand coming up. And that's where we are broadly guiding t hat we are one to two quarters

from th ere, but directionally of course we do
believe you know, Q1 and Q2 will be better than previous quarters.

 Tushar Shroff: And Vipul the good part is that what we have seen is that the kind of an order booking that we have for this particular quarter, which gives us the confidence that th is order booking will start to roll in the coming quarters which will help us in terms of b ooking at revenue and facility both.

Vipul Shah: So last question, if you ca n directionally comment the prices of the exit of last quarter as compared to two years back how much they are down .

Ankit Agarwal: So, I don't think I will be able to give us a specific answer th ere because the pricing really varies by geography both on fiber and cable quite a bit between prices locally in China , prices in India, Europe and US as they are distinct markets. I would at least comment that in the last couple of quarters the market has been fairly stable and at least from our focus markets, we don't see any reduction in realization. We are continuing to focus on our solution offering of cable plus connectivity together, which will help us increase our attach rate and profitability in the n ext 1-2 years.

Vipul Shah: Okay, thank you.

Chetan Wani : Thank you, Vipul . We will take next question from line of Saral Shah . Please go ahead.

Saral Shah: This is a really great job on the reduction of employee cost. So , one I just wanted to understand how much of this is coming from a reduction in contract labor or production cost or production manpowe

r . Some idea, as we ramp up volumes again how much of this cost will come back .

Tushar Shroff: So, with respect to the e mployee cost, if you see the manpower cost, it's all about the permanent employees. While the labor costs which is generally it's a contract labor, which is not part of the manpower cost, it's getting reported as the other expenses are part of the line ite m. So , from that perspective, you see on a like to like basis, we have been able to reduce the substantial amount in terms of the manpower expenses. So , some part of this particular expenses as we built up, some kind of a capability on optical interconnect side. That is something that we will have to keep investing to build up the entire portfolio in terms of an R&D, as well as on the marketing side, as well as the sales engineering support side. So , as we structurally grow that particular business , we will see that the structure increase in this particular cost, but from the O FC perspective and for OF perspective, whatever the cost optimization that we have done and we continue to drive to reduce this particular cause further down for th ese two segment of t he business.

 Saral Shah: Yeah, great. So firstly, I think it's great to hear that we made some breakthrough in the US, but in terms of our overall journey, in terms of capability development, whether it is the range of products or R&D or sales capability on the interconnect side for the US market. So where are we in our journey from zero to 100 .

Ankit Agarwal: I will put it this way , there has been a lot of work over the last 12 months, I will say overall, both for Europe and US markets and also for some of the other global markets. There's both been focused on building our intellectual property , there has been focused on product development , prioritizing it. We also look very closely at cable plus interconnect development together because of the linkages between the two. So , I would say particularly to your question on US, we have a good strong base of products but one of the areas where we do see our strength is our agility to customize for our customers. And so that's something that we continue to co create with our customers and as those solutions get developed and put into the field that will be an important driver of our business particularly in the US. We are also building some strong technical resources and capability in the region. So as those teams come on board and they help support us on the ground, that will also have be en a positive driver.

Saral Shah: So, do think they should be like 2-3 years journey or a really long term journey for us .

Ankit Agarwal: No, a 2 –3-year journey is fair. It also takes some time to build credibility in the market, to get a deep understanding of on ground, how the network behaves and network requirements. So that's the phase w here we are in and typically it takes one to two years and sometimes in that period, to even get some of the customer approvals.

Saral Shah: Sure. And last question, we of course on the IT services side, we are very close to breakeven we had a little bit of a blip this quarter, but how is next year overall looking on IT services growth and profitability .

Ankit Agarwal: I would actually mix the two as you said, we are looking at profitable growth. So , that's really where Raman and the team are driving that, while there could be many opportunities we are really keeping that focus a nd discipline that while we want to grow, how do we find that balance and still make sure that we first get to break even as we have been discussing, and then look at profitability. So that's something that we are aware that probably overall IT services sector is currently a little bit challenging. But certainly, overall environment improves over next 1 -2 quarters , the intent is cert ainly first to get to break even quick

ly, and then look at profitable growth. So , we are also mindful of our own investments into the business so far, and hence it's important that going forward the business creates a profitable growth.

Saral Shah: All ri ght, thank you.

Chetan Wani : We will take a last question. And that will be from the line of Sohan J oshi.

Sohan Joshi: Hi Ankit, we do you expected allocation of tenders in the BharatNet project. W ill you have any growth coming this year from that .

Ankit Agarwal: Yeah, good question. B asically, there is, some of the responses to the inquiries, etc. to the Bharatnet tender, and so current visibility is probably in the next one to two months, there could be a response to the tenders and then there coul d be some more work around that. So, practically, some work could happen towards our financial year Q3 or maybe Q4 is where there could be some impact. Again, it will vary depending on whether it's business to us on the fiber deployment side or its busines s for us on cable supply, or possibly even fiber supply to other cable rs. So, broadly we do think that there will be some activity on the ground, probably by Q 3 and Q 4 of our financial year.

Sohan Joshi: Okay, second question, how are we seeing the demand of tower fiber isation in India . Since India has a rate of say just around 37% o dd tower fiber isation and with 5 G rolling out very fast , do we see any big upside in demand coming from India itself physical to tower fiber isation.

Ankit Agarwal: Yes, it will at least be steady and maybe some healthy growth. Primarily, I would separate the two that probably we do see particularly, the demand from at least one of the two large operators to scale up given that they want to get a higher tower fib erisation probably at 70- 80%. So, definitely one of the two large operators will scale up. The good thing is both the large operators, Jio and Airtel have very ambitious plans for fiber to the home as well fiber to enterprise. So, all of this is converging. I would say so, one look at it as one ubiquitous network, whether it is fiber for towers, fiber, enterprise , fiber to home, all of it is getting built including fiber for data center requirements is all getting built at one time so we do see this kind of coming together and definitely on top of this you will have the Bharat Net requirements, which will be in rural India. So, we are bullish on India. It's our home market and we do hope that that demand increases over the next three to five years.

Sohan Joshi: Okay, thanks a lot. One small question, with this prolonged high interest rates and US elections coming up, do y ou see any impact on BEAD project or it will continue irrespective of which of the political parties coming to power in USA .

 Ankit Agarwal: The BEAD project bipartisan is approved by both the parties , both the houses, so to that extent, we don't see any negative impact on BEAD based on the elections . On the interest part definitely at least a STL i t's been positive to the extent with our fundraise now , we will be utilizing that for our debt reduction. And to that extent, our interest costs will come down to some amount for the current year.

Sohan Joshi: Okay, thanks a lot, and all the best for the upcoming quarters.

Chetan Wani : Thank you Sohan. Ladies and gentleman with this, we come to the end of the question and answer session, and Ankit I hand over the call back to you for closing remarks.

Ankit Agarwal: Thanks, Chetan. I would like to thank everyone for attending this call and showing interest in our company. Despite a challenging market environment, we have managed to make progress on our key strategic priorities. And we have reduced our net debt by Rs.334 crores majorly through internal accruals . We have successfully completed the QIP and onboarded marquee investors which is a testament to our

capabilities and future
potential. I thank these investors when placing their trust on STL. During the last FY24 we have worked on all factors in our control and attempted to become lean, agile and establish industry leading cost model. In this new financial year FY25 we will continue to aggressively pursue business opportunities presented by the market on the tenets of deep customer engagement, product innovation, sustainability, and we are conf ident that we will reap benefits of this into the future. We are well positioned to execute and deliver robust results and create shareholder value as a demand normalizes, I hope we will be able to address and clarify all your questions and comments for an y further questions and discussions please feel free to contact the investor relations team which includes myself and Tushar. We look forward to continuing the conversation with you in the future. Thank you.
(This document has been edited to improve readability)

Call: Aug 2024

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India .
CIN - L31300PN2000PLC202408
August 06, 2024

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051.
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 1FY25
Ref.: Scrip ID - STLTECH/ Scrip Code - 532374
Dear Sir/Madam,
In furtherance of our letter s dated July 20, 2024 and July 30 , 2024 respectively, please find enclosed transcript of earnings call held on July 30 , 2024 in respect of Company's Q 1 FY25 financial results.
The same is also being hosted on the website of the Company and is available under the t ab 'FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://www.stl.tech/downloads.html#qiect
Kindly take this on record and acknowledge the same.
Thanking you.
Yours f aithfully,
For Sterlite Technologies Limited

Amit Deshpande
General Counsel & Company Secretary (ACS 17551)

Encl.: As above.
 Sterlite Technologies Limited Q1 FY25
Earnings Conference Call Transcript
July 30, 2024
MANAGEMENT : M R. ANKIT AGARWAL – MD, STL
MR. TUSHAR SHROFF – CFO, STL
MR. CHETAN WANI – HEAD IR, STL

 Chetan Wani : Ladies and gentlemen, good day and welcome to the STL's Q1 FY25 Earnings Conference Call. I am Chetan Wani, Head, Investor Relations at STL.

Today we are joined by Ankit Agarwal, Managing Director and CEO, Optical Networking Business, STL and Tushar Shroff, Group CFO, STL to walk us through the Q1 FY25 results and to take your questions.

Please note that all participant lines are in the listen o nly mode as of now, and there will be an opportunity for you to ask questions at the end of the presentation. You can also download a copy of the presentation from our website that is www.stl.tech . Please note that t his call is being recorded.

Before we proceed with this call, I would like to add that some elements of today's presentation may be forward looking in nature and must be viewed in relation to the risks pertaining to the business. The Safe Harbor clauses indicated in the presentation also applies to this conference call.

I now hand over the call to Ankit Agarwal for opening remarks . Over to you Ankit.

Ankit Agarwal: Thank you Chetan. Good day everyone and thank you for joining us for our Q 1 FY25 earnings conference call.

As we enter Q2 FY25 , directionally our strategic priorities remain the same . On the Optical Networking Business , we shall continue to focus on driving growth by increasing OFC market share and connectivity attach rate. We will focus on rapidly building data centers suite of products to tap the huge potential in that space. We shall continue to also drive our technology and cost leadership in the optical business .

On the G lobal Services business we shall continue to buil d new capabilities for value added services. We shall stay focused on improving project mix to improve profitability, and we will work towards completing the demerger of our services business.
Lastly, in our STL digital business, we shall continue to scale the business to conscious investments in building new technology and domain capabilities while we keep our focus on maintaining our profitability .

STL has always endeavored to be a responsible leader and ensuring a connected and inclusive wor ld. Through our various initiatives in education, women empowerment and health care, we have positively impacted millions of lives since FY19. To highlight some of these key initiatives , we started RoboEdge in 2023 with intention to power students
 with next gen skills and focus on robotics to enable career growth and we have been able to cover more than 11 schools and more than 3500 students have been benefited already.
Next to the right is a Jee wan Jyoti program founded by Miss Jyoti Agarwal to empower underprivileged women by training them in various vocational skills to make them financially independent. So far more than 5000 women, artisans have been benefited from this program. We also started a hybrid healthcare program during COVID providing primary h ealth care as well as tele health facilities to marginalized communities and rural parts of select districts of Maharashtra , we have impacted more than 1 million lives. To its left is afforestation and water pension program, where we are working with 26 G ram panchayats for creating or rebuilding 95 water structures. Our efforts have resulted in replenishment of 2.69 million cubic meters of water in Maharashtra. Under this project, we have created urban and rural forests by planting and maintaining more tha n three lakh plants and we will sincerely continue to drive such initiatives going forward.

On the ESG front, we are committed to our goal of being net zero emission organization by 2030. We present here some of the accomplishments on this front and to mention a few achievements since FY19. We have diverted more than 250, 000 metric tons waste away from landfills. We have reduced emissions of more than 34,000 tons of carbon

dioxide equivalent. We have recycled 860 ,000 cubic meter of water during this years.
We are proud to share that we have even won more than 100 ESG awards for our work.
We are the world's first optic fiber manufacturer launched externally verified eco label methodology when compared to standard products, these eco label products utilize approximately 52% less energy, carry 75% less global warming potential and use approximately 18% more recycled content and 25% more recycled packaging material.
These products also reuse and recover almost 20% more waste and enhance the longevity of the network by nearly 13 years, thereby benefiting both the clients as well as the environment.

On the next few slides, let's talk about O ptical Networking business and our specific efforts toward becoming the top three players in the optical connectivity business. Now as we reflect on FY24 in the last quarter, as per CRU latest estimates, OFC consumption for 2023 declined by 7% globally this was le d by almost 12% decline in North America market. As we have shared previously , the inventory at multiple layers played a major role during this time. And sub optimal factor y utilization was a trend across the industry .
Despite a lower fresh demand during t he last few quarters , we observed robust and continued fiber deployment resulting in healthy inventory digestion. Various Analysts' reports estimate steady demand improvement as well as demand scenario to stay robust for the medium and long term. As we look at the future projections from CRU , the medium term demand and the optical fiber cable volumes is expected to go up to 662 million fiber kilometers by 2028, up from 536 million fiber kilometers in 2023. Theis
 projects healthy 4.3% annual growth in global demand and a strong 7.1% growth in annual demand from 2023 to 2028 if we exclude China . The positive demand outlook by C RU along with our continued client commitments on increasing fiber deployment and steady STL order book additions is indicative of our recovery in the coming quarters.

Let us also look at a major technology trend, that is AI and its anticipated demand on fiber demand. As we discussed in previous earnings calls, AI and machine learning are gradually taking the center stage and swiftly blending in with all major mega technology trends, while data storage consumption and bandwidth requirements has spurred the

demand for data centers over the last few years. 2023 will be remembered as the c oming of age of AI . Chat GP T reached 100 m illion users worldwide in just two months, a goal that took Facebook four and a half years. Industry report suggests that two thirds of global network traffic shall involve AI by 2030. For the growth of AI and technologies to sustain and succeed , the technology backbone shall need massive amount of data center capacities to smoothly manage this data explosion. As we understand more , AI revolution is actually reshaping the data center designs and architecture. It's estimated that the overall optica l connections and fiber requirements in AI data centers will be significantly higher than traditional CPU based data centers. If we look at some of the key layers in the data center architecture, typical optical connections in the AI data centers are estim ated to be five times compared to traditional data centers and rack density may be as high as one and a half times . The fiber channels required to store in the storage layer is approximately estimated to be one and a half to two times of the traditional storage layers in traditional data centers. Overall network and connectivity may require as high as 18 times higher fiber content in the AI data centers. Overall data center capacity in the world is expected to grow at a rapid pace up until 2030 a t least.
In summary, in this era of the AI revolution, fiber shall need to be at the core of connectivity within and out

side data centers. This fiber explosion within data centers and higher fiber requirements for data center interconnectivity presents a massive opportunity for a company like ours and have set an ambitious target that approximately 25% of our revenue should come from our data center suite of products in the medium term.

Apart from the AI driven investments that I just spoke about, globally, the fund infusion that we are seeing in 5 G network creation FT Tx deployments, as well as Cloud Data Center buildouts continue to be very strong . 5G remains one of the fastest growing technology in the world and tower fiberization is at the core of 5 G not just in India, but also globally. 5 G subscribers are expected to grow rapidly in the medium term across geographies, and we can expect 5G subscriber addition in North America, Western Europe and India to be robust all the way up to 2029. As per recent reports f rom Analys ys Mason, the average fiberized mobile sites of towers in India stand s 38% in 2024 which is expected to increase to 63% by 2029. With higher 5G subscribers and Page 5 of 20 higher number of 5G towers, a nd higher fiberization requirement s, 5G clearly is at the core of global expansion and should continue to drive demand for more optical fiber . FTTx connectivity , demand for homes and businesses globally remain s strong as well. In the US alone, approximately 100 million homes await fibre to the home connections. Europe FTTx passes is expected to grow by 4% at least for the next five years. And India is expected to lead the global growth in FT Tx installations, with 26% CAGR expected between 2023 and 2028. Data Center deployment is expected to continue attracting strong investments with data center capacity in North America projected to grow by more than 10% CAGR between 2024 and 2029. But Europe is expected to grow at 8.5% CAGR in 2027. In India, the existing data center capacity is expected to more than triple betw een now and 2028. As we saw previously, the data center connectivity requirements will continue to carry the demand for optical connectivity products. The demand outlook is also expected to be supported by other factors such as what we have witnessed in terms of improved telecom tariffs in India, especially between Airtel and Jio resulting in improved financial health and investment capability of the Indian telecom companies , the existing anti-dumping duty on Chinese products in India and Europe and overall industry shift from copper to fiber. On top of that, we also have the mega government projects such as the B EAD project in the US , Bharat Net project in India and other such programs in Europe, Austr alia and other geographies, which will also overall increase the demand for optical connectivity products.

Coming specifically to the North America and the US region , at STL we are being optimistic on the demand in North America region . CRU has projected that the North American optical cable demand is expected to grow at approximately 13% CAGR till 2028. The fiber deployment in the region stay ed strong at more than 9 million homes passed in 2023 alone and between 9 -12 million incremental home pa sses additions are expected in th e year 202 4. The telecom and internet provider companies in North America have set aggressive ambitio ns on FT Tx at home pass es additions for the next two to three years. And have announc ed these targets publicly. For instance, AT&T in the very near term intends to add 19 million new homes , Lumen plans to add another 9 million homes , Frontier has already announced 5 million new homes to be passed. In addition, the government spending through BEAD and other programs shall only add to the fiber deployments planned by the private sector. As for the latest update, the program is progressing steadily asshowcased in th ispage. Some analysts expect B EAD funding to begin by the start of 2024. All

in all, it is estimated that in North America nearly as much fiber will be deployed in the next five to six years as has been deployed throughout history.

As a technology driven company for the past three decades, we have meticulously and passionately built capability across the optical fiber value chain. Our business and reason for existence is deeply rooted in fiber and technology has made the core of it r ight from Page 6 of 20 creating Ultra Pure Glass Preform , State of the Art Optical Fiber Drawing , Optical fiber cable and most recently optical connectivity products , we are truly offering glass to gigabit connectivity. Our passion for innovation has driven us to solve industry challenges like attenuation, b end sensitivity, compatibility, duct space, labor availability, and the TCO reduction and created advanced fiber solutions that will support everything from immersive entertainment to Ad scale Gen AI experiences .

Some of our solutions are truly first in the world or sometimes first in India, such as India's first multi core fiber M ultiverse which offers four times the capacity in the same fiber . Stellar fiber with superior b end in performance. We are amongst the first companies globally and amongst India's first to develop the world's slimmest fiber - miniaturized advanced fibers with diameters of 180 and 160 micron. We are also proud to share our progress on the IP portfolio, during Q1 FY25 our total IP patent portfolio increased to total of 715 patents, including filed and granted. We filed 32 new patents during this period and a record 24 patents were awarded to us in the US and India. We continue to push the boundaries and drive product innovations relentlessly to achieve many more firsts in the future as we move forward in our journey to become one of the
top three optical networking companies globally.
Let us now reflect on a market share in optical connectivity rates . Basis CRU consumption data during H 1 CY23 we had 8% market share on optical cable demand excluding China. Our Q1 CY 24 market share how ever was observed at 6% amid challenging market demand environment. We believe that the market share shall normalize as a fresh demand steadily picks up and as we have also had intensified our
efforts to regain our market share. We are happy to share that we recorded our highest ever optical connectivity attach rate during the last quarter at 23%. We are continuously
working on new product developments and commercialization in optical connectivity space to further increase our attach rate.

Coming to the financial performance for the optical business in line with our guidance Q1 FY25 revenue stands at Rs.810 crores , which has marginally improved on quarter - on-quarter basis. EBIT DA for the quarter stands at Rs.88 crores at 10.9% of revenues. EBIT A margin reflects substantial improvement on Q -o-Q basis and stands low lower on Y-o-Y basis due to lower cable volumes. Th e Q-o-Q EBIT DA improvement is indicative of success of various cost optimization measures undertaken by the company .

Having completed our capacity expansions are shared in previous discussions , we strategically located manufacturing assets and continued focus on cost structure optimization, product innovation and focus on data center product portfolio development as well as approval from tier one customers. We are very well positioned to capture the significant market share going forward and grow the bus iness as the demand picks up.
Page 7 of 20
Now let's discuss the progress in the Indian market and the growth of the global services business. In the global services business Q1 FY25 revenues stood at Rs. 355 crores . Our selective order intake and execution focus has helped us achieve Q1 FY25 EBIT DA of Rs.25 crores and EBITDA margin of 6.9% . We continue to build our capability towards value added services to improve our margin profile and reduce the fun d

involve ment.
On the project execution side, we have made substantial progress on all key projects during this quarter. A mong major India public projects , our BharatNet project in state of the art Telangana is 69% complete including all packages . The data center project with PSU stand s at 93% completion . Among the major India private projects fiber rollout for large Indian telco phase II is now 59% c omplete . Fiber r ollout for a modern optical network for another private customer is 98% complete. With our extensive large project experience, we are well positioned to tap BharatNet phase III opportunities in the coming quarters.

Now let's discuss about STL digital business and their performance. In STL digital we are continuing the growth momentum. We are continuously working with new customers for growing our business in the US , Europe and India across technology and service verticals and observed a healthy fresh order flow during the last quarter. We are working with our 25 p lus global customers and 40 plus active technology partners for business growth. We expect the future growth to be driven by robust order book of Rs.377 crores , healthy order pipeline and execution strength backed by the right team of leadership and consultants. In line with expectati ons and despite a tough industry environment, we achieved a quarter one FY25 revenue at Rs. 71 crores displaying a growth on Y-o-Y basis. T he EBITDA loss for Q1 FY 25 stands at Rs. 17 crores , the EBITDA loss is trending downwards on Y -o-Y basis and also sugge sts improved margins Q-o-Q basis .
I will now hand over to Tushar to talk through the financial s.

Tushar Shroff: Thanks Ankit . Good day ladies and gentleman. In line with our guidance the consolidated Q1 revenue stands at Rs.1,218 crores showing improvement quarter -on-quarter basis. The Q1 EBIT DA stands at Rs. 93 crores and EBITDA margin stands at 7.6% . As guided our EBITDA margin has improved on quarter -on-quarter basis and for Q1 after the tax losses stands at Rs. 47 crores , after the tax losses have reduced on quarter -on-quarter basis.
The new Order addition during the last quarter was robust with us secur ing the several large orders from marquee customers . We won the large long term orders from the leading UK telecom companies for optical interconnect and connectivity solutions. We secured large deals in Italy for optical fiber cable and specialty cable products . In India, Page 8 of 20 we won large long term orders for fiber optic supply and deployment for a large private telecom operator. We also won large orders for our service business from an Indian public sector enterprise . On the back of global business our revenue mix was well diversified during Q 1 FY25. W e expect revenue mix to improve towards North America and Europe as the demand for optical produ cts pick up in our global market.

We are happy to share that despite a significant order d escoping , our open order book stands at Rs.9,883 crores at the end of Q1 FY25 backed by steady order wins. Our order book is well diversified across our customer segments and all of our businesses . We place before you an abridged version of reported numbers for your perusal. We are happy to share that the net debt has reduced by Rs. 769 crores from FY24.
With reference to global service demerger , we are progress ing as planned on process of demerger . During the NCLT convened meeting on 10th July 202 4 the scheme of demerger received 99.98% approval from the equity shareholders and 100% approval from the secured and unsecured creditors. The final NCLT approval are expected in indicative timeline of next three to four months and the resulting company is expected to get listed by the year end.

In summary, we have clear focus areas identified to drive business forward . In optical network business we shall target to drive the technology and cost leadership and p

ursue
our ambition to be a global top three. We will increase the sales in our focused market to grow our optical network business and fill the volume gap. We will continue to increase optical connectivity busi ness with a growth and attach rate with f ocus on rapidly building our data center product portfolio. In global service we will continue to focus on select project intake to improve the profitability and optimize the net fund involvement.
In STL digital we will continue to scale the business and grow our revenue along with the focus on profitability .

With this now I hand over a call back to Ch etan. Thank you.

Chetan Wani : Thank you, Tushar . Ladies and gentleman, we have come to the end of our presentation. And we shall now move to the Q &A session. We request you to keep your questions brief and limit the number of questions to maximum two so that the management can attend to maximum quest ions. The call is now open for Q &A

We will take the first question from the line of Nikhil Choudhary .Nikhil please go ahead and ask you a question.

Nikhil Choudhary : Hi and thanks for the opportunity. After a long time Ankit and Tushar we have seen first Q-o-Q growth. So , congratulations on that. But one thing here , the growth looks like it's Page 9 of 20 driven by interconnect business where the a ttach rates jump from 11 to 23%. So

basically, if you remove the interconnect part the core business wa s flattish or declined .
So two questions here , first is how the demand is trending on the core business excluding interconnect and what's the outlook there. And second thing, what's the outlook on interconnect , after a long time it increased to 23%. Can it go further up?

Ankit Agarwal: Thank you Nikhil for your question. So , you have summarized it quite well. I think as we have been guiding , our focus markets continue to be US, Europe and India and as we have shared in the past, particularly in the US we had seen that it's been an interesting situation where on one side the inventories had been high but the deployment especially fibre to the home deployments have been very strong, i n fact amongst the highest . So when I look at the market demand that I continue to be very positive about ; it's triple play in terms of demand from the tel ecom operators, money coming in from private equity players into tier I and tier II service providers, as well as go vernment funded projects, some from the past and BEAD which is expected to start coming in probably Q3, Q4 onwards, and then probably more significantly into next calendar year. So , from a demand perspective, definitely US and Europe will be our key driver s. I do also expect that in India, there will be continued focus on fibre to the home deployment , fibre to enterprise deployment as well as even when operators are talking about fixed wireless you will still need a fair bit of fiber connectivity which will be required up to that last 100-200 meters. So that's something that we do see principally a dem and being positive.
And then the fourth trigger and all of this will be the data center connectivity. As we just shared in one of our slides. We actually seeing a very interesting shift from so called regular data centers to DCs which are being built for m ore and more AI capability which will definitely require much more connectivity between the servers and the racks, etc.
So, I would say principally we remain positive about the demand. We do see the inventory levels coming down, and certainly between next one to two quarters, this should result in improved demand for our optical cable products . On the connectivity part, principally I want to reiterate that we do endeavor to sell our cables and connectivity together as a solution. That's really where we beli eve we create value for our customers and then for STL , so that continues to be an endeavor. We continue to be focusing on our inv

estments in building the technology, building the product portfolio, and also the IP. S o I would say that this is something th at we will continue to focus and prioritize but I wouldn't be able to give a specific guidance on connectivity. It will be both a function of how cable also steps up, and how we are able to win more orders both in Europe as well as in the US.

Nikhil Choudhary: Sure. Thank you for the detailed answer. Second and third are smaller question on the other two segment s, services saw Q -o-Q jump but the margin did more or less in line with expectation but relatively higher than what we were thinking. So what shou ld be a steady state margin in services and in the digital segment, despite of being lower base our revenue decline, high single digit on Q -o-Q basis. While I understand that our challenges in IT industry , still such a sharp decline was relatively higher. So those two are my final questions . Thank you.

Tushar Shroff: So Nikhil, with reference to the service business, steady state margin that we are expecting is in the range of 8 -10% EBITDA margin , that is what we are targeting for this particular financial year. However, during this particular quarter, because it's a mix of the various orders which results into the margin. So there is a change in the mix, which has resulted in terms of the impact on the margin for this particular quarter but for overall fin ancial year, we a re looking at 8-10% in terms of sustainable EBITDA margin for this particular business. With respect to the digital business, yes this particular quarter because of the last couple of months and a couple of quarters, we have seen that the industry has witnessed slowdown in the IT sector, and which has also impacted us. H owever, we see this current financial year, we expect to grow this particular business over a period of time. So, overall we are targeting that we should be able to have at least 5-7% kind of growth in the digital business. That is what we are expecting.

Nikhil Choudhary: Sure. Understood. Thanks a lot and good luck for coming year.

Chetan Wani : Thanks Nikhil. We will take the next question from line of Balasubramaniam . Bala please go ahead.
Balasubramaniam: Good evening sir. Congratulations for Q -o-Q improvement. So, my first regarding BharatNet phase III and how much is the addressable market for us out of Rs.1,39,0000 crores and second question is there any delay in BEAD program due to political situation US

Ankit Agarwal: Thank you. Hi Bala . So one the current RFQ and opportunity right now from the spend
perspective is Rs. 65,000 crores. And I think it's important to remember that we would
address this for 2 -3 levels for us. It's an opportunity definitely on the services business,
in terms of the entire deployment and then the materials. The second part would be supply of cables, both for our services requirements as well as other partners or players in the pro ject. And then of course, the fiber itself to various cabler s. So , this is something
which is an opportunity across the board. I think it's a bit too early for me to share , we
are in that phase where next 2 -3 months where there will be more developments
regarding this project. But certainly I would say there is a strong intent from the
government to take this project forward and to make sure that the project is successful .
In terms of the BEAD project, definitely there is a strong intent , the BEAD project was
passed, which was bipartisan, so we don't see or expect any impact or slowdown of the BEAD project, particularly link ed to the political situation. I would say that probably
 versus our own estimate earlier in this financial year to now we do see that the impact
of BEAD ultimately to cable requirements, connectivity requirements, that probably got
pushed out by 3 -4 months or so.
Balasubramaniam: Got it. S ir we

have lot of large deals in UK and India. So like what kind of environment
levels for inventory reduction on global operator levels, and we when we can expect
normal sees whether it's Q 3 or Q 4.

Ankit Agarwal: Yes, so as I said, we have been tracking this quite closely with our customers and also
with their distributors. I would reiterate th at the inventory topic that we have been talking
about is largely a phenomenon in the US and probably to a smaller extent in Europe and
UK. So I would say that what we are speaking about inventory, that is what we are seeing
probably another one to two qua rters more before we see the inventories are normalized.
But I think when we talk about interest , RFQs or requirement requests coming up, I think
that is moving in a good direction and the underlying demand of the market especially in the US, we continue to be bullish on for the next 4 -5 years. As we shared is one of the
slides we have won some good p rojects across UK , Europe that we've been talking
about, which is both on the cable as well as connectivity. So as I said, our whole objective is to look at cable and connectivity together as a solution. And that's certainly something we are confident that the customer will see value in and will also be valuable
to STL .
Balasubramaniam: Got it sir , my next question recording any improvement in OF and OFC prices and
because our revenues majorly impacted by volumes . How much volumes have been
dropped in this quarter, and we have seen some improvement on Q -o-Q basis it's because
of realization side or increase in capacity utilization side.
Ankit Agarwal: I would say that overall, we won't be able to give specific volume details. But what I can
share is that p rincipally we've had, a flattish quarter in terms of volumes on the cable
side but we've seen the positive growth on the connectivity side. So , I think that's how
you should think about it. Definitely from a pricing perspective, again, I would say
flattish to slight reduction. Again, that's also a function of where the mix of our sales has
been. Our US sales has been on the lower side compared to Europe and India. So that has also reduced our overall realization at STL level. So as the US market improves as
those exports increase, as well as what we produce locally there and we continue to sell to that extent our realization would improve again .
Balasubramaniam: Got it Sir. My final question, any kind of impact because of anti -dumping duty by
European commission's because one of our competitors only exempted by European
Commission's . So what kind of impact we can see not only for our company but the
entire Indian market players.

Ankit Agarwal: Look, one I think it's important to remember that this is a provisional, so at least I can
speak on behalf of STL. We are very confident on the merits of our case. We believe that with the right calculation levels, we do not believe there should be any case for anti-
dumping a nd we are making all our representations with full effort. In terms of being
prepared for it . I would say very confidently that we have one of the most advanced
facilities for fiber optic cable in Italy, from where we can serve our European customers.
We have invested in this facility significan tly since we did the acquisition of
Metallurgica a few years back, so we are very well set up to meet all our customer
requirements with their lead times a nd product requirements. So from our perspective,
meeting the customer requirements , we are very com fortable . In terms of the duty itself
as I shared, we are definitely working on it. And to make sure that we put our full effort
towards what is provisional duty currently. I won't be able to speak about rest of the
industry, of course, different players have got different rates appl ied to them
provisionally and I am sure the entire industry will work towards seeing how these

can
be removed or minimized.

Balasubramaniam: Got it, sir. Thank you.
Chetan Wani : We will take the next question from Advait . Please go ahead and ask you a question.

Advait: Sir congrats on a robust set of numbers. Just want to know how do you plan to structure your costs and is it across businesses and is the demerger a part of the cost restructuring.
Tushar Shroff: So, the way we have been looking at the cost structure is, overall we are looking at the fixed cost and we are attempting to see how we can optimize in terms of the fixed costs that we have, at the company level, whether in terms of manpower spent or in terms of other expenses or whether it's a logistic cost or whether it's a packaging material cost,
all of that which are fixed in nature. We are trying to address all of that, by working with innovative solutions that we may be looking at, to find better way of managing the business. So, we are targeting to reduce fixed costs, at least to the extent of 4 -5% on
sustainable basis.

Advait: And this is across businesses.

Tushar Shroff: Yes, across the businesses.
Advait: And additionally, there is a Kavach , anti-collision opportunity in India, where the railways will be deploying 4 G. So we just wanted to know if there's any kind of opportunity there for us.

 Ankit Agarwal: I am familiar with the specific opportunity. We will definitely evaluate that and broadly I would make a view that not just BharatNet, there are multiple and very interesting opportunities for the services business. Just given the massive experience we have, whether it's on previous BharatNet projects, whether it's on system integration projects for the Indian Navy, Indian army. I think we are very well placed with our experience to capture some of the new opportunities that we are already starting to see in our pipeline.

Advait: Right Sir. Last question on the Italian plant we have, what is the capacity and how do you see that going up , if you can share .

Ankit Agarwal: I won't be able to comment on specific capacities but what I can share is that since we had acquired that facility , we have invested in scaling it up. And it's truly a world class facility. Now it's probably one of the largest facilities in Eur ope. So we are very well set up to cater to our customer requirements and certainly from a product portfolio perspective we are very well set up .

Advait: Thank you.
Chetan Wani : Thanks. We will take the next question from Sohan Joshi . Please go ahead.
Sohan Joshi: First question is with regards to the freight cost , the freight cost has increased by 2x almost across the geographies. So how are we impacted by this, I mean any impact on bottom line or the freight escalation enjoy the pass through status.
Tushar Shroff: So we have seen that the freight impact in our financials, what we have seen is that at least 2-3%, which we have seen that increase in the freight during this particular quarter, some part of the element is also with reference to the air fr eight that we had to incur to serve the customer better. I t's a mix of the rate increase as well as in terms of the change of mix from air freight to sea freight that is also being impacted. But yes, in this quarter, we have seen a little bit of impact on the freight cost.
Sohan Joshi: So, g oing forward, are we planning to structure contracts in a way that henceforth you can pass on these costs to the customers because post COVID t his has been a continuous issue, right .
Ankit Agarwal: Yes. I will break in two things , of course there is some element of this link to the Red Sea impact, and that has both caused some of the increas e in costs as well as the insurance costs , lead times , travel transport times have gone up. So , I think that's anyone's guess by when those things normalize, but that is expected to normalize over the next few quarters. Wh

at we are doing in our own bases is , both just looking at how
 do we reduce our logistics costs , how do we reduce our container requirements itself , how do we become more efficient, a t the same time, look at other types of contracts that we could do to minimize the costs, look at various routes. So that's the work we are doing. Typically our customers especially in our global customers, they typically want it on delive red basis , so it's up to us at STL to make sure that we can optimize our costs.
Sohan Joshi: Okay, my second question is with regards to the data center business , what growth run rate are we targeting . I mean, will it compensate to some extent toward decl ining volumes of O FC. Since internet companies are investing heavily in data center business ,

I presume the growth run rate will surpass every other business, right.

Ankit Agarwal: As I said, principally we definitely are very excited with the kind of opportunity we are seeing in the data center space. And as we said, because of this massive boom towards essentially generating AI. There is a direct implication into how data centers are getting structured and as a result of that need for fiber optics, cable and connectivity within the data center. So that flow is principally what we tried to share in through some of the slides . As a result of that we are looking at how do we increase our presence in this space. So that was essentially the message that we had shared and we have taken a target that 25% of revenue in the medium term should come by our sales to this sector. So, it was more something we wanted to share with our investors that strategically this is the direction we are excited about , this the direction we are leaning towards . It is not so much about you know bridging any gap it will take us some time to build a portfolio, get the technology get the IP and definitely we will update you probably quarter on quarter as we are progressing on that.

Sohan Joshi: Okay, thanks that is it from my side. All the best for the future quarters.

Chetan Wani : Thanks. We will take next question from Ketan Athavale. P lease go ahead.

Ketan Athavale: Sir I wanted to know our margins which have been impacted since last few quarters , what are the factors contributing to that besides slowness in optical business? So that is the first question.

Tushar Shroff: So, if you see last three quarters o ur margins have been impacted mainly on ONB business, because of low capacity utilization that we have seen . Presently, since we have not been able to utilize all our facilities to the optimum level, which is impacting because of the higher fixed costs operating costs that we have not been able to leverage on , in terms of the fixed costs that we have. So that is impacting the overall the margin profile of ONB business.

Ketan Athavale: Okay, so by when can we see previous levels of margin and how do we expect the other Page 15 of 20 expense to trend going forw ard?

Tushar Shroff: So, we expect US to pick up in next 1 -2 quarters, that is what because the inventory levels are going down and as we see that US starts picking up , there are two advantages to it. One is that we will be able to utilize our US facility to the full extent, as well as for some of the non -BEAD requirements, we will be able to utilize our India facility. So , it has the two benefits one is fully utilizing the US facility as well as the India facility. So , which will help us in terms of taking a better utilization and which will improve the margin profile. However, in terms of the overall cost structure, as I have mentioned, in earlier question, that we are targeting to reduce it by at least to the extent of 4 -5% on sustainable basis. That is over a period of time and that is what we will be looking at.

Ketan Athavale: Okay. A nd coming to BharatNet, so if my understanding is correct about

6000 m aybe optical, 12,000 maybe EPC and the rest about 40,000 will be network equipment . So will we participate in that as well, c an you clarify?

Ankit Agarwal: Just to clarify, as I said earlier, we have had extensive experience on phase I and phase II. Government is still issuing various clarifications on the terms of the tender, various conditions, various milestones, etc. So we continue evaluating in terms of making sure that the terms are something that make business sense for S TL. So, from that perspective, it's too early for me to comment on what all will be our scope and what size will be. But clearly, as I said before, we will be focused both from the services business as well as from the optical business to make sure that we are a key participant in the project.

Ketan Athavale: Okay, and just last question. So in the balance sheet, you have an unallocated liability of a discontinued operations, so can you clarify what is it exactly .

Tushar Shroff: So these include bank borrowing of ~2360 Cr other trade and statutory liabilities and discontinued business related liabilities of approx. 15 crs. T hese are basically specific liabilities which are related to some of the discontinued business that we have, mainly on account of those contractual liabilities which is not due or disputed for some of the discontinued business that we have. So, over the la st couple of years, we have discontinued some of the businesses where due to certain issues with the vendors we have not been able to close on those liabilities and since those are a disputed liability, which we have accrued in the financials, but still no t been settled at this point in time.

Ketan Athavale: Okay. So by when can we expect it to go off balance sheet . These are contractual liabilities , right.

Tushar Shroff: These are some of the contractual liabilities but disputed for the service rendered by the some of the vendors that we have.

Ketan Athavale: By when can we expect them to go off balance sheet can you comment on that?

Tushar Shroff: It will depend on what kind of a settlement that we agree with our partner. So, if we are able to come to amicable settlement, then probably the liability may reduce or we will have settlement over a period time, but when we will be able to make the settlement with some of the partners that we have, t hat is an important aspect.

Ketan Athavale: Okay, got it. Thank you so much.

Chetan Wani : We will take the next question from Rohan Patel. P lease go ahead
Rohan Patel: I just wanted to ask our margins have collapse d since the peak be achieved in 2018 and 2019, which was around 23% and 22% and which has f allen down to 8% . So, there is a drastic change. So , I am just new to this company , so can you explain what has happened?

Ankit Agarwal: Look, one probably if you are looking at the data from back then that would be a consolidation of optical business and largely the services business, which will be as one data point, and that will be a mix of profitability of probably at that time, some mix of optical business as well as some high margin services projects that we were executing at that time . Nevertheless, one time to if you also reflect as recent as couple of years ago, we had a very healthy optical business. We did north of Rs. 5,000 crores plus and we had 20% EBITDA margin, which we demonstrated. T his was essentially when we had a healthy factor y utilization, which was for us typically north of 75- 80%. And at that utilization, we are very comfortable to have industry leading margins at close to 20% plus. So, that is a little bit of history in brief . We are happy to have a separate conversation. Currently, o ur factory utilizations are lower, they are sub 50% and as the volumes pick up, especially in Europe and US and maybe to some extent more in India we are confident that structurally, thi

s is a business that we can operate at 2 0% EBITDA margins.

Chetan Wani : Thank you, Rohan. We will take the next question from Saket .

Saket: Sir I joined a bit late sorry, if my questions are repetitive . Firstly for the interconnect part of the story. What have been our achievement for the last financial year and what are we looking forward for this year in terms of revenue and how is the market growing as per our expectation ? If you could give some color on this?
Ankit Agarwal: Yes, sure. So , we did share some guidance. Of course, the number we have shared is 23% is the a ttach rate which is our highest ever so we are obviously quite excited about
 this, we are proud about it . At the same time , principally, this is a product that we believe creates value for customer as cable and connectivity together , it enables a lower cost per home pa ss, it enables faster deployment, lower requirement of trained manpower, so it has multiple benefits. One part to also remember particularly about the interconnec t business, is that there is much more opportunity as more and more operators connect fiber to the home . When they go from home pass towards home connect that especially when there is speci fic more opportunity. In addition, what we also see is that as we s tart building our product portfolio, and also including building a product portfolio for the data center space, this is also an area of future growth for STL. So overall, I think it's something where we continue to invest, we continue to build a portfolio, we have had some good success in Europe and UK recently. We want to continue to grow both in Europe as well as US and we are also exploring other markets as well, to scale this up. And we are definitely looking at how do we provide a great solution for ou r customers. We provide a unique solution and we also building a lot of our own IP so that we can continue to scale this up in the future.

Saket: So just to brief it down what should be the revenue profile from this by that we can specifically give a broad number for the year.
Ankit Agarwal: We won't be able to give a guidance Saket for confidentiality reasons but I can at least share with you that we are confident that this is a business that should grow versus last year. We will not be able to gi ve a guidance to a specific attach rate for the year. But
definitely we are working very hard to ensure that we have a good attach rate and at the same time of course we also want to grow our cable business.

Saket: When we look at your numbers on Q -o-Q basis at least the EBITDA part of the story looks a bit encouraging, but again coming down the line to the finance cost part that also has been lowered for this quarter. So taking into account how the first quarter has been, where are we in terms of turning the tables and reporting better numbers, where are we in midst of that and what are the factors that are still pending as impediments for us back to our growth journey .

Ankit Agarwal: So, Saket what we have been sharing as a guidance and strategy that principally remains the same. We have been very clear in terms of our focus markets, Europe, US, India that remains the same. We do see some pretty interesting opportunities like the BEAD project in US, the BharatNet project in India, which can be addition al tailwinds to the market. At the same time, we have been very focused on what is in our hands and in terms of our own cost efforts , that is something that Tushar spoke about . We have been driving in a very focused way last 12 months, we will continue to drive it to make sure that we are really at a very cutting edge in terms of cost competitiveness. And we will be looking very closely at every line item to make sure that we are cost competitive. So Page 18 of 20 I think as those efforts also continue to yield results , on the cost side as our factor y utilizatio

n improves, and it goes back to 75- 80% levels, probably in the next coming quarters , that is when you will really see that positive development. As we just shared on the previous question when we run at those kinds of utilization levels, we are confident of achieving the 20% EBIT DA which we have demonstrated is as recent as a 1.5-2 years ago, so that is directionally what I can share now. We are confident that the market is moving in a better direction. We believe that our efforts on the costs will start yielding and will continue to yield results and really essentially as the volumes pick up of cable, as our connectivity attach rate continues to be maintained , we definitely feel positive about the future.

Saket: Thank you.

Chetan Wani : We will take the last question from Krunal. Please go ahead.
Krunal: Good evening. So , my question is on STL digital. We saw declin e in revenue quarter on quarter. So just wanted to understand the reasons for the same and there is a change in top management in STL digital, s o how does that affect our organization in that sense . So, if you can throw some light on that.
Ankit Agarwal: I will take the second question. Structurally, we have always driven the business as very focused business units. So , we have the optical business unit, we have our system integration business, and then we have STL digital business. So , we are very clear in terms of our three business units and we have very clear leadership and we drive it as P&L and also we do segmental reporting. So, we always structure with very strong leadership, very strong second line succession planning, a ll of that is how we drive our businesses. So equally when we had the exit of previous CEO for the digital business, very happy to share that Naveen Bolalingappa have stepped up. He is now taking over as the CEO for this business, and he has more than 20 plus years of experience in TCS and various other organizations. He has worked very closely with Raman and he really understands how we are going to drive this profitable growth going forward. So principally as a business , STL is very excited about the business. W e have a strong leader in Naveen and we are very excited that through him we were able to deliver this profitable growth that we have committed.

Krunal: Got it. So just the EBITDA breakeven that we were targeting by year end. Does that still stay on?
Ankit Agarwal: Yes, for the digital business , yes that is directionally that we have also spoken about and now with Naveen coming on leadership, that's what he's driving as well.

Page 19 of 20 Krunal: Got it. A nd the reason for the quarter and quarter decline in revenue there .

Tushar Shroff: So, the quarter on quarter is the impact of what we have seen in the industry as such, because last couple of quarters, industry is going through the volatile cycle and it has also impacted us . In terms of new o rderbook which is going to impact us in terms o f revenue, but we are confident that we should be able to revive our order book for the coming quarters and that should help us in terms of sustaining digital growth in this particular year.
Krunal: So what will be our order book now , you have shared the number last time also. So, can you share the number this time .
Tushar Shroff: It has been provided as a part of the presentation , so there has been little bit change in terms of the order book number that you may see as compared to the previous presentati on. It's mainly impacted because of the way the revenue recognition happens in the IT sector which is gross to net and due to gross to net impact, we had to de scoop

some of the order backlog. And that is one of the impact that you have seen in this
partic ular quarter financials.
Krunal: Just one last clarification we had initiated a lot of cost cutting initiatives in the beginning
of the last year. So has tha

t impact been fully factored in in the quarterly costs or is there
some more impact left .
Tushar Shroff: So we are continuously working on cost optimization, as I mentioned that we are looking
at and if you see June 2023 numbers vis -a-vis June 2024 numbers that has been sustained
reduction in terms of employee cost as well as in terms of other expenses. So, we continue to drive the cost optimization effort and as Ankit mentioned that is one of the
levers that we are trying to see that how we can b e a cost leader and in manufacturing
our products . So from that perspective, this is a continuous journey for us in terms of
optimizing the overall cost.

Krunal: Got it, great. Thank you so much.
Chetan Wani : Thanks Krunal. With this we come the end of the question and answer session and now
I hand over the call back to Ankit for closing remarks.
Ankit Agarwal: I'd like to thank everyone for attending today's call and for showing interest in our
company and all your questions. Despite the challenging market environment we have
managed to make progress on our key strategic priorities and happy to share that we
have also reduced our net debt by Rs.769 crores. Through our focus on customer
centricity and cost leadership we have gained traction and order across the optical
Page 20 of 20 business , by delivering purpose engineering solution to our customer we have achieved
highest ever connectivity attach rate of 23% as I mentioned earlier. We have identified
AI data center as a future growth area and we are gearing up to make substantial impact
in the emerging and exciting AI driven data centre segment. We continue to focus on all
factors in our control including become lean and agile organization which Tushar just
spoke about and driving technology leadership. We will continue to aggressively pursue
business opportunity presented to us in our focus regions. Based on the strength of our
hi-tech manufacturing, our innovation, our industry leading products and our amazing
talent that we have. Lastly , we believe that we are well positioned to execute and deliver
robust results and create shareholder value as demand normalizes. I hope we were able to address and clarify all your queries and comments . For any future questions and
discussion do feel free to contact Investor Relations team which include myself and
Tushar. We really look forward to continuing the conversation with you in the near
future. Thank you. Jai Hind
(This document has been edited to improve readability)

Call: Nov 2024

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India .
CIN - L31300PN2000PLC202408
November 11 , 2024

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051.
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 2FY25
Ref.: Scrip ID - STLTECH/ Scrip Code - 532374
Dear Sir/Madam,
In furtherance of our letter s dated October 23 , 2024 and November 5, 2024 respectively , please find enclosed transcript of earnings call held on November 5, 2024 in respect of Company's Q 2 FY25 financial results.
The same is also being hosted on the website of the Company and is available under the tab ' FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://www.stl.tech/downloads.html#qiect
Kindly take this on record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Amit Deshpande
General Counsel & Company Secretary (ACS 17551)

Encl.: As above.

Sterlite Technologies Limited Q2 FY25
Earnings Conference Call Transcript

November 5, 2024

MANAGEMENT : M R. ANKIT AGARWAL – MD, STL
MR. TUSHAR SHROFF – CFO, STL

MR. CHETAN WANI – HEAD IR, STL

Page 2 of 18 Chetan Wani: Ladies and gentlemen, good day to you and welcome to STL Q2FY25 earnings conference call. I am Chetan Wani, and I am responsible for Investor Relations at STL. We are joined by Ankit Agarwal, Managing Director and CEO, Optical Networking Business, STL and Tushar Shroff, Group CFO, STL to walk us through the Q2 FY25 results and to take your questions.

Please note that all participant lines are in the listen only mode as of now, and there will be an opportunity for you to ask questions at the end of the presentation. You can also download a copy of the presentation from our website that is www.stl.tech . Please note that this call is being recorded.

Before we proceed with this call, I would like to add that some elements of today's presentation may be forward looking in nature and may be based on management belief and must be viewed in relation to the risks pertaining to the business. The Safe Harbor clauses indicated in the presentation also applies to this conference call.

I now hand over the call to Ankit Agarwal for opening remarks. Over to you Ankit.

Ankit Agarwal: Thank you, Chetan. Good day, everyone thank you for joining us for our Q2 FY25 earnings conference call, and we wish all of you had a wonderful Diwali celebrations over the last few days.

As we advance to H2 of FY25 directionally, our strategic priorities remain the same, as we have been discussing. On the optical networking business, we shall continue to driving growth by increasing optical fiber cable market share, as well as our connectivity attach rate. To achieve ambition of delivering significant revenue through data center and enterprise segments, we will focus on rapidly building data center suite of products to tap the huge potential in that area. We should also continue to focus on driving our technology and cost leadership in optical business. On our global services business, we shall continue to build new capabilities for value added services, while we stay focused on improving project mix and improving our profitability, we will also work towards completing the demerger of our Services business. Lastly, on our STL digital business, we shall continue to scale the business through conscious investments and building new technology on the main capabilities while keeping our focus on achieving profitability intact.

STL has always endeavored to be a responsible leader in ensuring a connected and inclusive world. Through our various initiatives in education, women empowerment and healthcare, we have positively impacted millions of lives since FY2019. To highlight some of the achievements of our initiatives, through our RoboEdge program, we intend Page 3 of 18 to empower students with next gen skills or robotics and enable their career growth. We have covered more than 11 schools and more than 5000 students till Q2 FY25. We are proud to share that two teams of RoboEdge had secured positions in the Robotex National Championships, and 12 qualifying students from Aurangabad and Silvassa will represent India in the international championships in Estonia in December 2024. Next to the right is our flagship Jeewan Jyoti program founded by Miss Jyoti Agarwal, which intends to empower underprivileged women by training them in various vocational skills to make them financially independent. We celebrate Jeevan Jyoti 10th anniversary recently. So far, 5100 women artisans have benefited from this program. Program recently collaborated with the ONDC network and Jeewan Jyoti class will now be marketed under the new Akai brand. We also feel proud to share that we have now benefited more than 25 lakhs lives through the hybrid healthcare program we started during COVID for providing primary healthcare as a telehealth facility to marginalize communities in the rural parts of select districts of Maharashtra. We continue to make meaningful contributions to environmental preservat

ion through our first afforestation
and water replenishment programs. As part of our social responsibility we will sincerely continue to drive such initiatives in the coming future.

On the ESG front, we are committed to our goal of being net zero emission organization 2030. We present some of our accomplishments on landfill, waste removal, reduction of carbon dioxide emissions, and water recycling efforts. We are proud to share that we now have 100 plus ESG awards for our work. We take pride in being the world's first optical fiber manufacturer to be zero liquid discharge certified and first optical products manufactured to launch externally verified Eco-labelled methodology. When compared to standard products, these Eco-labelled products utilize 52% less energy, carry 75% less global warming potential and use 18% more recycled content, 25% more recycled package material. These products also reuse and recover almost 20% more waste and enhance the longevity of the network by 13 years, therefore benefiting both clients as well as the environment.

In the next few slides, we will cover our optical networking business, and our efforts towards becoming the top three players in the optical connectivity business globally.

As we reflect on the last quarter and half year, as per CRU latest estimates global OFC demand till September, 2024 contracted marginally. This was led by demand contraction in China and Europe markets and slower than expected demand pick up from North America. As per latest estimates released by CRU, calendar 2024 remains projected to stay flattish or marginally contract. Despite the lower fresh demand during the last few quarters, we observed steady fiber deployment and continued client commitments towards fiber network creation. Various analyst reports estimate demand improvement for 2025 and a robust demand growth for medium to long term. As per latest CRU Page 4 of 18 projections, the medium term demands the optical fiber volumes is to go up steadily to 652 million fiber kilometers by 2028. This projects a healthy 4.3% annual growth in the annual demand and a strong 7% annual demand growth for ex-China during 2023 to 2028. STL's focus markets of North America and India are projected to grow faster. The positive midterm demand outlook by CRU, along with continuous client commitments on increasing fiber deployments suggest steady recovery in the coming quarters.

We have discussed about AI and anticipated impact on the fiber demand last quarter, and the sheer scale of data center capacity additions planned in India present a great opportunity for your company. As AI and machine learning blends with mega technology trends, the need for massive data center capacities is unabated. Experts are unanimous in their view that overall optical connections and fiber requirements in AI data centers will be significantly higher than traditional CPU based data centers, as per initial estimates, India is expected to boost its GPU based server capability in these AI led data centers to 5.2 lakh GPUs by 2026. These GPU heavy data centers will require 36 times more fiber than CPU racks, driven by an increase in server density and higher bandwidth requirements. We will also require compact, high density optical fiber cables with up to 70% more fiber in the cables compared to traditional data centers. The data center capacity itself is expected to almost double, and the AI data center capacity is expected to be more than 1.5 times in the coming three years. The need to fiberize the core of connectivity within and outside data centers, which is leading to a fiber explosion and the massive data center capacity presents an unprecedented opportunity for STL. Progressing towards our ambition of achieving significant revenues from data center enterprise segment in the medium term, we launched our AI-DC portfolio in the recently concluded India Mobile Congress 2024. Our made in In

dia data center portfolio is also
a big boost for Make in India initiative by the government.

As we have been sharing with you globally, the fund infusion in the 5G network creation, FTTx deployments and Cloud data center continues to be strong. The investments in these technologies continue to have healthy demand for optical connectivity products. 5G tiers is one of the fastest growing technologies in the world, and tower fiberization is critical to enable this 5G network growth. 5G subscribers and expected to go rapidly and as we can see, 5G subscriber growth in North America, Western Europe and India, is expected to be robust all the way up to 2029. As per the last report of Analysys Mason, the blended average fiberization of total mobile sites stands at 38% in India in 2024 which is expected to reach 63% by 2029. With higher 5G subscribers, leading to higher number 5G towers requiring fiberization, 5G expansion to continue to drive demand for more optic fiber globally. FTTx connectivity enhancement efforts remain strong globally. In the US alone, approximately 100 million homes await FTTH connections, Europe FTTH passes are now expected to grow over 4% over the next five years, and India is expected to lead the global growth and FTTx installations with a whopping 26% Page 5 of 18 CAGR between 2023 and 2028. As we discussed, data center capacity additions will continue attracting strong investments in India and the world. North American data center capacity is expected to grow more than 10% CAGR during 2024 and 2029 and Europe data center capacities are expected to grow at 8.5% CAGR between now and 2027. Aiding to the above technology trends, improvement telecom tariffs in India and the mega government projects such as BEAD in the US, BharatNet in India, NBN in

Australia, and various other projects in Europe are expected to substantially add to the overall demand of optical connectivity products, both cable as well as connectivity.

We have built significant technology capability across the optical fiber value chain in the past three decades, from creating ultra-pure Glass Preform to Optical Fiber Drawing to Optical Fiber cable and most recently, the optical connectivity. We offer, truly a glass to gigabit connectivity. We are amongst very few companies in the world who offer this end-to-end connectivity. Our high tech and New Age products offering a back by strong patent portfolio of 730 filed and granted patents. We take pride in advanced fiber solutions, and many of our products are first in the world or first in India, such as India's first multi core fiber, which is multiverse. This product should contain ultra thin fiber with seven and four cores, instead of having a single core. And along with multi core fibers drawn from the indigenous developed multi core preform technology. At the recently concluded India mobile Congress 2024 we showcase the power of the optical fiber innovation through a live 4G network transmission with real time traffic simulation. We are also amongst first global companies to develop miniaturized, advanced fibers with diameters of 180 micron and 160 microns, versus a conventional 240 micron, which is the world's slimmest optical fiber. Our make in India innovations is laying the groundwork for scale up and advanced technologies like quantum computing and silicon photonics. At the India Mobile Congress 2024, we also marked entry into the AI data center portfolio segment with full-fledged demonstrations of our integrated optical fiber cable connectivity and interconnect solutions. Our honorable telecom Minister Jyotiraditya Scindia inaugurated this Make in India AI DC portfolio and, in his words, STL AI led data center portfolio significant innovation for the AI ecosystem will also strengthen India's data center capabilities.

As we reflect on our market share on cable as well as connectivity attach rates. Basis the CRU global consumption data, H1 calendar year, we had 8% market share on optical cable ex China. On H1 CY24 market share seem to be 6% amidst a challenging demand environment. Our Q2 FY25 market share, however, seems to have come back closer to 8% and we believe that our market rate should normalize as demand grows steadily and picks up, our intensive sales development efforts have started showing results. Our optical connectivity product line continues to demonstrate strong growth momentum, as we noted, our highest ever quarterly revenue for optical connectivity products an attach rate of 22% during last quarter. We are continuously working on new product development and commercialization and optical connecting space to further grow attach rate.

As we reflect on our financial performance for the optical business, in line with our guidance for Q2 FY25 revenue stands at Rs.1027 crores, which showed a healthy improvement on quarter-on-quarter basis, EBITDA for the quarter stand at Rs.133 crores, at 12.9% of revenues. EBITDA margin reflects substantial improvement on quarter-on-quarter basis and stands lower on Y-o-Y basis because of lower of OFC volumes and change in product mix. The quarter-on-quarter EBITDA improvement also indicated a success of various cost optimization measures undertaken by the company.

As we have been sharing with you, our strategically located manufacturing facilities, completed capacity expansions and CAPEX cycle, and our continuous focus on cost structure optimization, product development and innovation, emphasis on data center portfolio and tier one customer approvals. We are very well placed in India and international markets to capture significant market share as demand picks up in the coming quarters.

Now, let us reflect on our global services business. In the global services business Q2 FY25 revenue stands steady on quarter-on-quarter basis at Rs.356 crores. Our selective order intake and execution focus has helped us achieve Q2 FY25 EBITDA of Rs.24 crores and EBITDA margin of 6.7%. We continue to build our capability towards value added services and improve margins and reduce our fund involvement. On the large projects, execution in global services business, we made steady progress on some of the key projects during this quarter. We are very excited about the opportunity that a large announced and contemplated programs such as BharatNet phase III and NHAI nationwide fiber roll out presents with the extensive large project experience, we are well positioned to tap into such opportunities in the coming course.

Let us now discuss about STL digital and its business performance. In our STL digital business despite the challenging business environment, we observed robust new deal flow from marquee customers across US and India. We acquired a large and strategic global customer in Europe as well. We continue to work with our customers for growing our business in the US, Europe and India across technology and service verticals and expect the future growth to be driven by robust order book of more than Rs.336 crores, healthy order pipeline and executions strength backed by right team of leadership and consultants. In line with our expectation and tough industry environment, with a focus on profitable growth, we have achieved a Q2 revenue of Rs.64 crores. The EBITDA losses for Q2 stand at Rs.15 crores, despite the lower revenues, EBITDA losses trending downward Y-o-Y and quarter on quarter basis.

Page 7 of 18 I now hand over to Tushar our CFO to talk about the consolidated financials.

Tushar Shroff: Thanks Ankit. Good day ladies and gentlemen. The consolidated Q2 FY25 revenue stands at Rs.1,413 crores showing healthy improvement on quarter-on-quarter basis. The year-on-year basis, drop in revenue is mainly attributable to lower OFC volumes in optical network business. The Q2FY25 EBITDA stands at rupees Rs.151 crores and EBITDA margin stands at 1

0.7% in line with our guidance. Our EBITDA margins have improved on a quarter-on-quarter basis and for Q2 after tax losses stands at Rs.13 crores. The after-tax losses have reduced on quarter-on-quarter basis. As we look at STL, H1 FY 25 performance. H1 FY25 revenue stands at Rs.2,631 crore. EBITDA stands at Rs.244 crore and H1 FY25 after tax loss stands at Rs.60 crores.

We observed the new orders additions during the last quarter and secured several important orders from our marquee customers. To highlight the few key events, we won the new orders from leading American customer and from leading UK telecom operator. For optical connectivity and fiber solution we have received new orders in Italy for optical fiber cable and specialty cable products. And in India, we won the new orders from Indian private telecom player for enabling their FWA (fixed wireless access) deployment. We also secured long-term orders from another large telecom company for fiber cable supply and deployment. On the back of our global business, our revenue mix as well as diversified during Q2 FY25 we expect the revenue mix to improve towards North America and Europe as the demand for optical product pick up in the global market.

Despite of increased quarter on quarter revenue and significant order descoping our open order book stands at Rs.8,630 crore at the end of Q2 FY25, backed by steady order wins. And our order book is well diversified across the customer segment and all our businesses.

We place the abridged versions of our reported numbers for your perusal. The net debt of the business stands at Rs.2,169 crores.

Let us go through the updates and the status on our global service demerger. We are progressing steadily on a demerger process. The shareholders and creditors of STL India have approved the scheme of arrangement in a meeting dated 10 July 2024 basis the approval, demerger petition has been filed with the NCLT, and the hearing was conducted on 11th October 2024 with NCLT. We are awaiting the order from this particular hearing from NCLT. The date for the final petition is pending with NCLT Mumbai bench, the final NCLT order is expected in an indicative timeline of next 3-4 months that is Q3, Q4 of FY25 and resulting companies can be expect to get listed on stock exchanges. However, we remain dependent on NCLT progressing on the hearing Page 8 of 18 of our matter.

In summary, our focus areas for our business are clearly identified as in optical network business we shall target to drive the technology and cost leadership and pursue our ambition to be a global top three. We will increase the sales in our focus market to grow our optical network business and fill the volume gap. We will continue to increase optical connectivity business growth and attach rate. We will focus on rapidly building our data center product portfolio. In a global service business we will continue to focus on select project in tech to improve the profitability and optimizing the net fund involvement. In STL digital, we continue to scale the business and grow our revenue, along with focused profitability. With this now, I hand over the call back to Chetan.

Chetan Wani: Thank you, Tushar. Ladies and gentlemen, we have now come to the end of our presentation, and we shall take questions from the audience. We will take first question from Nikhil Chaudhary. Nikhil, please go ahead with your question.

Nikhil Chaudhary: This is Nikhil from Nuvama. Good quarter Ankit, finally we are seeing very strong growth on Q-o-Q basis, especially on optical business. So first thing is around the growth looks like is driven by US and Europe geography, especially the Europe business. So just want to understand and get more clarity about what the driver for this quarter was, such a strong spike in growth and how sustainable is this revenue number. And just addition to it, just want to get some color around BEAD and Bh

aratNet program.

Ankit Agarwal: Thank you, Nikhil. So, definitely the whole thought process has been that we have been well established in terms of our capacities. We have touched about how all our investments have happened over last 2-3 years in terms of glass fiber, cable, including our capacities in Italy and most recently, in US. So that has set up that kind of technology and manufacturing capacity platform for us. And really, then what we have been talking about is, how do we keep on looking to improve our utilization of the facilities. So that's really what's happened to a large extent between Q1 and Q2 where we have seen an improvement in our optical fiber cable and to some extent improvement in our accessories, our connectivity portfolio. And that's something that we want to continue to see that how we drive these utilizations up from this current 50% levels and take this really back to that 75-80% levels, where then we have meaningful EBITDA performance. So that's really the thought process.

In terms of BEAD probably, versus where we were 4-6 months ago, we do see that the larger volumes of BEAD related cable demand and connectivity demand is probably got pushed out by a few months. So while we have started winning a few initial projects linked to BEAD, the main significant volumes are now expected probably second half of calendar year 2025 and then with it peaking in 2026 and 2027 calendar years. So that's really what is the general industry understanding. The second part we had spoken about the US was inventory levels that continues to come down. So, in a positive way, the execution of fiber for 5G, for fixed wireless, data center, fiber-to-the-home all of that continues to accelerate in the US, and that is leading to some of these inventories coming down. And again there, I believe that we are probably 1-2 quarters away from those inventory levels normalizing. BharatNet I believe, is a project that will get probably decided during this quarter in terms of the results and then is a probably anywhere between 3-4 year, maybe even 5-year execution period, depending on the complexity of the projects. So that is something that as the results come out that will have an impact on our services business from an EPC perspective, but equally then from a cable and fiber business from a supply perspective.

Nikhil Chaudhary: Sure Ankit. So second is especially regarding the US geography, Corning in its last call, mentioned that the buying and deployment rate is now completely in sync for them. So, is it fair to say that we will see further improvement in us, contribution in our geography going ahead, given that they are other tier I and benefit from the long term contracts and now the player, like Sterlite should benefit?

Ankit Agarwal: Yes. I would say broadly, that's true. If I look at the next 12–15-month window I would have to call out that, particularly this period, November, December, kind of period typically in Europe, North America, things do slow down because of winter months, deployments do slow down, etc. And then they run their budgets on calendar year, so then they start typically on Q4 on a stronger note, which is our Q4 and their Q1. But thematically, what you mentioned in terms of demand in North America, we do see all of those sectorial themes do play out over the next 12-15 months. And of course, from a longer-term perspective as well, North America continues to be probably the most positive growth territory globally, where anywhere between 12-15% annual growth is expected.

Nikhil Chaudhary: Sure Ankit makes sense, next one on margin, while we have seen improvement in margin Q-o-Q of 13% but our revenue is now like more than Rs.1000 crore, and at this scale, we have delivered much better margin compared to what we delivered this quarter despite of having higher optical interconnect business. So just want to understand what happened and why

we haven't seen such an improvement in margin compared to what we used to deliver at this scale.

Ankit Agarwal: It's linked to the previous view as well. Largely, we typically enjoy better realizations in the North America market. And so, since those volumes have come down, as you would have seen last few quarters, our average realization at company level would have come down compared to maybe last year or two years ago. So that's predominantly what you would have seen and also Europe, as we would have seen, it's been flattish or marginal Page 10 of 18 there also our realizations have been flattish or slight decline. So that's really what's been driving it. Again as we start moving to increasing our value added products, our products for segments like data centers as well as our accessory, our connectivity portfolio, that should start driving the realization up. Plus, of course, as a share of North America sales itself starts coming back that should drive the improvement in our realizations.

Nikhil Chaudhary: Sure Ankit. The last one from my side, just want to understand the impact of anti-dumping duty, which is introduced in Europe. So any impact on your financial this quarter.

Tushar Shroff: So Nikhil, from the supply chain perspective absolutely there is no impact because whatever customer orders are being placed, we have been able to serve all of them without any kind of disruption. So, which is very positive. However, we have seen that in terms of as we scale up our European facility, we are able to bring down the overall manufacturing cost, and we are able to see the higher profitability coming from the European market as compared to the kind of profitability that we used to enjoy from the European manufacturing side. So, two positive levers are that there is no disruption with respect to the supplies that we make to the European customers. And second, with a kind of a volume and the leverage that we are able to take operational efficiency that we are able to bring at the Italy side, which is also helping us in terms of improving the overall profitability of the site, as well as for the ONB business.

Nikhil Chaudhary: Sure understood. Thanks Ankit and Tushar. Good luck for coming period.

Chetan Wani: We will take the next question from Sunny Gosar. Sunny, please go ahead.

Sunny Gosar: Thanks for taking my question and congratulations on an improved set of numbers after many quarters of basically a sluggish period. So, my first question is on the optical interconnect. We have seen very good performance in optical interconnect with attach rate improving to 22% and calculations indicate that the quarterly revenue run rate should be closer to Rs.150 crore or plus minus of that. So, couple of questions here, what has driven this improvement? Is it more customers in Europe, or have we been able to penetrate better in the US? And the second question is, going forward. How should we look at the growth outlook, and how should we look at the revenue trajectory going forward in the optical interconnect space.

Ankit Agarwal: Sunny, important to remember that the interconnect business is very closely linked to fiber to the home connections. So what we have clearly seen is globally, especially Europe, UK, which are strong markets for this business and of course in the US, there are very strong and aggressive targets for the fiber-to-the-home. And some of our customers, which we have talked about, like British Telecom, Net Omnia, some of the Page 11 of 18 other customers that we have been very active with, they continue to push forward on not only passing the homes, but also taking the fiber all the way inside the home. That's really where the strength of our interconnect portfolio comes through and something that we have been very proud of doing very well is being very agile in our product portfolio, very rapid product development, and at the same time being competitiv

e and creating
value for the customer. So that's something that has served us well. We continue to expand both in UK and in Europe, and we are starting to make some initial inroads in the US market as well. But certainly, as this momentum continues, the whole thought process is for us to continue to sell it as a solution of the cable and the connectivity together to our customers, and then going forward, over the next 2-3 years, we would also look to build a portfolio for the data center segment.

Sunny Gosar: Any outlook in terms of the revenue trajectory or the attach rate, does this keep improving at a steady pace in terms of percentage points? Like, how should we look at the next few quarters or next two years?

Ankit Agarwal: I wouldn't comment on the immediate quarters, etc. As I said this November, December, for example, is a slower month for us, so I won't get into specific orders, but generally, the whole ambition for us has always been to scale up the interconnect business meaningfully and make it a substantial part of our optical business overall, so that vision continues. We continue to invest in our product portfolio, in our IP as well as the team, and so we continue to be quite bullish about this.

Sunny Gosar: And while 22% is the average attach rate over the entire optical sales, have there been customers where we have already reached the 100% or closer to 100% attach rate, which basically will signify that our product has very strong acceptance in the base customers or the base markets.

Ankit Agarwal: That's absolutely true, as you can imagine, as you can do the math, we are disproportionately selling our interconnect in UK and Europe markets. So you can imagine, in some of those customers, our attach rate would be close to 100% or even more than 100%.

Sunny Gosar: That's good to hear. My next question is basically on the US business, so US quarterly revenue run rate has come closer to like Rs.240-250 crores in this quarter, versus a peak of Rs.600-800 crores few quarters before. So, once BEAD demand starts kicking in and some of the other new customer wins, and all of the initiatives that we are trying to drive come through. Basically, can we go back to that Rs.600- 800 crore quarterly revenue run rate? And basically, is there a time frame we can attach, like four quarters, six quarters within which this is possible.

 Ankit Agarwal: So, I won't comment on a specific revenue target, because I am not keen to give a specific forecast right now, but directionally, definitely, the whole intent is for us to scale up globally. North America remains our biggest growth opportunity and as you suggested, we have done significant numbers in the past in the market. So, the whole thought process is as inventory has come down and the new demand is there the whole market itself is supposed to go actively from anywhere between 80-90 million fiber kilometers to 130-150 million fiber kilometers. So, the whole thought process is that we should be part of that growth and continue to take good market share from our current customers as well as new customers. And then on top of that, would be a growth of these connectivity products that we spoke about, which should start scaling up in the next 2-3 years. So that's the whole thought process that both combination of cable and connectivity, we should start improving. I think time frame is really tough given that projects to get pushed out, etc. plus it will also be a function of how the interest rate cycles play out, etc. But broadly, the whole thought process is that within 1-2 quarters, market should start seeing some improvement, and then certainly over the next, 12-15 months we do see that improvement.

Sunny Gosar: Got it, that is helpful. And one last question before I join back the queue. It's related to the debt level. So post the fundraise, in the first half, we have been able to bring down the deb

t by about Rs.600 crores at a net debt level. So, there are two questions in this. One is when the demerger of the service business happens, I understand the capital employed in the service business, which is your segment assets minus segment liabilities is about Rs.1650 crores. So, at the time of demerger, what is the likely debt that could move with that demerged entity? And second question is, apart from the operating cash flow generated are there any further levers in terms of any non-core assets, or any sticky receivables, which can come back in terms of accelerating the debt repayment.

Tushar Shroff: So, with reference to the debt, as you have rightly mentioned, we raised about Rs.1000 crores in Q1 which has been used to repay the debt and successfully we repaid the major part of the debt from the procedure that we have received. The current net debt that we have is about Rs.2169 crores and our debt-to-equity ratio is about 0.74 at this point in time. The idea is to ensure that some of the fund which are involved in terms of the execution of the some of the large project, mainly from a T-fiber MahaNet, we continue to see that how we can liquidate that and that itself is almost Rs.1000 crores, kind of a level. So, we are pursuing at various levels to see how best we can liquidate this unbilled and the debtors that we have with some of these particular customers, mainly for BharatNet phase II project. So, structurally we are trying to work with the customers to see how do we get the necessary right of way approval, so that the central government should be able to provide the right of way to the customer, and we should be able to initiate the work which is pending for the right of way, and we should be able to complete the project and liquidate the cash. So that's the topmost priority for us. Of the total capital employed that you talk about, of service business, as of September we were expecting the net debt to be in the range of Rs.550-600 crores that is what based on the current capital employed. That is something that we are looking at and which will get transferred to the service business. So, these are the things and levers that we have been working on so that we have been able to generate cash and structurally, because this particular demerger is tax neutral process and from a tax neutral process perspective, we need to allocate debt in a certain proportion, in a certain way, in a certain manner, which has been prescribed under the Income Tax Act. So whatever the cash get generated till the time of demerger will help both the businesses in terms of improving the balance sheet of the respective business. So, our all focus and the entire commitment from the management team is to liquidate the working capital that we have blocked in the service business.

Sunny Gosar: Got it, it is related to the debt. The interest cost in Q1 came down to about Rs.70 crores, which saw an increase again in Q2 to about Rs.84 crores. Is there any one off element in the Q2 interest cost and since we have already repaid a significant portion of debt through the QIP proceeds, what should be the quarterly interest outflow or interest expense going forward.

Tushar Shroff: So, yes in Q2, we have incurred one of the expenditures for the necessary approval that we have received from the bank for a demerger and the expenses or charges from the bank for giving the NOC that we have received, those are one of the charges. I would say the interest cost should be in the range of Rs.75-80 crores is something that we have been working on, saying that it should not go beyond Rs.75-80 crores in terms of a run rate of the interest cost.

Sunny Gosar: Thank you for the detailed responses and all the best for the coming for quarters.

Chetan Wani: Thank you. We will take next question from Saket Kapoor. Please go ahead and ask your question.

Saket Kapoor: You mentioned about interest cost to be ranging in the band of Rs.75-80 crore. So, we paid a large chunk of the money for this quarter. So, won't that be very conservative number or what are you factoring in terms of the higher working capital requirement.

Ankit Agarwal: So, as you know that the two large projects that we have been talking about, if we are even able to liquidate at least 50% of that in a next two quarters, substantially we should be able to reduce our interest costs, and that is what we are driving. What I have said is that with respect to the kind of interest cost that we are looking at or targeting is assuming, on a conservative basis, that probably whatever challenges that we have and because of any reason, we have not been able to liquidate then what will be the run rate that we should be expecting, that is the plan. But having said, we are targeting to collect substantial part of the money in the next two quarters, having said that demerger is closure. So, structurally we are working to see that the benefit of reduction in a working capital and the reduction in our debt overall should help us in terms of bringing down the consolidated interest expenses for both the businesses.

Saket Kapoor: Sir just to get more clarity the fiber rollout project for Telangana, the completion percentage is stuck somewhere in the 69% band. So how much have we invested here or what is the amount stuck, if you could just allude and what is the thought process now going ahead, when can we achieve the nearest milestone and then the release of fund for this T fiber project.

Tushar Shroff: Saket on the previous call also, we had mentioned that, the current project of T fiber that we have been executing as a requirement of a right of way for a forest area to complete certain part of the activity, to complete the execution which has been defined, as per the tender contract, we need to roll out of the laying of the cable and to ensure that, we are able to connect the entire network in Telangana, which is which is impacted because of the right of way in a forest area in Telangana. So which requires necessary approval from the central government as well as from the state government, which is pending, and this obligation is on the customer. We have been, pursuing regularly with the customers in terms of ensuring that we have a right of way, but because of their internal or complexity that they have, probably at this point in time there are some challenges which we they are trying to solve with the central government to provide us with the right of way. But yes, we have been continuously pursuing with the customer to ensure that they are able to fulfill their obligation with respect to the terms and conditions provided in the contract of providing us with the right of way so that we can complete and execute the contract. With respect to your specific questions on the fund involvement for this particular project, at this point in time, fund involvement is almost to the extent of Rs.700 crores for this particular project.

Saket Kapoor: And sir, secondly, Ankit Ji for the digital and the technology part, we have seen the growth in the revenue for this quarter, and also, we are flattish on the H1 so what is the thought processes for this segment, has the lower business resulted in lower EBITDA losses, or what's the way forward. You have mentioned order book mentioned Rs.298 crore something closer to that, your thoughts.

Ankit Agarwal: So, Saket we maintain the same focus that essentially what we want in this business is profitable growth. That's really very clear, so we have been very focused on what kind of orders we take in, with which kinds of customers, and really want to make sure that we start driving our EBITDA upwards and start getting into break even. So that's a clear mandate for the leadership of this business, to get this to EBITDA break even asap, and then look at grow

th from there in a measured way. Of course, industry tailwinds itself have been tough in the last one year or so. I think that should also start improving in terms of new orders coming in and new opportunities. But I would say broadly there is a lot of discipline with this team. The new CEO, Naveen who's come in, has done fairly significant cost cutting as well to really make sure that focus is there on getting to EBITDA break even.

Saket Kapoor: How should H2 be for this segment only in particular, because we were flattish here, and the losses have been reduced. Definitely, we are in trend. But how should we close, since we have the blueprint ready for how H2 will behave.

Ankit Agarwal: Yes, as I said there's nothing different. Single priority for the business is to get to EBITDA break even. So that's what we're expecting.

Saket Kapoor: Okay, and no guidance on how the revenue growth will be.

Ankit Agarwal: No, as I said, more than revenue growth we are targeting on the bottom line, so that is looking at deal by deal and making sure that it's at the right margins.

Saket Kapoor: Right and last point, sir, so in your press release part you did allude to the fact of our intent of entering the AI DC segment and garnering 25% share. These are very exciting phrases, and so what we are eyeing. So, if you could give us some color on how our OFC will play a major role and getting to this 25% market share, what is the size of the market? So how have we arrived at this number firstly in terms of that, if you could just give some more color to it.

Ankit Agarwal: So from a simple perspective today, a lot of our focus has been on the telecom segment, internet service providers, as well as large government projects like BharatNet or others. And the whole thought process is that we see data center itself will be much larger user of fiber, consumer of fiber going forward compared to the past. That is something that we see because of this change of AI, what you are seeing is a processor that going from CPU based to GPU based, if you would have heard of Nvidia and other companies. What happens in this scenario is that you need a very high fiber connectivity from each GPU to another GPU and this is a very big change in the data centers that's happening in India and globally, and this will lead to a very large increase in fiber requirement within data centers and to connect large data centers with each other, as well as edge data centers. So looking at this requirement, which we believe will be a build out over next 8-10 years, there will be continuous fiber build out and data center build out. We have taken a target that 25% of our optical business revenue should come from this segment in the medium term, that's the whole thought process. And we also looked at our benchmarks of our global peers, where we do see that some of our global peers of anywhere between 30- 40% of their revenue coming from data center segment.

Saket Kapoor: Correct, sir. And the pricing front, how differentiated are the pricing for the OFC, in terms of that goes into this.

Ankit Agarwal: Pricing is definitely better, but it's also because the products are much more technologically advanced than the approval cycles themselves are very long, anywhere between 2-3 years is quite typical. So, that is the work that we have kick started. We have launched some products, and we will undergo approval cycles with some of these large customers and we will update you quarter on quarter.

Saket Kapoor: Yes, sir, thanks. Thank you and all the best to the team.

Chetan Wani: We will take next question from Rohan Vora. Rohan, please go ahead and ask your question.

Rohan Vora: Thank you for the opportunity. So, the first question was around BharatNet, we have wanted to understand your addressable market across fiber optic cable, your global services business, and the fiber that you will supply to other pl

ayers and then adding to this, the interconnect product. So, what could be the addressable market that you are looking at in the BharatNet project?

Ankit Agarwal: So, there are overall 16 packages and we have participated across the packages, some directly, some with a partner that those results are expected within this quarter itself. And in terms of the opportunity, of course, overall, is Rs.65,000 crores. Of that it's tough to say what we expect to win. But logically, we would want us to be one of the winners in the packages. So, depends on the size of package that we become as L1, so let the results come out. We will see where we are placed. And then on the cable and connectivity part is roughly in the range of Rs.4000-5000 crores overall. And so again, there, depending on who the winners of the packages are and our partnership with them, we will take a certain market share of the cable and connectivity.

Rohan Vora: Okay. So broadly, this Rs.4000-5000 crores is our addressable market size? Is this right to assume

Ankit Agarwal: For the cable and connectivity, yes.

Rohan Vora: And then for global services, there will be additional addressable market that will be there.

Ankit Agarwal: There is one caveat to this. There are some EPC players who also make their own cable Page 17 of 18 and connectivity. So to that extent, probably that opportunity may not come to us.

Rohan Vora: Understood. And then about the interconnect products, how big is our addressable market in that, as far as BharatNet goes.

Ankit Agarwal: It's part of that Rs. 5000 crores. Typically, in India, the interconnect attach rate, etc. spend on that is on the lower side. That's why our focus on our portfolio is much more on Europe and North America.

Rohan Vora: Understood. Second question was on the order inflow. So, you also spoke about descoping that happened in the first half. So here on how do you see the order inflow the second half?

Ankit Agarwal: So, that this is an important period. As I said if our focus markets, talking of optical business to begin with there we definitely see that as the budgets get frozen typically between December period and start getting released in in January, February timeframe. So definitely, for our focus markets, probably we should see an order uptake in our Q4 time period. And then equally, for our services business, we have seen an improvement in our pipeline of bids that we are participating apart from BharatNet. So again, we do expect that we should see an improvement in order booking in the Q4 time frame.

Rohan Vora: Okay, so Q3 we might expect to remain slightly sluggish.

Ankit Agarwal: Yes, that is correct. Largely because of what I explained that in November, December is typically quite slow, not much of decision making in this period.

Rohan Vora: Also just one last, so on the non-US, non-India demand, so the other regions, what is the outlook on that and also along with that on the fiber prices. So, any color on that would be helpful.

Ankit Agarwal: So, we are looking at of course, apart from the two you mentioned, Europe has remained flattish but where we are focused like UK market, in certain parts of Italy which is also where we have large manufacturing and we are also looking at some growth in the Middle East markets, where we have been quite active. These markets remain steady for us going forward, we do expect very strong growth in Germany market over the next 3-5 years, as well as eastern Europe like Poland, etc. So, these are 2-3 areas we are watching very carefully and building our product portfolio. In terms of fiber prices, they have been flattish or slight decline in these markets but again, as demand picks up, we do expect them to normalize, and that should probably happen in that Q4 time frame.

Chetan Wani: Thanks Ankit. Ladies and gentlemen, we have come to the end of the planned time. So, we will come to

the end of this Q&A session. Ankit, I hand over the call back to you for giving your closing remarks.

Ankit Agarwal: I'd like to thank everyone again for attending this call and showing the interest in our company. Despite the challenging market environment that we spoke about we have managed to make progress on key strategic priorities. We continue to focus on all the factors in our control. We look at driving our customer focus becoming lean and agile, and also driving growth based on our technology leadership. I also touched upon our growth and IP portfolio that we have been having now. We continue to aggressively pursue business opportunities presented to us in our focused regions and based on our high technology manufacturing innovation as well as industry leading products. We are very well positioned to execute and deliver robust results going forward and create shareholder value as the demand normalizes.

I hope that we were able to address and clarify all your queries and comments. For any further questions and discussions, please feel free to contact the investor relations team, which includes myself and Tushar. We really look forward to continuing the conversation with you in the near future. Thank you, Jai Hind.

Tushar Shroff: Jai Hind.

Chetan Wani: Thank you.
(This document has been edited to improve readability)

Call: Jan 2025

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India.
CIN - L31300PN2000PLC202408 January 23, 2025

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C-1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051

Scrip ID - STLTECH
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code - 532374
Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q3FY25
Dear Sir/Madam,
In furtherance of our letter dated January 06, 2025, please find enclosed transcript of earnings call held on January 17, 2025 in respect of Company's Q3 FY25 financial results.
The same is also being hosted on the website of the Company and is available under the tab 'FINANCIAL RESULTS-INVESTOR EARNINGS TRANSCRIPT' drop down available at https://stl.tech/download/#Financial%20Results .
Kindly take this on record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Amit Deshpande
General Counsel & Company Secretary (ACS 17551)

Encl.: As above.

Sterlite Technologies Limited Q3 FY25
Earnings Conference Call Transcript

January 17, 2025

MANAGEMENT : M R. ANKIT AGARWAL – MD, STL
MR. TUSHAR SHROFF – CFO, STL
MR. CHETAN WANI – HEAD IR, STL

Page 2 of 18 Chetan Wani: Hello, ladies and gentlemen, good day and welcome to the STL Q3 FY25 earnings conference call. My name is Chetan Wani and I head Investor Relations at STL. We are joined by Ankit Agarwal, Managing Director, STL, and Tushar Shroff, Group CFO, STL to walk us through the Q3 FY25 results and to answer any questions that you may have.

Please note that all participant lines are in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. You can download a copy of the presentation from our website that is www.stl.tech . Please note that this call is being recorded.

Before we proceed with this call, I would like to add that some elements of today's presentation may be forward looking in nature and must be viewed in relation to the risk pertaining to the business. The Safe Harbor clauses indicated in the presentation also applies to this conference call. I now hand over the call to Ankita Agarwal for opening remarks. Over to you.

Ankit Agarwal: Thank you, Chetan. Good day, everyone, thank you for joining us for our Q3 FY25 earnings conference call, and wish everyone a fantastic 2025.
As we advance to the end of FY25, directionally our strategic priorities remain the same in the optical networking business. Our focus remains on driving growth by increasing market share in optical fiber cables and improving our connectivity attach rates. To achieve our goal of generating significant renew revenue from data center enterprise segments, we will accelerate the development of comprehensive data center product suites to tap the vast potential of this market. Additionally, we will sustain our efforts to drive technology and cost leadership in the optical domain.

On the Global Services business. We will build capabilities and value-added services while optimizing the project mix to boost profitability. Concurrently we will work towards completing the demerger of the services business.

On STL digital, we aim to scale the business to strategic investments in new technology and domain capabilities, while maintaining a complete focus on the profitability.

STL has always endeavored to be a responsible leader in ensuring we have a connected and inclusive world. Through our various initiatives in education, women empowerment and healthcare, we are very proud to share that we have positively impacted millions of lives since FY19. To highlight the achievement of some of our initiatives, we are proud to share that 13 students from a RoboEdge program proudly represented India recently at the prestigious Robotics International Championship in Estonia. The program has Page 3 of 18 impacted over 5000 students over 11 schools in Aurangabad and Silvassa and fostering innovation excellence in STEM education and robotics. Our flagship Jeewan Jyoti program, founded by Miss Jyoti Agarwal, is empowered more than 5000 women artisans with vocational training and now showcasing their products under the Akai brand. With a focus on sustainability, we have installed 4523 kilowatts of solar panels across our plants, contributing to a significant reduction in our carbon footprint and advancing our renewable energy adoption goals. These institutions not only reduce greenhouse gas emissions, but also demonstrate our commitment to energy efficiency in manufacturing. Additionally, we actively collaborate with 26 Gram panchayat on afforestation and water replenishment programs, planting 1000s of trees and rejuvenating water bodies to support biodiversity, improve groundwater levels and create resilient ecosystems. Through a hybrid healthcare initiative, Swashthya Suraksha, we have delivered primary and tele health services to 26 lakh underserved individuals in rural Maharashtra.

At STL, sustainability is at the core of everything we do, and we are firmly committed to achieving net zero emissions by 2030. Since FY19, we have diver

ted over 260,000
metric tons of waste from landfills and recycled over 930,000 metric cubic water reflecting our focus on resource efficiency. We have also partnered with Hygenco for supply Green Hydrogen, and we are proud to be the world's first optical manufacturer certified for zero liquid discharge and zero waste to landfill. Our Eco-labelled products not only use 52% less energy, but also extend network life span by almost 13 years, combining innovation with environmental care. Aligned with 16 of the 17 UN

Sustainable Development Goals, we proactively and positively impacted over 910,000 lives and earned over 100 plus ESG awards, proof of unwavering commitment to build a sustainable and inclusive future.

In the next few slides, we will highlight optical networking business and our efforts towards becoming the top three players in optical connectivity business globally. Reflecting on the past quarter in the year 2024, CRU’s latest estimates show some contraction the global OFC demand through 2024 driven by reduced demand in China in particular. 2024 volumes are estimated to be the lowest in the last four years. Despite lower demand, recent quarters, we have seen steady fiber deployment and ongoing client commitments towards network expansion going forward. Data center demand for cable is emerging as a key growth driver, and various analyst estimates assume a steady demand improvement from 2025 and a robust demand growth from the medium to long term. CRU projections indicate a steady increase in fiber optic cable demand reaching 620 million fiber kilometers by 2028 with more than 4-5% annual global growth and over 8.5% annual growth outside of China, between 2024 and 2028. STL’s key markets, North America and India, expected to grow even faster. North America's demand is projected to grow by almost 12% by in 2025 and more than 14% till 2028, driven by Page 4 of 18 both the BEAD program as well as continued data center demand going forward. We also believe that the inventory normalization and consistent deployments are steadily driving a market recovery.

The surge in data center demand for optical products, fueled by generative AI, is set to accelerate further, with projected 22% annual growth in global data center capacity between now and 2030, by then 70% of total capacity is expected to cater to advanced AI workloads, highlighting the potential supply deficit in the future. One of the estimates suggest more than $2 billion capex in fiber infrastructure over the next decade. This presents a significant opportunity for companies across the data center value chain to address the capacity crunch. In India, GPU based server capacity in AI driven data centers expected to reach 5.2 lakh GPUs by 2026 and we believe that these CPU racks require significantly more fiber compared to regular data centers. The STL AI data center portfolio Make in India innovation is tailored for GPU dense data centers require high bandwidth, low latency AI data center requirements. Featuring high density Celeste ribbon cables with IBR technology, advanced MPO panels, LC panels, patch panels and copper connectivity systems ensures high bandwidth, low latency as well as scalability. We are proud to report that 22% of this quarter's revenues came from our data center and enterprise Suite products. We have focused on driving rapid product development and significant revenue growth from AI data center and the enterprise ecosystem.

Global Investments in 5G networks, FTTx deployments and cloud data centers continue to fuel strong demand for optical connectivity products. In Q2 FY24, capex amongst the top 10 telecom operators increased by 2.9% year on year, primarily driven by 5G fiber deployments and high-speed broadband expansion. Private players allocating substantial resources to enhance 5G infrastructure, achieving widespread 5G coverage. The number of global 5G operators has risen from 582 acr

oss 173 countries in Q4 FY23 to more than 618 operators in 184 countries, and they expand the gigabit broadband access to both urban and rural areas. The growth is further supported by finalization of 5G advanced standards in June 2024 which is accelerating its adoption. FTTx deployments globally expected to grow by a CAGR of 7.1% from 2024 to 2029 with North America almost 14.6%, Middle East 11% and Eastern Europe almost 19% driving this expansion. North America is projected to become the largest FTTx market, with the US targeting 100% FTTx coverage by 2029, backed by government initiatives such as the BEAD program. In Europe, the transition to full fiber broadband is gaining momentum due to copper switch offs, with Portugal, Spain and Sweden leading the way, as per FTTH Council Europe, at least 14 countries in Europe are in different stages of transitioning from copper network to fiber networks, which would enable the demand for optical products in these countries. In India, telecom giants like Jio and Bharti aggressively pursuing 5G based fixed wireless and fiber to the home services, bundling broadband with pay TV offerings, Page 5 of 18 these programs could lock a significant 11-15 billion in annual revenue opportunity for them in India, underlining an immense potential or the fiber connectivity market in the region.

Over the past three decades, we have developed deep technology expertise across the optical fiber value chain, offering a seamless glass to gigabit experience. Our advanced solutions include industry first innovations like India's first multi core fiber “Multiverse” and the ultra slim fibers with diameters of 180 and 160 microns, supported by robust 740 patent base. This quarter, we achieved significant milestones, led by a world class product offering. We obtained self-certification for our 'Build America Buy America' compliant optical products, strengthening our position to be a key supplier for the federally funded broadband infrastructure projects under the BEAD program. Through our South Carolina Manufacturing Plant, we are collaborating with US broadband providers to meet the rising demand of both federal and private broadband projects, including the BEAD initiatives. We achieved initial commercial success with first ladder order win of a newly launched AI fiber optic sensing solution, Sensor On. The success of AI force fiber optic sensoring, Sensor On, opens a huge market opportunity for STL as well. We also continue to support India's progress and fixed wireless solutions by providing optical products and copper products to large telecom companies in India to enable enhanced connectivity across the country.

Reflecting on the market share and optical connectivity attach rates, according to CRU global consumption data, we held 8% market share in optical cable market across the globe ex-China during Q3 FY25. We are constantly focusing on increasing our market share across our focus geographies. For three consecutive quarters, we have sustained more than 20% optical connectivity attach rate, a testament to our product superiority and customer validation. We expect momentum to build up further back by strong funnel, order book and growth across our customer segments.

Now, let us look at the financial performance of the optical networking business. As we reflect on the financial performance of the optical business in line with our guidance, Q3 FY25 revenue stands at Rs.924 crores, which shows healthy improvement on year-on-year basis. EBITDA for the quarter stands at Rs.119 crores at 12.9% of the revenues. EBITDA margin reflects substantial improvement year on year basis, driven by constant focus to drive cost leadership.

As we have been sharing with our strategically located manufacturing units, completed capacity expansions and well executed capex cycle, aided by constant focus on optimizing our cost structure and expanding our data center p

roduct portfolio, we are
well positioned to capture significant market share as demand grows.

Now, let us focus on our global services business. In the Global Services business, Q3 FY25 revenue standard Rs.289, crores. Our selective order intake and execution focus has helped us achieve a Q3 FY25 EBITDA of Rs.20 crores and EBITDA margin of 6.8%. As you may notice, the EBITDA margins improved year on year and Q-o-Q basis, despite reduction in revenues. This is attributable to our select project intake and strong execution focus. We will continue to build our capability towards value added services and system integration to improve our margins and reduce the fund involvement going forward.

In our global services business, we made steady progress on key large-scale projects in this quarter. Notably, we secured the strategically significant Rs.2600 crore BharatNet phase three project in Jammu Kashmir. This project aligns with STL's commitment towards nation building and expanding broadband connectivity, enhancing opportunities in education, healthcare and economic development for the remote regions of our country. Additionally, we continue to build a strong track record in large network deployments, having successfully executed projects like MahaNet in Maharashtra and T-Fiber in Telangana. With over 150,000 kilometers of fiber laid across India, we are well positioned to capitalize on any major programs involving nationwide fiber network roll out in the coming quarters. We are happy to share with you that have received very health order participation and funnel development for our global services business that should translate to large order book in the future.

Now, let us discuss our STL digital business and its performance. In our STL digital business during Q3 FY25 we observed robust deal flow across geographies, from marquee customers. We continue to acquire new global customers and added SAP and Oracle in our elite customer list during this quarter. Another notable highlight, which successfully led Vedanta's digital transformation program across, through project RISE and SAP, spanning eight companies and serving 15,000 users globally, the capabilities and experience of such a program strongly position the STL digital to undertake further, large transformation opportunities in the future. Our growth is underpinned by a strong partnership ecosystem comprising 40 plus active technology partners. We are happy to share that with STL digital open book standing at strong Rs.451 crores at the end of quarter, this coupled with a healthy order pipeline, execution capabilities and strong leadership team, we are well positioned to drive sustained future growth.

In light with the expectations and despite muted industry environment, we achieved Q3 FY25 revenues at Rs.77 crores, which is a healthy improvement on Q-o-Q basis. Our focus on profitable growth is showing results as we achieved our first EBITDA positive quarter in Q3 FY25. We are happy to share that STL digital business EBITDA stands at Page 7 of 18 Rs.4 crores. We shall continue to stay focused and grow further in the coming quarters.

I now hand over to Tushar to talk about the consolidated financials.

Tushar Shroff: Thanks Ankit. Good day, ladies and gentlemen. In line with our guidance, the consolidated Q3 FY 25 revenue stands at Rs. 1261 crores. The Q3 FY25 EBITDA stands at Rs.133 crores and EBITDA margin stands at 10.5%. For Q3 FY25 profit after tax loss stands at Rs.23 crores. The quarter-on-quarter revenue decline is attributable to lower OFC volumes and lower revenue in GS business. Profit after tax losses are narrowing on year-on-year basis. As we look at STL's 9M FY25 performance 9M FY25 revenue stands at Rs.3892 crores. The EBITDA stands at Rs.378 crores and 9M FY25 after tax loss stands at Rs.83 crores.

In last quarter, we witnessed the strong new order book addition with several

large new
orders and key contracts signed with prominent customers across the region. Notable wins include the new orders from leading American client for OFC supply, a major UK telecom operator for optical connectivity and fiber solution. We also received the new orders for optical fiber cables and specialty cable products in Italy. Additionally, we secured the fiber supply contracts with major French customer. In digital business we secured large long term outsourcing contract from industry leader. Thanks to our global business and customer base, our revenue mix was well diversified in Q3 FY25 as we reflect on our order book situation.

Based on our strong new order book addition during the last quarter, despite of the significant order de scoping, our open order book stands at Rs.9050 crores as of Q3 FY25. The order book is well diversified across the customer segment and business verticals.

We have provided the abridged version of our reported numbers for your review; the net debt of the business stands at Rs.2195 crores.

Let us now discuss the update and the status of global service demerger. We are making steady progress on the demerger process. The shareholders and creditors of STL India approved the scheme of arrangement in the meeting held on July 10, 2024. Following this, the demerger petition was filed admitted with NCLT during October 2024. The final hearing date is scheduled on January 30, 2025, with NCLT Mumbai bench. The final approval is expected in Q4 FY25 after which resulting company is anticipated to be listed on a stock exchanges. However, the progress remains contingent on NCLT scheduling and hearing.
Page 8 of 18
In summary, our focus areas for the business are clearly defined as, in optical networking business, we aim to drive the technology and cost leadership, with a goal of becoming one of the top global Top 3e. We will drive the sales in a focused market to expand our optical network business and close the volume gap. Our focus will remain on growing the optical connectivity business and increase the attach rate. Additionally, we will prioritize the rapid development of our data center product portfolio. In the global service business, we will continue to focus on the select projects intake to improve the profitability and optimize the net fund involvement. We also aim to complete the demerger by Q1 FY2026. In the STL digital, we will continue to scale the business and grow our revenue along with the focus profitability. With this, I now hand over the call back to Chetan.

Chetan Wani: Thank you, Tushar, ladies and gentlemen, we have now come to the end of our presentation, and we shall move to the Q and A session. We will take the first question from the Nikhil Chaudhary from Nuvama. Nikhil, please go ahead and ask your question.

Nikhil Chaudhary: Good evening, everyone. This is Nikhil from Nuvama. My first question is on the data center opportunity, thanks for highlighting that. So, can you give some color, especially regarding our capability and how we are positioned vis a vis our competitor? What we have seen globally, some of your peers launched data center specific products, so just want to understand how we are positioned, especially in data center capability. And second part of the question is, the 22% contribution you have given for data center and enterprise. So, if you can break it, especially for data center, and if you have some comparison of how much it was same period last year.

Ankit Agarwal: Thank you, Nikhil. So, I think, as we have been sharing in last couple of quarters, that clearly this is from a sheer capex spend, we continue to see that globally, data center spend will only continue to grow and accelerate. And within that, we are seeing that certainly, as a shift goes from CPU based to GPU based, the amount of fiber optics required will also grow multi fold within that. We are seeing the connections of fi

ber
optics up to the servers and go beyond that. So, both in terms of copper as well as fiber optic connectivity we do see that the growth will be quite strong. Within that we are closely evaluating both in terms of opportunities for STL globally, as well as particularly in India. In India, we see that the data center capacity will grow from around one gigawatt now to about between 2-3 gigawatts in the next few years, so clearly again, a large opportunity here. And more and more possibly of the data centers in India will either look for or ask for Made in India solutions. So it presents an interesting opportunity for STL. I think we do have some base of portfolio of products, both on the copper and fiber optic cable, but equally, going forward, if we really have to cater to this market, we need to build a full portfolio of product and make sure that we can really provide an end-to-end solution to the various data center players. From my perspective, I think this will take some period of time, probably over the next 1-2 years. We will continue to build the portfolio, build our own IP and in parallel continue our conversations, which are going on currently as well with various DC players. But as I shared last time as well, this is clearly a priority for us. We cannot give any specific forecast at this time, but what we are starting to call out from this quarter onwards is data center plus enterprise as a segment, we will start calling out what percentage of revenue of optical when the business is coming and as that, we do expect that to continue to grow going forward. To your second question, in terms of breaking out between data center enterprise, we don't want to split that up for competitive reasons, but we are seeing increased demand of various solutions particularly on our copper connectivity, which are going to various enterprises, whether it's GCC or elsewise. And at the same time, we also have some unique communication cables for the railway segment and as we are seeing rapid expansion of these requirements, particularly in Europe and possibly also in India going forward.

Nikhil Chaudhary: Thanks a lot. Second question is on demand environment last year was a tough year, especially for optical industry. So how is the outlook for CY25; any early indication you are receiving from telecom OEMs in general, for CY25. As well as if you can touch upon any update on BEAD as you last time highlighted some delay, but any update?

Ankit Agarwal: Absolutely, spot-on Nikhil. So, from what we have been sharing, even last quarter, we have seen that on the positive side, there are now at least several states including particularly Louisiana etc, which are expecting what they are calling shovel on the ground based on BEAD funding, in the next 100 days. So say, 3 months or so from now, where probably some first investment and execution will start by at least one of the states. But if we had to speak at a larger level, we do expect that H2 of this calendar year, and definitely probably our Q2-Q3 kind of time frame is where we expect initial BEAD investments to pick up, and hence our fiber optic solutions to be starting to be required for that. But really, we expect that the larger and more significant demand will come from a CY26 perspective, so probably some portion of our financial year, Q3-Q4, which should see benefits of our BEAD requirements. We are well placed for that, as recent as last few days, we also made an announcement where we have been on the official list of self-certifications. And again, that places us very well and amongst few companies who can provide the cable solutions for the BEAD requirements.

In terms of overall market demand, we continue to be focused on our geographies, which are in Europe, US, North America broadly as well as in India. In India, we are seeing that on the back of BharatNet broadly, there should be an increased demand over the
P

age 10 of 18 next four to five years as the advanced purchase orders get released, some of them have already happened in the last few days, and other should happen in the next few weeks. That should result in demand for both our cables as well as fiber to other cablers. And of course, from a services business, we should be also getting our purchase order for Jammu Kashmir project, hopefully in the next few weeks. So that's on the on the India market.

Europe has been flattish. But as we talked about, this transition from copper switch off, or copper to fiber, is happening in few markets, particularly in UK, in Poland, in Germany, etc. So, some pockets, we do expect to see some strong growth, but the largest growth continues to be in the North America market. We have seen some of the inventories reduce over the last few quarters. We probably have maybe a quarter or quarter or two left of inventory absorption. But broadly, this is all placing us well for a good growth in North America demand in the coming year and is important for us as STL to capture some of that growth going forward.

Nikhil Chaudhary: Thanks a lot. The last one, if I can squeeze in for Tushar, especially on margin. So decent performance on margin on both the side optical business as well as digital business. So optical business, what was the moving part? Despite of lower revenue, we were able to maintain the margin. And in digital business, we saw uptake in the revenue, as well as first time adjusted EBITDA profitability. So, was there some one-time revenue because of completion of some milestone which led to revenue bump up as well as profitability or can we sustain this profit going forward as well. Thank you.

Tushar Shroff: So Nikhil, as you are aware that for last couple of quarters, we have been working to ensure that our cost structure remains in our control. So, from that perspective, lot of efforts have gone on optical network business to set the cost structure right. So, as far as ONB business is concerned, these are sustainable in terms of profitability margin. With respect to service business, what we have seen is, in spite of lower revenue we have been able to more or less maintain the EBITDA margin that we have generated in last quarter. This is also on account of some kind of cost initiatives that we have gone ahead in that particular service business as well as we are expected to demerge this particular business to a separate entity in coming quarter. So from that perspective at STL level whatever the cost optimization efforts that we have been putting, which is yielding the results and in spite this quarter we have lower revenue we have been able to maintain the margin percentage as such. So that is something, I would say is on account of lot of other initiatives on a cost perspective.

The digital business, more or less the way we have seen this particular business, we have a good long term order book which has happened in this particular quarter and the kind of the new orders that we have been executing are at the better margin as compared to Page 11 of 18 the earlier period. So, from that perspective, the overall margin from the existing contracts is much better as compared to the earlier period. So, the overall improvement in the project margin, the way we have been getting the new orders, is giving the positivity in terms of sustaining the margin for the digital business.

Nikhil Chaudhary: Thanks a lot Ankit. Thanks Tushar, good luck.

Chetan Wani: Thanks, Nikhil. We will take next question from Sunny Gosar. Sunny, please go ahead and ask your question.

Sunny Gosar: My first question is on the optical business. So basically, I just wanted to get some more understanding on this BEAD program. So, in US the sustainable demand, which was there say, two years back. So going forward, is it fair to assume that all the capex that even the telcos are trying to do will get hold under

the BEAD program, and BEAD will
be the sole driver for demand, or BEAD demand will be over and above the demand that the telcos had for their own network related capex. And once, this inventory adjustment or the inventory destocking gets completed or gets more normalized in the US, there could be dual legs of growth, one in terms of the normal demand from the telcos and second from the BEAD program. So how should we look at that at a more normalized level.

Ankit Agarwal: Good question. I think exactly from the market perspective, it would be three elements happening in parallel, you have the telco and the IHP demand which is continuing. In fact if you see the announcement recently from AT&T, Verizon you see the announcement from various tier II and tier III players, Windstream and everyone else they are actually talking about accelerating their fiber deployment. So, we continue to see the telco invest and build out their fiber infrastructure. Everyone is clearly talking about fiber being simply the best medium for providing high speed and by the way more and more operators are looking to move from 1 to 2 gig service towards 4 to 8 gig service. So, even requirement and the speed that they are competing in are moving more and more where only simply fiber can provide them the solution. So, I think that is the very positive sign.

BEAD as I said while the timing may have shifted from our view there are very much continued focus on making this happen. I just gave one example of Louisiana state but equally all states are gone through the process and now slowly we will see state by state coming and as the winner of the project in the state move forward that should lead to the demand. And that should be the second driver and then the third driver will be this whole switch from CPU to GPU based and that will lead to further demand of fiber for the data Page 12 of 18 center segment. We do believe all three should play out in terms of the demand for North America. To give you ballpark, this broadly should lead to demand in North America going from current base of 70-80 million fiber kilometers to north of 120 million kilometers annually. So, this will be a plus in our view, that should partially play out in 2025 and then certainly 2026 onwards.

Sunny Gosar: Got it, that's helpful. And have you seen improvement in terms of the new inquiries and any feedback from your customer discussions for the normal telco related capex demand? So, what is the status there. Are there green shoots, is it still slow in terms of conversation? So, any thoughts or feedback on that?

Ankit Agarwal: I think broadly, I would say that we have definitely seen more incoming. When you look at a pipeline of opportunities, definitely, it is stronger than it was last quarter. So, I would say that in particularly in North America itself. So, I would definitely say that we see more opportunities, customers asking for more quotes. The way North America works is on calendar year basis. So as the operators have now decided their budgets, in November, December time frame. This is the period now in January, February onwards where they start the inquiry process, and they decide on their partners for the current year. So this is a very important period between now up to March, April, where we should get much better visibility of how things will pan out for the rest of the year.

Sunny Gosar: Got it, that's helpful. My second question is on the global service business, so we won one package in the BharatNet order, when do we expect to start execution for this package and what would be the execution timeline for the same.

Ankit Agarwal: So we have won the Jammu Kashmir project, which broadly is about a three-year execution and 10 years maintenance. In terms of the timeline as I said, some of the other participants or winners have got their advanced purchase orders in the last few days, ours is probably expected

in the next few weeks maximum, and then probably the final purchase orders, formal purchase orders will also come in probably towards the end of the quarter or early Q1 maximum. Of course, our work in the background has already started in terms of survey and whatever else we need to do. So, it would be fair to say that probably some point in Q1 the work would start, in terms of various planning and other things also that go into it. And similarly, for other players who have won the other projects. So, this is important for us as a project, not only for services but also for the optical business. So, all those conversations are going on in parallel.

Sunny Gosar: Got it, and have we seen any improvement in our working capital from the service business in the last one or two quarters? Have we been able to get down the contract Page 13 of 18 assets and the receivables?

Tushar Shroff: So Sunny, relatively the working capital has started reducing in the service business but the kind of pace that we have been expecting, it is little slower as compared to the what we were expecting. So, with respect to our plan and the budget that we had, presently it is not at that level but yes, definitely on a quarter-on-quarter basis, we are seeing the improvement in terms of production in the working capital.

Sunny Gosar: And I have one last question. Basically our net debt, as compared to the pre QIP period, is down by about Rs.800 crores. However, if we look at the interest cost reduction, we have come down from about Rs.94-95 crores per quarter to Rs.83-84 crores. So, it seems like the interest cost reduction is relatively lower than the reduction in the net debt. So, I have two questions, basically what should be the sustainable quarterly interest cost going forward and is there any like one of cost in the interest cost line item in this quarter in terms of any refinancing cost, or bank charges?

Tushar Shroff: So Sunny, best way to look at the number is on a year-to-date basis. If you look at the overall finance cost, which has gone down from Rs.281 crores to Rs.238 crores. So, there is almost like Rs.50 crores in terms of reduction in overall finance cost. Now when we talk about this finance cost, finance cost also includes some of the bank related charges maybe the operational or it may be related to the financing. So, from that perspective, it is not only the interest cost, but also operational in terms of a bank charges, which we incur, as well as the bank cost which is related to the funding of the activities, are also a part of the finance cost. So, it is not only the interest and the bank charges which is associated with a borrowing but there is also some element of the operational cost which is also included in the finance cost.

Sunny Gosar: So is it fair to assume that Rs.83-84 crores will be a sustainable quarterly run rate going forward or do you see this coming down in the coming quarters?

Tushar Shroff: So, it should come down over a period of time, especially with Q1 FY26

Sunny Gosar: Oh, thank you for the detailed response.

Chetan Wani: Thank you. We will take next question from Arun Malhotra.

Arun Malhotra: I think there have been lot of talks about the huge demand that is there, both from the data center and other aspects. But can you also comment on the supply side dynamics and our competitive position to gain orders or gain market share? Because I am actually

extending it further to the pricing, because if there is so much demand and supply is not there, do you expect buoyancy on the pricing side, also going forward? And can we go back to the 2019 price levels as well as the profitability?

Ankit Agarwal: Arun, I will break it into 2-3 parts. Specifically, to your question on the data center/enterprise side, I think definitely there, we do see that there are fewer players who have the portfolio and who can compete, with the full solution

. And I think that's certainly on one side, we are definitely looking to see how we can scale that up. But definitely we see good opportunity there for having a healthy pricing and margin. And as we progress in terms of quarter on quarter, improving our sales to this market, you should, you should start seeing that. In terms of the market, globally as well, we are in an interesting place where, when you look at large government funded projects like BEAD, etc. going forward there is an expectation that there should be a premium for that, because it has very stringent Made in America requirements which naturally would be at a higher cost base. So I think again, from that market perspective as that demand comes in, and there are limited suppliers who can provide those solutions that will again give us an opportunity to improve our realizations. Of course, broadly as the market itself improves as we get into H2 FY25 that should give us an option to improve our realization globally. And of course, at the same time in BharatNet kind of projects as that demand improves and increases in India over the next few years, that should also help us improve our realization.

Arun Malhotra: Orders like BharatNet, are they going to give lower margin orders or a normalized margin?

Ankit Agarwal: So just to start on the services part, we are very confident that we have got this order at healthy margins. And so, of course, it's now down to our execution. So, principally I would say that I am confident that we booked it at the services business level, at a healthy margin. Equally on the optical business, definitely we are confident that we will look at various opportunities, both on cable and fiber, both for our own services requirement as well as for other winners of the projects.

Arun Malhotra: Just to extend this again, we have seen buoyancy on the demand side, but the revenues have declined, if you see quarter on quarter, the margins are still not healthy. So, what is causing this dampening both on revenue and margins.

Ankit Agarwal: Yes, so specifically, see one part on the positive side is as Tushar said lot of work has gone in internally in last, I would say 12-15 months on our cost reduction initiatives, and you will see that flowing through our P&L. On the market side as I said, we have had

Page 15 of 18 somewhat of a flattish demand in Europe and also because of high inventory over the last 12-15 months in the US, even though the execution of new projects and fiber to the home and all of that was all time high. The new demand from suppliers like us and others had been on the lower side so that in that market environment, we had seen some realization reduction. And as I am suggesting, that as the demand picks back up in probably second half of this calendar year, etc. then we also expect with that demand, we do expect that both the lead times and generalization would increase.

Arun Malhotra: Lastly, can you elaborate on what is this attach rate and what is the significant for this number?

Ankit Agarwal: So, it's a metrics that we use, and we have been sharing for last few quarters. But essentially, what happens in the telco ecosystem or the ISP ecosystem is that you need both the cables as what we call the optical interconnect to go together, especially as you are connecting homes or towers, etc. So, what we have historically been doing is selling a lot of cables but then with the acquisition of Optotech and some of our product development we have also been able to push forward into our customers a more of a solution cell of the cable and the connectivity together. What we call the attach rate is that for every dollar of cable we sell, how many cents of connectivity that we sell. And so ballpark now, for about $1 of cable that we sell, we sell about 20-22 cents of connectivity products. And historically, for us and going forward we expect the connectivity portfolio to have ev

en better margins than the cable portfolios.

Arun Malhotra: Alright. Thank you and lastly on the receivables, last quarter you mentioned that you are expecting some receivables Rs1000 crores and there is one more. Any guidance on that.

Tushar Shroff: So, Arun last quarter we spoke about specifically liquidating some of the outstanding that we have in the service business. It is not only the outstanding, but there is certain working capital work in progress that we have in certain contracts like T-Fiber and MahaNet. Unfortunately, it is little slower as compared to what we planned.

Arun Malhotra: Any timeline, sir.

Tushar Shroff: So, unfortunately these are the state government backed projects. So, alot of times it depends on the budgetary allocation coming from the state governments to liquidate some of these receivables. So, we are waiting for a budgetary allocation to happen for this particular project so that we can liquidate our receivables and the contract assets that we have.

Page 16 of 18 Arun Malhotra: Alright, thank you sir.

Chetan Wani: Thank you. We will take next question from Rishikesh Oza from Robo Capital.

Rishikesh Oza: My first question is, if you could share our revenue and margins guidance that we have for FY2026.

Ankit Agarwal: Rishikesh we actually don't give a guidance or forecast on annual basis. I can just share what we have been guiding is that as a business, particularly the optical business really, our vision is to make this a world Top 3 business. We have been talking about that from a growth perspective, in terms of, for example the optical connectivity business we have been talking about how we see a lot of potential in that, we want to scale up our attach rate between our cable and connectivity. We are in process of our services business demerger, and definitely continue to see lot of opportunity and pipeline to scale that up over the coming years. And of course, our focus is being ultimately to generate cash and reduce our debt thereby also reducing our interest costs on ongoing basis. So, these are some of the elements that we have been guiding, and we continue to stick to that. We don't have any specific numbers to guide at this point about FY26.

Rishikesh Oza: Got it, no problem. Also second question is regarding BharatNet. So, our BharatNet order size Rs.2000 crores, are we expecting any further orders and when will the revenue recognition start from BharatNet?

Ankit Agarwal: We will have to come back to you in terms of revenue recognition, as we said this process in between of us getting advanced purchase order, then getting the final purchase order after that, there would be a period where you do various amounts of survey and other things. So, I think there is a certain amount of time period. Let us first get the purchase orders formally, and then probably in our next earnings we can give you better timelines around what could be the potential revenue that we could get from this on quarter-on-quarter basis.

Rishikesh Oza: Okay, could you share what margins have we got, the BharatNet order?

Ankit Agarwal: We won't be able to share that again for confidential reasons. I can again be rest assured, this is in Jammu Kashmir. We have executed NFS project almost 10,000 kilometers in that region in the past. So, we have a lot of experience in Jammu Kashmir. We are very confident of the region, and we understand the region and hence we are confident that we have won it at a at a healthy margin.

Page 17 of 18 Tushar Shroff: This particular order that we have been talking about is better than the margin that we have been accruing in this particular business.

Rishikesh Oza: Okay. Thank you very much.

Chetan Wani: Thanks Rishikesh. We will take next question from Vipul Kumar Shah.

Vipul Kumar Shah: So, my question is, what is our OF and OFC capacity and what is the capacity utilization today and what was the

same last year same quarter.

Ankit Agarwal: So, I will just start out on that. So, as we have been guiding in terms of our volumes have been fairly flattish and just talking on quarter-on-quarter basis for a minute. So similarly, like we guided last quarter as well, we have been broadly at that around 50% utilization. As we have shared in the past we are practically completely done with our capital and our capacity additions globally, we are very well placed with our capacities north of 50 million on the glass and fiber side, and north of 42 million on the cable side, including our investments in the US. So, we are fully set up on our investments. In fact, if you look at our capital spend for the year, it will probably be around Rs.120-130 crores maximum. So, compared to previous years our capital expenditure has also started to come down and will largely be much more of maintenance capex and some investment on the interconnect side. In terms of overall utilization as we said that as the market improves, particularly in North America, India, etc. we do expect that utilization should improve in the coming year.

Vipul Kumar Shah: So I know that you don't give the exact rate at which you sell fiber or cable, but if I have to compare it with 2019 prices when your profitability was really super native, then how much we had in percentage terms, of how much we are down.

Ankit Agarwal: Yes, so ballpark I would say overall both America and Europe from peak prices as of the period that you mentioned, I would argue that depending on the market, we are probably between 20-30% down in realization. And again, as I talked about earlier that some of these particularly in North America, we do expect these realizations to also improve, and we have seen this in the past through various cycles, that we do expect the realizations also to improve as the demand comes back and improves going forward. So, it's equally on our side, we have been taking a lot of initiatives on the cost reductions and so we are quite confident that the operating leverage will definitely kick in as the factory utilization improves.

Vipul Kumar Shah: What is our capacity in USA? Is it only cable or is it fiber also.
Page 18 of 18
Ankit Agarwal: We don't disclose specific numbers by factory, but it's essentially a cable factory. And we are very well set up now in the factory there in terms of product portfolio and capacity, so we are very well set up now.

Vipul Kumar Shah: You would not like to disclose exact capacity.

Ankit Agarwal: No, we don't disclose our capacities plant wise.

Vipul Kumar Shah: So, return to profitability at that level what should be our utilization in terms of percentage.

Tushar Shroff: So, Vipul I will take this particular question. If we have to go back to the 20% in terms of an EBITDA margin, we need to be at a capacity utilization about 70-75% that is a kind of a capacity utilization that will yield about 20% in terms of an EBITDA margin for optical network business.

Vipul Kumar Shah: Thank you and all the best.

Chetan Wani: Thank you, Vipul. Thank you everyone. With this, we now come to the end of our question-and-answer session, and now I hand over the call back to Ankit Agarwal for closing remarks.

Ankit Agarwal: I would like to thank everyone for taking this call and showing your interest in STL, despite a challenging market environment and a shorter quarter, we have made progress on key strategic priorities. We remain focused on the factors in our control, emphasizing customer centricity, building a lean and agile organization and driving growth through technology leadership. We will continue to aggressively pursue business opportunities in our key regions, leveraging advanced manufacturing, innovation industry leading products. As demand normalizes, we are well positioned to execute effectively deliver strong results and create shareholder value. I hope you were

able to address all and clarify
all your queries and comments. For any further questions and discussions, please feel free to contact the investor relations team, which includes myself and Tushar. We really look forward to continuing the conversation with you in the near future.
(This document has been edited to improve readability)

Call: May 2025

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra - 411 001, India .
CIN - L31300PN2000PLC202408
May 21 , 2025

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051

Scrip ID - STLTECH
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code - 532374
Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 4FY25
Dear Sir/Madam,
In furtherance of our letter dated May 10 , 2025 , please find enclosed transcript of earnings call held on May 16, 2025 in respect of Company's Q 4 FY25 financial results.
The same is also being hosted on the website of the Company and is available under the tab ' FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://stl.tech/download/#Financial%20Results .
Kindly take this on record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Mrunal Asawadekar
Company Secretary (ACS 24346)

Encl.: As above.

Sterlite Technologies Limited Q4 FY25
Earnings Conference Call Transcript

May 16, 2025

MANAGEMENT : M R. ANKIT AGARWAL – MD, STL
MR. AJAY JHANJHARI – CFO, STL

MODERATOR : MR KUNAL BHOITE, EY INVESTOR RELATIONS

Page 2 of 19 Kunal Bhoite: Good day, ladies and gentlemen and welcome to the STL Q4 FY25 earnings conference call. My name is Kunal Bhoite from EY Investor Relations. We are joined by Ankit Agarwal, Managing Director, STL, and Ajay Jhanjhari CFO, optical networking business at STL, to walk us through the Q4 FY25 results and to answer any questions that you may have.

Please note that all participant lines are in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. You can download a copy of the presentation from the website that is www.stl.tech . Please note that this call is being recorded.

Before we proceed with this call, I would like to add that some elements of today's presentation may be forward looking in nature and must be viewed in relation to the risk pertaining to the business. The Safe Harbor clauses indicated in the presentation also applies to this conference call.
I now hand over the call to Ankit Agarwal for opening remarks. Over to you Sir.

Ankit Agarwal: Thank you, Kunal. Good day everyone. Thank you for joining us for our Q4 FY25 earnings conference call. As we advance to the next fiscal of FY26 directionally, our strategic priorities remain the same in the optical networking business. Some of the key strategic priorities for FY26 - our focus remains on driving growth by increasing market share and optical fiber cables and improving our connectivity attach rates. To achieve our goal of generating significant revenue from data center enterprise segments, we will accelerate the development of comprehensive data center product suites and tap a vast potential in this market. Additionally, we will sustain our efforts to drive technology and cost leadership in the optical domain.

As we build STL digital, our vision is clear - to be consciously investing in both technology and domain capabilities. This means not just keeping pace with the digital world, but thoughtfully choosing where and how we must grow with purpose and precision. At the same time, our focus remains firmly on profitable growth, we are not chasing scale for the sake of it. Instead, we are driving sustainable long-term value for our customers, our partners and our teams. Every step we take is guided by a balance of ambition and responsibility to build a digital business that lasts.
We stand before you with immense pride as we reflect on a moment that went far beyond our routine operations. A moment defined by service, courage and nation building by our STL-ers. During the recent strife in Jammu Kashmir, our STL-ers took on a critical mission to restore the army's fiber communication network. Every team member behind the scenes showed unwavering commitment ensuring seamless connectivity under the Page 3 of 19 toughest conditions and risks rising to the challenge, not just as professionals, but as patriots. And to everyone involved, we thank you and we salute you. Your resilience and dedication makes STL and entire nation proud of you.

At STL, we believe in leading with responsibility, creating more connected and inclusive world. Since FY19, our initiatives in education, women empowerment, healthcare and sustainability have positively impacted millions across India. Through RoboEdge program, we have reached over 6000 students across 11 schools and are proud that 13 of them represented India recently at the International Robotics Championship in Estonia. Our Jeevan Jyoti program, founded by Miss Jyoti Agarwal, has empowered over 5800 women artisans in vocational skills with many now showcasing their work under the Akai brand. In sustainability, we installed 4500 kilowatts of solar capacity, cutting emissions and advancing clean energy across our facilities. We are working with 53 villages on afforestation and water conservation, planting 1000 of trees and rejuvenating ecosystems. And through Swashthya Suraksha, we have delivered

healthcare to over 2.6
million underserved individuals in rural Maharashtra.

At STL, sustainability is the heart of everything we do. We are committed to achieving net zero by 2030 which will place us far ahead of our peers in this space. Since FY19, we have diverted over 2.6 lakh metric tons of waste from landfills and recycled over 9.6 lakh cubic meters of water driving through a true resource efficiency. We are proud to be the world's first optical fiber manufacturer certified for zero liquid discharge and zero waste to landfill. And we have also collaborated with Hygenco to supply green hydrogen to our manufacturing facilities. Aligned with 16 out of 17 UN SDGs, we have positively impacted over nine lakh lives and earned over 100 plus ESG awards, a testament of a commitment to a sustainable and inclusive future.

In the following slides, we will showcase our optical networking business and our focused journey towards becoming one of the top three global players in optical connectivity. We are clearly at a pivotal moment in time where three major investment cycles - 5G, FTTx and data centers are coinciding and creating unprecedented opportunities for infrastructure growth across the globe. Starting with FTTx, despite a slight global dip, North America is scaling from 39 million to 65 million kilometers fiber by 2028 over 100 million US homes await fiber. In India, Jio and Airtel are driving growth via 5G fixed wireless and bundle broadband. The revenue potential for the telecom operators is between $11-15 billion annually. In data centers, optical cable demand is set to rise over 26% in five years. The North America DC market itself will hit $139 billion in total DC spend, and India investing close to 65,000 crores with a 25% increase in capacity by 2028. 5G is the real game changer. The target globally is expected to have about 6.3 billion subscriptions by 2030 and cover over 67% of mobile users. 80%
 of the mobile data will ride on 5G and you will have over 3.6 billion users with just standalone 5G. The driving forces clearly are, data centers fueling long haul fiber demand. The big tech will invest over $100 billion by 2030 and as the government pushes to connect rural India and rural America, just in India, we expect $2.5 billion of BharatNet phase III, and in the US, there is over a $42 billion program for BEAD.

Further, we will highlight a transformative opportunity that stands before us, the convergence of the AI revolution and the explosive growth of data centers, which is unlocking unprecedented potential across the digital infrastructure space. As we can see, by 2030 the global data center demand will triple to 219 gigawatts, with 70% potential AI triggering a $7 trillion investment wave. India is also rising fast, we are doubling our capacity to 1.8 gigawatts by 2026 becoming a digital powerhouse, the backbone of this shift is fiber. AI workloads need almost 36 times more fiber compared to regular workloads, pushing a 70% higher density and almost a $2 billion opportunity in this decade itself. STL is ready, we have our ‘Make in India for the world’ AI DC portfolio, which offers scalable, low latency GPU ready solutions and which are built for this AI era, and it's working. As you will see in the numbers, 21% of our growth in DC and enterprise revenue in this quarter.

As the global landscape shifts, demand for optical fiber is set to rebound. After two slow years 2025 marks a turning point with fiber consumption projected to grow at 2.7% YoY, led by strong US momentum, India's BharatNet phase III, as well as some pockets of demand globally. The medium term outlook is even stronger - excluding China, global demand expected to grow at almost 8.2% CAGR, with North America clearly leading the charge driven by AI infrastructure, data centers and the federal programs that I spoke about, like BEAD. CRU, which is a leading agency, forecasts 116 milli

on fiber
kilometers of demand in this region alone. With a sharp focus on North America and the global ex China market, we are well positioned to power the next wave of digital infrastructure with future ready fiber and end to end connectivity solutions.

I wanted us to take a moment to recognize that fiber absolutely continues to be the bedrock of digital infrastructure, whether you talk about 5G, whether you talk about fiber to the home, or the AI led data centers, all of them will ultimately rely on a core base and foundation, which is optical fiber. Industry leaders, clearly around the world, are making significant bets on fiber deployment and doubling down on making sure that they stay ahead of the curve with ramping up their fiber deployments. Just some of the examples I can highlight here like AT&T is targeting 50 million fiber connected locations by 2029 and Verizon through its $20 billion play and acquisition of Frontier Communications is pushing forward towards 40 million fiber homes. Back home here in India, Airtel is investing heavily with over 44,000 route kilometers just in one year and is further
 expanding its data center capacity as well as fixed wireless on the back of optic fiber. Microsoft, one of the large and leading hyper scalers in the world, has already started to innovate with hollow core fiber and is looking at how fiber can play a critical role in

driving its latency down across its network. Zayo, a very large fiber infrastructure provider, has noted a major shift. It has clearly talked about its long-haul fibers, which have jumped from 8 to 12 fiber counts in a cable to moving to 144 to 432 fiber counts in just 12-18 months, all of it on the back of demand for AI. There are many such examples. These are not just isolated, and they are part of a global movement where telecom operators, hyperscalers and other companies have realized that fiber is the way forward.

I am also proud to share that STL is pushing the frontiers of technology and innovation. We have achieved many global firsts - from launching India's first quantum secured network with multi core fiber to pioneering green hydrogen and developing the world's slimmest optical fiber at just 116 microns. Our innovation engine is strong, with 740 patents and 76 new filings in just this year alone. We are building the next gen capabilities with Hollow-Core Fiber and AI driven fiber sensing. Our commitment to excellence is recognized with national awards for impactful IoT solutions, social compliance and Health and Safety Excellence. We are making global impact with BABA compliant products for my US facility and Make in India, solutions which are also creating European traction, made in India and made in Europe, for the European markets. From expanding our optical and copper connectivity portfolio, earning praise from India's telecom minister, for our AI led data center innovations, STL is well set up for the future.

As per CRU data, we have maintained our stable 8% market share in the global OFC market outside China, a strong foundation as we work towards regaining more ground. But the real highlight is clearly our optical connectivity attach rate, which is up from 13% to 22% in just one year. That's a significant year on year expansion showing a sharp focus on value added solutions and deeper customer integration.

Now let's look at the optical network business, the financial performance. As we reflect on the financial performance of the optical business, in line with our guidance, Q4 FY25 revenue stands at Rs.979 crores, which shows a healthy improvement YoY basis. EBITDA for the quarter stands at Rs.125 crores at 12.8% of the revenue. EBITDA margin reflects substantial improvement YoY basis, driven by constant focus on the cost leadership. At STL, we are well positioned to accelerate growth in the optical business. We have scaled up local capacities and are now closer to the markets with strong traction in North America. Our cost initiatives are showing results, and we continue to focus on all ways of efficiency. With 740 patents that I mentioned, innovation drives our data center portfolio and customized solutions helping us scale the optical connectivity business going forward. The most recent US China, trade dynamics are also creating new tailwinds for India led manufacturing positioning STL to capture rising global demand, particularly in our enterprise business.

Now, let's discuss our STL digital business and its performance. STL digital continues to bring strong momentum, backed by global presence. A skilled team of over close to 1200 consultants and a robust order book of Rs.451 crores as on 31st March 2025. We serve the 26 global customers across key sectors like technology, healthcare, manufacturing and energy delivering enterprise SaaS, cloud and security, product engineering and AI driven solutions. Our recent highlights include driving Vedanta digital transformation for over 15,000 global users securing repeat wins across industries and building a powerful partner ecosystem with 40 plus tech partners.

Despite the subdued industry environment we delivered a strong performance in Q4 FY25 maintaining revenue of Rs.78 crores. Our sharp focus on profitable growth is paying off. STL digital EBITDA stood at a positive Rs.5 crores in Q4 FY25. We remain committed to this trajectory and are confident of this momentum in coming quarters.

Let me introduce Ajay Jhanjhari, Chief Financial Officer of STL optical networking business. Ajay is a Chartered Accountant with nearly 15 years of experience across fundraising, capital allocation, M&A, treasury management and business partnering. He began his journey at STL as a management trainee and gone through multiple leadership initiatives and heads finance for one of STL’s core verticals. As CFO, Ajay is focused on driving shareholder value and profitable growth by aligning financial strategy and business goals. On a personal note, I can vouch that he is a very good singer and dancer as well.

Ajay Jhanjhari: Thanks. Good day, ladies and gentlemen. So I will present the financials of STL for the financial year 2024-25. As you see, the year started on a note wherein we were low on the EBITDA margins, which were around Rs.44 crore, all time low at around 5.2% against our revenues. With the conscious efforts on cost side, because we were aware that there are some tailwinds in terms of the requirement of our products, we focused a lot on our cost and along with slight market improvement, what we can see is our growth to the EBITDA numbers of Rs.146 crore. So, from the 6% EBITDA numbers for the last quarter of the previous financial year, we could grow it up to 14%, so that is commendable and going forward, how we are seeing this is that, it is going to be better than this.

On the continued operations, we have also been at break even, or slightly positive on our Page 7 of 19 Profit before Tax. In Q4 FY25 we made strong strides with key global wins. We re-entered with a major US customer for high fiber count OFC solutions after a year and secured large orders from a leading OSP in America for OFC and optical interconnect products, boosting regional traction. STL digital also signed a major tech outsourcing deal with a top Indian conglomerate and continued repeat engagements with a leading Indian networking player.

Our revenue mix remains robust, with EMEA rising to 55% of total revenues and India climbing to 20%. Coming to order book, our order book is at a healthy state of around Rs.4,378 crore for the quarter, it is down in comparison to previous quarter because of the less long term orders we were booked for spot. What I can tell you is that, going forward in Q1 we are looking for a very good traction in our order book. Our order book spread is Rs.667 crore for the Q1 b

ecause majority in our Italian subsidiary, we always have spot orders. And going forward for the next nine months, it is around Rs.3,710 crores.

We have provided the abridged version of our reported numbers for your review. The net debt for this business stands at around Rs.1,350 crore with a much improved debt to equity ratio of 0.68 times. I would like to tell you that the numbers which we are seeing here, is after the demerger, which has happened on the record date of 31st March. 2025. So all the P&L numbers reflect the numbers of ONB plus digital and services numbers will be reported separately in their board meeting.

Talking about the demerger status, the shareholders and creditors of STL India approved the scheme of arrangement in the meeting held on July 10, 2024. Following this, the demerger petition was filed, admitted with NCLT during October 2024. The final hearing date was January 30, 2025 with NCLT Mumbai branch. The final approval is received, and the resulting company, STL Networks Limited is now a separate entity effective 31st March 2025. We are in the process of listing the resulting company shares. We expect to make it happen by June depending on the approval processes it may likely be extended maximum to July.

Ankit Agarwal: I am happy to share the successful completion of significant milestone of our journey, the strategic demerger of STL Global Services business into STL Networks, effective March 31, 2025. This move aligns with our goal of portfolio simplification and sets the stage for focused growth in each of the businesses. The demerged entity will now operate under a new and powerful brand entity, identity Invenia. With this rebranding Invenia will concentrate on delivering large scale digital infrastructure ecosystems, making a bold step into the future. We are also proud to announce the appointment of Mr. Pankaj Malik, a veteran in industry, as a CEO of STL Networks. His proven leadership and Page 8 of 19 execution expertise positions us strongly to accelerate growth in the next phase. The shareholders of STL networks have received a 1:1 share entitlement based on the holdings as of April 24, 2025. Together, these developments mark a new era of innovation and opportunity under the Invenia banner.

As you move forward in our transformation journey, I would like to highlight the key focus areas across our core business segments. Starting with the optical business, our mission is to achieve technology and cost leadership and secure a spot in the global top three by targeting increased sales in focus markets, boosting optical connectivity attach rates and expanding our data center product portfolio rapidly. In the digital business, our direction is to grow revenue while maintaining a strong focus on profitability in ensuring the sustainable progress. Each of these focus areas align to deliver value innovation and long term success for all our stakeholders.
With this, I now hand over the call back to Kunal.

Kunal Bhoite: Thank you, Ankit, ladies and gentlemen, we have now come to the end of our presentation, and we shall move to the question and answer session. We will take our first question from Nikhil Choudhary from Nuvama.

Nikhil Choudhary: Thanks for the opportunity, and congratulations on completing the merger of global services business. Ankit, first one on the impact of tariff. It has been 1.5 months since US administration imposed tariff globally, even after rolling back, it remains at 10%. We have seen when Europe imposed about 12-13% tariff on Sterlite Tech last year, while we were able to manage our market share, but profitability took some hit and given US itself have some capacity in optical fiber, do you think this 10% incremental tariff on India will have some impact on Sterlite Tech.

Ankit Agarwal: Thank you, Nikhil. So I think you are spot on, we have been working. Let me come to the Europe part, there is an appe

al that we have filed as well with the European Commission, so that will take its own due process. It could be a year, two years process, but we definitely believe, on our own merits, that we should not be facing any duty in Europe. So that's something that we will continue to work towards. What we have done, of course and continue to work on is to continue to look at our cost structures, whether it's in India, but especially in Italy and the US, to really make sure that as we are increasing our supply from our local facilities in those geographies, we are making sure that we are more and more cost competitive. So that is going to be ongoing work, even through course of the current year. What we have definitely seen is actually a pretty positive movement. We are continuously seeing interest from our customers in the US, current and new who are interested in both sourcing from our US facility but also are open to sourcing from India. So that balance will continue to happen, and we continue to believe that as demand scenario in North America improves, then also we will be able to pass on some of these costs onwards to our customers. All of this will play out broadly in the next one to two quarters. Of course, 10% itself is there currently for three months, let's see how that gets played out. One thing we have seen, and I called that out earlier, is that especially some US customers who are dependent on certain products on the enterprise side and copper side, etc. who were single source from China, or majority source from China, they are definitely seeing STL as an interesting opportunity to partner with for some of their large requirements.

Nikhil Choudhary: Got it Ankit. Second one on growth recovery, we have lost some market share globally from 11% to 8% now, do you have any timeline in mind where we can get back to that particular market share, especially in context what you have mentioned that we are seeing some demand recovery. Although Ankit, we are yet to see those recovery in order book number. So any color there as well.

Ankit Agarwal: So broadly, we are very well set up with our capacities, you are familiar with all the capex we have done over last several years. And broadly, we have been operating at that about between 40-50% utilization. So, all the investments are done, we are working pretty well on our product portfolio, the US facility is now up and running well. So, all the base is now well set for us and as this demand is now starting to come back, we are very well placed to increase our utilization. And as you have seen, as we just go back from 50% utilization to 70% utilization, our EBITDA margins will basically go from about 14% currently to about 20% so that is really where the focus is, to generate that EBITDA and then to generate the cash. From a market share perspective, definitely we will look to increase our market share globally. I won't comment on specific targets, but I would say that we are committed towards that vision of being the top three in the world. That will take us probably somewhere between three to five years, but that's really where we want to get towards.

Nikhil Choudhary: A last one on BEAD project. The new US administration has made some changes in BEAD program. Do you think these changes will lead to further delay, and moreover, more or less now looks like BEAD demand will flow in CY26.

Ankit Agarwal: I would say that a lot of things are happening in parallel, as you can imagine, in terms of the legal side, in terms of discussions happening with various stakeholders. What we understand broadly is that there are conversations around, when does BEAD finally get formalized, when does it start getting rolled out, and how much of it is fiber versus, say, wireless or satellite. So, all of those conversations are happening. In principle, there is a push also as well to take it forward and conclude it. From our own business

planning
perspective we are largely seeing this as probably a Q4 this year or a Q1 event next year.
 So, from our planning perspective we are looking at our current customers and new customers to drive the growth. One positive thing also that we do expect is that the permitting process in the US will start getting simplified under this new regime and that could actually also help accelerate both the regular build out as well as government funded build out.

Nikhil Chaudhary: Got it, thanks a lot and good luck for the coming year.

Kunal Bhoite: Thank you Nikhil. We will take next question from Bala Subramanyam from Arihant Capital.

Bala Subramanyam: Sir, my first question regarding our data center side, earlier you have mentioned about 25% of revenue is expected from data center. I just want to understand what kind of products we have, what kind of launches in upcoming years, and what is the strategic focus on data centers and if you could share some light on that demand and supply side especially for products and data center.

Ankit Agarwal: We will be able to only share some information at this stage, because we are still in advanced stages of building out our product portfolio. What we are really looking at is, how do we build an end-to-end solution on the passive connectivity layer for the data centers. We have already worked on and built a good portfolio for inter data center connectivity, which is connecting data centers within a campus. We are now working on technologies and portfolio for within the data center. That's something that is very exciting opportunity for the company, and as I have shared in the last few calls, this is something that we are prioritizing on how to build up the portfolio, probably start with a few geographies and then also take it global. This is a market which we definitely believe will continue to grow over the next 5-10 years, globally. India market as I just shared, will also look to double in terms of the sheer megawatt capacity or gigawatt capacity that is coming up in India. So, from all of those conversations and discussions with the market, we do believe that this is a very positive opportunity for the company. And also, if you look at capex cycles of telcos, which typically go up and down every few years, the data center spend itself will be a nice hedge for us, vis a vis just the telco spends. So from those aspects, this is a very good opportunity for the company. As we set out a target, 25% of our revenue should come from the data center plus enterprise segment, and that is definitely something we will move towards in the next few quarters.

Bala Subramanyam: Got it Sir. My second question is on the inventory side, how are the inventory levels on the global especially in the North America and we have seen some very big wins in the order terms. And I want to understand, the pricing side for optical fiber and optical fiber
 cable side on the industry level, whether we have seen recovery on the prices.

Ankit Agarwal: The pricing has been flattish, there is nothing specific. Now with the demand growing in North America and also in India with BharatNet which will kickstart across all the packages. So, I think from that perspective, probably pricing has bottomed out and should start improving. It will take some time directionally, but that is where it is at. Inventory levels, I would say broadly last 18 months, maybe even 21 months a drawdown of that inventory. We have been sharing that update in our calls. Probably we are largely done now, with the excess inventory in the system largely in North America. There is probably some pockets of some inventory, probably for another quarter or so, but largely we do see and hence we are starting to see more opportunities in our pipeline, and we do expect good movement on new orders in the coming quarters.

Bala Subramanyam: So small key question under BEAD pro

gram, I think it is expected to start from in this
financial year and opportunity size is more than $40 billion so I just want to understand what is that timeline given by the government and is there any plan?

Ankit Agarwal: As I said Bala there is a lot of moving parts in the US right now in terms of this project itself, of course principally we do believe the projects moving forward, it's been committed by both houses. Some of the nuances around how this gets panned out, how much is fiber versus wireless or satellite, some of that detailing will probably get clarified. But as far as the states are getting prepared to receive the funding at state level, I think all of that is moving forward, but from our own perspective, I was just sharing that we do think that this is Q4 this year or possibly even Q1 next year event.

Bala Subramanyam: Got it, sir. Thank you.

Kunal Bhoite: Thank you, Bala. We will take our next question from Mr. Arun Malhotra.

Arun Malhotra: Thanks for taking my question. This is Arun from Capgroww. I think lot of my questions have been answered, especially on the margin front and the pricing, but would still like to understand, given a lot of demand factors in favor of the industry, especially the 5G, the AI, the data centers, what is the supply side scenario, that's one. And where do you see the pricing because we have not seen the prices going up. So, the margin from 13% to 20% does that capture the price rise, or is it just the operating level which you are factoring in.

Ankit Agarwal: No, good question Arun. Thank you. There are two three elements to this. Principally what I said is just in terms of utilization itself. So we have been operating broadly at this 40% to 50% utilization. Our facilities have been pretty well set up globally. So as we just see the markets, these inventories, which I spoke about, coming down, our volumes going up globally, and particularly in the North America market that will help drive our utilizations up and help us improve our profitability. On top of that it will be that, especially in some select markets, we do expect the realizations to improve. It might take a couple of quarters, but we do see that if we go by past trends, then in such market scenarios the realization should also improve marginally. In India market specifically coming to that, yes, prices have been flattish, price has been on the lower end. But again here, I do believe that with the demand growing with BharatNet, we do expect the fiber prices, and ultimately the cable prices to go up maybe marginally but that is tough to predict at this stage. The BharatNet projects itself will be deployed over three years, so a fairly short time frame for a massive fiber network that needs to get built out. And so we do expect a healthy demand in India as well. Overall on supply, I wouldn't say there is any major movement. We have seen lower demand locally in the China market since a lot of their 5G and maybe fiber to the home is done. There is a lot of replacement fiber that's happening because China built its networks more than 15-20 years ago, so we are seeing some of that demand. But from a supply side, actually we are seeing some consolidation in the China market. Some of the larger players are consolidating and we do see that the market should become healthy, probably in China over the next one to two years.

Arun Malhotra: Just a clarification. You said 13.5 to 20 you want to reach. What's the time frame which you are looking for?

Ankit Agarwal: I won't comment on a specific time frame, but I am just saying directionally, through the course of this year we will as our volumes improve quarter on quarter we do expect to move towards that range.

Arun Malhotra: Sure. So, my second question is, on the BEAD and the BharatNet program, especially the BharatNet, just correct me if I am wrong, my observation is that our order wins have be

en much lower than the competitors. So, any comments on that.

Ankit Agarwal: Just to clarify we have one project in Jammu Kashmir, which is cumulatively including the deployment as well as maintenance for 10 years, that is close to about Rs.2600 crores all included taxes everything. So, that is the project that we are taking onboard. This is part of the services business, which is now demerged. So just want to clarify that, and this project will be part of that business. So the order book that Ajay spoke of earlier, this is excluding that project and once we get the purchase order in that entity then it will be part of that order book. For this business, which is the manufacturing business, we will certainly speak with all the winners of the various packages and look to maximize our share across cable, fiber and connectivity.

Arun Malhotra: Sure. And lastly, on the debt part what are the plans to reduce the debt?

Ajay Jhanjhari: So, if you see the last years we have improved our leverage ratio significantly, our debt to EBITDA ratio as on 31st March ‘25 stands at around 3 with the cash generation from the business, which we have demonstrated in the previous year as well. We expect to touch down to 2 by the end of this financial year. And the major driver for this would be the cash generation which will earn from the business by increasing our EBITDA margins by the better utilization of the capacities.

Arun Malhotra: Sure. And lastly, is the management concerned about the share equity returns for the minority shareholders because if you see, you being the leader in this segment, 8% global market share but the equity returns for the minority shareholders have been pathetic. Any comments there?

Ajay Jhanjhari: So, what we believe is that there is a lot of value in this stock, and once we start improvising on our margins, it will definitely start reflecting. In order to generate that consistent shareholder value, what we are doing is that we are focusing on growing our optical business and build STL Digital. One target to have an attractive leverage ratio, so we have already planned and we are on the target to deliver net debt to EBITDA below 2, which is going to work significantly well. I would also like to update you that in the last year, we have prepared ourselves for the better markets and better capacity utilization. So, we have done a lot of things on our cost side. Now it's a time when the market starts picking up, our margins will automatically grow further, which will help us in creating a lot of stakeholder value.

Arun Malhotra: Sure. Thank you and good luck.

Kunal Bhoite: Thank you. We will take next question from Ranjay Poply.

Ranjay Poply: Thank you for the opportunity. I just wanted to ask a question regarding international peers, especially in US. They have mentioned in their calls that inventory digestion has taken place, and they are seeing good demand, particularly in the US. So any comment on that?

Ankit Agarwal: Yes, absolutely, exactly what I shared earlier as well, that we have seen probably it's taken 18-21 months or so for the excess inventory to come out of the system. I think most of that is done probably this quarter or so is what we see. But we are already seeing in our pipeline of opportunities where there are more opportunities coming for STL, both for supply from our US facility, as well as from India, so that that is definitely aligned with what we are seeing as well.

Ranjay Popley: Okay, thank you.

Kunal Bhoite: Thank you, Ranjay. Next, we will take question from Saket Kapoor.

Saket Kapoor: Namaskar Sir and thank you for the opportunity. And welcome Ajay Ji, your first interaction with the investing community. All the best to you.

Ajay Jhanjhari: Thank you.

Saket Kapoor: Firstly Sir, if you could just give us some understanding what goes currently into the consolidation earnings wh

en we are reporting standalone and consolidation, if you could just provide to us which bits of businesses and the geographies goes into consolidation. And secondly, as interconnect part of the story was mentioned by Ankitji that the pie has changed. So, what have been the revenue and the profitability contribution from interconnect part. And third question is about the fiberization of the towers. What is the update,since all the telcos are speaking about 5G roll out, and successful roll out all across the country, but we have not seen that kind of fiberization happening as earlier reported that our towers are under-fiberized. So, what is the current understanding and what is the way forward from players like us? These are my questions.

Ankit Agarwal: I will take the third question. Saket ji. Principally we definitely see, both in India and globally, that as you move from 4G to 5G you need much higher tower fiberization, which means fiber directly from tower to this household, so that continues to be a trend in India as well. We are seeing that all the operators as they are increasing their 5G network, both coverage and capacity, that trend continues. What we are also seeing is that operators are looking at end to end fiber network all their requirements, whether it's fiber to home, fiber to enterprise, fiber to fixed wireless point or fiber for 5G all of this is converging towards one fiber network. So we continue to see a reasonable amount of fiber getting deployed by the telcos. As I said, the next big kicker will be the BharatNet Phase III what has been launched so far is by the central government. On top of that, we also expect a few more states to launch their own BharatNet phase III. So I think there will be multiple opportunities which ultimately will take the fiber to every village in India. What we ourselves are taking responsibility for in Jammu Kashmir will be to take fiber to every village in Jammu Kashmir. So this is a good opportunity for the country. Great service to the country. I will ask Ajay for the other two questions.

Ajay Jhanjhari: So on your first question regarding consolidation, I would like to make clear that we demerged on 31st March 2025 so the financials, the P&L piece of service business, will be reported under the new entity, which is STL Networks Limited. We are going to schedule a board meeting, which is more likely to happen in the next two to three weeks. Therefore the financials which you see currently consist of optical networking business and our digital business. Hope it answers the question.

Saket Kapoor: My point was for the optical network business consolidation; we see revenue of Rs.979 crore and when we look at the standalone numbers they are lower than that and even the losses are higher. So, these are carved out numbers only for the ONB business.

Ajay Jhanjhari: So, because in our consolidation there are multiple entities which operate outside India. So we have our wholly owned subsidiary in Italy which is Metallurgica. Then we have our own plant in US, which is STL US and then we are having our one plant of draw in China as well. So that is why you see different numbers in consolidated numbers and standalone numbers. I would also like to remind you 75% of our ONB revenue comes from the international market and therefore these factories are set up there.

Saket Kapoor: Okay Sir. So going ahead, if you could just provide that split also so we can get the understanding how the other geographies are also performing that would have been better.

Ankit Agarwal: So what we do Saket is actually give you a revenue split. We don't provide more than more information for competitive reasons.

Saket Kapoor: Okay. And the next question on interconnects.

Ajay Jhanjhari: So on interconnect you must have seen our attach rate which was 13% in the last financial year has increased to 22% in the current financial year

. This interconnect business we are very optimistic upon, it has shown a decent growth in the last financial year, almost increased by 30% and this is a very profitable business with a better ROCE. What we are doing right now is to expand it further in the other markets where we were not supplying it earlier. So we are very optimistic about it and we are also in process to evaluate whether we need to spend some amount on the R&D activities to grow this business further.

Kunal Bhoite: Thank you. Next we will take questions from Harshit Khadka.

 Harshit Khadka: What kind of revenues are we expecting from BharatNet in FY26 and FY27.

Ankit Agarwal: Harshit, this is just to clarify from STL perspective, we are looking at the manufacturing of the cables, the fiber, supply of fiber to other cabling companies as well as the connectivity products. It's still early for me to give a specific forecast in terms of the market, in terms of the demand, as well as then what share we can take. From my perspective, basically as I said this is a three-year deployment which will kick off soon. There are some packages which have been awarded already, some packages still to be awarded. So that will take little bit of time to clear all that out. Once the people have been awarded the package, then we will be negotiating with the various winners. We have our own consortium partners, and we will be negotiating with them to see how we can best serve them. Clearly, our intent would be to have a good market share across the packages, including the package that we have won in Jammu Kashmir. So it is a bit early today to give you any forecast like this but be rest assured we are putting our efforts to get a good share.

Harshit Khadka: Thank you.

Kunal Bhoite: Thank you. We will take next question from Aditya Jhawar from AK Investments.

Aditya Jhawar: Firstly, I would like to say to the management that as investors we are going through a lot of pain with STL tech from last five to six years and now we have demerged as a company. Now I understand this will be a manufacturing part of STL where we are having currently optical fiber and optical thing, which is utmost commodity because it is a global thing. So as an investor, how do you see we are shaping STL Tech going forward, that is my broader question. We will be focusing on the manufacturing part, I mean building hardware manufacturing because when you see Tata or HFCL, they are the late entrants in this market and they are capturing the market share. And we being the pioneers for the last 20 years, in the last 10 years, we have been burning cash, Rs.1000 crores of writes off, and we are going through this pain. So how would you take up the responsibility is my first question.

Ankit Agarwal: I want to clarify, there wasn't any Rs.1000 crores of write off. I want to fully appreciate that we are all accountable as leadership and management to create value for our shareholders, and be rest assured that's what we are fully committed to. To just reflect a little bit on our journey, over the last three to four years actually shut down several businesses, including we had looked at wireless solutions, we had looked at OSS BSS solutions and many others which we have exited. Some businesses we have also been able to sell and bring the cash in. As we saw our balance sheet, over April last year we Page 17 of 19 did a QIP of close to Rs.1000 crores to make sure that the balance sheet was in the right shape. And I think we have invested in our capacities. What I can definitely tell you with confidence is that we are very clear about our strategy and our focus of what to do and not to do. We are clear that our core business is the optical business. We are going to be world leaders in this business. I would disagree with you when you say that this is a commodity business. This is a high technology manufacturing business, and I would

urge you and any of our shareholders to visit our facilities in India or globally. It is truly cutting-edge technologies that we create and along with our optical connectivity and now our data center portfolio which is coming up, our whole thought process is to compete and be the best solution provider for our customers. We truly believe that we will win on technology, and we will charge a premium for our solutions, for the value they offer to our customers. That's really the thought process. We believe that this can help us drive better profitability and also, we will be very focused on generating cash and reducing our leverage going forward, as Ajay said. So that is the commitment from our side, that is where our focus is and we are looking forward as now that we see the market conditions also improving, how do we make sure that we get the right market share at the right pricing and also generate cash..

Kunal Bhoite: We will take the next question from Pratap Maliwal from Mount Intra Finance.

Pratap Maliwal: I just wanted a clarification regarding your statement on the Chinese market and the demand that maybe there is lower demand in China, and you see, that is kind of stabilizing. And I just wanted some more color on that and how that affects our business in particular. Is it that because of lower demand, because China is a large producer they placed into dump more in the international market and that kind of eats into our share. What is the outlook here on the Chinese market, please clarify.

Ankit Agarwal: The question was on what is the supply. So we must understand 50% of the world market demand., if you look at the past charts, historically the demand and then the supply is 50% of the world market has been China. That's the sheer volume that the three telecom operators out there deploy, and they have been building out a massive network. On a given year, China deploys 12 times amount of fiber that India deploys. That is the kind of build out they have been having. What we now see is that a good portion of the network has been built out for 5G as well as fiber to the home to the major cities, which is where then I commented that we do see some decline in their own demand year on year now and probably going forward, but as a result of which, also there's been a consolidation in suppliers in the China market. So we do see that as a healthy sign and we do see that the pricing also in China has bottomed out and should normalize going forward, that was that was the feedback. Impact to STL, I don't see with the way the markets that we serve, particularly in North America, Europe and in India which are our Page 18 of 19 focus markets, we do not see a lot of competition particularly on the cable side from Chinese, but in some places they do serve when they supply fiber at lower cost. Again, that was my point earlier that our whole thought process is to compete on technology and on solutions. So, the more we are able to supply our customers with cable and connectivity together as a solution, that will be a big advantage for our company going forward.

Pratap Maliwal: Okay, that's it from my side, thank you.

Kunal Bhoite: Thank you. We will take next question from Rohan Patel.

Rohan Patel: Thanks for the opportunity, Sir. Since last couple of quarters you were talking about the inventory clearing out and now you are firmly believing that inventory is mostly cleared out in America and things are way better than it was for like 12 months before or 18 months before. So, considering that you are also investing in new products and spending money in R&D. So how do we look at Sterlite Technology from here on? Can you just give us landscape for next 3-4 years about how much you want to grow your top line as well as your bottom line because you have fairly talked about balance sheet side, if you can give us sense about how things will move on from here.

Ankit Agarwal: T

hank you Rohan. We don't typically give a forecast, so I won't be able to give you any specific numbers. Three, four things that we have shared, I will just reiterate that. One directionally, we have a vision to be World top three, that clearly means fairly strong growth over the next 3-5 years for us overall, particularly in the optical business. Number two, we have fully invested into our capacities in terms of all the way from glass, to fiber, to cable and connectivity. So, we do feel that we are well invested. I do see that over the coming quarters, our utilization of the factories will go from 50% to 70% plus. And as that happens, we will move towards at least 20% EBITDA margin. So, these are two or three things that we have shared and as Ajay also shared just now, we are also looking at reducing our leverage ratio from about three times to about two times. So, as we start generating cash, utilizing that to reduce our debt that is where we take the business going forward. And principally, the one other growth area we have talked about outside of the core telco segment is the data center segment, that is a fast growing market and where the amount of fiber used inside a DC continues to grow. So we are building out our portfolio and going forward that will be an important and profitable segment for STL to grow.

Rohan Patel: I have a last question, considering that you are talking about fiber deployment in India as well as in America, do you find there has been change in industry dynamics, or can there could be change in industry dynamics after the Starlink entry in India.

Ankit Agarwal: No, that's why I had that slide, particularly on literally every telecom operator and other players, hyperscalers talking about it. There's no question, in my mind or in our industry parlance, that fiber will remain the core. There will be applications for Starlink or other satellite operators on the fringe, where there is absolutely it's unviable for fiber to be deployed there, from a cost perspective, or otherwise, in those regions or applications they will probably be used for satellite. But across the board for a vast majority of connectivity the base will continue to be fiber going forward.

Rohan Patel: Okay, so not a major impact on our business.

Ankit Agarwal: No, we don't see that.

Rohan Patel: Okay. Thank you for this opportunity and answering other questions.

Kunal Bhoite: Thank you. Ladies and gentlemen with this, we now come to the end of our question and answer session, and now I hand over the call back to Ankit for the closing remarks.

Ankit Agarwal: Thank you all for joining our call today and for your continued interest in STL. Despite a challenging market environment, we have made meaningful progress on our strategic priority. Our focus remains on what we can control, deepening our customer centricity, fostering a lean and agile organization, and driving growth through technology leadership. We continue to actively pursue opportunities in our key markets, leveraging our advanced manufacturing, innovation capabilities and industry leading product portfolio. as a market demand stabilizes, we are well positioned to execute with discipline, deliver strong results and create lasting shareholder value for everyone. We hope your questions and comments were addressed today. For any further questions, please feel free to reach out to the investor relations team, including myself. We look forward to staying engaged and continuing this conversation in the near future. Jai Hind.

Kunal Bhoite: Thank you

(This document has been edited to improve readability)

Call: Jul 2025

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India.
CIN - L31300PN2000PLC202408
July 31, 2025

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051

Scrip ID - STLTECH
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code - 532374
Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 1FY26
Dear Sir/Madam,
In furtherance of our letter dated July 16 , 2025 , please find enclosed transcript of earnings call held on July 25 , 2025 in respect of Company's Q 1 FY26 financial results.
The same is also being hosted on the website of the Company and is available under the tab ' FINANCIAL RESULTS-INVESTOR EARNINGS TRANSCRIPT' drop down available at https://stl.tech/download/#Financial%20Results .
Kindly take this on record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Mrunal Asawadekar
Company Secretary (ACS 24346)
Encl.: As above.
Page 1 of 20
Sterlite Technologies Limited Q1 FY26
Earnings Conference Call Transcript

July 25, 2025

MANAGEMENT : MR. ANKIT AGARWAL – MD, STL
MR. AJAY JHANJHARI – CFO, STL

MODERATOR : MR. KUNAL BHOITE , EY INVESTOR RELATIONS

Page 2 of 20 Kunal Bhoite : Good day, ladies and gentlemen and welcome to the STL Q 1 FY26 earnings conference call. My name is Kunal from EY Investor Relations. We are joined by Ankit Agarwal, Managing Director, STL, and Ajay Jhanjhari CFO , STL, to walk us through the Q 1 FY26 results and to answer any questions that you may have.

Please note that all participant lines are in listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. You can download a copy of the presentation from the company website that is www.stl.tech . Please note that this call is being recorded.

Before we proceed with this call, I would like to add that some elements of today's presentation may be forward looking in nature and must be viewed in relation to the risk pertaining to the business. The Safe Harbor clauses indicated in the presentation also applies to this conference call.
I now hand over the call to Ankit Agarwal for opening remarks. Over to you Sir.

Ankit Agarwal: Thank you. Kunal. Good day, everyone. Thank you for joining us for our Q1FY26 earnings conference call .

As we complete our first quarter of FY26 directionally, our strategic priorities remain the same in the optical networking business, some of the key strategic priorities for FY26 are shown to you in this slide . Our focus remains on driving growth by increasing the market share in optical fiber cables and improving our connectivity attach rates. We are also rapidly expanding our product portfolio for data centers, recognizing the rising demand for high speed, scalable connectivity driven by the rise of AI ena bled data centers. Additionally, we will sustain our efforts to drive technology and cost leadership in the optical domain. On the other hand, ambition is not just to grow, but also to build the future through STL Digital . We are consciously investing and strengthening our technology and domain capabilities, laying a stong foundation for long- term differentiation, and most importantly ensuring that all of this translates into profitable, sustainable growth . Together these priorities will guide our journey i n FY26, helping us not just to respond to today's market needs, but actively shape tomorrow's digital future.

At STL, we lead with purpose. We are committed to building a more connected, inclusive and sustainable world. Since FY 19 our efforts in education, women empowerment, healthcare and sustainability have touched millions of lives across India. Through our RoboEdge program, we reached over 8000 students across 11 schools, with 13 students representing India at the International Robotics Championship in Estonia, a moment of immense pride. Our Jeevan Jyoti program, founded by Miss J yoti Agarwal, has
Page 3 of 20 empowered more than 6000 women artisans with vocational skills, many of them now showcase their work under the Akai brand, building livelihoods and confidence. On the sustainability front, we have installed 4500 kilowatts of solar capacity, reducing emissi ons and promoting clean energy across our facilities. We are also partnering with 53 villages to support afforestation and water conservation, planting 1000 s of trees and rejuvenating local ecosystems. And through our Swashthya Suraksha, we have provided healthcare access to over 2.6 million underserved individuals in rural Maharashtra.

Here, you can visibly see that at STL, sustainability is at the core to our purpose. We are proud to be MSCI, ESG rated A and committed to achieving net zero emission by 2030 . Our study rests on three pillars –
Environmental sustainability. Since FY19, we have diverted 2.7 lakh metric tons of waste, recycled 10 million metric cubes of water and cut 39,000 tons of CO_2 emissions through energy efficiency . 36% of procurement is local and we have recently partnered with Hygenco for green hydrogen as well .
Social r

esponsibility - aligned with the 16 United Nations self-development goals, we impacted 19 lakh plus lives by education, women empowerment and healthcare. We have also installed 4500 kilowatts of solar capacity .
Strong governance - with two of the Big Four as auditors and robust governance committees in place. We have earned 100 plus ESG awards in FY19. It is notable that we are the world's first optical fiber manufacturer certified for zero liquid discharge and zero waste landfill, a true indus try benchmark.

In the following slides, we will showcase our performance in the optical networking business and our focus journey towards gaining market share. We are in the midst of three major investment cycles, FTTx, data centers and 5 G are all converging, creating unprecedented demand for digital infrastructure . Starting with FTTx, as you can see, over 100 million US homes are still awaiting fiber to the home, with North America expected to see a 10% CAGR in fiber deployments . Globally as well, the FT Tx opportunity r emains strong, backed by $ 11-15 billion annual revenue potential. Next, the data centers are fueling robust demand for optical fiber, with 21% global CAGR in optical cable demand projected through 2029. I n India alone, data center capacity is expected to go 4x by 2028 supported by over 65,000 crores in planned investments . On the 5 G front, the momentum continues, with 6.3 billion global 5G subscriptions expected by 2030 accounting for almost 70% of all mobile users. Crucially, 80% of global mobile traffic w ill be run on 5 G accelerating the demand for fiberized mobile sites, going from 38% today to over 65% by 2029 . The surge is supported by massive capex from big tech, the hyperscalers expected to exceed 100 billion dollars by 2030 large scale government projects like India's Bharat Net $2.5 billion phase three and almost $100 billion in the US with BEAD and other programs. All of this signals a multiyear network, build cycle and STL is well positioned to lead and enable this digital transformation globally.

This sl ide highlights how global telecom and technology leaders are unanimously betting on optical fiber as a foundation layer for digital future, be it 5 G, broadband data centers or AI infrastructure. The message is very clear - optical fiber is not optional, it is simply essential. It is the key to taking the broadband forward .

As you can see, the AI revolution and rapid data center expansion is not just industry developments they are transformative forces redefining global infrastructure . By 2030 global data center capacity is expected to grow close to four times, with AI workloads accounting for more than 70% of this demand. This explosive growth is driving a sharp need in fiber requirements. AI enabled data centers require 36 times more fiber than traditional CPU based facilities. As GPU servers increase in data centers, the nu mber of connections between GPUs goes up and the count of fiber cable increases . At STL, we are uniquely positions to enable this shift . Our AI optimized, scalable solution, tailored for GPU dense, high bandwidth, low latency environments aligned perfectly with next gen data center requirements. Our commitments to build ‘Make in India for the World’ portfolio is delivering tangible outcomes. 23% of our revenue came from a growing enterprise and data center business in the past quarter.

According to CRU , global optical fiber demand is poised for a turnaround in 2025 with a projected close to 2% year on year growth after two years of continuous decline. This marks the beginning of a positive long- term trajectory in the industry. Demand fundamentals remain robust, fueled by FTTH rollouts, AI driven data center growth and the rising connectivity across the rural regions of the world . North America and Europe are set to lead this resurgence, with North America projected to grow at almos

t 11.6 % CAGR through 2029 and globally as well, demand in our focus markets like US and Europe is expected to grow at about 8.9% CAGR , reflecting an encouraging midterm potential . We are also seeing encouraging signs from markets like India, Vietnam and Southeast Asia and parts of Europe, which all align well with our strategic priorities. With this recovery underway, STL is well positioned to lead and enable the next phase of global di gital infrastructure expansion.

The latest China Mobile tender also highlights a robust fiber demand in China, surpassing expectations, with close to 98 point 8 million fiber kilometers announced, well above the CRU research estimate of 80 -85 million . This, in addition to U nicom, the recent 68.5 million fiber kilometer window . All of this is clearly pointing that China is pushing ahead with an aggressive network expansion, both at the other result linking to 5G as well as rural fiber broadband connectivity. While STL is not directly expo sed to China's pricing battles, there are important global signals here. All the price corrections are largely baked in, which limits the downside risk from here , we expect short term pricing stability aided with our planning and our margins in place. Most important STL geographic diversification keeps us insulated, even as we remain tuned into global pricing dynamics. Overall, these developments reinforce our confidence that the market is truly making a recovery.

As the market demand recovers, STL is well poised to make the most of the opportunity and order book intake numbers give a good indication of that . In Q1FY26 we clocked Rs.1529 crores in order intake, nearly 3x from Rs.566 crores in Q1FY 25 and Rs. 588 crores in Q4FY 25. A few key wins include a three -year long- term contract with a leading European telecom player , strong inflows from top tier North American telecom operators expanding our global reach. With this momentum, STL is firmly on the path of accelerated growth .

Being at the forefront of technology leadership , STL delivered key innovations like launching our next generation data center portfolio and India's first multi core fiber supporting high-capacity AI ready networks.

Our innovation engine remains s trong, with 76 new patents filed last year taking a total of 740. Our pipeline includes building future ready capabilities like hollow core fiber and AI powered fiber sensing, which is also leading sustainability . While we are also leading a sustainability with green hydrogen pilots and the world's slimmest optical fiber at 160 microns .

We are proud to introduce STS, a newly launched data center portfolio designed to meet the performance, speed and scalability of demands of the AI era. The portfolio brings together a comprehensive range of fiber and cabling solutions, pre -terminated multi fiber systems and a high-density Celesta IBR technology, ensuring low latency, high-capacity deployments for data centers, campuses and smart infrastructure . Built to support modern AI workloads our solutions are fully compliant with global standards and deliver the reliability required for h yperscale environments with over three decades of optical innovation, our products are manufactured and tested in-house , offering future ready designs and backed by 25-year warranty. Our go to market partnership with Tech Data expands our reach to over 70 Indian cities, enabling efficient market access t hrough a robust distribution and financing network. A s our CEO Rahul Puri put it , “In today's AI driven era, data centers are about enabling intelligence at a scale.” With this launch, STL is leading the transformation.

In another exciting launch showcasing STL leadership is next gen optical multi core
 fiber, which offers 4-7x capacity of the same fiber footprint with lower deployment cost . Multi core fibers ideally suited for AI dat

a centers and 5 G networks. Its performance has been validated through successful collaborations with C DOT and IIT Madras, demonstrating high speed transmission deployment across both aerial and underground environments in a secure way. STL is the first globally to deploy MCF across both areas, setting new benchmarks in fiber innovation.

As per CRU data our market share has improved year on year in the global OFC market outside China, to 7% from 6% in Q1FY25. While our optical connectivity attach rate remains stable at 23% with recent product launches and market recovery signs in focused markets, we expect to improve these metrics further.

Now, turning to the financial performance of optical network business . In line with our guidance , Q1FY26 revenue stood at Rs.961 crores making a healthy year-on-year growth. EBITDA for the quarters Rs.137 crores with a margin of 14.3% reflecting a significant improvement from the previous year. This margin expans ion is the result of a continued focus on cost leadership and operational efficiency . W ith strong fundamentals in place, STL is well positioned to accelerate growth in the optical segment in the coming quarters .

We are well positioned to scale optical networking business through a combination of strategic and operational strengths. With complete capacity expansion , we are now closer to key markets and already see strong traction, particularly in North America. Our ongoing focus on cost optimization across variable and fixed costs are beginning to yield tangible results. On the innovation front, STL continues to lead with over 740 patents and a strong emphasis on developing category first solutions, especially in a data center portfolio . We are also deepening customer engagement by co-developing end to end customized connectivity solutions that support scaling of our connectivity optical business. Additionally evolving global trade dynamics, particularly the US China tariff environment, are opening new opportunities for India based manu facturing, positioning us quite well to capture incremental global demand.

Now let me take you through our continued growth momentum in STL D igital . As you can see, ST L Digital continues to gain strong momentum, driven by our global presence domain expertise and focus on customer centric innovation. In Q 1 we added four more marquee clients, taking our total to 30 global customers, and we signed multi -year contracts with two leading healthcare providers in the Middle East . For digital marketing , we also increased our presence in the life sciences vertical. We have also delivered key projects across engineering, enterprise, application and support services, reinforcing customer confidence in execution. Currently, offerings span AI, cloud cyber secur ity,
 SAS and product engineering, serving sectors like technology, manufacturing, energy as well as healthcare. B acked by 1100 plus strong team, 22% of whom are women and delivery centers across India, the US and the UK, we are well positioned for the next phase of growth.

STL delivered a strong performance Q1 FY26 . It pos ted a revenue of Rs. 64 crores in Q1FY26 with an open order book of Rs.313 crores . Our sharp focus on profitable growth is yielding results with EBITDA Rs.1 crore for the quarter . We remain committed to sustaining this positive trajectory and have confiden ce of maintaining the momentum in the coming quarters.

Now I will hand over to Ajay J hanjhari, CFO of STL optical networking business to take you through the financials.

Ajay Jhanjhari: Thank you, Ankit, and thank you everyone for joining us today. Let me walk you through our key financial highlights for the Q1FY 26 . We have had a strong start to the year with Q1FY26 revenue coming in at Rs. 1019 crore, a robust 17% year on year growth reflecting healthy demand and strong execution across our businesses . Our p

rofitability
has also improved meaningfully as EBIT DA for the quarter stood at Rs.140 crore, with margins expanding to 13.7% . This marks a significant year-on-year improvement and underscores the progress we have made on operational efficiency and cost optimization. On the bottom line, we recorded a PAT of Rs.10 crore from the continued operation. This is a turnaround from the loss of Rs. 48 crore we had in Q 1 of last year, and importantly it reflects sustained profitability into this fiscal year. Overall, the results signal continued momentum and improved financial discipline as we head further into FY26 .

In Q1FY26 we continue to deepen our global presence with significant order wins across key markets. Notably, we signed a three -year long- term supply agreement for I BR cables with a leading European telecom operator . In North America, we saw a strong order inflow from top tier operators, reaffirming our relevance in this competitive landscape. We also secured high value digital contracts in the Middle East for marquee services with leading healthcare providers, highlighting our growing traction in the digital segment. On the right, you will see our revenue remains well diversified. Europe led our performance with a 49% contribution in Q1 while the America s strengthened to 31% , reflecting robust growth. Although the revenue base is lower due to seasonality, our geographic mix remains healthy and balanced, positioning us well for the coming quarters.

 Moving to the order book, we have seen continued momentum this quarter . Our open order book rose to Rs. 4,888 crore in Q1 FY26 up from Rs. 4,378 crore in Q 4FY25 reflecting strong order inflow and market confidence . Of this , Rs.722 crore of order book is slated for execution in Q 2 with balance Rs.4166 crore scheduled for FY26 and beyond. This provides solid revenue visibility and supports our growth trajectory for the year.

Here, we have shared an abridged snapshot of our reported numbers for your reference. In line with our expectations, net debt stands at Rs. 1300 crore with debt -to-equity ratio of 0.64x and net debt to EBITDA at 2.3x . We are focused on bringing this below 2x going forward .

On the demerger front shareholders and creditors approved the scheme on July 10, 2024, the petition was filed and admitted by NCLT in October, with final approval received in Feb 25 . As of March 31 , 2025, STL Networks Limited is now a separate legal entity . We are currently progressing towards listing its shares with necessary regulatory approvals. We expect this listing by the end of August.

Over to you Ankit .

Ankit Agarwal: Thank you, Ajay. To summarize, the key focus areas in the optical business, we are sharpening our edge in technology and cost leadership to break into the top global three. Our focus is on expanding our share and priority markets, boosting optical connectivity adoption and scaling attach rates for the connectivity business. We are also rapidly growing a strong data center business, reinforcing our position as a key connectivity enabler in global digital infrastructure. In the digital business, we continue to drive revenue growth with a clear focus on profitability. Together, these priorities set a strong foundation for scalable and sustainable growth. With this, I now hand the call back to Kunal. Thank you.

Kunal Bhoite : Thank you, Ankit. Ladies and gentlemen, we have now come to the end of our presentation, and we shall move to the question -and-answer session.

We will take our first question from Sak et Kapoor . Please go ahead and ask your question.

Saket Kapoor: Namaskar, sir, and thank you for this opportunity. Firstly Ankitji , a good set of numbers from us . Sir firstly, if you could just give us some understanding how the realizations have shaped up for OF and OFC, what are the price trends currently, and how are we see

ing them looking into the China Mobile cont ract part, which you just mentioned in the investor presentation, how are the spot prices moved up? If you could just give some color on the same and then comes our question on the finance cost part to our CFO. T he quarterly finance cost is down quarter on quarter, definitely from Rs.65 crore to Rs.50 crore. So , what should we expect annually and what steps are you taking in terms of reducing the impact of the finance cost going ahead .

Ajay Jhanjhari: So, to begin with on the finance cost first. As you rightly said, we have shown a consistent decrease in finance cost, mainly attributed also by the reduction in debt, which we are showcasing continuously . Going forward, we will generate cash consistently, and that will help us in reduction in interest costs . Along with that, the global reduction in interest cost will also help us. So , if I talk about a range, we will reduce it by maybe 5-6% more going forward. But that will take time, and that will depend on the cash generation to which we are committed .

Saket Kapoor: Okay. So will this run rate continue Sir?
Ajay Jhanjhari: Yes, this run rate will definitely continue. It is going to improve further with more interest rate impacts, which will come to us, because there is still a lag. The rates are down, but the market takes time to pass it on. You have seen some improvement in Q1 you will gradually start seeing it for the next quarters as well.
Ankit Agarwal: Saket your question on the market, I will not comment on specific pricing for competitive reasons but it is fair to say that broadly, the market prices have stabilized the y have bottomed out. As we show that there is strong volume demand that comes through China Mobile and Unicom tenders , that also led to both stabilization of pricing in China and some level of consolidation as well. As we said our focus market for growth is particularly in Europe as well as in the US and so to that extent, we continue to see the prices to be stable. As the market improves , particularly in the US, we may see some small improveme nt in realization in that market in the coming quarters .

Saket Kapoor: I was just coming to the US part only, sir. Could you just comment on how the utilization levels move, especially for our new US facility, and also as overall, STL as an entity where are we in terms of sweating our assets, in terms of utilization level? Since you have mentioned in your presentation that being ahead there will be further rationalization of the cost parameter when the fixed cost absorption is there. So what can we expect in terms of the incremental utilization levels going a head depending on the order book execution, as per the closing order book just alluded to by you.

Ankit Agarwal: Again, for competitive reasons, I would not specifically comment on our utilizations overall, but to your point on the US factory, it is really a state -of-the-art factory we built to serve the North America market. There are requirements that come up, which require ‘Made in America ’ products, and we are really well set up to serve that, and also with any potential tariff impacts that may happen between US and India again, we are very well set up with our factory in the US . In terms of utilization of that factory that is improving quarter on quarter and certainly will continue to improve through the course of this year

Saket Kapoor: Any number you can share, sir, sub 25- 30% or above that .
Ankit Agarwal: It is above that, I will not be able to share a specific number, but it is certainly improving and moving in the right direction.

Saket Kapoor: And last point on the passive connectivity, sir, this time you have not mentioned in your presentation , how much our passive connectivity has contributed, and what is our targets for the current year . And also, lastly,

on the digital part, what are we expecting in terms of execution for the current year, and how the bottom line should be shaping up, since this will be a more predictable business and not subject to vagaries of the market.

Ankit Agarwal: Just to clarify on the connectivity , we have shared our attach rate, which we typically share . I am happy to share that it continues to be about 23% and that clearly continues to be a focus for us to grow again, both in Europe as well as the US . And in terms of the digital business as well , nothing new out there in the sense of our strategy, we have talked about profitable growth, and we have demonstrated about Rs.1 crore EBITDA. So that continues to be the focus to ensure that we can have the right kinds of customers at the right margins and also build the right kind of capabilities around AI, cybersecurity, etc. It is a smal l portion of our business today, maybe 5% or something. So disproportionately, the growth for the company and S TL will come from the optical business .

Saket Kapoor: Sir, I will join the queue for the follow up, and all the best to the team . I hope this financial year will be a more profitable year because of the underlining factors that we are seeing on the horizon, and we have seen in the numbers also. Thank you.

Kunal Bhoite: We will take next question from Nikhil Chaudhary . Nikhil, please go ahead with your question.
Nikhil Chaudhary: Thanks for the opportunity, and congratulations on improving profitability, especially in optical business. To begin with Ankit, I want to start with order intake , that is the first time we are highlighting that particular number, and we have seen a clear bump up, 3x improvement compared to previous quarter and same period last year. So is it fair to say the phase of inventory correction is behind us, especially in the context that we have also seen an increase in US revenue for Sterlite Tech . So, some color in terms of where we are in cycle and what kind of growth trajectory we can expect from here.

Ankit Agarwal: So thank you, Nikhil, and appreciate your confidence in the business. Yes, as we have been sharing in the last couple of calls, that we are seeing improvement quarter and quarter , in terms of the inventory being utilized and reduced. That is continued to happen, and we continue to see that in the last quarter and this quarter as well. I would say that by and large, a lot of the inventory has been absorbed. There are still some small volumes across distributors , it really depends on the distri butor chain . I want to also highlight that, we have been sharing in the last few quarters, the actual deployment has been very strong in the US ; that continues. It was only this inventory digestion which was required. We continue to see that as we move forward, there are millions and millions of homes that in the US that need to be connected. And whether it is through private equity money, whether it's through the telecom operator spending or potentially the government funding in the future, all of these do show positive signs and on addition of all of this is the growing demand for optic fiber from data centers, particularly in US and Europe, whic h are the large capex geographies. And then, of course, India as well into the future. One additional trigger for demand will also be the B harat Net projects in India, where some of the projects have been awarded in the recent months. Some more will get awarded in the coming months, and that will also lead to demand for cable and fiber, for STL.

Nikhil Chaudhary: Got it, can you highlight the reason for such sharp increase in photo in tech in particular.

Ankit Agarwal: It is multiple factors. Obviously, the demand is strong from a timing perspective , so that we were able to lock in some long -term contract with some of our customers, as you can appreciate, certainly

with tier I telecom operators and other customers. These contracts take long to mature, and from our perspective, it is for our long-term benefit of the company it is important for us to continue to secure such long- term contracts, and our intent is to continue to do this, both for cable and connectivity going forward.

Kunal Bhoite: Next question will take from Ranjay Popley. R anjay, please go ahead.

Ranjay Popley: So, my question is on the winners of the B harat Net phase III. What is our strategy for engaging with the winners, and have you established any collaboration or partnership with them so far ?

Ankit Agarwal: Thank you Ranjay . So as you may be aware, we have another entity which is demerged from STL. That entity has one Jammu Kashmir project. So certainly for that project, we will be supplying the optic fiber cables at arm's length. In addition to that, there is a MAF, which is what gets submitted at the time of the bidding. So , we have our MAF as well with some of the bidders who have won some of the other projects. Some of those have already been awarded. Some are still to be awarded. So , I think still a little early for us to comment. And ultimately, even as those winners start executing th eir projects on Bharat Net phase III, we will get a better sense of what share of volume we will get from them. So , probably another quarter or so will be able to give you a better update as the execution for these projects starts kicking off.

Ranjay Popley: Okay, got it . And related to the EBITDA margin of the fiber department , we have seen that EBITDA has increased compared to last year, can we say that it is a function of increase in capacity utilization ?

Ankit Agarwal: Yes absolutely. W e are working across all levers , as Ajay also pointed out definitely, we are looking at improving our volume, improving our utilization. We are also looking at certain market s as we sell more higher technology products or higher technology solutions to improve our realization. At the same time we are continuously focused on cost initiative across the board. It is a combination of these but at the macro level going forward as we continue to grow our volume in our focus market that should improve our EBITDA margin going ahead.

Ranjay Popley: Thank you.
Kunal Bhoite: Thank you. We will take our next question from Balasubramania n. Bala, please go ahead with your question.

Balasubramania n: Thank you, sir. My first question regarding this multi core fiber, want to understand what the commercialization roadmap is , and are there any tangible customer contracts beyond fiber deployments.

Ankit Agarwal: Bala, thank you for your question. At simple level, the whole thought process is that whether it is data centers or telecom operators within a certain distance and a span length we are looking at, how do you increase your capacity of bandwidth multi fold. And one option is to keep adding more and more cables. But this is an incredible innovation that we have, where within the same fiber instead of one core where the light transmits, you put four cores, so you are essentially quadrupling the c apacity in the same space. So this is an amazing innovation by STL. We have our own IP on this, as you can imagine we are very early in the market here. There is strong interest from hyperscalers and other telecom operators, but the commercialization will take some time. We are working on this actively, and we have received strong interest from various potential customers.

Balasubramania n: Got it sir. So, my second question regarding quantum key distribution side, we have reached 100 kilometer QKD transmissions. I just want to understand what the commercialization barriers are and how do we scale up in this area. And secondly, we focused on 100% green hydrogen for optical fiber aside, I want to understand about cost
i

mplications and how we are going to do that .
Ankit Agarwal: Sure. I mean, similar, I would make the same comment again, with quantum key. It is something that is definitely being promoted at the government level, both from a defense application, security application, and also wanting to lead India as a technology forward.
So hence, some of these projects are being actively funded and sponsored by the government. In this case, we partnered with C -DOT , which is also a government entity,
and it's been a very successful partnership to demonstrate this over multi core fiber. So again, this is a great step forward by the company, we are looking at how we can partner with the government for more such opportunities, but also equally with the private sector which is looking at different applications. This could be equally in India, but in other countries as well. So still ear ly stages, just given the nature of where this technology is.
But again, STL has taken a step forward to demonstrate it, and we look forward to more opportunities coming up. And to your ques tion on, on green hydrogen, maybe Ajay will comment on the on the numbers. But we feel very strongly that we want to be pioneers in sustainability also . And certainly, as you can imagine, not only in India, but especially in US and Europe, being a leader in sustainability also can be a key competitive edge. So, this is something that we are very proud of, that we move forward in terms of green
hydrogen. We have demonstrated that successfully and the whole intent is all of this helps us move towards net zero carbon emission by 2030.

Ajay Jhanjhari: Adding on the cost piece of it. So, as Ankit said, we have to be global, and we are competing with the global customers. We are in such sort of things , also to attract more business. So , we are on it, and there is not a considerable increase in costs because of all of this.

Balasubramania: Got it sir. S o, my last question regarding data center side, is that there is more than 20 % of revenue into data centers right now. I just want to understand what the new launches are. I read it in th e industry report that the total addressable market size is anywhere more than $1 trillion next 4 -5 years time frame. And I just want to understand what the product and new launches are we are planning and how we are going to align with customer needs.

 Ankit Agarwal: Look at a macro level, it is still early stage. We have just launched our portfolio and at this stage want to clarify the number that we have shared is a combination of data center plus enterprise which includes our entire copper and copper connectivity portfolio. We do believe that there is an upside to us as potential in the data center. It also serves as a hedge for us versus the cyclical nature of the telecom spend that we see in the telecom capex, and also when we look at some of our glo bal peers having a good healthy balance between serving telecom sector as well as data center segment, make strategic sense for us. So , we are in early stages on the data center path. We are very proud of the portfolio we have launched, and we have started conversations with potential customers. Probably give us a quarter or two, and we will give you a better update on this.

Balasubramania n: Got it, sir. Thank you.

Kunal Bhoite: Thank you. We will take the next question from Akshat Mehta . Akshat, please go ahead.

Akshat Mehta: Thank you for the opportunity and your great set of results. I just had a couple of questions. One is, I want to understand how should this quarter for digital business in terms of the profitability, the revenue, and what we can end up at the end of the year . That is number one. And I would like management to give more details on the new UK FTA that has come in. W hat impact, what kind of demand that can generate for us in optical fiber business?

Ankit Agarwal: I will take the second one . Of course, it is a good step overall . The way the agreement has been done is positive. From STL perspective, we were already serving the UK market, quite actively from India. We are probably one of the leaders in the UK market with our cable and connectivity portfolio. This does not change anything for us in that sense . It remains to be products that we can sell into the UK market without duty. So , to that extent, it is , it is neutral to positive for us, and any duty coming in instead would have been a negative outcome for us. So , this is positive to that sense . From digital business, as I sh ared right now, we are focused on taking the digital business quarter by quarter, really focusing on right kinds of customers, right cost structure and building certain capabilities specifically on AI, as well as cybersecurity. I am happy with the team that we have in place. We are at EBITDA level marginally profitable, and the intent would be to continue to grow that EBITDA profitability quarter on quarter.

Kunal Bhoite: We will take our next question from Sunil Jain. Sunil, please go ahead.

Sunil Jain: Sir, I was just wondering about the capacity utilization , last time you said that your utilization is around 45% . So where do we expect this capacity utilization in one year or
 from here?

Ankit Agarwal: Sure. So , thank you Sunil. As we shared, we will not be sharing specific utilization numbers going forward from a competitive purpose. But as you can see from the numbers, our utilization has improved quarter on quarter. And certainly, the intent is, as we continue to grow in our focus markets, to continue to take it forward . One part we have guided in the past is that as we move this back towards around 70% utilization , we are confident of getting to that 18- 20% EBITDA margin, and we have demonstrated that in the past about 2 -3 years ago. So that is really where our first focus is, to continue to drive that while we keep the cost structure and everything else in the right level. So , to answer your question, that is the general direction we are driving. I cannot give a specific quarter or time frame by which, but I am confident that we will move towards that in the coming quarters.

Sunil Jain: One small question also about this data center, since you had launched the product portfolio, complete package now, so whether we were supplying the parts earlier to other people or not, this is the first time we will be pursuing this business ?

Ankit Agarwal: So, we have always had a very strong copper business that further scaled up through the acquisition of Metallurgica, Bersciana, and we have been growing that . On the data center part specifically, this is something that we clearly see is an interesting opportunity, given our expertise both on cable as well as connectivity, we have been now working to also grow some of that portfolio and technology towards what the data centers require, very specifically. So that is something that we have put in the efforts in being able to launch recently . We have been in conversations, as I shared with the customers we have supplied some products in the past, but from a meaningful contribution to the company going forward, this is really the start of it and as we continue to grow and start making inroads, we will definitely look to see how we scale this up globally.

Sunil Jain: So will that require approval process from the implementer ?
Ankit Agarwal: Absolutely. I mean, there is an approval cycle, there's certifications required. We are building our own IP , all of that will happen in parallel.
Sunil Jain: How much time can that take?

Ankit Agarwal: I mean, it is just a function of geography as well. It is probably inroads into the Indian data centers will be first and then as we achieve those successes, then we will look to scal

e up into other geographies.

Sunil Jain: Great Sir. Thank you very much .

Kunal Bhoite: The next question we take from Aditya . Aditya, please go ahead.
Aditya: Thanks for the opportunity. Great set of numbers. Ankit , so I was checking the previous quarters we were hitting the run rate of Rs.800-1000 crores , when do you see the scale up, going up to Rs.1200-1300 or 1400 crores of quarterly run rate . When can we expect that? That is my first question.

Ankit Agarwal: Aditya, as I shared in previous questions, I will not be able to comment on a specific timeline . We are driving our capacity utilization, specifically on the cable side, upwards. We are positive about the markets improving, particularly North America and Europe. So as that improves, as you are aware, we have the capacities we have invested in the capacities over the last 3 -4 years, and that is just on the cable side. In addition to that, we also want to grow our connectivity. So , both of these will contribute to this growth , and we also seeing some interesting signs of our potential in growing our copper portfolio, our enterprise portfolio as well. So , all of these three are what we are looking at to grow the top line, as you shared, but probably you will start seeing that in the coming quarters.

Aditya: So in this year, can we hit that Rs.1400 -1500 crore quarterly number . Or it will be next year.

Ankit Agarwal: I will not be able to comment on a specific number, but you will see improvement quarter on quarter.

Aditya: Okay, that is good to hear. And one more thing, Ankit, I have been following this company for a long time, and I saw that recently you purchase d shares from the open market. This is the first time you have done that, after a long time. So , I wanted to understand any exciting things or it just market price opportunity you are feeling , because over the last 3-4 years this is the first time you are doing it.

Ankit Agarwal: Honestly no specific comment or specific opportunity, everything is in public domain. We are excited about the business; we are excited about the opportunities. I think we have a great team and all of us are on this together, and we are excited about how we take the business forward from here.

Aditya: Sure Ankit. All the best. Thank you.

Kunal Bhoite: Next question we will take from Nikhil.

Nikhil Choudhary : Hi, thanks for giving me an opportunity again. Ankit, I just want some clarity on the margin part a bit. Margins have improved this quarter, so was it driven by change in mix, higher realization or maybe some cost decline and connected with that also want to understand that tariff impact. I think that's obviously taken the center stage. We had 10% tariff impact this quar ter from the US . So, can you quantify the US impact on margins and what is the outlook ahead?

Ajay Jhanjhari: So, Nikhil, I will take this. So, as you rightly said, the margin has improved for the quarter due to change in geographical mix with higher revenue contribution from the US region, which obviously has a better margin profile. There has been an impact of tariff, definitely, but that has been partly offset by customers there. The US is a market wherein it is quicker in terms of absorption of any cost which is going there. So, there is a slight impact. We cannot tell you the number as of now, but that looks promising. You can see, even after having those tariff impacts, margins are improving for the better .

Nikhil: Got it last one, if I may . Just want to understand the tariff scenario, especially in context of a higher tariff on Vietnam, there is a tariff on China, and there is some rate of tariff on India. So I just want to understand how it will play out for Sterlite T ech with different tariff rate now out.

Ankit Agarwal: So obviously we are watching it very closely. And if

you look at the recent announcements, the expectation is that it is somewhere between 10 -20% is what we are seeing in the domain, if you look at Indonesia or other countries . Our guess is as good as yours in terms of where this finally lies. But we are very proud that we have proactively set up this factory and expanded that factory in the US. And so we are very well set up to meet the requirements with our local manufacturing and then supplying the fiber as required. And certainly a tariff of supply from India to the US, I continue to believe, as Ajay just shared up to a certain level, we definitely think should be absorbed by the US customers and possibly some margin we would have to absorb. But ultimately, regardless of all this, the biggest element in all of this will be how much demand continues to grow in the US. How does the demand, supply mismatch happen going forward, those elements and the lead times as well in the US market for our products, all of those will be much bigger factors.

Nikhil: Got it Ankit, thanks a lot, and good luck for the coming year.

 Kunal Bhoite: Thank you. We will go with Saket Kapoor .

Saket Kapoor: Yes s ir, thank you for the opportunity again. Sir, only one question was there with respect to the employee cost on a quarter -on-quarter basis, although the revenue is lower but still the employee cost there is increment of 10% from Rs. 142 crore to Rs. 156 crore , I am talking on the consol level . So, if you could just explain the rational and what we should work out as a percentage of sales, the employee cost for a year as a whole.
Ajay Jhanjhari: Yes, so you are right Saket, this increase reflects our investment in building strong leadership across high growth areas like data center and international markets. With this launch recently, we had to have a team fully set up and aligned to demonstrate revenue growth as well. So going forward, what we see is you will start seeing results quarter on quarter on this increased cost. I would also like to add one more point cost , if you compare it with the last few quarters it has remained in our range. And going forward, we will keep a proper check on this, but we have to invest on our new businesses and new lines which we are talking about, and that increase will be on a global basis.

Saket Kapoor: So, sir, for a year as a whole, as a percentage of sales or revenue what should be this number. This quarte r its was abnormally high at 14% so with the ramp up in revenue if you could just give some color . As Anki tji mentioned about the lumpiness in the order intake, how will the execution cycle be shaping up, and what should be the contribution of employee cost as a percentage ?

Ajay Jhanjhari: See, our target is, if I can talk about the range, it would be between 10 -12% on a yearly basis. That is what we are targeting as of now .

Saket Kapoor: And how should the revenue ramp up be Sir?

Ajay Jhanjhari: That is again a math. So if the cost remains stagnant, then obviously revenue will look better .

Saket Kapoor: Depending on the closing order book for the quarter what should be the revenue we should factor in for this current financial year. Since we have a strong order book, three - year order that we won from the European nation.

Ankit Agarwal: Saket, we would not be able to comment specifically on the revenue for the year, we have shared three or four types of guidance. One, mainly, the order book should give you a strong indication that there will be healthy and continued revenue through the through the year. The second part is, as we have been sharing, we do expect our utilizations to
 improve quarter on quarter and hence our revenues and EBITDA margin should improve from here. And then the last part is in terms of positive triggers for growth , one is the

connectivity part, which we are working on and second i

s the data center part, but the
data center part, as I just shared, will take some time in terms of getting the approval certifications etc. So you will see some of that benefit in this year and then going into next year .

Saket Kapoor: Right sir. So just to conclude, what should be the increase utilization level from what we exit the first quarter , by what percentage should we see the utilization levels improving as overall entity for the year.
Ankit Agarwal: I know you are trying to get th is data from different angles. I cannot give you a specific number. Please appreciate that these are very sensitive data.

Saket Kapoor: Yes, I appreciate and my best wishes to the entire team, sir. Thank you . All the best.

Kunal Bhoite: Thank you Saket . We will take our last question from Santosh Rao . Santosh, please go ahead.

Santosh Rao: Hi Ankit, congrats for the continued improvement. My question is more about this slight mix shift towards the US region. Was there any tariff related to pre buy or do you think it is more normal ordering, coming back, post, inventory digestion?

Ankit Agarwal: No, it is normal as we have been sharing that the market new demand has been improving, while execution and fiber deployment continues to be strong, and we continue to see announcements every day from operators and PE companies. So, the execution will continue to be strong, and as we have been sharing the digestion a lot of that has happened, and hence linked to the new demand both from our US facility as well as from India, we have been able to increase our serve and our sales into the US market.

Santosh Rao: Okay . And then the second question would be, some quarters back, you had mentioned that some of your products , data center specific products were under testing with some of the data center players. So do you have any update on that?
Ankit Agarwal: Yes, so as I said, these are long cycles. We continue to both build the product portfolio, continue to have our own IP, which is very important , and at the same time continue to innovate because not only do we want to provide what is in the market , but we also want to do something better. So all of that is happening in parallel. As I said, give us a couple of quarters, one or two quarters, we will keep updating you about the progress we are
 making, but we are very excited about the potential of this of this business.

Santosh Rao: Thank you.
Kunal Bhoite: Thank you everyone . With this, we now come to the end of the question -and-answer session and now I hand over the call back to Ankit for closing remarks.

Ankit Agarwal: Thank you everyone for taking your time to hear us out. We continue to remain very excited and motivated to drive this business forward. We also see a tremendous potential through our business to connect the unconnected across the world, and particularly here in India, we remain available for answering any of your questions including myself and Ajay. And once again thank you for taking the time. Jai Hind .
(This document has been edited to improve readability)

Call: Nov 2025

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India .
CIN - L31300PN2000PLC202408
November 18, 2025

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051

Scrip ID - STLTECH
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code - 532374
Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 2FY26
Dear Sir/Madam,
In furtherance of our letter dated October 28 , 2025, please find enclosed transcript of earnings call held on November 06 , 2025 in respect of Company's Q 2 FY26 financial results.
The same is also being hosted on the website of the Company and is available under the tab ' FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://stl.tech/download/#Financial%20Results .
Kindly take this on record and acknowledge the same.
Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Mrunal Asawadekar
Company Secretary (ACS 24346)

Encl.: As above.

"Sterlite Technologies Limited Q2 FY '26 Earnings
Conference Call"

November 06, 2025

MANAGEMENT : MR. ANKIT AGARWAL – MANAGING DIRECTOR,
STERLITE TECHNOLOGIES LIMITED

MR. AJAY JHANJHARI – CHIEF FINANCIAL OFFICER,
STERLITE TECHNOLOGIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sterlite Technologies Limited Earnings Conference Call.
As a reminder, all participants' lines will be in listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*,' then '0' on your touchtone telephone. Please note that this conference is being recorded.
Before we start the call, let me remind you that the discussion may contain forward-looking statements that may involve known or unknown risks, certainties, or other factors. It must be viewed in conjunction with our business risk that could cause future result performance or achievement to differ significantly from what it is expressed or implied in such forward-looking statements. Please note that we have uploaded the results and earnings call presentation on STL's website and the same is available on the exchange.
To take us through the results and answer your question today, we have Senior Management of Sterlite Technologies Limited presented by Mr. Ankit Agarwal - Managing Director and Mr. Ajay Jhanjhari - Chief Financial Officer.
We will start the call with a brief overview of quarter gone past and then conduct the Q&A session.
With that said, I will now hand the call over to Mr. Ankit. Over to you, sir.
Ankit Agarwal: Thank you. Good day, everyone. Thank you for joining us for STL's Quarter 2 FY '26 Earnings Conference Call.
STL is a global leader in digital connectivity infrastructure, enabling advanced networks for telecom operators, data centers, citizen networks, and large enterprises. We operate through two core business segments, optical networking which includes our fiber, copper, and connectivity solutions; digital and technology solutions encompass cloud, cybersecurity, and AI-driven digital services.
With a legacy of over 3 decades of industry leadership, we are proud to be India's first and only end-to-end optical fiber and cable manufacturer, holding approximately 7% share of the global optical fiber cable market. Our commitment to innovation and sustainability is reflected in our portfolio of 750 patents and our 10 plus sustainable manufacturing facilities, all operating with zero waste to landfill. Through innovation, scale, and sustainability, STL continues to power the world's digital future.
At STL, we are one of the very few companies in the world to have mastered the journey from Glass to Gigabit. It starts with the purest grade silicon which we transform through advanced processes like silicon tetrachloride, chemical vapor deposition, high-precision sintering to create

ultra-pure glass preforms, which is the backbone of the optical fiber. From there, we draw the highest-grade fiber, design high-density cables, and develop reliable connectivity solutions that power data centers and telecom networks worldwide. The full-stack integration right from raw material to network deployment gives STL a unique edge in quality, cost, efficiency, and innovation across the connectivity value chain. This deep integration enables us to engineer next-gen fiber cable and connectivity solutions that are redefining global connectivity.
To highlight a few examples, Stellar is the world's first G657A2 compatible with legacy networks. With ultra-low splice loss, superior band performance, and future-ready resilience, Stellar extends network life for operators while cutting total cost of ownership. Celesta Ribbon Cables are purpose-engineered for hyperscale networks. Celesta Compact Intermittent Bonded Ribbons deliver high-density packing, faster installation, and superior duct utilization. Multiverse Multicore Fibers are truly industry game-changers. Multiverse multiplies the fiber capacit

y by four times within the same footprint, unlocking exponential bandwidth for AI, cloud, and 5G60 workloads. There is also quantum secure enabling future-proof network integrity. And OptoBlaze, which is a compact pre-connectorized system that revolutionizes FTTH deployments with tool-free, rapid installation, bringing scalability and simplicity to last-mile fiber rollout.
With over three decades of expertise, STL continues to lead the global shift from Glass to Gigabit. Our end-to-end innovation from advanced material science to intelligent optical systems empowers the world's largest network creators to build denser, faster, and more reliable digital highways for our AI-driven future.

As we complete our first half of FY '26, directly our strategic priorities remain the same in the optical networking business. Our focus remains on driving growth by increasing market share in optical fiber cables and improving our connectivity attach rates. We are also rapidly expanding our product portfolio for data centers, recognizing the rising demand for high-speed, scalable connectivity driven by the rise of AI-enabled data centers. Additionally, we will sustain our efforts to drive technology and cost leadership in the optical domain.
On the other hand, our ambition is not just to grow, but also to build for the future through STL Digital. We are consciously investing in building our technology and domain capabilities, laying a strong foundation for long-term differentiation. And most importantly, we are ensuring that all of this translates into profitable, sustained growth. Together, these priorities will guide our journey through FY '26, helping us not just respond to today's market needs, but actively shape tomorrow's digital future.
Moving on, we will now speak about our performance in the optical networking business and our focused journey towards gaining market share:
What is truly exciting is that these three mega-investment cycles – FTTH rollout, Data Center expansion, and 5G densification – are coinciding for the very first time. Together, they are

creating a multi-year super-cycle for optical communication demand and positioning STL right at the heart of the digital infrastructure build-up. Starting with FTTH, over 100 million US homes still await fiber-to-the-home, with North America expected to see a 10% CAGR in fiber deployments between now and 2030. Globally, FTTH deployments are projected to go from 150 million fiber kilometers to 170 million fiber kilometers, underscoring a sustained fiber expansion opportunity.
Next, Data Centers are fueling strong fiber demand with global optical demand for AI data centers projected to grow at 28% CAGR between 2025 and 2030. In India, Data Center capacity is expected to grow almost 5x by 2030, supported by almost Rs. 30 billion in planned investments, while in North America, capacity is expected to expand from 21 GW in Q2 2025 to almost 80 GW by 2029, with the market surpassing $4 trillion by 2030.
On the 5G front, the momentum remains robust, with 6.3 billion global 5G subscriptions expected by 2030, representing 67% of all mobile users. With 80% of global mobile traffic will be carried over 5G networks, driving the fiberization of the mobile sites itself from 38% in 2024 to 63% by 2029. This surge is being supported by record Big Tech CAPEX, projected to exceed $600 billion by 2027, along with two major government programs such as India's Rs. 1.3 trillion BharatNet Phase-III and US$97 billion broadband funding initiative, including the $42 billion program of BEAD which we have spoken before. All of these point to a multi-year network build cycle, and STL is strongly positioned to lead and enable this global digital transformation.
Next, we have highlighted how global telecom and tech leaders are unanimously betting on optical fiber as a foundation layer for digital future,

be it 5G, Broadband, Data Center, or AI
infrastructure, the message is clear. As you can see on the quote from Uniti, for example, they expect an entire new build-out of a national fiber infrastructure, both metro as well as long-haul. The world is in the midst of an AI-driven surge in data center capacity, projected to go by 3.5x by 2030, with AI workloads accounting for more than 70% of this demand. These GPU-intensive data centers require up to 36 times more fiber, creating a transformational opportunity for STL. Beyond hyperscalers and cloud companies, we are now seeing strong traction from Telco and alternate players, investing heavily in backbone and data center interconnect opportunities. This new wave of DCI is expanding the addressable market for STL as these players look for high-capacity, low-latency optical solutions.
The hyperscale data center opportunity is scaling rapidly. The global hyperscale CAPEX is expected to cross $600 billion by 2027, fueled by AI cloud-edge deployments. Overall, data center IT CAPEX is set to reach USD 2.8 trillion by 2029, underscoring the massive digital infrastructure build-out underway. This surge represents a multi-year growth runway for STL across our product portfolio of fiber cables and integrated network solutions that enable this world's data backbone. We are at the forefront of this global shift with AI-optimized scalable optical solutions designed and manufactured entirely in India. Our enterprise and data center

business continues to gain strong momentum, now contributing 21% of revenue in H1 FY '26. And we expect this growth trajectory to accelerate further in the coming quarters.
According to CRU, the global optical fiber demand is witnessing a turnaround in 2025, with a 1.7% year-on-year growth after 2 years of declining, making it the start of a positive long-term

cycle for the industry. Demand fundamentals remain strong, driven by FTTH rollouts, AI-led data center expansion, and rising connectivity needs worldwide. North America and Europe are expected to lead this resurgence, with North America growing at 12% CAGR to 2030. We are also seeing encouraging trends in India, Southeast Asia, and parts of Europe, all closely aligned with STL's strategic priorities. As we enter multi-year upcycle in global fiber demand, STL is making the most from this momentum. Our order intake has grown over 2x year-on-year, reaching Rs. 1,340 crores in quarter 2 FY '26. The momentum is broad-based. We have secured multi-year supply agreements with leading European operators, and regained strong order inflows from top Tier US telecom players after the year's pause.

With several large data center segment opportunities in the pipeline, we are entering the second half with strong momentum. Being at the forefront of technology leadership, STL delivered key innovations last quarter with the launch of our next-gen data center portfolio, and India's first multi-core fiber Multiverse for high-capacity, AI-ready networks. Extending this innovation wave into the current quarter, first, we expanded our US connectivity portfolio with CONCAT, a plug-and-play solution that simplifies broadband rollouts. Secondly, we made our FTTH solutions more efficient for Netomnia, enabling faster and more cost-effective deployments. And the third and most critical, we launched the world's slimmest 864-fiber IBR cable, specially designed for hyperscalers. Together, these innovations reinforce STL's position at the forefront of next-generation optical infrastructure.

Our innovation engine remains strong, with 26 new patents filed in Q2 FY '26, taking us to 750-plus patents in total. And the current pipeline includes building future-ready capabilities like hollow-core fiber and AI-powered fiber sensing, which are also leading in sustainability with our green hydrogen pilot. STL's new data center portfolio is en

gineered to meet the performance,
speed, and scalability demands of the AI era. The comprehensive suite includes fiber and copper cabling solutions, pre-terminated multi-fiber systems, and our high-density Celesta IBR technology, enabling low-latency, high-capacity deployments across data centers, campuses, and smart infrastructure. This quarter, we further strengthened our data center portfolio with the launch of one of our most critical innovations, the world's slimmest intermittent bonded ribbon cable. The newly launched Celesta IBR cable packs 864 fibers in a very compact 11.7mm diameter, optimized for jetting in a 14mm inner duct, and demonstrated the fastest time on record for installation performance, achieving a whopping 4,700 feet of jetting in just under 20 minutes. This breakthrough marks STL's entry into the elite league of companies capable of delivering ultra-high-density optical fiber solutions for hyperscalers. Through our go-to-market partnership with Tech Data, we now reach 70 cities across India, ensuring strong market access through a robust distribution and financing network.

Building on our progress in next-generation optical technologies, last quarter we introduced one of our most exciting innovations in optical networks, Multiverse, a multi-core fiber. Multiverse delivers 4-7 times more capacity with the same fiber footprint, enabling operators to scale bandwidth rapidly while keeping deployment costs low. The performance has already been proven through successful joint trials with CDOT and IIT Madras, validating secure high-speed transmissions across both aerial and underground networks, a milestone that marks STL as the first globally to deploy across both terrains.

With this, STL is now playing the leading role in shaping global standards for multi-core fiber design and testing, placing us at the forefront of next-generation fiber innovation for AI data centers and 5G-ready networks. This quarter, we showcased our Multiverse portfolio at Connected Britain, one of the most influential digital infrastructure events globally. The solution received a strong and strategic response from multiple partners, including our POC pilot with a major alternate operator. This marks the beginning of commercial adoption discussions in key hyperscaler-driven markets.

As per CRU data, our market share has moved year-on-year in the global OFC market outside China from 8% to 7% in H1 FY '25. While the first half of FY '26 reflects normal seasonality, we continue to focus on expanding market share to deeper customer engagement, product differentiation, and stronger presence in international markets. In the optical connectivity attach rate, we maintain a healthy level of 20% in H1 FY '26 compared to 22% in FY '25, sustaining traction in our high-value connectivity portfolio. This reinforces our strategic emphasis on moving up the value chain from just fiber to integrated connectivity solutions, positioning STL as a trusted end-to-end optical solution partner.

Now, turning to the financial performance of our optical networking business:

In line with our expectations, Q2 FY '26 revenues stood at Rs. 980 crores. On a half-year basis, revenues grew by 6% to Rs. 1,941 crores, supported by improved volume and stable pricing. EBITDA for Q2 FY '26 was Rs. 136 crores with a margin of 14.1% for H1 FY '26, up from 12%

last year, a clear outcome of our ongoing focus on product exchange, cost efficiency, and operational excellence. With a strong foundation, healthy margins, and improving market dynamics, STL remains well-positioned to drive profitable growth and strengthen its leadership in the optical networking segment in the quarters ahead.
Now, let me take you through the continued growth momentum in STL Digital:
STL Digital continues to build a strong growth momentum driven by its expanding global presence, domain depth,

and focus on customer-centric innovation. In Q2, we added three new logos, taking our customer base to 33, and secured multi-million, multi-year cloud-based connectivity contracts with a leading global information solutions company. Strong project deliveries across engineering enterprise applications and support services reflect glowing

customer trust. With a robust open order book of Rs. 286 crores, a team of more than 1,100 people and deep capabilities in AI cloud, cybersecurity, and SaaS, STL Digital is well poised to scale further and drive innovative-led growth across key industries. STL Digital delivered a strong performance in Q2 FY '26. We posted a Rs. 65 crore revenue, a sharp focus on profitable growth and yielding results, with EBITDA of Rs. 1 crore in Q2 FY '26. We remain committed to sustaining this positive trajectory and confident in maintaining momentum in the coming quarters.
Now, I will hand the call over to Ajay Jhanjhari – the CFO of STL, to take you through the financials.
Ajay Jhanjhari: Thank you, Ankit, and thanks to everyone for joining us today. I will take you through the key financial highlights for Q2 and H1 FY '26. This quarter, we delivered a steady performance with Q2 FY '26 revenue of Rs. 1,034 crores, driven by consistent execution across all business segments. EBITDA stood at Rs. 141 crores with a margin of 13.6%, reflecting a strong year-on-year improvement, driven by our continued focus on cost optimization and operational efficiency, despite the prevailing tariff headwinds. On H1 basis, our revenue has grown by 6% and absolute EBITDA has increased by 46% year-over-year. Our PAT has improved from losses of Rs. 62 crores last year to profit of Rs. 14 crores this year, reflecting strong profitability and improving fundamentals.
In summary, these results demonstrate stable growth, expanding margins, and disciplined execution, setting up well for the rest of Financial Year ‘26. Our operational performance continues to strengthen, demonstrating sustained margin expansion driven by a higher-margin product mix and improved business contribution from the US market. Operational EBITDA improved sequentially from 11.2% in Q2 FY '25 to 14.4% in Q1 FY '26 and further to 16.7% in Q2 FY '26, underscoring the resilience of our core operations and the effectiveness of our strategic initiative. However, during Q2 FY '26, a mid-quarter reset of US tariff temporarily impacted reported margins by around 300 basis points, reflecting as a headwind of 3.1% on EBITDA. Excluding this impact, our underlying operational profitability trajectory remains robust.
We continue to engage closely with relevant authorities on the ongoing USA-India bilateral trade agreement discussions, which once finalized are expected to provide clarity and potentially elevate some of these tariff-related pressures going forward. Overall, we remain confident in our ability to deliver sustainable margin improvement supported by operational efficiencies, favorable mix, and disciplined execution across key markets. In first half of the financial year 2026, we continue to strengthen our global presence with notable order wins across key markets. If we look at our geographical mix, we continue to maintain a well-balanced global portfolio. Europe remains our largest market contributing about 42% of revenue in H1 FY '26 and continues to be a strong base for us. What is encouraging is the steady progress we are making

in the US; North America has increased to 33% this year compared to 25% last year. This is exactly in line with our strategic priority of deepening our presence in the US market. The rest of the world contributes the remaining 25%, which gives us a balanced global footprint and reduces concentration risks. Overall, the distribution reflects a healthy geogr

aphical spread, with Europe leading and the US scaling up nicely as we execute our growth strategy.
Moving to the order book:
We have seen continued momentum this quarter. Our open order book stood at Rs. 5,188 crores in Q2 FY '26, up from Rs. 4,888 crores in Q1 of this year, reflecting healthy order inflows and

strong market confidence. Of this, Rs. 820 crores is selected for execution in Q3 FY '26, while the remaining Rs. 4,368 crores is scheduled for execution over FY '26 and beyond. This robust order pipeline provides strong revenue visibility and reinforces our growth outlook for the year.
Here, we have shared an abridged snapshot of our reported numbers for your reference. Net debt stands at Rs. 1,313 crores with debt to equity ratio of 0.64 and net debt to EBITDA at 2.33x. We are focused on bringing this below 2x going forward.
With this, now I hand it over back to Ankit for updates on our social responsibility initiatives and closing remarks.
Ankit Agarwal: Thank you, Ajay.
At STL, we lead with purpose. We are committed to building a more connected, inclusive, and sustainable world. Since FY '19, our efforts in education, women empowerment, healthcare, and sustainability have touched millions of lives across India. Through our RoboEdge program, for example, we have touched over 10,000 students across 12 schools. Our Jeewan Jyoti program has empowered more than 6,000 women artisans with vocational skills. Many of them showcased their work under the Akai brand, building livelihood and confidence.
On the sustainability front, we have installed 4,500 kilowatts of solar capacity, reducing emissions and promoting clean energy across our facilities. We are also partnering with 53 villages to support afforestation and water conservation, planting thousands of trees and rejuvenating local ecosystems. And through the Swashthya Suraksha, we have provided healthcare access to over 2.6 million underserved individuals in rural Maharashtra. At STL, sustainability is central to our purpose. We are proud to hold MSCI ESG, A rating and are committed to achieving Net Zero Commission by 2030.
Our strategy is built on three pillars:
■ Environmental Sustainability – Since FY '19, we have diverted 274,000 metric tons of waste, recycled 10 million metric cubes of water, and reduced over 41,000 tons of carbon through energy efficiency. Over 36% of our procurement is local and we have partnered with Hygenco to advance green hydrogen.

■ Social Responsibility – Aligned with the 16 UN SDGs, we are positively impacting 900,000 plus lives through education, women empowerment, and healthcare, alongside installing 4,500 plus kilowatts of solar capacity.
■ Strong Governance – With two big four auditors and robust governance committees, we have earned 100 plus ESG awards since FY '19. Notably, STL is the world's first optic fiber manufacturing certified for zero liquid discharge and zero waste to landfill, setting a truly true industry benchmark.
As we move forward, our focus remains on strengthening both pillars of our business. In the optical segment, we are driving technology and cost leadership to position ourselves amongst the global top three while expanding in focus markets and enhancing our optical connectivity and data center offerings. At the same time, our digital business continues to build scale with a clear emphasis on profitable growth. Together, these strategic priorities position STL as a key enabler of the world's digital infrastructure with a disciplined approach to value creation and sustainable profitability.
Thank you.
Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Debashish Mazumdar from Svan Investments. Please go ahead.
Debashish Mazumdar: Hi, good evening to the management team and thank you so much for the opportunity. Sir, 2-3 questions. On

e is how much of the demand has got postponed because of this uncertainty related to tariffs? Because if I see the numbers correctly, our US growth is still strong in this quarter and majority of the impact has come from the EMEA region. So, just wanted to get some sense that where exactly the impact is coming and how the Q3 and Q4 will be looking like?
Ankit Agarwal: Yes, thank you, Debashish. Yes, I think broadly we have called out that how the tariffs have impacted us in quarter 2 and would continue to impact us as long as these tariffs are there. But principally, we continue to be excited across geographies. We particularly do see increasing demand cycle in North America, both from the telecom segment as well as the data center segment. On top of this, we do expect the BEAD-related projects to start kicking off at some point next year. So, that will be additional demand in the market. So, overall, we do see disproportionate demand, positive signals coming from North America. But at the same time, Europe continues to stay positive, both for our cable as well as connectivity.
Debashish Mazumdar: So, sir, just to clarify, despite your impact uncertainty around tariffs, our US business has still grown by 50% in this quarter. Is my understanding correct?
Ankit Agarwal: Not exactly 50%, but yes, it has increased substantially. And Debashish, to answer your question, the very fact that even after this tariff, the orders are coming in from US is a positive sign, which

is also reflected in the kind of growth which is expected by others. We have already mentioned that CAGR 12% growth is going to be there.
Debashish Mazumdar: So, based on the current order book, what is the kind of growth you are seeing in the US market over the next 6-12 months?
Ankit Agarwal: We won't be able to comment specifically on, we won't be able to give a forecast specifically by market. As I said, overall, we do expect this momentum to continue. And certainly, if the tariffs were to be reduced anywhere that will definitely help us both in terms of the market as well as our profitability.
Debashish Mazumdar: Understood. And because of this, currently we are coming with a 50% tariff target. Is my understanding correct?
Ankit Agarwal: Yes.
Debashish Mazumdar: And what is the price differential that we have compared to, let us say, cables that are getting supplied from Mexico? With this 50% tariff, what is the kind of price differential that we have with the Mexico supply?
Ankit Agarwal: Again, we won't be able to give a specific number, but basically it varies a lot because there are different and unique designs that we provide. There are certainly high density cables that we manufacture for certain customers. So, the pricing varies quite a bit by the design. Again, there is certainly a lot of credibility we have built in the US market by nature of our product portfolio and also the fact that we also have a facility locally. So, I think that is certainly to our advantage right now.
Debashish Mazumdar: So, is it fair to assume that despite this 50% tariff, our price differential is not that high and even if it is high, clients are ready to bear that amount? Because you were saying that order book is still coming in?
Ankit Agarwal: Yes, I would say that obviously everyone is watching it closely, including the customers. And we are all hopeful of some solution coming to this. So, I would just leave it there to say that genuinely it will help in terms of giving some clarity and remove some of the concerns of our customers, both current and potential new customers.
Debashish Mazumdar: And one last question on US market again?
Moderator: Sorry to interrupt, sir.
Debashish Mazumdar: Yes. Ma'am, this is my last question. Just a related question. So, I want to complete it, please.
Moderator: Yes.

Debashish Mazumdar: So, at the beginning of the quarter, what was the kind of growth you were anticipating? And at the end, what has actually come up? So, just trying to get some sense, what is the surprise factor that has come because of this tariff relative uncertainty?
Ankit Agarwal: So, I would not say that there is any surprise as such, but few things have changed. So, I would say, yes, there is still a decline in what we were expecting in the beginning of the quarter, but not basically because the demand is not there. Basically, there were challenges in terms of supplying that material on time to US. So, that is hardly any impact. What we are trying to see is that we grow consistently and which is clearly demonstrated if you see the kind of growth we have shown in revenue in US market. And that trajectory is going to continue for upcoming quarters as well.
Debashish Mazumdar: Sure. Thank you so much for answering my question.
Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.
Saket Kapoor: Namaskar sir and thank you for this opportunity. Sir, hello.
Ankit Agarwal: Yes.
Saket Kapoor: Thank you. Sir, when we look at your presentation, you have mentioned about a 300 basis point reduction in our margin for the US business. So, that means that the tariff part has been shared proportionately by us or in some proportion by us also? That is what signifies to this margin erosion?
Ankit Agarwal: So, Saket, see how the business operate is that most of our key accounts operate with a 6-month lead time for order execution. And the contracts which were in mid-execution where the prices were already agreed and fixed, that entire burden has to be borne by us because more than the current situation, there are customers on which we are seeing a long-term partnership. So, I would say majority of the impact for Q2 was taken by STL on all these sales which we have made.
Saket Kapoor: Can you quantify the impact, sir, in terms of the hit we have taken on the bottom-line?

Ankit Agarwal: We have already quantified it. If you see, we have clearly mentioned that there is an impact of 3% on our EBITDA.
Saket Kapoor: Can you give the sales number then?
Moderator: Sorry to interrupt, sir. But if you have any follow-up questions, please.

Saket Kapoor: No, ma'am. It is only what sir is answering. I am only asking, sir, for further details. No new questions.
Ankit Agarwal: Saket that is the extent of the information we can provide for competitive reasons.
Saket Kapoor: And sir, lastly, on the utilization level, if you could give some color and join the queue, sir? How are our US operations and US plants which we have commissioned 1 year ago? How are the utilization levels being ramped up?
Ankit Agarwal: Again, I won't specify by each factory, but I would say overall, we are seeing our utilization improve. And we do expect that to continue to improve between now and end of the year.
Saket Kapoor: Any percentage, sir, you can give?
Ankit Agarwal: No. We won't be able to give any.
Saket Kapoor: I will join the queue, sir. And all the best, sir.
Ankit Agarwal: Thank you.
Moderator: Thank you. The next question is from the line of Sunny Gosar from MK Ventures. Please go ahead.
Sunny Gosar: Yes. Thanks for taking my question and congratulations on a stable set of numbers in a challenging environment. My first question is relating to the US market. It would be helpful if you can give us some understanding of the nature of the US market in terms of demand, like the telecom players, the data center demand, and also some color on how much of the overall fiber or cable in the US market is imported versus kind of sourced locally. That will be really helpful?
Ankit Agarwal: Sure. Yes. Thanks, Sunny. Thanks for the wishes. As we said, I think

we covered some of it
through our slides. But look, in essence, clearly the US market continues to be strong and quite robust. The demand is coming certainly from the telecom operators. There is also private equity money coming in to build out fiber networks. And fiber is really starting to become viewed as an essential utility, just like power and roads. And on top of this, data center companies are building both within inside data centers, connecting data centers, as well as utilizing and leasing the fiber from telcos and others. As example, just yesterday or day before, Verizon also signed a deal with Amazon to build out fiber networks, which will be utilized by Amazon. So, these are the kinds of things that are happening at a pretty aggressive pace in the US. And all of this is still before the BEAD rollout for rural America, where still I think between 70%-80% of the rollout will be fiber based. So, this is why we think it is a multi-year build cycle in the US. I think the demand has probably been stronger or faster than what the suppliers expected. And we are seeing lead times now by suppliers across the market increase and hence, this is an interesting opportunity for us to service the market, both from our facility in India as well as our local

facility. In terms of how much is made locally versus imported, I won't be able to comment on that specifically. But a large majority of what is supplied in the US market is manufactured locally.
Sunny Gosar: Got it. Thanks.
Moderator: Thank you. The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.
Balasubramanian: Good evening, sir. Thank you so much for the opportunity. Sir, the US court verdict of nearly 96.5 million seems a big number. And we have filed for an appeal. And what is the current status? Is there any impact on our financials as a parent company? And whether the US subsidiary can be able to take care of itself? What is the network of that US subsidiary? And how are they going to tackle in this date?
Ankit Agarwal: Yes. Thank you, Bala. So, look, I would leave it with you to say at a macro level, this is something we have already shared the details that this we believe very strongly in the merits of our case. We have a very clear case which we are fighting. And currently, this has now gone to the appeal court and it will follow its due process. So, certainly, as there is any update in the appeals court, we will update you. But we certainly continue to believe and we have got legal advice that we have a strong case for ourselves. And we will make sure that we are fighting it accordingly.
Moderator: Thank you. The next question is from the line of Nikhil Choudhary from Nuvama. Please go ahead.

Nikhil Choudhary: Yes. Thanks for the opportunity. And decent performance in a quarter impacted by tariff uncertainty. Ankit, tariff has few implications. But the most important part is last quarter was impacted just for 1 month. While overall order book remained very strong, how should we think about this implementation in near term? Is it fair to say that some of it will get delayed because of tariff? Or do you think the demand is so strong that you will be able to pass on? And second, the impact of 300 basis point which you highlighted on margin, which you have called out is because of some product which was getting shipped and that is why you took the hit. How should we think about it in coming quarters? Thank you.
Ankit Agarwal: Yes. Thank you, Nikhil. I would start with the macro strategy continues for us that given the demand that we see and expecting to see going forward. We will have this strategic balance between some customers and some designs manufactured locally and some customers and design manufactured from India or other locations and supplied into the US. So, you are right that we had probably a month

or so of tariff that we had in this quarter. And to that extent, we will have a larger time exposure in the quarter 3 onwards. Our base assumption continues to be that at some point this quarter, hopefully the BTA which is expected to be signed concludes and hopefully some amount of tariff relief is expected by STL for our products. I would separate that

out a little bit from how much does STL bear versus how much do our customers bear of the tariff? The reason being that it really just varies from customer to customer. As you can appreciate, we are very focused on high quality clients. And we want to make sure that we are able to service them for a long term. And hence, it is really an individual to individual conversation. As I said, what we are seeing is the lead time starting to go up in North America. And so if we are able to cater to the customers well, both from India and US, that should enable us to continue to grow. And you can appreciate that also, you can see that in our order booking we have done in Q1, Q2 that principally customers are happy with our product portfolio, our quality, and our lead times. And as their demand continues to grow both directly and to serve the hyperscalers, I think that will be a good opportunity for us.
Moderator: Thank you. The next question is from the line of Aditya Jhawar from AK Investment. Please go ahead.
Aditya Jhawar: Thanks for the opportunity. Good set of numbers. Ankit, I have a question that I see a good strong order book that on quarter-on-quarter, we are increasing. Where do you see, based on the demand, right, because everyone is putting a data center and their requirement there. IVR cables are the requirement. And where do you see the order book shaping up in this year, by end of this year or next year? How do you see the order book shaping up for us? Are we waiting for any trade negotiations to happen to confirm the order because one of our competitors have said that they are not filling the orders because they want to wait for a better pricing. So, how are we going with this?
Ankit Agarwal: Yes, I won't comment on competitors. I think each one has their own strategy. I think principally we are focused on really developing some next generation products. We have talked about those both on the cable side as well as connectivity. And we are seeing more and more interest from customers to look at the solution overall of the cable and connectivity. So, that is really a focus. I have talked in the past of increasing our solutions on the connectivity part of it, connectivity product portfolio. So, again, packaging that along with our cable is something that we are focused on. In terms of order book, I cannot give a specific forecast, but clearly with the intent of continuing to scale up in the coming quarters and years ahead, our ambitions are to be world top 3. So, in that line, we do expect our order books to continue. Clearly, it can vary quarter by quarter, but principally we are looking to continue to sign long-term contracts with good quality clients and you will see that in the coming quarters.
Moderator: Thank you. The next question is from Akshat Mehta from Seven Rivers Holding. Please go ahead.
Akshat Mehta: Hello. Thank you for the opportunity, sir. I just have two questions. One is just some clarity on the interest cost, which has gone up by around 10% quarter-on-quarter. That is number one. And number two is with such huge demand in US and the tariff situation being there, you have not

been able to import from India, Make In India and then import. Is there any plan to improve the capacity in US, especially for IBR, which is the hottest selling product?
Ankit Agarwal: Yes, I will take the second part and then Ajay can comment on the interest. As I said, I don't want to comment on

specific capacities. And again, the whole tariff situation is very fluid.
Things are in the media on daily basis. So, again, everything from media that we do expect that there should be some resolution of the tariff, at least partially by within this current quarter. So, we are looking forward to seeing how that pans out. But overall, we are, I would say, quite well placed with our capacities in US and in India to serve the market. We don't currently intend to add any significant capacity. Of course, if we see even further demand or growing demand depending on the market scenario, then we will evaluate that. But our intent always first is to fill our current capacities.

Ajay Jhanjhari: Sure. On the finance cost, yes, this quarter, the finance cost has increased by around Rs. 5 crores compared to the previous quarter. But at the same time, if you see, we have been in a trajectory wherein this has been reducing continuously. So, we are going to be in a range of, I would say, Rs. 47-Rs. 52 crores for the coming quarters of this financial year. With the commitment of reducing our debt further to bring down to a debt EBITDA of 2, you will start seeing improvements after Q4.

Moderator: Thank you. The next follow up question is from the line of Debashish Mazumdar. Please go ahead.

Debashish Mazumdar: Hi, sir. Thank you so much for the opportunity again. So, just first question is around, you have talked about the data center cable and copper cable, your expansion into the connectivity devices. So, just wanted to get some sense beyond the optic fiber, can we get a breakup of these products in your overall order book? And if that is not possible, what is the kind of traction that you are getting on those new products?

Ankit Agarwal: Yes. Debashish, as we said, the way the data center demand is panning out is both their own direct demand for supply within the data center, connecting the data centers. There is also an emerging trend of some of the copper that is required within data centers is moving to fiber. So, I think that is going to be a future trend going forward. As we speak, we are continuing to build our product portfolio as well. So, I think over the next few quarters, we will be able to share the developments. But certainly, on the cable side that we have, the high capacity cables, that continues to be of interest both to the telecom operators as well as to the data center players. So, I think that is positive. On the copper side and broadly the enterprise market, again, there we have built some new products, including for the Europe and US market. So, that is something that we do continue to see demand for the enterprise solutions. And as I said, more and more, the intent is to sell cable and connectivity together, particularly on the fiber side. So, that we do expect to keep on improving, certainly as we build out our data center portfolio. We have also built a strong leadership team now, as we shared in our release. We have got Jimmy who has

come on board to head our data center. And also we have got Amir who has come to head our enterprise and copper business.

Moderator: Thank you. The next question is from the line of Saket Kapoor from Kapoor & Co. Please go ahead.

Saket Kapoor: Yes, sir. Thank you. Two quick questions. Firstly, with respect to our digital business, what is the current outlook and how should H2 shape up? And for the next year, what have we set out as a benchmark for achieving the same? And similarly, sir, for the optical connectivity business also, if we take our first half, including the entire topline has grown by 5%. So, what should we expect H2 in terms of having a very strong visibility in the order books? My first question?

Ankit Agarwal: Saket sir, I think on the digital business, it really as you can imagine, while the market has remained challenging, we have been focusing o

n having the right customers and building the
right solutions internally. So, to that extent, we are broadly at this run rate of about Rs. 65 crores. And we have got to EBITDA positive break even. The next target for this business is to get to cash profitability. That will require a jump in revenue and managing the current cost structure. But I cannot give you a clear timeframe for that. But that is clearly the next target is to get to cash profitability. We have a good team, and a good set of customers. So, I think we should make that happen. On the optical business as well, as I said, look, we have always maintained that the simple target is that we want to move towards (+80%) capacity utilization, at which point we comfortably go to 20% EBITDA margins. That is really where we want to move towards. I cannot guide how quickly that will happen. But I would say in the coming quarters, we should move towards that.

Moderator: Thank you. The next follow-up question is from the line of Sunny Gosar from MK Ventures. Please go ahead.

Sunny Gosar: Yes. Thanks for the follow-up. I have basically two questions. One is, what is the CAPEX outflow for FY '26 and FY '27? I understand we have spent about Rs. 80 crores on CAPEX in H1. So, what should we estimate for 26 and 27? And second question is, do we have any intercompany outstanding in terms of loans, advances or guarantees with STL networks?

Ankit Agarwal: So, taking on the question to first on STL networks. So, STL networks, the entire thought process of doing demerger is that there should not be any intercompany guarantees because that is a separate company. Having said so, this demerger process itself is a transition process. It takes almost a year down the line to actually transfer everything there. So, that is still in process and everything being done at a standalone level. No relationship between STL and STL networks from that perspective. On the CAPEX side, what we are seeing currently and as you can see in our presentation, we have started investing on R&D. And therefore, for the current year, we are looking for a total CAPEX outlay of around Rs. 115 crores. Next year, I can't give any guidance at this point of time, Sunny.

Moderator: Thank you. The next question is from the line of Jalaj from Svan. Please go ahead.
Jalaj: Thanks for the opportunity. Hope I am audible.
Ankit Agarwal: Yes.
Jalaj: Yes. Just harping upon the US numbers, specifically the geography split. So, my calculation tells me that we have grown on a Y-o-Y basis to the tune of 30%-40%, could you just quantify what was the revenue numbers in the US geography last year, same time?
Ankit Agarwal: Sorry, we don't call that out by geography. It is for competitive reasons, we are not calling out specific numbers.
Jalaj: But anyway, you have started to give it for the full of the year. So, you are giving it even for this quarter. So, what I am just trying to understand is, because these numbers tell me that the demand is at least, so even on a sequential basis, I don't see the demand pressure, at least in the US geography. Let us not even talk about the Y-o-Y on a sequential basis also, I don't see a drop?
Ankit Agarwal: Yes.
Jalaj: And that is a number which you have given. So, I am just not able to understand that if the tariff is impacting us so much, it is not showing up so in the US geography as such. So, where am I not adding up? What am I missing in this? Could you just help me understand that?
Ajay Jhanjhari: So, just to answer briefly on your question, we have clearly in our investor presentation, if you see, the revenue proportion has grown by 8% if you compare from the previous financial year. So, there is clearly a jump in the revenues which we are doing in US. The math’s on tariff, which you are talking about, you can get it through these. But the impact is not like you can't ju

st
calculate from US that if our revenue has increased this much, the tariff would be that much. Because fortunately, we are having one local manufacturing facility there. So, that would never be adding up on the entire tariff calculation purposes.
Moderator: Thank you. That was the last question for today. Ladies and gentlemen, now I would like to hand the conference over to the management to Mr. Ankit Agarwal.
Ankit Agarwal: Thank you, everyone for taking your time to hear us out. We remain very excited and motivated to drive this business forward and to unlock its full potential. Through our efforts, we see a tremendous opportunity to connect the unconnected across the world and especially here in India. We truly believe STL is well positioned to play a pivotal role in building the digital infrastructure of the future. We are happy to take any questions. Both Ajay and I are available. Once again, thank you for your time and continued support. Jai Hind.

Moderator: Thank you. On behalf of Sterlite Technologies Limited, I would conclude this call. Thank you for joining us and you may now disconnect your lines.

Call: Jan 2026

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra - 411 001, India .
CIN - L31300PN2000PLC202408
January 2 9, 2026

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C -1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051

Scrip ID - STLTECH
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code - 532374
Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 3FY26
Dear Sir/Madam,
In furtherance of our letter dated January 13, 2026, please find enclosed transcript of earnings call held on January 23, 2026 in respect of Company's Q 3 FY26 financial results.
The same is also being hosted on the website of the Company and is available under the tab ' FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://stl.tech/wp -content/uploads/2026/01/Q3FY26-Earnings -call-transcript.pdf

Kindly take this on record and acknowledge the same.

Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Mrunal Asawadekar
Company Secretary & Compliance Officer
Membership No.: A 24346

Encl.: As above.

Sterlite Technologies Limited
Q3 FY '26 Earnings Conference Call
January 23, 202 6

MANAGEMENT : MR. ANKIT AGARWAL – MANAGING DIRECTOR –
STERLITE TECHNOLOGIES LIMITED
MR. AJAY JHANJHARI – CHIEF FINANCIAL OFFICER –
STERLITE TECHNOLOGIES LIMITED

Sterlit e Technologies Limited
January 23, 2026

Moderator: Ladies and gentlemen , good day, and welcome to Sterlite Technologies Limited Q3 FY '26 Earnings Conference Call. Before we proceed with the call, let me remind you that the discussion may contain forward- looking statements that may involve known or unknown risks, uncertaintie s and other factors. It must be viewed in conjunction with our business risks that could cause future results performance or achievement to differ significantly from what is expressed or implied in such forward-looking statements.

Please note that we have uploaded the results and earnings call presentation on STL's website and the same is available on the exchange. In case you have not received the same, you can write to us, and we'll be happy to send the same to you. To take us through the results and answer your questions today, we have the senior management of Sterlite Technologies Limited, represented by Mr. Ankit Agarwal; the Managing Director; and Mr. Ajay Jhanjhari, Chief Financial Officer. We will start the call with a brief overview of the quarter gone past and then conduct the Q&A session.

As a reminder, all participants' lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing sta r then zero on your touch -tone phone. Please note that if this conference is being recorded.

I will now hand over the call to Mr. Ankit. Over to you, sir.

Ankit Agarwal: Thank you. Good day, everyone. Thank you for joining STL's Q 3 FY '26 Earnings Call. I'll begin by walking you through the key highlights from our investor presentation, after which, Ajay, our CFO, will take you through the financials.

STL is a global leader in digital connectivity infrastructure serving telecom operators, data centers, citizen networks as well as large enterprises. We operate through two business divisions, Optical Networking business, ONB, which gives us end -to-end play in optical fiber, fiber cable, specialty cables as well as connectivity. Our digital and technology solutions at cloud, cybersecurity, enterprise SaaS, AI and product engineering.

We are #1 in India as an end-to -end optical manufacturer with almost 8% optical fiber cable market share outside of China. With 30 -plus years of leadership, more than 780 patents and 10 plus zero waste manufacturing facilities worldwide, STL is leading the next wa ve of global digital infrastructure.

At STL, we are amongst very few companies in the world to have mastered the journey from glass to gigabit. It starts with the purest grade of silicon, which we transformed through advanced processes like silicon tetrachloride formation, chemical vapor

deposition and high-precision sintering to create ultra -pure glass preforms, which are the backbone of optical fiber.

From there, we draw the highest -grade optical fiber, design high-density cables, and develop reliable connectivity products that power data centers and telecom networks around the world. This full -stack integration right from raw material, and network deployment gives STL a unique edge in qua lity, cost efficiency and innovation across the connectivity value chain.

This deep integration enables us to engineer next -generation fiber cable and connectivity solutions that are redefining global connectivity. Our end- to-end innovation from material science to smart optical systems help global network builders create faster , denser and more reliable networks in the AI era.

As we complete 9 M FY '26, our strategic direction in Optical Networking remains unchanged. We continue to focus on gaining market share in optical fiber cables, improving connectivity attach rates and expanding our dat

a center portfolio to meet the growing demand from AI-le d infrastructure. At the same time, we are strengthening our technology and cost leadership in the optical domain.

Beyond growth, our mission is to build for the future through STL Digital. We are investing in technology and domain capabilities to create long-term differentiation while ensuring all initiatives deliver profitable and sustainable growth. These priorities will guide us through the rest of FY '26 and beyond, enabling us to not only meet today's needs, but to shape the digital networks of tomorrow.

Moving on, we will now speak about our performance in the Optical Networking business and our focused journey towards gaining our market share. We are at the intersection of 3 powerful multiyear investment cycles, FTTx, data centers and 5G, creating a strong structural tail wind of optical infrastructure.

FTTx is accelerating globally, with deployments rising from 151 million fiber kilometers to 170 million fiber kilometers by 2030. In the U.S. alone, over 100 million
homes will be served by fiber by 2030, supported by large government programs like
BEAD an d BharatNet in India.
Data centers are the fastest -growing driver of fiber demand. CRU projects global DC -
led demand to grow at 76% CAGR from 2025 with hyperscalers driving long haul and
inter data centre connectivity. Global DC capex is expected to approach almost $600
billion by 2027. 5G is also scaling rapidly with 6.3 billion subscriptions expected by
2030, carrying 80% of all mobile data traffic.

This requires a massive amount of fiber backhaul, fronthaul and network densification.
Together, these 3 cycles are creating a structural multiyear demand tailwind for fiber
and connectivity positioning STL at the center of the next global digital infrastructure buildout.
Next, we show you how global telecom and technology leaders like AT&T, Unity, BT
and many others are aligned in backing optical fiber as the base of the digital future
across 5G, broadband data centers and AI infrastructure. The takeaway is simple : Fiber
remains the backbone of all digital infrastructure.
Moving on, slide 11 shows how the AI revolution and the rapid data expansion are
creating once -in-a-generation opportunity for optical connectivity. Data center
capacity is expected to grow sharply over the decade with significant share of new demand coming from AI- led in frastructure.
Hyperscalers are stepping up investments, pushing global data center IT spending
towards multitrillion dollar levels. AI data centers are fundamentally different as they
are far more fiber intensive . GPU dense racks need almost up to 36x more fiber in
traditional CPU setups and overall fiber density is almost 70% higher. This is driving
a strong surge in fiber demand within the data centers.
At the same time, data centers are increasingly being connected to each other, which
is accelerating growth in data center interconnect market. This segment is expected to
more than double by 2030, adding another large source of fiber demand globally. We
are well positioned for this shift. Our end-to -end make in India for the world AI DC
portfolio is built for the GPU dense, high bandwidth low latency environment.
Our enterprise and data center business is gaining traction with 20% revenue
contribution in YTD FY '26, and we remain on track to scale this to 30% and expect it
to be a key growth driver in the medium term. According to CRU, global optical cable
demand growth for 2025 has been upgraded to about 4% year-on-year, reflecting
strong visibility led main ly by North American data center build- out and improving
execution in China.
Importantly, demand is now consistently outpacing domestic supply in North America,
keeping the lead times tight. Looking ahead, North America is set to be the main
growth engine powered

by AI- led data centers, DCI builds and continued FTTx
expansion.
CRU expects it to deliver the strongest regional growth of 13.7% CAGR through 2030.
APAC, excluding China, is the second major growth pillar, growing at almost 6%

CAGR led by India and Southeast Asia. This is supported by projects like BharatNet,
higher Telco capex and rising data center investments.
Overall, this points to a sustained multiyear upcycle in fiber demand with North
America and APAC ex -China, both core STL focused markets going forward. We are
also seeing positive momentum in India, Southeast Asia and parts of Europe, which
also aligned with our strategy.
Our order intake clearly shows how STL is capitalizing on the market recovery. YTD FY '26, we have recorded INR 4,263 crores in orders, a strong 40.3% growth over last
year. This reflects both improved demand and our ability to win at scale. The
momentum is driven by 3 main factors: First, large -scale data center connectivity wins
aligned with gl obal infrastructure build-outs. Second , a breakthrough into Tier 1 North
American telecom customers, strengthening our presence in a critical market. And third, wel l-deserved diversified order book, balancing capex -led builds with long-term

service contracts. Overall, this performance reinforces our strategic positioning and gives us strong visibility and confidence as we move forward.
Let me briefly highlight how STL is strengthening its innovation leadership. This quarter, we advanced next -generation optical technologies. Our MOU with QNu Labs, a deep tech cybersecurity firm position us with quantum secure communications, while success ful multi -core trials with Colt, a premier digital infrastructure company in London in the United Kingdom, validated our readiness for real -world deployment.
Our products, we continue to scale across fiber connectivity and copper. We expanded our IBR, intermittent bonded ribbon, portfolio to 1,728 fibers and 3,456 fibers for data centers, enhanced data center micro cables, launched a nano DC portfolio as well a s OptoFit connectivity solutions.
In addition, we also secured railway signaling approvals in copper for supporting our diversification. Our innovation is backed by a strong IP engine with 780 patents,
including 23 new filings in the last quarter. We're also building future capability through Hollow -Core fiber for ultra -low latency and AI- enabled fiber sensing, which
is seeing growing commercial adoption.
STL won 4 major awards in 2025 across data center innovation, leadership cabling and social impact. We are delivering global first. India's first quantum secured networks,
green hydrogen projects, the world's slimmest 160 -micron fiber showing STL leadershi p in high- performance and sustainable solutions. Overall, this reflects our focused approach in deep tech innovation, IP -led differentiation and long- term value creation.

Slide 15 of the presentation showcases our strengthened data center portfolio with the launch of the world's slimmest 864 fibers in a ribbon cable. We now offer full stack DC connectivity suite, fib er and copper cabling, pre -terminate systems and high-density IBR designed for faster deployment, low latency and scalability.
The portfolio is AI and hyperscale ready, meeting global standards and sustainability requirements. It is supported by in- house future -ready manufacturing and a strong go-to partnership.
Slide 16 highlights STL leadership in multi-core fiber, a key enabler in quantum -safe multi- terabit networks. Multi -core fibers allow 4 to 7x higher capacity with the same physical footprint, improving space efficiency while lowering deployment infrastructure cost s, making it ideal for AI data centers, long-haul 5G and high-performance interconnects.
We h

ave shown strong capability, enabling India's first quantum key distribution over multi- core fiber, completing live 100 -kilometer testing and becoming the first globally to deploy multicore fiber in both aerial and underground networks, further validat ing our successful trials with Colt in the U.K.
Overall, this positions STL at the forefront of quantum -safe next -generation optical networks with strong relevance for global hyperscalers and carriers. Looking ahead to STL's next -generation fiber portfolio, we have 2 exciting launches coming up, G.654.E and Hollow -Core fiber. To start with, G.654.E delivers around 30% lower signal loss along with the larger core. This makes it ideal for AI-led high-power, long-distance networks such as 400-gig, 800-gig data center links, national backbone and subsea
cables.
At the same time, Hollow -Core fiber is truly a game changer because the light travel s through air filled core, it offers 30% to 47% lower latency, and it supports extremely high bandwidth. As a result, it opens up major opportunities in data center interconnect, sensing and quantum communications. Put together, these launches will place STL among a select group of very few global players ready for l arge-scale G.654.E
deployment and early leadership in Hollow -Core fiber, exactly where the future of fast low latency networks is headed.
Speaking of our market position and attach rate trends, our global ex- China OFC market share remains stable at 8% YTD FY '26, reflecting disciplined execution in a competitive market with clear focus on gaining our share over time through our technologies.

Our optical connectivity attaches rates moderated to 17% in year -to-date FY '26 from 22% in FY '25. This was primarily driven by product mix and project timing, along with a sharp acceleration in OFC revenues leading to a higher base. We view this moderation as temporary. And importantly, the long-term opportunity of connectivity remains strong.

Our portfolio is expanding, and we are increasingly focused on selling our integrated solutions of the cable and connectivity rather than standalone products. Taken together, this shows that our core OFC business is stable, while there is a clear runway to drive higher value through attach- led growth over the medium term.

Now turning on to the financial performance of Optical Networking business. In Q3 FY '26, the revenues came at INR 1,174 crores, reflecting a strong volume recovery and growth QoQ and YoY basis. For YTD FY '26 revenues increased to INR 3,115 crores, indicating sustained momentum.

On profitability, Q 3 FY '26 EBITDA margin was 11.2%, moderating versus earlier quarters due to tariff-related headwinds. However, EBITDA in absolute terms grew with YTD FY '26 EBITDA at INR 404 crores, supporting margin recovery as volume scale and the costs normalize. Overall, this reflects improving top line traction and clear path to margin recovery as operating leverage kicks in.

Let me now take you through a continued growth momentum in STL Digital. We have global delivery footprints across India, U.S. and U.K. with strong capabilities in data analytics, AI, cloud, cybersecurity and enterprise SaaS, serving diversified industry verticals.

During Q3, we added a new major customer, taking our total base to 34 and secured U.S. dollar multimillion SAP S/4HANA deal with U.S. -based health care major, demonstrating execution capability in large complex programs. Our team now comprise of 1,120 consultants supporting growth deal sizes and multiservice engagements.

Financially, we closed the quarter with an open order book of INR 276 crores, providing strong revenue visibility. Overall, STL Digital is well positioned for scalable growth, driven by customer centricity, innovation and increased deal depth.

Moving to the next slide, we showcased stea

dy progress in our digital business, both on scale and profitability. Q 3 FY '26 revenue was INR 86 crores with stable performance over the 9M at INR 215 crores, broadly in line with the last year despite a tough environment.

More importantly, Q3 FY '26 EBITDA was INR 1 crore , marking another consecutive EBITDA positive quarter, reflects operating discipline and better project quality.

While still in the scale-up phase, the business is clearly moving in the right direction while stabilizing revenues and improving profitability .

Now I will hand over the call to Ajay to take you through the financials.

Ajay Jhanjhari: Thank you, Ankit, and thanks to everyone for joining us today. I'll take you through the key financial highlights for Q3 and YTD FY '26. Our revenue for Q3 stood at INR1,257 crores, reflecting strong growth momentum with YTD FY '26 revenue up 12% YoY at INR3,311 crores. Growth was broad-based across business segments.

EBITDA for Q 3 was INR 129 crores with a margin of 10.3%. Margins moderated in the near term due to tariff headwinds.

For YTD FY '26, EBITDA grew 35% YoY to INR410 crores, with margins improving to 12.4% YoY. That before exceptional items stood at INR 9 crores in the current fiscal, compared to a loss of INR78 crores last year, a clear turnaround, which highlights strengthening underlying profitability of the business. The exceptional item for the quarter includes a onetime impact of INR 15 crores related to the new labor code. Overall, the business continues to scale with improving earnings quality.

Operational EBITDA has improved for 5 consecutive quarters, rising from 11.2% in Q2 of FY '25 to 17.9% in Q3 of FY '26, driven by a richer product mix and a higher contribution from the U.S. market. However, the U.S. tariff reset effective mid Q 2 of FY '26 created a temporary headwind, reducing reported EBITDA by almost 760 bps in Q3 of the current fiscal and bringing the reported margins to 10.3%.

While underlying margin momentum remains strong, we have proactively started implementing some mitigation measures, such as passing on some proportion of tariff cost to customers and aggressively ramping up local production in the U.S. facility.

We still r emain hopeful of early resolution of the India -U.S. bilateral trade agreement, which will provide a clear path for further margin expansion.

From a geographic standpoint, our revenue mix continues to diversify. North America
share increased from 25% in FY '25 to 36% in the current financial year, while Europe
remains a significant contributor at 40%. This balanced regional footprint reduces concentration risk and positions us well to capture growth across key global markets.
Moving to the order book, we have seen continued momentum this quarter. Our open order book stood at INR5,325 crores, up from INR5,188 crores in Q2 FY '26, reflecting
healthy order inflows and strong market confidence. Of this, INR 988 crores is slated
for execution in the next quarter, while the remaining INR 4,337 crores is scheduled

for execution over FY '27 and beyond. This robust order pipeline provides strong
revenue visibility and reinforces our growth outlook for the year.
On Slide 30, we have shared an abridged snapshot of our reported numbers for your
reference. Net debt stands at INR 1,331 crores with debt -to-equity ratio of 0.87 and net
debt to EBITDA at 2.58x.
With this now, I hand it over back to Ankit for updates on our social responsibility
initiatives and closing remarks.
Ankit Agarwal: Thank you, Ajay. STL's CSR initiatives continue to create a strong and measurable
impact across health care and education. Our flagship health care program, Swasthya
Suraksha, on the Best Rural Healthcare Initiative of the year 2025 at the India Social
Impact Awards, r

ecognizing a sustained contribution to rural and tribal health care.
In education, the RoboEdge Program, we see the best educational support initiative of the year 2025 at the Indian CSR Awards for Advantage STEM -learning and
innovation. RoboEdge students are also excelled globally in International Robotics
Championship 2025, winning multiple podium positions, 9 students represent India
showcasing talent, teamwork and innovation, reflecting STL's commitment to build a
stronger future -ready society.
At STL, sustainability is central to our focus. We are proud to hold an MSCI ESG A
rating and are committed to achieving net zero emission by 2030. Our strategy is built
on 3 pillars, environmental sustainability. Since FY '19, we have diverted 276,000
metric ton of waste, recycled almost 11 million cubic meters of water and reduced over
43,000 tons of carbon through energy efficiency. Over 36% of our procurement is local, and we partnered with Hygenco's advance green hydrogen.
Social responsibility. A ligned with the 16 UN SDGs, we have positively impacted
920,000 lives through education, empowerment and health care, alongside installing
4,500 kilowatts of solar capacity.
Strong governance. With 2 big 4 auditors and robust governance committees, we have
earned 100-plus ESG awards since FY '19.
Notably, STL is the world's first optic fiber manufacturer certified with zero liquid discharge and zero waste -to-landfill, setting a true industry benchmark. Let me close
now with our focus areas. In optical, our goal is to be the world's top 3, driving
innovation and cost leadership, growing in focused markets, increasing connectivity
attach rates and rapidly scaling our data center portfolio. This strengthens STL's role
as a key enabler of global digital infrastructure.

In digital, our priority is simple, grow revenue with profitability through disciplined
execution and scalable platforms. These priorities position STL for sustainable long-
term growth. With this, I will close my opening remarks and hand over to the operator
to open the floor for questions. Thank you.
Moderator: Thank you very much. The first question is from the line of Mr. Jalaj from Svan
Investment. Please go ahead.
Jalaj: Sir, my first question was around the tariffs and the impact on the margins. So two
parts of it, firstly, should we consider this is the maximum impact the tariffs would
have had because since it was the full quarter impact we would have had this quarter,
first part.
And secondly, how are we looking to mitigate the impact going forward? What sorts of discussions are we having with the clients? And secondly, what actions are we
taking? One you have mentioned specifically about opening up the plant in the U.S.,

is there some other way of processing or different location altogether, something on those lines?

Ankit Agarwal: Thank you. So as we shared, this has been a full quarter of the tariff impact. Definitely, ultimately, the amount of tariff we pay is a function of the amount of business that we do, particularly the products that we manufacture from India and we sell into the U.S. market.

As you also mentioned, we do have some options in terms of our manufacturing facility that we have in the U.S. and ensuring that, that is utilized to the best possibility. We are evaluating various other options of how we can reduce our impact of the tariffs, but principally, as we have shared, our focus markets and our growth markets continue to be in the U.S. and Europe, in particular.

So we do see that these will be markets where we will continue to focus in terms of volume. And in terms of the tariff impact itself, definitely, we will see what more we can do to reduce the percentage that is impactful to us. Beyond this, I would not be able to share for competitive reasons and confidentiality reasons.

Jalaj:

Got it, sir. And sir, one more point was, so let's assume, there's a tariff of 20% on the goods. So, the realizations we are booking in our P&L right now would be, if the item was worth 100, so we are booking it at 125 right now?

Ankit Agarwal: So, the tariff is actually a cost which is on us. It is now up to us whether we can pass it on to the end customers or not. So, the realization will include every cost, which we are incurring in order to get the revenue.

Jalaj: Sir, so just to get it right. So let us assume if the growth is 20%, so it will be partially because of the tariffs.

Ankit Agarwal: So, Jalaj, just in order to answer your question. What you have to see is the PO from end customer doesn't mention what is the tariff and what is the cost of the goods. So, the PO comes for the entire amount. Now, the question I can delink with it is whether the customer is absorbing the cost of tariff or not. Currently, we are in the process of negotiation because this is the time when we enter into new contracts ; that is going on. So, then the impact on customers because of the tariff will be clearly visible, not right now.

Moderator: The next question is from the line of Mr. Nikhil Choudhary from Nuvama.

Nikhil Choudhary: Congratulations on very strong revenue growth. First question, Ankit, on AI opportunity. So, we have been talking about the portfolio we are creating, especially related to AI products. Where we are in that journey and the 30% revenue comment, which you gave earlier, any possible timeline where we can reach 30% revenue from enterprise business?

Ankit Agarwal: Yes. So, I think definitely, as we have been speaking, this is a pretty interesting market dynamics where you have the telecom operators looking to build out networks for themselves. They are also building interconnects for the data center requirements. And then you got the data centers themselves putting fiber within the data centers and in between data centers.

So clearly, fiber is the preferred medium. What we are clearly seeing is that the density requirements are increasing where space is clearly a constraint, and a lot of our focus on our product development, our IP and our technology has been to solve for some of these challenges. Happy to share that we conti nue to make good progress QoQ.

If you would have seen the press release, we shared, we had almost INR 500 crores of orders broadly from the enterprise and data center segment. So, this is where our portfolio is now getting converted into good order wins. And as the demand continues, as our portfolio continues to improve, both on cable and connectivity, we do expect this ratio that we spoke about 20% to move towards 30% in probably next 12 to 18 months.

Nikhil Choudhary: Great, very encouraging. Second, just on margin part. I think you partially addressed it that you are taking some mitigation measures to reduce the overall impact, but where could we see margin, let's say, going ahead? Any rough, even directional comment about where we are heading? If we include everything, the mitigation measure, internal efficiency, where the margin could settle, let's say in FY '27?

Ankit Agarwal: We won't be able to give a specific number, but what we have discussed Nikhil, in our
previous calls as well. Directionally, this is a business where if we operate with the
right utilizations of 70% plus, we are confident that ultimately, this is a business that should be 20% EBITDA margins.
And actually, you can see that in our results already that if you exclude the tariff
impact, then we would almost be at that 19 -odd-percent, 18%, 19%. So, I think
directionally, the volumes are increasing, our utilizations are improving and how it's a
function of how we can mitigate the impact of tariff

s, look at other ways to reduce our
costs, and that should help us in our margins going forward.
But as you can appreciate, it's a very dynamic situation in terms of tariffs. There are
live conversations going on between the governments in terms of where it settles. So,
I think hopefully, we get some input from the government in the next few months.
Nikhil Choudhary: Got it, Ankit. Last one, it's early, but just wanted your thought on possible impact of
Europe -India FTA , if you have any. That's it from my side.
Ankit Agarwal: No, nothing currently at the moment, again, we are very well set up in terms of our operations in Italy, we have scaled that up quite well. We, of course, also have
customers in the U.K., which would be outside of the safety, and already, we do not
have any tariff to that effect in the U.K. So overall, I think it would be neutral to us in
terms of the impact. Ajay , do you want to add anything?
Ajay Jhanjhari: So that can increase the beneficial position for us in future. But right now, because we are having a local manufacturing setup already there, we do not see much impact.
Moderator: The next question is from the line of Saket Kapoor from Kapoor & Co.
Saket Kapoor: Sir, firstly, just to clarify. The 2 factors that attributed to the lowering of margins are
particularly the labour law implementation which affected the P&L and the tariff
impact. Are these two the key reasons why the margins are lower ed to 10.3% EBITDA
margin?
Ajay Jhanjhari : So, labour code impact we have considered as an exceptional item. So that is not
reflected in the EBITDA margin. So, the only impact, which is material enough, is the
tariff impact, which we have clearly demonstrated, if you see on the investor
presentation.
Saket Kapoor: Okay. And sir, taking that into foray, if you could just elaborate, just quantify for us
how much have been the impact, as Ankitji was mentioning about the PO order from
the customer that does not take into factor the tariff impact, so which line item does

the tariff get displayed? Whether it is the other expenses or the cost of raw material,
where do we factor in the tariff impact?
Ajay Jhanjhari : So generally, the tariff impact on the exports, what we do is settled in the cost of raw
material and components consumed; then because we have a local manufacturing unit,
part of it is also in the O thers .
Saket Kapoor: Okay. And next question number 2 was, sir, regarding the utilization levels for the U.S.
and how are the OF and the OFC prices currently trending, sir?
Ankit Agarwal: Saket, so as we said last time also, we are not disclosing our utilization levels at unit
level or company level. But broadly, what we can share is that the utilizations have
improved QoQ.
One thing that we are mindful of, particularly in our glass operations, is availability of
germanium. As we have shared in the past as well, this is something that is tightly controlled, particularly in China. And so the continued availability of germanium will
be important factor for our manufacturing of glass and then ultimately, fiber and cable.
So that is something that we are mindful of, but we are taking all actions to mitigate
that risk. From the pricing perspective, I think, overall, it has been stable. It has been
steady, both in China as well as in globally. So, I don't see any concern on that side.
And as we said, that ultimately for players like us who are supplying into Europe and
U.S., we are focused on long-term contracts with our customers, whether it is on the
telecom side or the data center side.
Saket Kapoor: Okay. So, your small answer is that prices have remained, the realizations have
remained somewhat flattened or in the same vicinity that was for the second quarter. So, there is no uptick, yes ?
Ankit Agarwal: Yes, there is no decline for sure.

I think the prices always vary a little bit by market.
But as I said, for us, we do not really play in the spot market at all. We are just focused
on our solutions for long- term contracts with our customers.
Saket Kapoor: Okay. And last point was about the BharatNet rolling out, sir, and our participation in

the same. How are we seeing traction on ground with respect to how the rollout for
BharatNet has been, sir, in the country?
Ankit Agarwal: I think it is currently going on. This is a Phase 3 that is going on. And as you know, our group company, Invenia has secured Jammu Kashmir package, where we will be
supplying the cable on arm's length basis. So that is going on. We have also achieved
what is called a MAF, Manufacturing Authorization Form from a few other bidders.

And it is still initial stages in terms of the execution. So probably through the course
of this year and next 2, 3 years is where we expect the rollout of the optical fiber cable.
Moderator: The next question is from the line of Mr. Balasubramanian from Arihant Capital.
Balasubramanian: Sir, my first question, I think we are working on next -generation fiber technologies,
especially when we can expect commercial rollout for Hollow -Core fiber, HCF and
G.654.E fiber, and what is the projected adoption rates in long-haul networks and data
center interconnects?
Ankit Agarwal: So, I will touch on Hollow -Core first. I think that it is a very exciting technology. It's
in the public domain that particularly Microsoft and Amazon are really looking to
deploy this at a good amount of scale. We are also seeing some deployments of this in
China as well. So clearly, it is moved from, say, the phase of concept to being on the
ground. I think practically over the next 2 to 3 years is when we see larger scale rollouts happening.
There are , say, commercial challenges to deploy this fiber in terms of the cost of
manufacturing is extremely high, and the process speeds are very, very low for all the manufacturers globally. So, this is where there will be certain time and effort to scale
this up and make it viable from a larger scale perspective, but the impact to the network and the impact to the hyperscalers is very real. So, it is quite an exciting time to work
with them.
Just to be clear, there are no global standards still set on Hollow -Core . So that also has
to be done in terms of an industry standard to create to make sure that this can get rolled out at scale.
G.654.E, as well, in some similar ways, is a little bit more advanced. There is a
reasonable amount of demand that we are seeing globally, but again, we do see the
realizations to be definitely better than standard fiber, and it can enable typically 70% to 100% longer reach. So again, there is a good amount of opportunity here, but I would
say less than 5% of the world market is with this fiber right now, but good potential
going forward.
Moderator: The next question is from the line of Dhaval Jain from Sequent Investments.
Dhaval Jain: Sir, couple of questions, and the first question is, as the North America revenue contribution has increased from 25% to 36% versus the last year. So just wanted to
understand, we have a tariff impact of 7% on our margins due to this. So, going
forward, what I understand is if this revenue contribution keeps on increasing, will our
tariff impact keep on increasing as the margins keep on dragging further down?

Ajay Jhanjhari: So basically, as Ankit mentioned previously, we majorly act into the major long- term
contracts. So ideal way to deal with it is that yes, we are bullish on the U.S. market,
but at the same time, the tariff impact can be passed on to customers only at the t ime
of renewal of contracts. So that process is currently going on. So, while the

U.S.
revenue is expected to increase with the mitigation measures, we are already working
on, and a few of them are now in place. We do not expect any further increase.
Dhaval Jain: Okay. And also, one more question on the growth that we had in the revenues, was it
more of the volume growth, or the realizations have also contributed in the growth, the
20% YoY growth?
Ajay Jhanjhari : Majorly, it is a mix of both. Yes, volume has played a significant part in it. But at the
same time, the sale of high fiber count cables has also increased the top line.
Dhaval Jain: The AI ones.
Ajay Jhanjhari : Not so on the AI one. Overall value -added cables, and the more higher technology
cables.
Dhaval Jain: Yes. So, the ballpark, could I get an understanding of what would be the split between
the volume and the value?
Ankit Agarwal: No, we would not be able to share that.

Moderator: The next question is from the line of Akshat Mehta from Seven Rivers Holdings.
Akshat Mehta: So, I just wanted to ask you an update on the lawsuits, right? What is happening on the U.S. lawsuit, and if you can share some light on the income tax order that has come in, what is that, and what is the impact?
Ajay Jhanjhari: I can take the income tax first.
Ankit Agarwal: Okay, Ajay.
Ajay Jhanjhari: So, see this income tax matter is in the regular assessment. There are some transfer pricing adjustments, for which they have issued this notice. We are quite confident that with the merits we are having in the case, no material financial impact is going to b e there. And we have already disclosed it in detail, if you see with the press release.
Akshat Mehta: So, are we going to make any provision or we have to deposit some amount or there is no impact as of now?
Ajay Jhanjhari: As of now, there's no impact, but as per, we will have to go by the rules only. So, there can be a chance of same deposits, but that does not exceed more than 15% to 20%.

Ankit Agarwal: And linked to the legal matter in the U.S., so in September 2025 our U.S. entity, against which the case is there, it has appealed District Court's judgment. And now the case has moved to the U.S. Court of Appeals. And whatever was required in terms of posting the bond , that has been done successfully, and there is no financial payout obligations at this stage. So, as we are confident of our appeals, we believe we have a very strong case. So as that progresses, we shall, of course, update it as fiduciary duty.
Moderator: The next question is from the line of Bajrang Bafna from Sunidhi Securities.
Bajrang Bafna: Congratulations for good growth. So basically, sir, in our existing order book, which is closer to INR5,000 crores, I would like to understand, suppose the U.S. trade deal does not materialize in next couple of quarters. And since you are negotiating the new orders, when can we see the impact of past orders getting in, and the new ones will be visible in the margins itself. That you have indicated close to INR 1,000 crores will be executed in next quarter. So when the older contracts will expire, and the new pricing will kick in, if we just try to understand from that perspective.
Ajay Jhanjhari : So, see, there is going to be a gradual shift from it. So, we will keep on getting new orders, we will keep on supplying against the long -term contracts, which we are having in the past. Good thing is that in U.S., generally, the contracts are currently in the range of 12 to 15 months. So, we will start to see part of the impact from the next quarter onwards. And the full impact will take some time. It is going to be a matter of 2 to 3 quarters wherein old contracts will be fully settled in and all the new contracts will jump in.
Bajrang Bafna: Okay. Just trying to understand the past contracts at which rate we have taken and the new rate which is g oing on currently, what is the difference in percentage terms, if you could help that out to us.
Ankit Agarwal: Sorry, that we cannot disclose on the call.
Bajrang Bafna: No, only in percentage terms, I am not asking any absolute $15 or $16?
Ankit Agarwal: I mean, see, obviously, the tariff rate is 50%. And logically, you would want to share some part of that cost to the customers. But really, it just varies from customer to customer, the product portfolio in various other terms of the contract. So that is why we cannot give you one number. It will all be down to what we are able to negotiate and create that balance between the best pricing as well as ensuring we get long -term partnerships.
Bajrang Bafna: Next quarter onwards, your margins are going to improve e ven with the 50% tariffs?
Ankit Agarwal: Yes.

Moderator: The next question is from the line of Mr. Sunil Jain from Nirmal Bang Securities.
Sunil Jain: Sir, my question again relate s to the U.S., and we had seen impact of the tariff, but on the currency side, are we going to benefit? And how is the hedging policy for contracts to supply in the U.S.?
Ajay Jhanjhari : So, we do have a robust risk management policy, which makes sure that fluctuations in forex does not impact us in the short run. But as you rightly said in the long run, when we will start getting new orders and against that, we are going to supply, there is going to be a positive benefit because we are actually net exporter by far, almost 80%

of our revenue comes from outside India, and with the local manufacturing setup, we are ha ving in Italy and U.S.
Sunil Jain: So, you want to say that whatever the order you are booking, against that, you book the currency?
Ajay Jhanjhari : Yes. So, we have the robust hedging policy wherein we don't keep any exposure open.
Sunil Jain: Okay. So, the benefit of this will come gradually, not at stage.
Ajay Jhanjhari : Yes.
Moderator: The next question is from the line of Mr. Aditya from AK Investments.
Aditya: Sir, I wanted to understand one thing. We have a facility in the U.S., and we have multiple facilities outside India. I know, I understand that India is 50% tariff, but in a single quarter, if I do the math, we are burning , I mean, the impact is INR80 crores. That is very huge. And for a year, if I do, it is INR300 crores that we are putting out. So what is the strategy?
I know you do not want to get into specifics, but can you help me as an investor, I mean, we think, Sterlite as a global player and we have the facility in the U.S., but this impact is really very huge number. How do you plan to utiliz e the U.S. facility? And how do we mitigate that?
Ankit Agarwal: Yes. So, look, I mean, currently, we have manufacturing cable portfolio in the U.S. We have it in Italy. And of course, we have large -scale mother plant kind of operations in India. And we are very, very mindful of 3, 4 things. We want to ensure that there is a variety of portfolio of products that are manufactured across our facilities. So, we always have to be mindful of where the demand can be met from an operating perspective because there is a large variety on what products get produced.

The second part, we have to be mindful of is, which is a place most optimized from a customer demand perspective, where customers require certain lead times and where do we operationalize. And then, of course, is the current impact of the tariff, which currently is at the full 50%. So, we are very mindful of the impact and the quantity that it is affecting us on a quarterly basis.
And as we shared earlier, multiple actions are on , to see how we can minimize the tariff while at the same time, we continue to see strong demand from the North America market. Currently, we do also have options of manufacturing in Europe as well and supplying in the U.S.
So, all those we continue to evaluate, and be rest assured that we continue to take actions where the effective percentage rate will reduce. But certainly, from an absolute amount, that is something we continue to watch , as and when our business to North America and to U.S. continues.
Aditya: Sir, this is only the optical network, we are doing 30% for North America, I mean, 30% to 35%. In that the whole impact, I mean, INR 80 crores, if I take, it is only coming from that INR 300-odd crores of revenue. Is that the right math?
Ajay Jhanjhari: No, you can try to do that math, but there are 2, 3 things which is related to tariff. One is, whatever the finished goods or the semi -finished goods we are selling from India and then the imports we are doing in U.S. from India, other than these optical f iber cables. So that math will not properly fit in, if you try to find the number out of the revenue.
What we can tell you is that, yes, as you rightly mentioned, we have been continuously increasing our U.S. production, which can mitigate these tariff impacts partly. Along with it, we are assessing all the other measures to mitigate the impact to the minimum possible.
Aditya: And how much can the U.S. facility help us? I mean, if you can share in, I mean, ballpark number or percentage -wise?
Ankit Agarwal: Look, I think if you have seen the investments we have done, I think, more than $50 million of investment to build a factory of a certain scale. And I think our intent has always been strategic to serve the market, both from the facility there as well as from India. As you can appreciate that there is real intent from both governments to sign at least an interim bilateral trade agreement, which has been imminent for some time now, and continues to be imminent.

So we are mindful that we need to maximize from our operations outside of India. At

the same time, we also need to look at other options of how do we reduce the tariff
impact. So all the actions are ongoing. And of course, ultimately, we do hope that some sort of trade agreement does come through, which will definitely impact and benefit
STL.
Aditya: Sure, sir. All the best. I hope that we will be able to navigate this one, and we will be
able to ramp up and use the U.S. facility at utmost utilization so that we can minimize the impact .
Moderator: The next question is from the line of Anshul Saigal from Saigal Capital Advisors LLP.
Anshul Saigal: You mentioned germanium as a prospective risk in case China stops supplying that as a raw material. What is the mitigant? Do we have alternate raw materials or alternate
supplies of germanium?
Ankit Agarwal: Yes. So, as I said, there are global sources available . While China is the majority, there
are other global geographies available for sourcing of germanium, which we are both evaluating and pursuing. So that is really the primary option. Of course, from China
itself, there is a procedure and a process to source the germanium, which we are also
pursuing, including with all the government channels.
And of course, we also have a facility in China itself, which we are also utilizing where
we can use the germanium that is available locally. So multiple avenues are all working
in parallel, and we are confident that we will be able to solve any challenges we face.
Anshul Saigal: Secondly, nearly 30% to 35% of our revenues come from North America. I am
assuming most of this will be from the U.S. From our U.S. facility, are we able to kind
of cater to this entire revenue, or only a part of this revenue, assuming that the U.S.
facility operates at full utilization?
Ajay Jhanjhari : So currently, it is only a part of revenue. So, it is a lengthy process to qualify your
manufacturing unit for all the standard pr

oducts which we do. And if you see in the
last 2 or 3 quarters, the entire environment has changed to high fiber count internet
ribbon cables, for which there is a standard process in order to get the qualification. So all that is currently going on with the clear objective of utilizing U.S. facility for full
and then using India for the trading of the other materials or other cables.
Anshul Saigal: My question is that will it be sufficient ?
Ajay Jhanjhari: Not sufficient.

Anshul Saigal: Not sufficient . So, there will be incremental supplies always from other countries,
particularly India. Also in the same light, can you give the number of volumes that we
did for this quarter, for the whole company that is?
Ankit Agarwal: No, we actually do not disclose volumes or capacities for competitive reasons.
Anshul Saigal: Okay. Not total capacities also. I mean, not for a plant, but okay. So, asking another
question, I mean, we peaked out on revenues in March 2020, I think, where we did around INR5,100 crores. We have done INR 5,100 crores revenues in 2020. Assuming
we do full utilization of our capacity, will we be able to reach that number or exceed
that number given current pricing?
Ankit Agarwal: Yes, yes. That we are confident.
Moderator: Ladies and gentlemen, due to time constraint, that was the last question. I would now
like to hand the conference over to Mr. Ankit for closing comments.
Ankit Agarwal: Thank you, everyone, for taking your time to hear us out. We remain very excited and motivated to drive this business forward and unlock its full potential. Through our
efforts, we see a tremendous opportunity to connect the unconnected across the world,
and especially here in India at every village level.
We truly believe STL is well positioned to play a pivotal role in building the data, digital infrastructure around the world. We are happy to take any of your questions.
Both, Ajay and I are available through our IR team. Once again, thank you for your time and your continued support. Jai
-Hind.
Moderator: On behalf of Sterlite Technologies Limited, that concludes this conference. Thank you
for joining us, and you may now disconnect your lines.
(This document has been edited to improve readability)

Call: May 2026

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India.
CIN - L31300PN2000PLC202408
May 05, 2026

National Stock Exchange of India
Limited
Exchange Plaza, 5th Floor,
Plot No. C- 1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051

Scrip ID - STLTECH
BSE Limited
Phirozee Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code - 532374
Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 4FY26

Dear Sir/Madam,

In furtherance of our letter dated April 21, 2026, please find enclosed transcript of earnings call held on April 29, 2026 in respect of Company's Q 4 FY26 financial results.

The same is also being hosted on the website of the Company and is available under the tab ' FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' drop down available at https://stl.tech/wp - content/uploads/2026/05/Sterlite- Technologies -Limited- Q4FY26 -Earnings -call-transcript.pdf .

Kindly take this on record and acknowledge the same. Thanking you.
Yours faithfully,
For Sterlite Technologies Limited

Mrunal Asawadekar
Company Secretary & Compliance Officer
Membership No.: A 24346

Encl.: As above.

"Sterlite Technologies Limited
Q4 FY26 Earnings Conference Call"
April 29, 2026

MANAGEMENT : M R. ANKIT AGARWAL – MANAGING DIRECTOR –
STERLITE TECHNOLOGIES LIMITED
M R. AJAY JHANJHARI – CHIEF FINANCIAL OFFICER –
STERLITE TECHNOLOGIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sterlite Technologies Limited Q4 FY26 Earnings Conference Call. Before we proceed with the call, let me remind you that the discussion may contain forward-looking statements that may involve known and unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that could cause future results, performance or achievements to differ significantly from what is expressed or implied in such forward-looking statements.

Please note that we have uploaded the results and earnings call presentation on STL's website and the same is available on the exchange. In case, you have not received the same, you can write to us, and we'll be happy to send the same to you. To take us through the results and answer your questions today, we have the senior management of Sterlite Technologies Limited,
represented by Mr. Ankit Agarwal, the Managing Director; and Mr. Ajay Jhanjhari, Chief Financial Officer.

We will start the call with a brief overvi ew of the quarter gone past and then conduct the Q&A session. As a reminder, all participant lines will be in the listen-only mode and there will be an op portunity for you to ask questions after
the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded. I will now hand over the call to Mr. Ankit. Thank you, and over to you, sir.

Ankit Agarwal: Yes. Good day, everyone, and thank you for joining STL's Q4 and FY26 earnings call. I'll begin by highlighting the key takeaways from our Investor Presentation, and then Ajay will wa lk you through the financials.

STL is a global leader in digital connectivity infrastructure, serving telcos, data centers, citizen networks and large enterprises. Our portfolio spans fiber to fiber optic cables, specialty cables and connectivity products. We are India's No. 1 end-to-end optical manufacturer with over 8% global optical fiber cable market outside of China.And with more than 30-plus years of leadership, close to almost 800 patents and 10+ zero waste manufacturing facilities worldwide. STL is truly leading the next wave of global digital infrastructure.

At STL, we are amongst very few companies in the world that have mastered the journey from Glass to Gigabit. It starts with the pure st grade of silicon, which we transform through advanced processes like silicon tetrachloride formation, chemical vapor deposition an d high-precision sintering to create

ultra-pure glass preforms, which is truly the backbone of optical fiber around the world.

From there, we draw the highest-grade fiber, design high-density cables and develop reliable connectivity products that power data centers and telecom networks around the world. This full-stack integration right from raw material to network deployment gives STL a unique edge in quality, cost efficiency and innovation across the connectivity value chain.

This deep integration enables us to engineer next-generation fiber cable and connectivity solutions that are redefining global connectivity. Our end-to-end innovation from material science to smart optical systems, help global network builders create faster, denser and more reliable networks for the AI era.

As we look forward to FY27, our priorities are defined. We are focused on expanding our OFC market share while meaningfully increasing connectivity attach rates across deployments. At the same time, we aim to scale the contribution from our enterprise and data center segments, underpinned by continued technology leadership and a relentless focus on cost optimization.

Moving on, we will now speak about the industry tailwinds and the growing market opportunity. We are at the intersection of three powerful multi-year investment cycles. FTTx, data centers and 5G, are creating a strong structural tailwind for the optical in frastructure. FTTx is acce lerating globally with

deployments rising from 151 million fiber kilometers in 2025, going up to 170 million fiber kilometers by 2030. Just in the U.S. alone, over 100 million homes will be served by fiber 2030, supported by large government projects like BEAD and BharatNet in India.
Data centers are simply the fastest-growing driver for fiber demand. CRU projects that 40% of global growth in optical cable demand from data centers in 2026 alone, driven by hyperscale expansion and AI workloads. North America installed DC capacity is expected to more than double from 60 gigawatts in 2025 to almost 115 gigawatts by 2030.
Hyperscalers DC capex is expected to increase to a whopping $762 billion. 5G is scaling rapidly with 6.4 billion subscr iptions expected to grow by 2030 and carrying 80% of all mobile traffic. This requires massive fiber backhaul, fronthaul and network densification across the board. Together, these three cycles are creating a structural multiyear demand tailwind for fiber and

connectivity, positioning STL at the center of next global digital infrastructure buildout.
Next, we show how global telecom and big tech giants are aligned in backing optical fiber as a base of digital future across 5G broadband data centers and AI infrastructure. The takeaway is very simple: Fiber remains at the backbone of all the digital infrastructure.
Moving on to Slide 7 shows how the AI revolution and rapid data center expansion are creating once-in-a-generation opportunity for optical connectivity. As per sources by 2030, nearly 70% of data center demand will be AI-led, driving a sharp increase in capex and infrastructure intensity.
GPU architectures are rapidly shifting from 400-gig to 800-gig and all the way to 1.6-Terabit, speeds where copper reaches this bandwidth threshold and fiber becomes essential. Simultaneously, AI workloads are creating dense fiber interconnections, exponentially increasing fiber per rack and every new data center adds multiplies this demand. This is not just a matter of scale. It's a step change in fiber intensity.
With our Neuralis end-to-end AI-DC portfolio, STL is uniquely positioned to capture this mult iyear structural growth opportunity. We w ill cover Neuralis in more detail in the upcoming slides.
I'll now address India's data center movement. India data center expansion is emerging as one of the most compelling stru ctural tailwinds of optical fiber, and we are uniquely positioned to capture it. You would have read recently in news about the tremendous updates in Vizag as well.
Installed capacity is set to grow to 5x from 1.4 gigawatts in 2025 to 8 gigawatts by 2030. What makes this cycle particularly powerful is the breadth of commitment that hyperscalers like Google and Microsoft are deploying tens of billions of dollars. Indian conglomerates like Adani and Reliance are anchoring gigawatt campuses, and even domestic majors like TCS are laying out long-term capacity plans.
This is a diversified and resilient demand base. A supportive policy environment, state incentives, power availability and benefits and tax holidays extending 2047 is further derisking and accelerating the build-out. Every dollar of data center capex has a direct multiplier of fiber intensity across DCI, metro and long-haul networks with optical cable demand projected to grow at 11%

CAGR through 2030. Th is is not a cyclical uptick. It is a du rable high visibility growth opportunity playing out right here in our home market in India.
According t

o CRU, global optical cable demand growth for 2026 has been upgraded to about 6.8% year-on-year, following stabilization in 2025, led by mainly the North America's data center build-out and improved execution in China. Importantly, demand is now consistently outpacing domestic supply in North America, keeping the lead times tight.
Looking ahead, North America is set to be the main growth engine powered by

AI-led data centers, DCI builds an d the continued FTTH expansion. CRU expects it to deliver the strongest regional CAGR of 15% all the way to 2030. Overall, this points to sustained multi-up cycle in fiber demand with North America and APAC ex-China, both core STL focused market driver growth. We are also seeing positive momentum in India, Southeast Asia and parts of Europe, which are closely aligned with our stated strategy.

We are successfully seizing new market opportunities, a trend that is clearly visible in our record order book intake this year. In FY26, order inflows more than doubled to INR 7,687 crores, up 109% year-on-year as compared to INR 3,672 crores in FY25.

This momentum has been driven by a series of strategic wins, including large-scale data-center projects, predominantly in North America and long-term orders, which were secured from Tier 1 telecom operators in India. Importantly, our order book today is well diversified with a healthy mix of order intakes from all customer segments and product categories across regions.

Our innovation, as we have always stat ed, continues to be a key differentiator for STL. And this quarter, we made strong progress across next-generation optical and data-center technologies. The launch of India's first Hollow Core Fiber (HCF) cable marks a defining milestone in STL's innovation journey and reinforces our leadership in AI-ready digital infrastructure. This breakthrough enables ultra-low latency and high bandwidth connectivity critical for hyperscalers and next-generation data centers.

As for current data, the Hollow Core Fiber is expected to reduce the latency between 35% to 40% in the network, which will be a huge breakthrough. As some of you may have seen, STL launched Neuralis, our flagship AI-Era data

center connectivity portfolio in the U.S. at Data Center World 2026. I will cover about that in detail in the next slide.

Our innovation engine is backed by deep IP portfolio of over 780 patents with 21 new filings this quarter and has been recognized through multiple global awards. Overall, these advancements reinforce our position as a technology leader, building future-ready capabilities that align closely with AI cloud and high-performance network demands.

Slide 17 presents our latest launch of Neuralis, which is our purpose-built portfolio for the AI-Era of data centers. It addresses two mission-critical needs, AI Whitespace connectivity and high-speed DCI, where fiber density, speed and simplicity matter the most. With pre-terminated fiber trunks, high-density arrays, Celesta IBR cable scaling up to close to 7,000 fibers and intelligent enclosures, Neuralis enables faster deployment and massive GPU clustering. Leveraging STL's full integration from glass preform to pre-terminate assemblies, Neuralis reduces deployment complexity and accelerates time to service, which is critical for data centers. Supported by local manufacturing in South Carolina, this launch strengthens our position within U.S. hyperscalers as well as the upcoming neo cloud providers.

Slide 18 highlights STL leadership in Multi-Core Fiber, key enabled for quantum-safe as well as multi-terabit networks. Multi-Core Fiber allows between 4x to 7x higher capacity within the same physical footprint, improving space efficiency while lowering deployment infrastructure costs, making it ideal for AI-driven data center, long-haul 5G networks, and high-performance interconnects.

W

e have shown strong capability, enabling India's first quantum key distribution over multi-core, completing live 100-kilometer testing and becoming the first globally to deploy MCF in both aerial and underground networks, further validated by our latest successful trials with Colt, a leading operator in the U.K. Overall, this positions STL as the forefront of quantum-safe next-generation optical networks with strong relevance for global hyperscalers and carriers.

As a continuation from our previous call, we have made successful progress on our two next-generation fiber platforms, 654E as well as Hollow Core Fiber, both designed to address the rapidly evolving requirements of modern connectivity network. Since then, 654E has been successfully launched and

also secured our first commercial order, validating strong customer interest with a 30% lower signal loss, larger core, which will enable higher power ultra capacity DWDM DCI applications.
In parallel, we have launched India's first Hollow Core Fiber, as I mentioned, cable with a true step change technology with light travel thr ough an air-filled core delivering 30% to 47% lower latency with supporting bandwidth from 800-gig to 106-Terabit and beyond. Together, these platforms significantly strengthen STL's leadership in high-performance optical networks and position us to be a select group of global players shaping the future of fast, low latency AI infrastructure.
On market position and attach rate trends, our global ex-China OFC market share remained stable at around 8% in FY26, demonstrating resilient execution in a challenging environment marked by U.S. tariff impacts and germanium constraints that we spoke about earlier.
We remain focused on steadily building our share over time. In optical connectivity, attach rates moderated to 15% from FY26 from 22% in FY25. This was primarily driven by product mix and project timing, along with sharp
acceleration of the OFC revenues, leading to a higher base.
The moderation is temporary and the long-term opportunity of connectivity remains very strong. Our connectivity is expanding, and we are increasingly focusing on selling integrated solutions rather than stand-alone products. Taken together, this shows that our core OFC business is stable, while there
is a clear runway to drive higher value through attaching long growth over the medium term. I will now hand over to Ajay to take you through the financials.
Ajay Jhanjhari: Thank you, Ankit, and thanks, everyone, for joining us today. I'll take you through the key financial highlights for Q4 and FY26. STL delivered a strong Q4 finish and solid full year performance. Q4 FY26 revenue stood at INR 1,441 crores, reflecting strong 37% year-on-year growth momentum. EBITDA margins expanded to 15.1%, supported by scale benefits and better product mix.
For the full year, revenue increased to INR 4,745 crores, with EBITDA rising to INR 628 crores, a 39% year-on-year growth with margin improving to 13.2%. PAT also turned positive in Q4 and for the full year, reflecting improved profitability and execution. Overall, the performance reflects our focus on disciplined growth, margin expansion and stronger bottom line outcomes.

As you can see in Slide 25, despite a challenging external environment, we have delivered consistent operational margin expansion over the last six quarters. Operational EBITDA improved to 15.1% in Q4 FY26, driven by higher utilization, a stron ger product mix and operating leverage.
While U.S. tariff headwinds have meaningfully moderated from peak levels, adding margins, we are seeing new near-term cost pressures from geopolitical disruption driven by war in West Asia, particularly impacting helium and polymer inputs. Despite these headwinds, our structural margin profile continu

es to expand in line with our guidance of 20% at reported level by end of the current fiscal.
On segment side, Telecom and Citizen Networks remains the core contributors, while enterprise and data centers moderated to 19% in FY26, primarily due to decline in our copper business because of higher LME prices.
Looking ahead, with accelerating AI data center investments and pipeline visibility, we expect the Enterprise and Data Center segment to scale up to 30% of revenues in the current fiscal. From a geographic standpoint, our revenue mix continues to diversify. North America share increased from 25%
in FY25 to 39% in FY26, while Europe remains a significant contributor at 40%.
This balanced regional footprint reduces concentration risk and positions us well to capture growth across key global markets.

Moving to the order book. We have seen strong momentum this fiscal. Our open order book stood at INR 7,309 crores in FY26, up 67% from INR 4,378 crores in FY25, reflecting healthy order inflows and strong market confidence.
Of this, INR 1,468 crores are slated for execution in Q1 FY27, while the remaining order is scheduled for execution over Q2 FY27 and beyond. This robust order pipeline provides strong revenue visibility and reinforces our growth outlook for the year.
On Slide 28, we have shared abridged snapshot of our reported numbers for your reference. Net debt stands at INR 1,128 crores with debt to equity of 0.5x and net debt to EBITDA at 1.3x, comfortably below our earlier target of 2x with a revised ambition of moving below 1.2x.
Turning to our IT services business, STL Digital for FY26. Digital revenue closed at INR 284 crores compared to INR290 crores last year, while EBITDA improved meaningfully to INR 3 crores, reversing a loss position in FY25. This demonstrates our clear focus on sustained profitable growth rather than scale

at any cost. In Q4, we added a new U.K.-based health care client expanding our footprint in data engineering, analytics and product services. With nine new customer logos added in FY26, our total customer base now stands at 35.
With this now, I hand it over back to Ankit for updates on our social responsibility initiatives and closing remarks.
Ankit Agarwal: Thank you, Ajay. STL CSR initiative s continue to create a strong measure impact across health care and education. This is all aligned with our philosophy that we must give back to society in which we operate. Our flagship health care program, Swashthya Suraksha won the Best Rural Healthcare Initiative for the year 2025 at the Indian Social Impact Awards recognizing its sustained contribution to rural and tribal health care.
And the education, the RoboEdge program received the Best Education Support Initiative of the year 2025 at the Indian CSR Awards for advancing STEM learning and innovation. RoboEdge students also excelled globally at the International Robotex Championship 2025, winning multiple podium positions. Nine students representing India showcasing talent teamwork and innovation, reflecting India's commitment, STL's commitment to build a stronger future-ready society.
At STL, sustainability is simply central to our purpos e. We are proud to hold ‘Synesgy A rating’ and are committed to achieving net zero emissions by 2030.
Our strategy is built on three pillars. Environmental sustai nability. Since FY19, we have diverted 282,000 me tric ton of waste, recycle d almost 11 million cubic meters of water and reduced over 440,000 tons of carbon through energy efficiency. Over 36% of our procurement is local, and we partnered with Hygenco's advance green hydrogen successfully.
Social responsibility. Aligned with the 16 UN SDGs, we have positively impacted 920,000 plus lives through education, women empowerment and health care, al ongside installing 4,500 kilowatts of solar capacity. Strong governance. With 2 big 4 auditors and robust governance committees, we have earned 100-plus ESG awards since FY19. Notably, STL is the world's first optic fiber manufacturer certified with Zero Liquid Discharge and Zero Waste-to-Landfill, setting a true industry benchmark.
Let me close now with our focus areas. Our goal is driving technology and cost leadership, growing its market, in focus markets, increasing connectivity attach rates and rapidly scaling the revenue contribution from our data center

business. This strengthens STL as a clear enabler of global digital infrastructure.
With this, I will close my opening remarks and hand over to the operator to open the floor for questions. Thank you.
Moderator: The first question is from the line of Aniruddha Pandhare from Param Capital.
Aniruddha Pandhare: Can you give us some in dication on the cu rrent utilization levels and any sort

of guidance going forward?
Ankit Agarwal: I would not comment on specific utilization, but broadly, it's improved slightly. As I said, we have called it out. We continue to have constraints with some of our raw materials. And we do expect those constraints to reduce quarter-on-quarter as I have been stating. So it is more of the same.
Aniruddha Pandhare: Okay. And I mean, an extension of that question probably since you mentioned raw materials. Any update on the germanium or helium? We had seen significant, I believe, cost inflation there as well?
Ankit Agarwal: So the costs continue to be quite high or very high. But as I said, more importantly for us is getting the availabi lity itself. And that is something that continues to be a challenge, but we do expect it to improve quarter-on-quarter.
Aniruddha Pandhare: So how, I mean, is there a number sort of how far ahead do we have the sort of the stocks, maybe is it two quarters, three quarters, four quarters?
Ankit Agarwal: Yes. I mean we, as I said, we have some amount of volume for the rest of the year. It's about optimizing and getting more so that we can further utilize our factories. So there is some good amount of base we have, and we are continuing to try to get more.
Moderator: The next question is from the line of Aman Saif ee from Stallion Asset.
Aman Saifee: I just wanted to understand on the recent QIP approval. Is this purely enabling resolution to maintain capital raisin g flexibility or is there any funding requirement already identified? And also on the context on the recent capital infusion from the parent level, how should we think about the incremental capital needs for Sterlite Tech?
Ajay Jhanjhari: So I will answer in two parts. The firs t one on the fundraising. So this has always been an enabling resolution which we take year-on-year basis. So this year also, this needs to be considered as an enabling. Right now, there are

certain capex plans which we are having. We do expect that in near-term we will focus on our technology leadersh ip and upgrading our asset base to support high-value data center portfolio offerings, which can have an approximate investment of INR 500 crores.
Aman Saifee: And sir, my second question would be the kind of tailwind we have been hearing on the data center. How should we look at our growth numbers since our order book itself has gone up significantly this quarter? So growth rates and probably the margin guidance, if you can provide for next year?
Ankit Agarwal: Actually, we do not provide this kind of guidance. As we have been sharing, we are very focused on both the data center segment and the telecom segment. As Ajay said, we are looking at a capex of about INR 500 crores. So as you can appreciate, that is happening on the back of our understanding and visibility of the market and the opportunities. So broadly, I would say that we continue to remain excited abo

ut the opportunities, and we are focused on capturing more and more share of this market.
Moderator: The next question is from the line of Nikhil from Nuvama.
Nikhil: Ankit, I have one question for you and one for Ajay. So Ankit, basically, I need some color if you can provide the strong order book this quarter, was it volume driven purely or you have seen improvement in realization? As well as if you can quantify contribution from data center within this, if possible?
Ankit Agarwal: Nikhil, I cannot give you color. I will have to be black and white. But in seriousness, the data center contribution. So we do not break that out. I think we have called out broadly the data center and enterprise. As you can see the absolute number is growing and we did have slightly lower copper sales. So overall, it is in the right direction. And I think as we have discussed and we have shared on these calls, we continue to work on securing long-term contracts and relationships, both with telecom operators as well as data centers. So that is moving in the right direction.
Nikhil: Second for Ajay. Ajay, I think you have commented two incremental points. But it is, I think you upfronted the guidance of reaching 30% from enterprise data center compared to earlier guidance of 12 to 18 months. And second, you also, I guess, if I heard you correctly, you mentioned that by end of this year, Q4, you will achieve 20% in EBITDA margin. So just wanted to un derstand the lever for the margin and what changed in what quarter which gives you confidence

of upfronting this guidance?

Ajay Jhanjhari: So, these are interlinked, Nikhil, if you see in proportion to our increase in the data center revenue, we are going to witness a good jump in the margins as well. In all our assumptions, we have kept the tariff at the current rate. That is something which we will have to adopt going forward. But right now, if we achieve that 30% rate, which looks like if we do the right execution, we can reach there. So we do target to have it by the end of Q4, the margins which I have mentioned.

Moderator: The next question is from the line of Rahil Dasani from MAPL.

Rahil Dasani: A few basic questions to begin with. What is our IBR capacity as of date? And what are our plans to increase it, if any?

Ankit Agarwal: Sorry, Rahil, we do not disclose capacity.

Rahil Dasani: Got it. Okay. Would you be able to share how much of our total preform requirement do we buy from outside as of date? And how much will this increase to as and when we start utiliz ing optimum capacity of 80%, 85%?

Ankit Agarwal: Sorry, Rahil, we do not disclose any of these things.

Rahil Dasani: Got it. Okay. So maybe what we can try is on the hyperscaler side, why is the hyperscaler and DC sales volumes not picking up as much for us, while our global as well as local peers are scaling up very well and shifting majority capacities to reach demand? Are we seeing any product quality issues, especially with the 1,728 and 3,456 fiber count and hence, we are not getting approved by the hyperscalers?

Ankit Agarwal: Rahil, I do not know what to say. None of these things exist, what you mentioned. We are very well placed with the data center and telco business, and I think we have grown quite a lot.

Moderator: The next question is from the line of Saurabh Jain from Sunidhi Securities.

Saurabh Jain: My first question is leading Q4, OFC prices have witnessed a very sharp increase, particularly from late December or early January, so how has been the trend in the realizations off-late across standard OFC and high frequency data centers cables? How is the difference in sizes and what's the delta in margins playing out likely? And how are we going to evolve the mix in our favour?

Ankit Agarwal: Thank you. I was kind of rei

terate what we have been saying through previous calls. We do not play in the spot market and we do not sell in the spot market. We are very, very focused on long-term contracts with our select customers globally, particularly in Europe and U.S. an d in India. So that is how we look at it. Of course, at any point, if, for example, raw materials or freight or anything is going up and down or tariff, then those are conversations we have with our customers, and we look to see how we can adjust those things.

I am aware that the fiber optic prices have increased particularly in China and in some other places. But we are not selling for many of these applications or to these spot opportunities. At a macro level, I would say that, yes, the margin profile of selling to the data centers is better. And these are very, very advanced and patented products that we create. And more and more of what we sell to this market will be an end-to-end solution, thereby improving our profitability going forward.

Saurabh Jain: Also, if you can talk about the pipeline and conversion pipeline of large hyperscalers deal, are we moving towards any multiyear capacity reservation agreements like our global peers, what we heard yesterday on the conference call, Corning mentioned after Meta they have signed with two more such similar size and similar tenure deals. So can we expect something like that? Are we in talks with any of these hyperscalers?

Ankit Agarwal: Yes. I mean I won't comment on any specific names or what our competition has done. We continue to remain very focused and quite excited about securing long-term contracts, both with telecom operators as well as data

center companies. We are making good progress, both in terms of our conversations as well as in terms of our product portfolio and readiness. So yes, I would broadly say we are quite well placed. And accordingly, as we make progress, we are happy to share that with you.
Moderator: The next question is from the line of Akshat Mehta from Seven Rivers Holding.
Akshat Mehta: My first question is on the margin, sir. So given that this quarter has seen impact of the U.S. tariffs coming down, how should we look at margins going forward when the full impact of the U.S. tariff coming from 50% to 15% will come? Should it be similar or should be probably higher?
Ajay Jhanjhari: So the last quarter, at least in Q4, there was a slight impact only because of the reduction in tariffs because we need to sell goods in advance to our subsidiaries and all. Going forward, in Q1, there will be a positive impact on

account of tariffs, while our revenue is expected to increase further from U.S. operations. But there is one more counterpart to it, which is the cost, which is increasing significantly due to this war issue. So broadly, there will be an improvement in the overall margin profile, but that won't be similar to what we are reflecting here , like it will have some impact of the cost increase as well.
Akshat Mehta: Okay. Should it be at simila r levels to what is in Q4?
Ajay Jhanjhari: It should be, while I cannot give any guidance on that, but it should be on an improving stage from Q4.
Akshat Mehta: So I just wanted to double check on the thing that you said that you do not really sell in the spot market. So what is kind of stopping us from diverting a few million kilometers of ca pacity to sell in the spot market, except for on a principal basis or on a value basis to take advantage of this opportunity?
Ankit Agarwal: I mean, look, I think, we have been in this business for 30 years. I have been in this business 16 years. And I think our learnings from that is that what you want to really make sure and go out of the way is that you are having a large portion of your business, catering to the right kind of customers who are building and co-developing with you in terms of pro

ducts, and it is truly a long-
term partnership. So that's the philosophy we have chosen.
And it requires a certain amount of discipline because it's easy to get excited about some of these spot prices. But we have chosen that path of discipline, focus on R&D and creating long-term value. That's the reason.
Moderator: The next question is fr om the line of Pushkar Jain from Mili Capital.
Pushkar Jain: Sir, we were actually looking at the PPT of OmniCure so they had some exclusive tie-up with for germanium. So is that, is their entire capacity enough for us or we need more? And is the supply started for the same?
Ankit Agarwal: Sorry, I think for confidential reasons, we cannot share where we stand on this or our suppliers. It is an important raw material like helium and some others, and we continue to take strategic actions.
Pushkar Jain: Okay. And post this capex, can you at least tell what will be our capacity for OFC?
Ankit Agarwal: Sorry, we are not going to be disclosing capacities going forward.
Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Congratulations for a good set of numbers. Sir, my first question on the data center side, I think we are launching advanced products like Neuralis, hollow core fiber, G654, I think many products are under pipeline. But if you look at on the international market, big players are taking billion orders, especially for data center and generative AI and enterprise side. So I am trying to understand whether is there any active pipeline or RFQ we have, even these data center hyperscaler customers, they are willing to fund and they are willing to risk sharing agreements?
They are more aggressive on building data centers, especially for our AI side. So I am trying to understand whether our products like how we are getting orders, whether we have a pipeline of $1 billion orders, especially long-term, maybe 3-5 years time frame? If you could share your thought process on the

industry levers and how our products fit into the market.
Ankit Agarwal: Thank you. I think broadly, I would say that we have done some good work. I am very proud of our team in terms of the product portfolio we have created.
Neuralis is truly cutting edge what we have launched, and it is truly a great solution that we believe will serve the data center world. I think we are well placed, I think, in terms of our portfolio, in terms of the work that we have done.
And we do have some good customers. We are working well with them in terms of looking at their long-term requirements. And as we continue to make progress and as we continue to grow with them, we will continue to update you.
Moderator: The next question is from the line of Sunny Gosar from MK Ventures.
Sunny Gosar: Congratulations on a good set of numbers. My question is on the optical interconnect segment. So we have seen some, in my understanding, some stagnation in the revenue in FY26. But if we have to say, look at the next two to three years, how should we look at this segment in terms of the growth trajectory? And earlier, we used to look at 50% attach rates. So how are we thinking about that now going forward?
Ankit Agarwal: Yes. Thank you, Sunny. And look, I think structurally, yes, the attach rate percentage-wise has come down. But I think it is largely a timing and mix-related factors. There is no change in structural demand. I think we have been working hard on this for a few years now building our product portfolio. We have also been working closely with customers to co-develop it for them. So I do see this that at least on an absolute basis, the revenue should continue to increase over time.

There are also certain connectivity products that are required for the data center segment, which we ar

e evaluating and looking at. So I think combined both of these, what are the attach rates required for the home portfolio, home connectivity as well as data center connectivity, I do see this growing year-on-year going forward.
Sunny Gosar: And the rate of change will be visible in the near-term or this will take some time in terms of starting to reflect on the revenue growth?
Ankit Agarwal: I'll say broadly over the year, you will see the growth. It's tough to kind of predict the timing because of the approval process and cycle. But we are making progress quarter-on-quarter for sure.
Sunny Gosar: Sure. And my second question is more on the medium-term outlook. So historically, we have seen cyclicality play a role in the optic fiber demand. So based on our past learnings across cycles, like how are we looking to reduce or rationalize that risk of cyclicality? And how successful have we been in terms of getting some long er tenure contracts, better visibility over , say, two to three years?
While we see that the near-term demand remains robust, but assuming that there is some slowdown or some cyclicality in the demand, how are we looking to kind of reduce that risk per se?
Ankit Agarwal: Yes. I think both, I would cover it in three ways. Like one, I think at a principal level, we do strongly believe that these are kind of multiple tailwinds in parallel.
You've got 5G, 6G coming up in a couple of years, then you have got fiber-to-the-home. You have got rural massive con nectivity that will happen with BEAD, BharatNet and everything else. Then you have got optic fiber for drone applications, which I think are currently in a couple of places, but could spread further. And then you have got this kind of multifold growth because of the data center side.
So at some level, we do believe that these are tailwinds over a longer period of time, number one. And it is not just the telco up and down cycle that we are dealing with. So that gives us some level of confidence. But I think to your point, I think it's back to what I have been sharing so far is that we are very, very focused on the longer-term contracts rather than playing in the spot market or trying to make a quick buck. And we do expect that we will make good progress on this quarter-on-quarter.

Moderator: The next question is from the line of Saket Kapoor from Kapoor & Company.
Saket Kapoor: Sir, firstly, pertaining to this Prysmian cables litigation, what is the last we have heard on the same? And any date that we have for the litigation or at what stage are we? And sir, secondly, in continuation to the tariff part, we have also seen that the U.S. government has been asked to reverse the amount which they have collected as tariff. And I think so we have paid tariff on the sales that we have done to the U.S., the geography of U.S. So where are we in terms of these two aspects?
Ankit Agarwal: Yes. Thank you. So I think on the legal matter, we had filed our appeal in September 2025. So that's where it is, that's progressing. As I said, we continue to believe we have a very strong case. And we do hope for a favorable outcome in that matter.
And I think in terms of the tariff rebate, you are right, there is a process that's got kickstarted in the U.S. for repayment of tariff to the importer on record. And to that extent, we will follow that proc ess, but we cannot give a clear timeline right now of when and how much of those refunds will come. We can probably update you in the next earnings call.
Saket Kapoor: But sir, what amount we have paid as tariff is there with you so that you can share. Whatever is the refund that will happen in due course, but you can share the amount at least how much we have paid as tariff. I think the 6% to 7% of EBITDA was negative because of this, if I remember correctly, in the last quarter or the before quarter wh

en the tariffs were at 50%?
Ankit Agarwal: I think broadly, it will be north of INR 100 crores.
Saket Kapoor: Sir, in case the judgment comes, do we have any other option to appeal higher? Or what would be the process going ahead with the Prysmian part, I think so that's a huge liability of $100 million. So, what would be the next step?
Ankit Agarwal: Yes, there's, in fact, two more steps. One, currently, this is in a bench of three judges. You can then appeal to ask for all the judges to be present and to again evaluate the matter. If again, after that, then again, we can appeal to the Supreme Court. So there are two more stages so-called after this.
Moderator: The next question is from the line of Tej Patel from Niveshaay.
Tej Patel: Congrats on a good set of numbers. Bringing back to the earlier participant's question, I know we have been in discussion with the hyperscalers since along

and you are making good progress, right? But given our capabilities, and I am just trying to understand there should be some progress made, right? And I just wanted to understand what could be the timelines where we can look to close this let's say, orders or deals or any LOIs with the hyperscalers because almost like three to four months, we are into discussion and then we have, I mean, let's say, domestic peers, global players getting those orders. So just wanted to understand what are the timelines on these orders? Are we facing any problems on that side?
Ankit Agarwal: No, as I said, at least I do not think we are facing any orders. We are continuing to expand our product portfolio that can serve this market. And we have got good feedback from our customers. We continue to get orders from them. And we are, as I said, we are making good progress with the hyperscalers in terms of what could a longer-term partnership be. So that is the conversation that is going on.
Tej Patel: Okay. And sir, are we at least in the testing mode of our products with the hyperscalers?
Ankit Agarwal: So I think we already shared last quarter, we are actively now supplying into this market.
Tej Patel: Got it. And sir, I think we were upgrading our line to the IBR for higher fiber count. Is the capex on track? I think it was supposed to get live by June 2026, right?
Ankit Agarwal: We do not comment about specific product lines, etc. So I would not be able to comment on that.
Moderator: With this, we conclude our call. I would now like to hand the conference over to the management for closing comments.
Ankit Agarwal: Thank you, everyone, for taking your time to hear us out. We remain excited

and motivated to drive this business forward and to unlock its full potential.
Through our efforts, we see a tremendous opportunity to connect the unconnected across the world and especially here in India. We truly believe STL is well positioned to play a pivotal ro le in building the digital infrastructure of the future and of our country.
We are happy to take any questions of yours. For any queries or qualifications, you can reach out to our Investor Relations team, Ajay and I will both be

available. Once again, thank you for your time and your continued support. Jai Hind.
Moderator: Thank you very much. On behalf of Sterlite Technologies Limited, that concludes this conference. Thank you all for joining us today. And you may now disconnect your lines.
(This document has been edited to improve readability)

Call: Jul 2026

www.stl.tech

Sterlite Technologies Limited
Registered office: 4th Floor, Godrej Millennium, Koregaon Road 9, STS 12/1, Pune, Maharashtra- 411 001, India.
CIN - L31300PN2000PLC202408
July 28, 2026

National Stock Exchange of India Limited
Exchange Plaza, 5th Floor,
Plot No. C- 1, G Block,
Bandra Kurla Complex, Bandra (East)
Mumbai - 400 051

Scrip ID - STLTECH
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.
Scrip Code - 532374
Sub.: TRANSCRIPT OF EARNINGS CALL - FINANCIAL RESULTS Q 1FY27
Dear Sir/Madam,

In furtherance of our letter dated Ju ly 16, 2026, please find enclosed transcript of earnings call held on July 24, 2026 in respect of Company's Q 1 FY27 financial results.
The same is also being hosted on the website of the Company and is available under the tab ' FINANCIAL RESULTS - INVESTOR EARNINGS TRANSCRIPT' at: https://stl.tech/wp -content/uploads/2026/07/Transcript -July-24-2026.pdf

Kindly take this on record .

Thanking you.

Yours faithfully,
For Sterlite Technologies Limited

Mrunal Asawadekar
Company Secretary & Compliance Officer
Membership No.: A 24346
Encl.: As above.

"Sterlite Technologies Limited
Q1 FY27 Earnings Conference Call "
July 24, 2026

MANAGEMENT : MR. ANKIT AGARWAL – MANAGING DIRECTOR – STERLITE TECHNOLOGIES LIMITED
MR. AJAY JHANJHARI – GROUP CHIEF FINANCIAL OFFICER – STERLITE TECHNOLOGIES LIMITED
MR. RAHUL DARAK – HEAD, INVESTOR RELATIONS – STERLITE TECHNOLOGIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Sterlite Technologies Limited Q1 FY 27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the management's presentation

concludes. Please note that this con ference call is being recorded.
I now hand the conference over to Mr. Rahul Darak, Head of Investor Relations. Over to you, sir.
Rahul Darak: Thank you. Good day, everyone, and welcome to STL's Q1 FY 27 Earnings Call. To take us through the results and answer your questions today, we have with us STL's senior management represented by Mr. Ankit Agarwal, Managing Director; and Mr. Ajay Jhanjhari, Group CFO.
Before we proceed with the call, let me remind you that the discussion today may contain forward -looking statements that may involve known or unknown risks, uncertainties and other factors. It must be viewed in conjunction with our business risks that coul d cause future results, performance or achievements to differ significantly from what is expressed or implied in s uch forward -looking statements.
Please note that we have uploaded the results and earnings call presentation on STL's website, and the same is available on the stock exchanges. We'll start the call with a brief overview of the quarter gone past an d then conduct the Q&A session.
With that said, I will now hand over the call to our Managing Director, Mr. Ankit Agarwal.
Ankit Agarwal: Thank you, Rahul. Good day, everyone. Thank you for joining STL's Q1 FY 27 Earnings Call. I'll begin by highlighting the key takeaways from our investor presentation, and then Ajay will walk through the financials. STL is a global leader in digital connectivity infrastructure, serving data centers, telcos, citizen networks and large enterprises.
Our optical connectivity solutions spans fiber to fiber cable, specialty cables and connectivity solutions. We are India's number 1 end -to-end optical manufacturer with 9% optical cable market share outside of China. With over 30 years of leadership, more than 785 patents and 10-plus zero waste to manufacturing facilities worldwide, STL is leading the next wave of global digital infr astructure.
At STL, we are amongst the very few companies in the world to have mastered the journey from glass to gigabit. It starts with the purest grade of silicon, which we transform through advanced processes like silicon tetrachloride formation, chemical vapor de position and high precision sintering to create ultrapure glass preforms, which is the backbone of optical fiber.
From there, we draw the highest grade fiber, design high-density cables and develop reliable connectivity products that power data centers and telecom networks worldwide. This full stack integration right from raw material to network deployment gives STL a unique edge in quality, cost efficiency and innovation across the connectivity value chain.
This deep integration enables us to engineer next -generation fiber, cable and connectivity solutions that are redefining global connectivity. Our end-to -end innovation from material

science to smart optical systems help global network builders create faster, denser and more reliable networks for the AI era.
As we step into FY 27, our core strategic priorities have evolved and are delivering tangible results. Beyond driving market share and attach rates in our core optical business, we are actively pivoting towards increasing our revenue share from integrated connectivity soluti ons in partnership with key customers.
With data centers emerging as a critical growth engine for the entire industry, we're sharply focused on scaling this segment underpinned with our continued technology leadership. This commercial momen

tum, paired with our disciplined focus on operational a nd cost efficiencies will drive margin expansion as we head into the rest of the fiscal year.
Moving on, we'll now speak about the industry tailwinds and the growing market opportunity. As you all know, we are at the intersection of 3 powerful multiyear investment cycles, FTTx, Data Centers and 5G/6G networks, creating a strong structural tailwind for optical infrastructure.
FTTx is accelerating globally with deployment rising from 151 million fiber kilometers in 2025 to about 171 million fiber kilometers by 2030. In the U.S. alone, more than 140 million homes will be served by fiber by 2030, supported by large government prog rams like BEAD in the U.S. and BharatNet in India.
Data centers are the fastest -growing driver of fiber demand. CRU projects a massive 63% global growth in optical cable demand from this segment in the year 2026 alone, driven by hyperscale expansion and AI workloads. North America installed DC capacity is expected to double from 63 gigawatts in 2025 to 126 gigawatts by 2030.
Morgan Stanley Investment Bank has again upgraded their forecast on hyperscaler capex from $765 billion to $805 billion, increasing the TAM of our optical connectivity. Concurrently, the scaling of 5G and 6G networks demand deep network densification with global 5G subscriptions expected to hit 6.4 billion by 2030.
India's 5G subscriptions expected to hit 1.1 billion by 2031 and then the global 6G subscriptions forecasted to cross 180 million by the end of 2031, which is about 4 to 5 years away. Together, these 3 cycles are creating a structural multiyear tailwind fo r fiber and connectivity solutions,

positioning STL at the center of the next global digital infrastructure build-out.
Next, on Slide 10, you will see how some of the big global telecom and technology giants are aligned in backing optical fiber as the base of digital future across 6G broadband data centers and the AI infrastructure. The takeaway is simple. Fiber remains as the core backbone of all the digital infrastructure coming up.
Moving on to Slide 11. It shows how the AI revolution and rapid data center expansion are creating a once-in -a-generation opportunity for optical connectivity. As for McKinsey, a consulting firm, by 2030, 70% of data center demand will be AI -led, driving a sharp increase in capex and infrastructure intensity.

GPU architectures are rapidly shifting from 400 gig to 800 gig and going all the way to 1.6 terabyte speeds where copper reaches a bandwidth threshold and fiber becomes even more essential, increasing our TAM by 10 billion for optical connectivity.
Simultaneously, AI workloads are creating dense fiber interconnections, signi ficantly increasing fiber per rack and every new data center added exponentially multiplies this demand. This is not just a matter of scale. It's a step change in fiber intensity. With STL's Neuralis end -to-end AI DC portfolio, STL is uniquely positioned to capture this multiyear struc tural growth opportunity.
Coming to India data center environment. Data center expansion here in India is emerging as one of the most compelling structural tailwinds for optical fiber. Installed capacity is set to grow almost sevenfold, expanding from 1.6 gigawatts currently to alm ost 10 gigawatts by 2031, as per Morgan Stanley.
What makes this investment cycle particularly powerful is the breadth of commitment going from hyperscalers like Google, Meta, Microsoft, which are deploying tens of billions of dollars on their side. We also have the Indian conglomerates like TCS, Adani and Reliance laying out long-term capacity plans.
Over the last quarter itself, we have seen new announcements coming from the likes of Meta and Reliance with their massive 3 gigawatt deployment plans in India. We've also seen Australia's AirTrunk coming in with almost,

again, a multibillion -dollar commit ment in Maharashtra and Andhra Pradesh to build close to 5 gigawatts of data center capacity.
A supportive policy environment state incentives, tax incentives, power availability and the holiday -- tax holidays that extended up to 2047 are further derisking and accelerating the build-out in India. Every dollar of data center capex has a direct multiplier on fiber intensity across DCI, metro and long -haul networks.
With optical cable demand projected to grow at 11% CAGR through 2030, this is not a cyclical uptick, but a durable high visibility growth opportunity playing out in our home market in India.
As for CRU, the global cable demand market for this year has strengthened significantly and is projected to accelerate to 8.2% year -on-year, led mainly by North America data center build -out and improving execution in India.
Importantly, demand now consistently outpacing domestic supply in North America and on the lead times that are continuously getting tight. Looking ahead, North America is set to be the main growth engine powered by AI -led data centers, data center intercon nect builds and continued FTTH expansion.
CRU expect to deliver the strongest regional CAGR of 18.6% between now and 2030, a major upgrade against earlier forecast of 15% CAGR. Overall, this points to sustained multiyear up cycle in fiber demand with North America and APAC, ex -China, which are all core focus areas for STL, which are driving growth.

We are also seeing positive momentum in India, Southeast Asia and parts of Europe, which are closely aligned with our strategy. We are successfully seizing new market opportunities, a trend that is clearly demonstrated by record -breaking order intake this quarter.
In quarter 1 alone, we secured orders worth INR 13,100 crores, which is 1.7x the total order wins of INR7,687 crores recorded in the entire financial year last year. The momentum is anchored by a landmark multiyear $1.1 billion deal with a global hyperscaler to supply optical connectivity products for next -gen AI data centers through FY 29.
Furthermore, we secured multiple $100 million hyperscaler orders for our high fiber count IBR cable solutions. Alongside these hyperscaler wins, we also expanded our footprint in long-haul applications by securing a strategic order with a major connectivit y infrastructure provider.

Importantly, our order book today is well diversified, reflecting a healthy mix of order intakes from all customer segments and product categories across regions.
Innovation continues to be a key differentiator for STL. And this quarter, we made significant technology strides to power the AI and hyperscale data center era, more of which you will see in the coming slides. Building on the momentum of Neuralis, our fla gship AI era data center portfolio, we achieved US Conec certification for delivering MMC pre -terminate solutions to hyperscale customers.
Crucially, we are pleased to share that we have secured definitive victory in a European patent dispute with Fujikura, and this matter has now been conclusively resolved in STL's favor. This effectively brings the U.K. litigation related to our Celesta cab le family to a close.
This removes all legal uncertainty around these products and fully covers the path for our data center and telecom business. Our product development engine was also highly active this quarter. In optical connectivity, we launched CONCAT, a spliceless plug -and-play solution designed for dramatically lowering the FTTH installation costs.
Our innovative engine is backed by a deep IP portfolio of more than 785 patents with 9 new filings this quarter, and we have been recognized through multiple global awards. Overall, these advancements reinforce our position as a technology leader, building future -ready capabilities and align closely with our

AI cloud and high-performance network demands.
Turning to our product portfolio. We're making tremendous progress with Neuralis, our purpose - built portfolio for the AI era of data centers, which addresses 2 mission-critical needs, AI white space connectivity and high-speed DCI, where fiber density spee d and simplicity matter the most.
A major milestone this quarter is that we have achieved the elite US Conec certification for MMC Pre -Terminated solutions, delivering a massive 3x increase in cable density over traditional layouts to support high -density AI workl oads.
With this certification, STL becomes the few global players offering certified MMC pre-terminated fiber trunks, array cords and assemblies, significantly strengthening our portfolio and directly addressing cable congestion for hyperscalers scaling to 800 gig and beyond.

By leveraging STL's fully integrated integration, Neuralis enables faster deployment and massive GPU clustering. It reduces deployment complexity and accelerates the time to service.
Supported by our local manufacturing facility in South Carolina, this launch strengthens our position in the U.S. with both the hyperscalers as well as the upcoming Neoclouds providers.
Slide 18 highlights STL's leadership in the next -generation optical fiber portfolio. It directly addresses the optical physics demands of the AIDC era through 3 flagship technologies. Firstly, our G.654.E fiber now fully commercialized and deliver 30% lowe r signal loss.
Second, Hollow -Core Fiber, which cut latency by up to 47% to accelerate AI data center interconnect. And finally, our award-winning multi -core fiber, which expands our data capacity between 4 to 7x with the same footprint.
With the successful real -world deployments of multi -core fiber already underway in India and the U.K. alongside partners like C -DOT, IIT Madras and Colt in the U.K., this firmly positions STL to power the high- density ultra -low latency infrastructure requi red for tomorrow's AI workloads.
Moving to market -led innovation, CONCAT is redefining U.S. FTTH deployment economics for new builds, expansions and overbuilds. By shifting fiber preparation to controlled factory environments, its true plug-and -play modular MPO to LC architecture enables completely spliceless installation.
This slashes labor cost by up to 71% and by eliminating the field splicing and reducing reliance on skilled labor. Already field validated with top -tier U.S. telecom operator and recognized by the Lightwave Innovation Awards, CONCAT delivers faster time to revenue with significantly fewer truck rolls and lower operational risk.
Strategically scaling CONCAT allows us to drive higher attach rates for optical connectivity with our fiber cables expanding our revenue and deepening our margin profile with key U.S. customers. On market position and attach rate trends, our Global ex-Chin a OFC market share increased to 9%, demonstrating our resilient execution and steady market expansion despite broader environmental challenges.
On optical connectivity, we are pleased to share that our attach rates have increased to 16% on a much larger OFC revenue base compared to 15% last year. The long -term opportunity in connected remains robust as the portfolio expands, and we continue to suc cessfully pivot towards selling higher -value integrated solutions rather than stand-alone products.
Looking ahead, we are focused on further increasing our attach rate to above 20% from next

quarter onwards and to 25% by the end of this financial year. Taken together, this shows that our core OFC business remains solid and our attach -led growth strategy getting clear traction in coming quarters.
Now I will hand over to our CFO, Ajay, to take you through the financials.

Ajay Jhanjhari: Th

ank you, Ankit, and thanks to everyone for joining us today. I'm happy to take you through our financial highlights for Q1 FY 27, a truly historic quarter where STL delivered its highest ever performance across revenue, EBITDA and PAT. Revenue reached INR 1,910 crores, representing an extraordinary 87% year -on-year growth.
On profitability, having previously guided for a 20% EBITDA margin by the end of FY27, I'm proud to share that we delivered on this right here in Q1 with INR 397 crores in EBITDA, which is up 184% year -on-year. We are now revising our EBITDA margin guidance upward to 23%.
Finally, PAT came in at a record INR 197 crores, reaching 10% of revenue, our highest PAT margin ever, which represents a massive 3.5x expansion over full year of FY 26 PAT. Overall, this performance reflects our unwavering focus on disciplined growth, margin expansion and stronger bottom line outcomes as we enter the new financial year.
On the segment side, while Telecom & Citizen Networks continue to be a core pillar, our Data Center segment saw a strong growth, contributing 21% this quarter, up from 1% in FY26.
Looking ahead, we expect the combined data center and Enterprise segment to scale up to 50% of the revenues in the current fiscal, well above the 30% guidance provided in our previous earnings call.
From a geographic standpoint, our revenue mix continues to reflect strong global momentum. North America share expanded significantly to 54% in the current quarter, up from 39% in FY 26,
driven by robust demand. Europe contributed 25%, while the rest of the world held steady at 22%.
This balanced regional footprint reduces concentration risk and positions us well to capture growth across key global markets. Moving to the open order book. We have seen strong momentum this fiscal. Our open order book stands at a record high of INR 18,618 crores, up 2.4x from the last quarter, reflecting healthy order inflows and a strong market confidence.
Of this, INR 2,228 crores are slated for execution in Q2 of FY 27, while the remaining INR 16,390 crores is scheduled for execution over Q3 FY 27 and beyond. This robust order pipeline provides strong revenue visibility and reinforces our growth outlook for the year.
On Slide 26, we have shared an bridge snapshot of our reported numbers for your reference. On balance sheet, the net cash balance stands at INR 483 crores, achieving the status of net debt -free
company. Additionally, I'm glad to share that strengthened balance sheet position is now reflected through CRISIL's revised rating outlook to stable and ICRA upgraded the rating to AA
Stable.
Moving on to our capital structure. STL successfully completed a landmark QIP of INR 1,500 crores to fund our next phase of growth. The issue received strong market reception with the book being subscribed more than 2.5x, strengthening our institutional holdings to a fresh historic high of 33%. We witnessed robust participation from leadin g domestic and global institutional investors, including marquee names such as Nomura, HSBC, Motilal Oswal and Bank of India, among others.

We are allocating 75% of proceeds towards reduction of debt, while the rest of it going towards general corporate purposes. This successful capital raise significantly strengthens our financial foundation as we execute our long -term road map.
With this, now I hand it over back to Ankit for updates on our social responsibility initiatives and closing remarks.
Ankit Agarwal: Thanks, Ajay. STL CSR initiatives continue to create deep, lasting and measurable impact across health care, education, women empowerment and environmental sustainability. In education, the Indian CSR Award winner RoboEdge program has scaled to over 12 schools and 10,000 students, equipping them with NextGen Robotic skills.
In women empowerment, our Jeewan Jyoti initiative has

trained over 6,500 women in vocational
skills. We remain firmly committed to driving sustainable growth and building future -ready communities. Our flagship health care program, Swasthya Suraksha , has now impacted 27 lives

across -- 27 lakh lives across Maharashtra and expanded its footprint into Silvassa.
At STL, sustainability is central to our purpose, and we are proud to hold a synergy A rating and are committed to achieving net zero emissions by 2030. Our strategy is built on 3 pillars: environmental sustainability. Since FY 19, we have diverted 286 lakh metric tons of waste, recycled almost 11.6 million cubic meters of water and reduced over 45,600 metric tons of carbon dioxide equivalent through energy efficiency.
Over 32% of our procurement is local and our partnership with Hygenco for advanced green hydrogen and oxygen plant has been commissioned and successfully start supply. We're also actively looking at enabling all our operating footprints to be sourcing gree n energy.
In terms of social responsibility, we're aligned with the 16 United Nations SDGs, and we've positively impacted more than 920,000 lives through education, women empowerment and health care alongside installing 4,500 kilowatt power of solar capacity.
Strong governance. With the two big four auditors and robust governance committees, we earned 100-plus ESG awards since FY 19. Notably, STL is the world's first optical fiber manufacturer certified for zero liquid discharge and zero waste to landfill, setting a true industry benchmark globally.
Let me close with our focus areas. Our goal is to keep driving technology and cost leadership, drive sales of integrated connectivity solutions in partnership with key customers and scale our data center business to strengthen our role as a key enabler of global digital infrastructure.
With this, I will close my opening remarks and hand over to the operator to open the floor for questions. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mr. Achal from Nuvama.

Achal: Congratulations for excellent earnings. My first question is if you could talk about what was the capacity utilization in first quarter? And in terms of the order inflow, if you could talk about the ordering, whether it is U.S. or Europe, are we like at th e back end of the ordering or it's still work in progress? How do you see that given the big numbers, what we hear about the Air India, the data center capex ? Are those ordering behind us or it's still yet to happen in a meaningful fashion?
Ankit Agarwal: Yes. Thank you, Achal. So I think both parts, when we look at the capacity utilizations, we don't share -- we don't disclose actual numbers. But as we've been sharing over the past few quarters, we continue to see that our capacity utilization is improving quarter -on-quarter. So that's a positive development, and we continue to see that going forward as well.
And in terms of our order inflow, yes, we're proud and happy with the orders that we've received, the connections with our customers. And we continue to feel positive about future orders as well, both on the telecom sector as well as on the data center and enterprise segment.
Achal: Ankit, the question was in terms of the ordering, while you have given a very qualitative answer, but I'm just curious to know, typically, the cables are required during the execution of that data center. So is the ordering been through or it's probably not even midway through at the industry level, I mean?
Ankit Agarwal: So from a data center capex , if you just look at the hyperscalers as well as the neoclouds, I mean, many of them are basically talking about multiyear investment in the data center capacity build - out. Just if you take U.S. itself, probably 8 to 10 gigawatts will happen thi

s year and further --
there's, in fact, a backlog of data center capacities that need to get built out. So we do continue to see that this capex will continue from the hyperscalers. And on the back of that, the demand for our portfolio will continue to increase.
Achal: Got it. Another question I had with respect to the sourcing of raw material, particularly the rare earth materials. If you could talk a little bit where are we in that journey? Have we got the visibility for next few years, few quarters, if you could clari fy on that as well?
Ankit Agarwal: Yes. So I think there are 3 or 4 elements out here. One is germanium, which is used in our glass process. We have helium, which is required as part of some of our fiber manufacturing. And then we have other elements like polyethylene and others, whi ch are linked to oil prices, et c.
From the areas we've been speaking about, I would say, germanium, we continue to put consistent efforts both on looking at the areas of sourcing, and we continue to believe that, that will improve quarter -on-quarter. At the same time, we're also looking at new technologies where our consumption of germanium itself could reduce over time. So that's something that's work in progress over the next few quarters. We'll update on that.
And when it comes to helium as well, we are watching that very closely with the developments in Middle East. But we have worked on some technologies. We were able to recycle some of our requirements and from that perspective, we are well positioned.

And from a polyethylene perspective, yes, the prices have been fluctuating. Largely, that ultimately is a cost for us at the cable level, and we feel fairly confident that up to a certain level that we are able to pass that on to our customers. So overall, I would say, work in progress, and we do feel confident quarter -on-quarter, it will improve.
Achal: Got it. And just the last question on the capex ...
Moderator: Sorry to interrupt Mr. Achal, we request you to join the question queue again for a follow -up question as there are other several participants.
The next question is from the line of Devavrat from Seven Rivers Holding.
Devavrat: Ankit. Congratulations on a great set of numbers. You haven't shared the capacity utilization numbers, but I'm just curious to know that given the quantum of capex in AI data centers, do you think we will have the capacity to take on a couple of more large orders if given the opportunity? And if not, then are we looking at any capacity additions over the next couple of quarters? That would be all from my side?
Ankit Agarwal: Dave, as I said, I think we're in several conversations in terms of conversations with telecom operators in India, in Europe as well as globally. At the same time, we are looking very closely at both upgrades of our equipment and machines, and we're also l ooking at debottlenecking from our current operations.
So all of that is progressing as we would like. And both things are happening in parallel, Dave.
So we are in the conversation as well as well as we feel confident that with some of the upgrades as well as debottlenecking, we can look at further orders fro m here.
Moderator: The next question is from the line of Sunil Jain from Nirmal Bang Securities.
Sunil Jain: Congratulations on good number. My question relate to the executions which you had said will be done in the Q2. If we see last quarter, you said you will be doing something around INR 1,500 crores but the execution has happened much larger. So similar trend can happen in the coming period also. And the execution for the whole year, if you can indicate anything on that, like you had given guidance for the margin, if anything you can indi cate on the revenue?
Ankit Agarwal: So broadly, we don't give any guidance on the revenue. The numbers which you are talking about i

s the order book, which was supposed to be executed in Q1 when we talked previously.
Since then, there has been drastic improvement in the order intake, which i s clearly visible on the revenue growth, which you have seen. On the Q2 number, similarly, we are reporting that the executable order book is INR2,228 crores, but that does not give any guidance on the revenue number.
Sunil Jain: Okay. And sir, second thing, if you can talk about the order pipeline, if you can indicate anything in negotiations and all?
Ankit Agarwal: So, as I said, that we are in -- look, historically, we've always been focused on having key accounts globally, both on telecom side and data center. That's our strategy. We're not focused

on the spot market, whether it is fiber or cable. We have very strong partnerships with customers in India. We have BharatNet projects and others, which are very important to us.
So we continue to have very good discussions with our customers. We continue to work on our product development for their future requirements as well as particularly with telecom customers and data center customers, we are looking and in discussions for their orders and their requirements for the coming years. So that's all happening in parallel.
Moderator: The next question is from the line of Tej Patel from Niveshaay.
Tej Patel: Congratulations on a very great set of numbers. So a couple of questions, sir. First question on -- just wanted to understand your view on -- if I look at the gross margins, they have somewhat stayed same, right, despite our mix from DC going, let's say, u p compared to the last quarter.
Just wanted to get your view on this. I mean, considering, let's say, DC would be having a higher margin at the gross level, are we facing -- I mean, is it because of cost pressure at the raw material that got probably led to, let's say, same margin?
Otherwise, probably would the margins have been higher? And given, let's say, we are targeting a higher proportion of share in DC to up to 30% on a yearly basis, I just wanted to get your view on gross margins moving forwa rd as the mix towards DC shifts?
Ajay Jhanjhari: So, Tej, on the gross margin, yes, there is some sort of pressure which is coming from the input cost broadly with all the war situation, the prices of the key raw material getting increased to significant multiples. We do see the improvement going forward , which will obviously be accounted in the EBITDA margins, which we are talking about.

Tej Patel: Got it. Got it. Perfect. Sir, second question is, I mean, of course, there's been a record inflow of orders this quarter. But let's say, if I remove our long-term order of $1 billion, I mean, we have a decent order intake. Just wanted to understand, I mean, if I remove that order, the inflow will be about, let's say, INR 3,000 crores, which was, let's say, last quarter around INR 7,000 crores to INR8,000 crores the regul ar business.
Was it a conscious decision on not, let's say, taking incremental business because of, let's say, capacity constraint and probably we'll start looking to take more orders, the regular orders once there's some debottlenecking, is it a conscious choice o r was it a regular order intake?
Ajay Jhanjhari: No. So, Tej, broadly, in fact, even if we exclude this long order, there has been a sufficient order intake. Obviously, now we are in a situation wherein we have to pick and choose the orders basis the capacity availability. So that will play a role. But i n this quarter, there are many much orders beyond this significant order. And going forward, we'll keep on evaluating on the basis of our capabilities to execute.
Tej Patel: Got it. Got it. And sir, on germanium, just wanted to understand, are we currently buying, I mean, whole of the inventory on spot or we have some tied up contracts, which are, let's say, at a

lower fixed price?

Ankit Agarwal: We can't comment a lot on the germanium for competitive reasons. But we are -- as I've been sharing, we are clearly focused on looking at our sources and diversifying our sources. And we feel confident about improving our availability quarter -on-quarter.
Tej Patel: Got it. Got it. And sir, last question on -- I mean, after this debottlenecking and you are saying that there's continuous capex , which is happening. Just wanted to get your view on -- are we still looking for, let's say, once we have a decent capacity on board, are we still looking for, let's say, in negotiations for a long-term order of, let's say, not of this size, but let's say , a sizable order for -- with some telcos or data centers going forward in this financial year?
Ankit Agarwal: I mean I can't comment on any specific size. But as I said, we are -- this is all happening in parallel. We are doing the debottlenecking and upgrades of our capabilities across glass fiber, cable and connectivity. So all of that's happening in parallel. A t the same time, we are in conversations with our current customers as well as some new customers in terms of their requirements.
Tej Patel: Great, sir. And if you could help us with the capex ....
Moderator: Sorry to interrupt, Mr. Tej. May we request you to join the question queue for your follow -up question. The next question is from the line of Krish Mehta from Enam Holdings.
Krish Mehta: Ankit, my question was mainly -- it's more of a strategic question on how you view this entire AI versus telecom mix for the business. So given the excitement around AI and there's obvious supply crunch in the industry, right, from a more long- term capacit y standpoint, how do you think of the order book kind of from filling it more towards the traditional telecom customers where maybe the margin is low initially, but it gives us more long-term stability on the book versus your AI capacity, right, in terms o f your capacity and order book. If you could provide some clarity on how you're thinking about this long term?
Ankit Agarwal: Yes, absolutely. I think that's absolutely spot on. I would almost add one more element to that is effectively rural connectivity projects. So we have 3 or 4 parallel demand centers. One has been the historical telecom requirements, which also are continui ng to grow in certain pockets and certainly in the U.S. Then you've got the data center part, which we're all aware of, and that's continuing to grow both from the hyperscalers as well as Neoclouds.
And in fact, there is a middle ground between the 2 where the telecom operators or neutral fiber companies are also deploying long-haul fiber networks to ultimately serve or lease to the data centers. So they're interconnected in some way. And then you've got this third element of rural projects like BEAD, which is starting to kick off now in the U.S., which is 5 to 7-year build -out. And then you've got BharatNet in India, which is also a large 3- to 4-year build -out at least. So we are very conscious of -- we are in this business to be long term. We stated our ambitions to be top 3 in the world. And with that, we are very clear that w e want to have this balance of our customer base and our portfolio base.

So we're very conscious of that. What we broadly see is that our data center and enterprise segment will go towards 50% overall. And probably we will have telecom and the rural connectivity projects like BharatNet and others as a balance.

Krish Mehta: And sorry, just a follow -up on that. So say, over the next 3 to 5 years, do you see thi s mix of 50% remaining constant or do you think that as the size kind of goes up, it will automatically adjust back down?

Ankit Agarwal: No, I think -- look, it's -- I think strategi

cally, this is where we want to go. Of course, it can vary quarter -to-quarter. But directionally, this is where we think is a good mix. I think we also need to be mindful that we are also looking to scale up our connectivity part in this. So both on the telecom side as well as on the data center side.

We're continuously launching new products like the CONCAT and others that I spoke about, where we can improve our attach rate, and we're talking about by quarter 4 of this year, getting to about 25%. So whether it's on the cable capacity or on the connectivity, we are planning and doing our product development to serve all these markets.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital.

Balasubramanian: Sir, on the data center side, what is our current revenue share in Q1? And secondly, I looked at page number 11 on the PPT. Earlier we had developed a Celesta up to 6,912 fibers per rack, but it's mentioned 12,000 fiber stacks, which are around 72 GPU AI node that is having developed or it's under development, and we ar e targeting 16,000 fibers also.

And if you could share on the realization point of view or not at the company level, but at the industry level, how that price have been moved out. I think earlier it's between $18 to $30 range. So I'm trying to understand, based on the complexities and ba sed on the applications, how that realization have moved up on the industry level?

Ankit Agarwal: Thank you. So firstly, I think on the realization, we do not comment on the realization. Broadly, we do have a healthy mix of good realization from data center as well as the telecom side. So that's something that we continue to have a mix of both types of customers.

On the question that you mentioned on the -- so I just want to clarify from a technical perspective, this is not reflective of the fiber, the cable itself, the fiber per switch. So it's just kind of trying to help you understand that as you move towards di fferent GPU architecture, what is the amount of fibers per switch required.

And as you see that scale up, it's more just to help you understand that as the density increases by nature of the work happening with NVIDIA and others, the amount of fiber per data center will continue to increase. So that's more just from an information perspective.

And similarly, on the left side, when you look at fiber explosion in DCI, which is the data center interconnect, as you see more and more buildings or data center buildings per campus increase, you will see an exponential increase in the fiber for the data center interconnect. So that's just the messaging of both of these that we wanted to share.

Moderator: The next question is from the line of Akshat Mehta from Seven Rivers Holding.

Akshat Mehta: Congratulations on a fantastic set of results, and thank you for the opportunity. I have a couple of questions. So this quarter 1 performance that you're seeing that INR1,900 crores almost funded by EBITDA...

Ankit Agarwal: No, you cannot audible properly, Akshat.

Akshat Mehta: Sir, my question was that the Q1 performance that we've seen in terms of revenue and profitability, I mean, can we take -- is it sustainable over the course of the rest of the year?

Ankit Agarwal: Yes. We're not -- we don't guide any numbers for the full year or longer term. What we've been -- I can only reiterate what we've been guiding is that we do expect that our utilization levels will continue to improve. We do -- we are in conversations and active discussions with customers to secure more orders.

And we are continuing to invest in both our capacities through debottlenecking as well as through some of our product development. So from our perspective, I think we are well placed to grow, but we cannot give any specific guidance in terms of how much we 'll grow from here.

Akshat

Mehta: Okay. Also, I just want to understand what is the kind of capex that we're going to do this year and probably next year?

Ankit Agarwal: Yes. So broadly, what we see is that as a combination of our investments to upgrade all our equipment that I spoke about across glass, fiber, cable and connectivity as well as for our debottlenecking across our sites to improve our yields and output. We expect about INR 500 crores of investment per year for the next 3 years. So cumulatively, around INR 1,500 crores is what we see over the 3 years.

Akshat Mehta: Can you also share like the breakup of revenue and EBITDA that you used to for the optical connectivity and cable business?

Ankit Agarwal: No, we don't break that out.

Moderator: The next question is from the line of Tushar from Sanghvi Family Office.
Tushar: Congratulations on a great execution. My first question was on the optical connectivity product. I just wanted to understand are we into the manufacturing of the optical transceivers? And if not,
whether we plan to enter into that space? And how do you ass ess the product offerings that we have under optical connectivity versus the optical transceivers? A quick primer or explanation on this would be very helpful.
And my second question was on the margins. I see we have actually upgraded our margins. Is it on the back of the increase in the pricing that we are seeing or because we are seeing the -- we have guided for the increased optical connectivity attach rate, t hat's why an upgrade to the margins?

Ankit Agarwal: Yes. I think there is some history here. We actually used to be in multiple businesses, including active components and many other things. We've consciously chosen to exit, sell off or shut down many businesses. So -- and we've also demerged our system int egration business into a separate entity.
So there's a very conscious choice to be very, very focused on the optical fiber cable connectivity side. And that's where we are making sure that we're building the right product portfolio.
So that's really our focus. We're not looking at the transceiver side or any other technologies.
Anything that's linked to our fiber optics, things like hollow -core, multi -core, any of those elements or new types of fiber, those are all within our domain. But new products like transceivers is not something that we're looking at currently.
And in terms of the upgrade or to the margins, I think it's a combination of 2, 3 things. I think it is certainly some amount of improvement in our capacity utilization, a good product mix and
customer mix as well as from a product side, a good healthy rat io of cable and connectivity together.
Moderator: The next question is from the line of Anshul Seghal from Seghal Capital Advisors .
Anshul Seghal: Great set of numbers. Congratulations on that. Two questions. One, do we have a play in the semiconductor value chain at all, whether now or in the future? And the second is you've spoken a lot about the American data center opportunity.
Can you speak a little bit about the Chinese opportunity or rather the investment in data centers in China? Why I ask that question is because we hear that the cost of tokens, et c., is being reduced
materially by Chinese players. Now does that mean that it deflates this whole capex environment or that really is not the case at the moment?
Ankit Agarwal: Anshul, thank you for the inputs. I think in terms of the investments, yes, clearly, data center growth is the strongest in the U.S. We are also seeing some very large investment
announcements by the government and by the private sector in China that I thi nk you touched on as well.
And from our perspective, I think definitely, we see 2 or 3 areas that we are looking at. Our first focus continues to be the data center demand in the U.S. I think India, as we also touched on in

our slides, is just at a starting point and will start to g row. So we're excited about how we can really enable this AI infrastructure in India, both on long-haul fiber, metro fiber as well as fiber optics within the data center.
So I think that's the area we're focusing. I think Europe does need to step up. There are some initial investments that are starting to happen and some announcements. But I think the progress and speed on the ground is still slow. So I think Europe will pr obably be a dark horse and will start scaling up in a year or 2.
In terms of your point on overall the tokens, I think that is something that's really on everyday basis, that's something worth watching out for. But our macro thesis continues to be that the

sheer demand when you look at the cloud revenues of all the hyperscalers, that continues to accelerate quite strongly.
And even some of the new players like Meta and Oracle are talking about increasing and preparing their data centers for third -party sales. So it does seem to be that the demand is outstripping supply currently. But I agree with you that the price points wi ll have to become more efficient and this large delta in cost of tokens between the U.S. cloud providers and China, there has to be something that has to give at some level.
But from a sheer capex spend in the U.S., we continue to be optimistic about that. And we

continue to build our product portfolio to help serve them and help them build this out faster
than ever before. So that's what we are working on.
On your question on the semiconductor, again, as I said, that's not really our top priority right
now. We're very focused on the opportunities that we see within the telecom and data center space. We do have very strong glass capability, and we'll continue to evaluate whether we can
utilize some of that glass capability for some of the semiconductor requirements, but that's not immediately a priority right now.
Moderator: The next question is from the line of Pratiti Khara from Param Capital.
Pratiti Khara: Yes. I just wanted to check on the $100 million capex that was announced for the U.S. plant in
May. What's the capex phasing like and expected commission time line?
Ankit Agarwal: Yes. Thank you. So what we announced was a $100 million investment over a 5 -year period.
This was as part of our strategy, both to ensure that we have a good balance of cable and connectivity onshore in the U.S., primarily to help certain customers and be able to serve them
with a quicker turnaround.
The second reason we're doing that is to be more closely aligned and customize our products for
their requirements and to also be able to serve them for their future requirements. So this is
something that we continue to have conversations with our custome rs, particularly on the data
center side. And as we progress and as we get more clarity from our customers in terms of the
requirements, we'll probably update you by next quarter in terms of progress on that.
Pratiti Khara: Do we have any capacity number in mind what we plan to do there?
Ankit Agarwal: So this is mainly be for the connectivity side. So it doesn't really translate into a capacity per se.
But as I said, this will be a connectivity facility that we are planning, both for the telecom
segment and the data center segment. So once we're able to finalize and detail out the investment
and the scale out of that investment, then we'll be able to share that.
Moderator: The next qu estion is from the line of Nova from Nova Financial.
Nova: So my question was about -- you mentioned germanium and helium content. So if it continues
through FY27, so it will affect your order book or on any margin? Or do you have any other
suppliers or technology to overcome this?

Ankit Agarwal: Yes, y

es. So I think what I shared earlier as well that we are actively working to diversify our
suppliers across our raw materials, whether it's germanium, helium or others. There have been
cost increases that Ajay spoke about in terms of our input costs.
But we are very mindful and looking at improving our supply quarter -on-quarter. And as I
shared, we feel confident about that. And at the same time, we are taking in orders from our customers, both on telecom and data center side on BharatNet side, keeping in mind the
availability of our raw materials.
Moderator: The next question is from the line of Naman Parmar from Niveshaay Investments.
Naman Parmar: So firstly, I wanted to understand what will be your debt level and the working capital for the
year end of the FY 27 after this QIP?
Ajay Jhanjhari: So we have disclosed that we broadly believe that we'll be net debt free even during the financial
year. The raise of QIP will definitely help along with the internal accruals. At the same time, there has been consistent focus on reducing the net working c apital by engaging into dialogues
with the customers on reducing the payment terms, and that should definitely help us.
Naman Parmar: Okay. Got it. Secondly, if you can help us in the understanding on the margin perspective, like you mentioned that you are working very aggressively on reducing the consumption of the
germanium, which will help you in increasing in the gross margin going f orward if the
germanium cost reduces or remains stable at this price.
So if you can explain how maximum the margin can help you in the gross level? And also on
the EBITDA, if you can bifurcate between telecom versus data center, what is the margin difference?
Ankit Agarwal: We don't normally call out the margin difference. But what we have shared in the past is that,
yes, the margins broadly for the solutions we sell to data center are higher margins than the
telecom segment. And I think from a cost input perspective, I do want to call out that while the
costs are higher right now, I think for us, our focus is to ensure that we are able to utilize our
facilities and just through utilization of our factories, we'll be able to have better EBITDA margins being realized.
And then on top of that, as we increase our connectivity attach rate, which we shared, going up
to 25% by quarter 4, that will further enable our EBITDA margin to increase. So these are the
2, 3 things why we feel confident that the margins will move towar ds the 23% that Ajay spoke
about.
Moderator: Thank you. With this, we conclude our call. I would now like to hand the conference over to Mr. Rahul for his closing comments. Over to you, sir.
Rahul Darak: Thank you, everyone, for taking time to hear us today. We truly believe STL is well positioned

to play a pivotal role in building the digital infrastructure of the future. And we remain available to take any of your follow -up questions. You may reach out t o us at official email

investor@stl.tech. Once again, thank you, and we remain grateful for your continued support. Thank you.

Moderator: Thank you. On behalf of Sterlite Technologies Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.